COMPANY LAW

CPA

INTERMEDIATE LEVEL

STUDY TEXT

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COMPANY LAW

GENERAL OBJECTIVES

This paper is intended to equip the candidate with knowledge, skills and attitudes that will enable him/her to apply and comply with the provisions of company law in relevant circumstances and environments.

LEARNING OUTCOMES

A candidate who passes this paper should be able to:

- Apply legal principles relating to formation of companies
- Evaluate the rights and obligations of members and shareholders
- Comply with the legal principles governing liquidation of corporates and restructuring
- Comply with the legal principles relating to companies incorporated outside Kenya
- Ensure books of account are prepared in compliance with the law.

SYLLABUS

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- Distinction between companies and other forms of business associations, sole proprietorships, partnerships and cooperative societies.

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NATURE AND CLASSIFICATION OF COMPANIES

NATURE AND FORMATION OF A COMPANY

The term company is used to describe an association of a number of persons, formed for some common purpose and registered according to the law relating to companies.

Lord Justice Lindley defines a company as follows: "A company is means an association of many persons who contribute money or money's worth to a common stock and employ it for a common purpose. The common stock so contributed is denoted in money and is the capital of the company. The persons who contribute it or to whom it belongs are members. The proportion of capital to which each member is entitled is his share."

Justice Marshall defines a company as an artificial being, invisible, intangible, existing only in contemplation of the law. Being a mere creation of law, it possesses only the properties which the charter of its creation confers upon it, either expressly or as incidental to its very existence.

Section 2 (1) of the Companies Act (cap 486) provides that "a company means a company formed and registered under this Act or an existing company". Existing company only means a company formed and registered under any of the repealed ordinances. For the purposes of Companies Act of Kenya, a company: -

a) A registered company under the Companies Act.
b) An existing company.
c) An unregistered company covered under section 357-364of the Companies Act.
d) A produce company covered under section 388of the Companies Act..
e) A foreign company covered under section 365-381of the Companies Act..

The main objects and purpose, of statutes relating to companies are as follows:

1. Encourage investments in companies by providing certain facilities, such as limitation of liability, transferability of shares.
2. Ensure due and proper administration of the funds and assets of companies in the interest of the investing public.
3. Prevent malpractices by directors and managers.
4. Arrange for investigation into the affairs of companies and provide for effective audit in dealing with cases of dishonesty and fraud in the corporate sector.

The formation, management and winding up of a company in Kenya is governed by the Company's Act Cap 486 of the Laws of Kenya. The company legislation in Kenya owes its origin to the English company law. The Companies Act of Kenya which came into force on 1st January 1962 is based on English Companies Act of 1948.This Act is still applicable together with later amendments. The Act provides a basic legal framework for the regulation of companies in Kenya. It makes provision for the legal incorporation of companies and lays down rules for their constitution, management and winding up.

Apart from the Companies Act, there is also case law which has been developed by the courts such doctrines of ultra vires. The case law and companies practice have developed so many rules which are useful for filling in the gaps which have not been provided by the Companies Act.

CHARACTERISTICS OF A COMPANY

The principal characteristics of an incorporated company can be summarised as follows:

1. Registration

A company comes into existence only after registration under the Companies Act. However, a statutory corporation is formed and commences business as notified or stated in the Act as passed in the legislature. In case of partnership, registration is not compulsory.

2. Voluntary Association

A company is an. association of many persons on a voluntary basis. Therefore a company is formed by the choice and consent of the members.

3. Legal personality

A company is regarded by law as a single person. It has a legal personality. This rule applies even in the case of "one-man company" such as in the case of **Salomon v. Salomon & Co. Ltd**.

Salomon had a business in boot manufacture. He formed a company called Salomon & Co. (with himself, his, wife daughter and 4 sons as shareholders) and transferred to it his business. As consideration for the transfer he received the major portion of the shares of the company and debentures for £ 10,000. Later on, the company went into liquidation. Salomon, as a debenture holder, claimed to be a secured creditor and demanded priority in the payment of £ 10,000, out of the assets of the company. The unsecured creditors of the company objected on the ground that the business really belonged to Salomon and he should not be allowed to claim as a secured creditor. It was held that Solomon as an individual, was quite distinct from Salomon & Co. and he could therefore be a secured creditor of the company, even though he happened to hold the majority of the shares.

4. Contractual capacity

A shareholder of a company, in its individual capacity, cannot bind the company in any way. The shareholder of a company can enter into contract with the company and can be an employee of the company.

5. Management

A company is managed by the board of directors, whole time directors, managing director or manager. These persons are selected in the manner provided by the Act and the Articles of Association of the company. A shareholder, as such, cannot participate in the management.

6. Permanent Existence

A company has a continuous existence. Old shareholders may go and new ones may join; the death, bankruptcy or insanity of a shareholder does not affect the existence of the company. This means that its life is independent of the life of its members. The change in the membership of the company does not affect its continuity. The company continues its operations so long as it fulfills the requirements of the law under which it has been formed.

7.Registered Office

A company must have a registered office where it carries out its day to day business dealings

8. Common Seal

A company being an artificial person cannot sign documents. The law has provided for the use of a common seal, with the name of company engraved on it, as a substitute for its signature. No document issued by the company shall be binding on it unless it bears the common seal, which is duly witnessed by at least two directors of the company.

10. Limited Liability

A shareholder shall be liable to contribute towards the debts of the company during its life or during winding up only at the extent of shares taken by him and only to the balance of shares taken by him or up to the guarantee given by him or both. Members cannot be asked to pay more than what is unpaid on the shares of the company held by them even though the assets of the company are not sufficient to satisfy the claims of creditors in the event of winding up. The personal property of a shareholder cannot be attached for the debts of the company if he holds a fully paid up share.

11. Transferability

Members of public limited company are free to transfer their shares to anybody. Shares can be sold and purchased through the stock exchange. However, in a private company the articles may restrict such transfer.

12. Statutory Obligations

A company is required to comply with various statutory obligations regarding management such as filing balance sheets, maintaining proper account books and registers etc.

13. Artificial Legal Person

A company is an artificial person because it is a creation of law. It does not take birth like a natural person but it comes into existence through law. It exists in the eyes of the law and cannot act on its own. It has to act through a board of directors elected by shareholders. It was rightly pointed out in **Bates v. Standard Land Co**. that: “The board of directors is the brains of the company, which is the body and the company can and does act only through them.”

Although a company is an artificial legal person, it enjoys all the rights of a natural person. It has the right to acquire and dispose of the property, to enter into contract with third parties in its own name, and can sue and is sued in its own name.

14. Residence

A company has a residence (for taxation and other purpose). A company does not possess any fundamental rights.

15. No Fundamental Rights:

Though a company has no fundamental rights, it can challenge a law as void if the law happens to violate fundamental rights of citizens. In order to succeed, the company must prove that the impugned law is expropriatory of a citizen’s property.

16. Separate Legal Entity

Companies Act provides for a separate legal existence from its shareholders. From the date of incorporation as mentioned in the certificate of incorporation, a body corporate by the name contained in the memorandum is formed. Such a body corporate is capable of having perpetual succession, power to hold land, has a common seal with liabilities of its members limited as per the provisions of the Act.

17. Capacity to Sue and be Sued

The suits of the company are suits of the company, and not of the shareholders. Therefore in case of suits for the company, the company is the proper plaintiff and where the company is sued, it is the proper defendant.

TYPES OF COMPANIES

There are different types of companies which are based on the basis of formation, liability ownership, domicile and control.

1. **Types based on the basis of formation or incorporation.**

   a) ***Chartered companies.***
   Companies which are incorporated under special charter issued by the head of state e.g. Chartered Bank.

   b) Statutory companies.
   Are Companies which are incorporated by a special act of parliament. The activities of such companies are governed by their respective acts and are not required to have any memorandum or articles of association.

   c) Registered companies
   Are those companies incorporated through registration under the companies act.

2. **Types of companies based on the basis of liability**

   a) companies with limited liability
   Are companies where capital is divided into shares and liability of members is a company limited by shares. Others are limited by guarantee where shareholders promise to pay a fixed amount to meet the liabilities of the company in the case of liquidation.

   b) Companies having unlimited liability.
   They do not have any limit on the liability of members as in the case of partnership.

3) Types of companies based on ownership.

   a) Government companies.
   Are companies where at least 51% of the paid up capital has been subscribed by the government.

   b ***)Non-governmental companies.***
   If the government does not subscribe a minimum of 51% of the paid up capital, the company will be a non-governmental company.

4. Types of companies on the basis of domicile

a) *National companies*
It's a company which is registered in a country by restricting its area of operations within the national boundary of that country.

b) Foreign companies.
Are Companies having business in a country but not registered in that country.

c) Multinational companies
They have their presence and business in two or more countries

5. Types of companies on the basis of control.

a) Holding companies
These hold all or majority of the share capital in one or more companies so as to have a controlling interest in such companies.

b) Subsidiary company
Is a company which operates its business under the control of another company i.e. holding company.

CLASSIFICATION OF COMPANIES

The various types of companies that the law recognizes in Kenya are covered under the Companies Act which allows the formation of the three types companies. These are;-
A company formed and registered under the companies Act Cap 486. These are referred to as registered Companies.
A company formed under any other Act of parliament that is called Statutory Company.
A company formed by the grant of letters patent or a charter. These are called Chartered Companies.
It means that the companies may be classified as under:

1. Corporations aggregate.
2. Corporations sole
3. Statutory corporation
4. Registered company or incorporated companies
5. Unregistered company

6. Charted companies
7. Private companies
8. Public companies
9. Foreign companies
10. Subsidiary company
11. Holding company

Companies are classified into the following categories

1. Corporations Aggregate

Corporations aggregate consist of two or more persons united in a society, which is preserved by a succession of members, either forever or till the corporation is dissolved by the power that formed it. Corporation aggregate can be dissolved by the death of all its members, by surrender of its charter or franchises, or by forfeiture. Such corporations are the mayor and aldermen of cities, the head and fellows of a college, the dean and chapter of a cathedral church, the stockholders of a bank or insurance company.

2. Corporations Sole

Corporations sole, consist of only one member at a time, with the corporate character being kept up by a succession of solitary members over time. Corporation sole are always holders of a particular office. For example the office of the presidency, the office of public trustee, the office of the bishop, the attorney general's office the chief justice office.

3. Statutory Corporation

These companies are incorporated by a special Act passed by the parliament. The constitution and functions of such companies are laid down by the Act of Parliament or any state legislature of Kenya Such companies are generally formed to carry out some special undertakings. The government owns these companies and the main objective of these companies is to provide some necessary services for the benefit of the entire country. These companies are generally formed to meet social needs and not for the purpose of earning profits.Such companies can only carry our functions for which it was created. Statutory companies do not have any memorandum or articles of association. They don't use the word 'limited' as part of their name .They derive their powers from the Acts constituting them. Alterations in the powers of such companies can be brought by legislative amendments.

The capital of statutory corporation is raised through borrowing of grants from treasury. Its profits are injected back to the corporation or paid to treasury as dividends. A statutory corporation cannot be dissolved. It is only dissolved on the repeal or revocation of the parent statute.

Some examples if statutory companies in Kenya include:

1. Kenya Railways.
2. Kenya Post and Telecommunications Corporations.
3. Kenya Power

4. Kenya Ports Authority

4. Registered Company or Incorporated Companies

A company must be registered under the Companies Act. After registration, the registrar of the companies issues a certificate of incorporation. Such companies come into existence only when they are registered under the Act and the registrar has issued a certificate of incorporation. Such companies derive their powers from the Companies Act and the memorandum of association. Private persons usually form these companies.

Registered companies may be further classified as under:

a) A company limited by shares.
b) A company limited by guarantee.
c) An unlimited company.

a) Company Limited by Shares

A company having the liability of its members limited to the value of shares held by them is called a company by limited shares. If a member has paid the entire value of the share, he does not owe any further liability to the company and in case he has partly paid the value of a share, the liability of such members is limited to the value of the unpaid amount of the shares held by him. The liability of the shareholder to pay the unpaid amount can be enforced during the existence of the company and during its winding up.

A company is defined as a company having the liability of its members limited to such amounts as the members may respectively undertake to contribute to the assets of the company in the event of its being wound up. The amount guaranteed by each member cannot be demanded until the company is wound up. Hence it's the nature of a "reserve capital". Such companies may or may not have a share capital. They are generally formed without share capital for non-trading purposes, such as the promotion of art, science, culture etc. the article of such a company must state the number of members with which the company is to be registered. Sec 21(1) permits a limited company to dispense with the requirements of the use of the word 'limited' as part of the name if it has been formed to promote art, science, religion, charity etc.

b)Company Limited by Guarantee

In these companies, each member promises to pay a fixed sum of money in the event of liquidation of the company. This amount is called the guarantee.

Sometimes the members are required to buy a share of a fixed value and also give a guarantee for a further sum in the event of liquidation. There is no liability to pay anything more than the value of the share (where there is a share) and the guarantee.

c) Unlimited Company

In these companies the liability of the shareholder is unlimited, such as in partnership firms. Such companies are permitted under the Companies Act but are not known statutory public company

5. Unregistered Company

If an association or company is not registered it is called unregistered company.

6. Charted Companies

A charted company is formed by a grant of charter by the crown operating undereither prerogative powers or special statutory powers. Most chartered companies were formed during the late nineteenth century's during the scramble for Africa. They were formed with the purpose of seizing, colonising and administering the last 'virgin' African territories. However, these companies proved generally less profitable than earlier trading companies. With time, most of their colonies were either lost (often to other European powers) or transformed into crown colonies. This form of company is a very old model of companies which does not exist today because businessmen prefer to trade through the modern registered companies. The English practice was that if people wanted to create a chartered company they would:

i. Come together and take a decision to carry on business as a group.
ii. Contribute capital towards the intended business.
iii. Draw up business objectives.
iv. Then petition the crown to grant them a charter or a letter patent that would legally bind them as a group by the name they have chosen.

Chartered Companies have the following characteristics:

i. These companies were never created under a statute of parliament but by the mere grant of a charter by the crown. There was no requirement for registration at all.
ii. The charter operated like letters patent i.e. just like patent, which gives the owner the exclusive right to exploit specified business in an area without rivalry from any other company in the territory.
iii. The crown always granted a charter on grounds of certain conditions and the company had to observe those conditions or else the crown would withdraw the charter or the exclusive right to exploit the business in question.

7. Private companies

A private company according to Sec 30 of the Companies Act means a company which by its articles–

a) restricts the right to transfer its shares;
b) Limits the number of its members to fifty, not including the employees of the companies
c) Prohibits any invitation to the public to subscribe for any shares in, or debentures of, the company.

Where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this definition, be treated as a single member.

8. Public Companies

The Companies Act defines public companies as a company that is not a private company. Some of the characteristics of a public company include:

i. It does not have any restriction on the transfer of its shares
ii. It does not limit the maximum number of members
iii. It can invite the public to subscribe to its shares or debenture (but it's under no obligation to invite the public)
iv. The minimum number of members required is seven.

9. Foreign Companies

Foreign companies according to Sections 366 of the Companies Act, companies incorporated outside Kenya. Within 30 days of establishment of the business in Kenya, it must provide the following documents and information:

(a) A certified copy of the charter, statutes or memorandum and articles of the company or any other instrument that defines the constitution of the company. If the instrument is not written in the English language, a certified translation should be presented.
(b) A list of the directors and secretary of the company containing their names address, nationality, any business they undertake and particulars of any other directorship they hold.
(c) A statement of all subsisting charges created by the company,
(d) The names and postal addresses of some one or more persons resident in Kenya authorized to accept on behalf of the company service of process and any notices required to be served on the company;
(e) The full address of the registered or principal office of the company

10. Holding Company

A holding company is a corporation that is organized for the purpose of owning stock in other corporations. A company may become a holding company by;

i) acquiring enough voting stock in another company to exercise control of its operations, or
ii) Forming a new corporation and retaining all or part of the new corporation's stock.

While owning more than 50 percent of the voting stock of another company ensures control, in many cases it is possible to exercise control of another company by owning as little as ten percent of its stock.

Holding companies and the companies they control have a parent-subsidiary relationship. When a holding company owns a controlling interest in another company, the holding company is called the parent company and the controlled company is called the subsidiary. If the parent owns all of the voting stock of another company, that company is said to be a wholly-owned subsidiary of the parent company.

11. Subsidiary Company

A subsidiary company is one in which another, generally larger company known as the parent company, owns all or at least a majority of the shares. As the owner of the subsidiary, the parent company may control the activities of the subsidiary.

Subsidiaries can be formed in different ways and for various reasons. A company can form a subsidiary either by purchasing a controlling interest in an existing company or by creating the company itself. When a company acquires an existing company, forming a subsidiary can be preferable to a merger because the parent company can acquire a controlling interest with a smaller investment than a merger would require. In addition, the approval of the stockholders of the acquired firm is not required as it would be in the case of a merger.

When a company is purchased, the parent company may determine that the acquired company's name recognition in the market merits making it a subsidiary rather than merging it with the parent. A subsidiary may also produce goods or services that are completely different from those produced by the parent company

Companies that operate in more than one country often find it useful or necessary to create subsidiaries. For example, a multinational company may create a subsidiary in a country to obtain favourable tax treatment, or a country may require multinational company to establish local subsidiaries in order to do business there.

Companies also create subsidiaries for the specific purpose of limiting their liability in connection with a risky new business. The parent and subsidiary remain separate legal entities, and the obligations of one are separate from those of the other. Nevertheless, if a subsidiary becomes financially insecure, the parent company is often sued by creditors. In some instances courts will hold the parent company liable, but generally the separation of corporate identities immunizes the parent company from financial responsibility for the subsidiary's liabilities.

One disadvantage of the parent-subsidiary relationship is the possibility of multiple taxation. The other disadvantage is that it is the duty of the parent company to promote the subsidiary's corporate interests, to act in its best interest, and to maintain a separate corporate identity. If the parent fails to meet these requirements, the courts will perceive the subsidiary as merely a business conduit for the parent, and the two corporations will be viewed as one entity for liability purposes.

OTHER FORMS OF BUSINESS ORGANIZATIONS

SOLE-PROPRIETORSHIP

J.L. Hanson defines a sole proprietorship form of business as follows “A type of business unit where one person is solely responsible for providing the capital and bearing the risk of the enterprise, and for the management of the business.”

Therefore ‘sole proprietorship’ form of business organisation refers to a business enterprise exclusively owned, managed and controlled by a single person with all authority, responsibility and risk.

Characteristics of Sole Proprietorship

Some of the characteristics of sole proprietorship include;

(a) Single Ownership
The sole proprietorship form of business organisation has a single owner who starts the business by bringing together all the resources.

(b) No Separation of Ownership and Management
The owner manages the business as per his/her own skill and intelligence. There is no separation of ownership and management as is the case with company form of business organization.

(c) Less Legal Formalities
The formation and operation of a sole proprietorship form of business organisation does not involve any legal formalities. Therefore, its formation is quite easy and simple.

(d) No Separate Entity
The business unit does not have an entity separate from the owner. The businessman and the business enterprise are one and the same, and the businessman is responsible for everything that happens in his business unit.

(e) No Sharing of Profit and Loss
The sole proprietor enjoys the profits alone. At the same time, the entire loss is also borne by him. No other person is there to share the profits and losses of the business. He alone bears the risks and reaps the profits.

(f) Unlimited Liability

The liability of the sole proprietor is unlimited. In case of loss, if his business assets are not enough to pay the business liabilities, his personal property can also be utilised to pay off the liabilities of the business.

(g) One-man Control

The controlling power of the sole proprietorship business always remains with the owner. He/she runs the business as per his/her own will.

Merits of Sole –Proprietorship

Some of the advantages of sole proprietship form of business include;

(a) Easy to Form and Wind Up

It is very easy and simple to form a sole proprietorship form of business organisation. No legal formalities are required to be observed. Similarly, the business can be wind up any time if the proprietor so decides.

(b) Quick Decision and Prompt Action

As stated earlier, nobody interferes in the affairs of the sole proprietary organisation. So he/she can take quick decisions on the various issues relating to business and accordingly prompt action can be taken.

(c) Direct Motivation

In sole proprietorship form of business organisations the entire profit of the business goes to the owner. This motivates the proprietor to work hard and run the business efficiently.

(d) Flexibility in Operation

It is very easy to effect changes as per the requirements of the business. The expansion or curtailment of business activities does not require many formalities as in the case of other forms of business organisation.

(e) Maintenance of Business Secrets

The business secrets are known only to the proprietor. He is not required to disclose any information to others unless he himself so decides. He is also not bound to publish his business accounts.

(f) Personal Touch

Since the proprietor himself handles everything relating to business, it is easy to maintain a good personal contact with the customers and employees. By knowing the likes, dislikes and tastes of the customers, the proprietor can adjust hisoperations accordingly. Similarly, as the employees are few and work directly under the proprietor, it helps in maintaining a harmonious relationship with them, and run the business smoothly.

After knowing the various merits of sole proprietorship form of business organisation let us discuss its limitations.

Limitations of Sole Proprietorship

Some of the challenges or limitation of sole-proprietorship include;

(a) Limited Resources

The resources of a sole proprietor are always limited. Being the single owner it is not always possible to arrange sufficient funds from his own sources. Again borrowing funds from friends and relatives or from banks has its own implications. So, the proprietor has a limited capacity to raise funds for his business.

(b) Lack of Continuity

The continuity of the business is linked with the life of the proprietor. Illness, death or insolvency of the proprietor can lead to closure of the business. Therefore the continuity of business is uncertain.

(c) Unlimited Liability

You have already learnt that there is no separate entity of the business from its owner. In the eyes of law the proprietor and the business are one and the same. So personal properties of the owner can also be used to meet the business obligations and debts.

(d) Not Suitable for Large Scale Operations

Since the resources and the managerial ability is limited, sole proprietorship form of business organisation is not suitable for large-scale business.

(e) Limited Managerial Expertise

A sole proprietorship from of business organization always suffers from lack of managerial expertise. A single person may not be an expert in all fields like, purchasing, selling, financing etc. Also, because of limited financial resources and the size of the business it is also not possible to engage the professional managers in sole proprietorship form of business organisations.

Formation of Sole Proprietorship Form of Business Organisation

It is very simple to establish a sole proprietorship form of business or ganisation. Any person who is willing to start a business and has the necessary resources can set up this form of business organisation.

To start and operate the business in this form of business, practically does not require any legal formalities to be fulfilled. However, in some cases such as restaurant, chemist shops etc. however, permission from the competent authority is required to be obtained before starting the business. Similarly, setting up a factory may involve taking permission from the local authority. But, formation of business unit as such does not involve any complexities.

PARTNERSHIP

Partnership is an association of two or more persons who pool their financial and managerial resources and agree to carry on a business, and share its profit. The persons who form a partnership are individually known as partners and collectively form a firm or partnership firm.

Partnership form of business organisation in Kenya is governed by the Partnership Act of Kenya. Section 3 of the Partnership Act defines a partnership as “a relation which subsists between persons carrying on a business in common with a view of profit. The relation between members of any company or association which is—

(a) registered as a company under the Companies Act or any other Act for the time being in force and relating to the registration of joint stock companies; or

(b) formed or incorporated by or in pursuance of any other Act or of any order in council, or Act of the United Kingdom Parliament, or letters patent, or royal charter, is not a partnership within the meaning of the Act.

Characteristics of Partnership Form of Business Organisation

Based on the definition of partnership as given above, the various characteristics of partnership form of business organisation, can be summarised as follows:

(a) Two or More Persons

To form a partnership firm at least two persons are required. The maximum limit on the number of persons is ten for banking business and 20 for other businesses. If the number exceeds the above limit, the partnership becomes illegal and the relationship among them cannot be called partnership.

(b) Contractual Relationship

Partnership is created by an agreement among the persons who have agreed to join hands. Such persons must be competent to contract. Therefore, minors, lunatics and insolvent persons are not eligible to become the partners. However, a minor can be admitted to the benefits of partnership firm i.e., he can have share in the profits without any obligation for losses.

(c) Sharing Profits and Business

There must be an agreement among the partners to share the profits and losses of the business of the partnership firm. If two or more persons share the income of jointly owned property, it is not regarded as partnership.

(d) Existence of Lawful Business

The business of which the persons have agreed to share the profit must be lawful. Any agreement to indulge in smuggling, black marketing etc. cannot be called partnership business in the eyes of law.

(e) Principal Agent Relationship

There must be an agency relationship between the partners. Every partner is the principal as well as the agent of the firm. When a partner deals with other parties he/she acts as an agent of other partners, and at the same time the other partners become the principal.

(f) Unlimited Liability

The partners of the firm have unlimited liability. They are jointly as well as individually liable for the debts and obligations of the firms. If the assets of the firm are insufficient to meet the firm's liabilities, the personal properties of the partners can also be utilised for this purpose. However, the liability of a minor partner is limited to the extent of his share in the profits.

(g) Voluntary Registration

The registration of partnership firm is not compulsory. However, an unregistered firm suffers from some limitations which makes it virtually compulsory to be registered. The following are the limitations of an unregistered firm.

i) The firm cannot sue outsiders, although the outsiders can sue it.
ii) In case of any dispute among the partners, it is not possible to settle the dispute through court of law.
iii) The firm cannot claim adjustments for amount payable to, or receivable from, any other parties.

Merits of Partnership Form of Business Organisation

Some of the merits or advantages of engaging in a partnership form of business include;

(a) Easy to Form

A partnership can be formed easily without many legal formalities. Since it is not compulsory to get the firm registered, a simple agreement, either in oral, writing or implied is sufficient to create a partnership firm.

(b) Availability of Larger Resources

Since two or more partners join hands to start partnership firm it may be possible to pool more resources as compared to sole proprietorship form of business organisation.

(c) Better Decisions

In partnership firm each partner has a right to take part in the management of the business. All major decisions are taken in consultation with and with the consent of all partners. Therefore, collective wisdom prevails and there is less scope for reckless and hasty decisions.

(d) Flexibility

The partnership firm is a flexible organisation. At any time the partners can decide to change the size or nature of business or area of its operation after taking the necessary consent of all the partners.

(e) Sharing of Risks

The losses of the firm are shared by all the partners equally or as per the agreed ratio.

(f) Keen Interest

Since partners share the profit and bear the losses, they take keen interest in the affairs of the business.

(g) Benefits of Specialisation

All partners actively participate in the business as per their specialisation and knowledge. For example in a partnership firm providing legal consultancy to people, one partner may deal with civil cases, one in criminal cases, another in labour cases and so on as per their area of specialisation. Similarly two or more doctors of different specialisation may start a clinic in partnership.

(h) Protection of Interest

In partnership form of business organisation, the rights of each partner and his/her interests are fully protected. If a partner is dissatisfied with any decision, he can ask for dissolution of the firm or can withdraw from the partnership.

(i) Secrecy

Business secrets of the firm are only known to the partners. It is not required to disclose any information to the outsiders. It is also not mandatory to publish the annual accounts of the firm.

Limitations of Partnership Form of Business organization

A partnership firm also suffers from certain limitations. These include;

(a) Unlimited Liability

The most important drawback of partnership firm is that the liability of the partners is unlimited i.e., the partners are personally liable for the debt and obligations of the firm. In other words, their personal property can also be utilized for payment of firm's liabilities.

(b) Instability

Every partnership firm has uncertain life. The death, insolvency, incapacity or the retirement of any partner brings the firm to an end. Not only that, any dissenting partner can give notice at any time for dissolution of partnership.

(c) Limited Capital

Since the total number of partners cannot exceed 20, the capacity to raise funds remains limited as compared to a joint stock company where there is no limit on the number of share holders.

(d) Non-transferability of share

The share of interest of any partner cannot be transferred to other partners or to the outsiders. So it creates inconvenience for the partner who wants to transfer his share to others fully and partly. The only alternative is dissolution of the firm.

(e) Possibility of Conflicts

In a partnership firm every partner has an equal right to participate in the management. Every partner can place his or her opinion or viewpoint before the management regarding any matter at any time. Due to this, there may be friction and quarrels among the partners. Difference of opinion may give rise to quarrels and lead to dissolution of the firm.

Formation of Partnership Form of Business Organisation

The following steps are to be taken in order to form a partnership firm:

(a) Minimum two members are required to form a partnership. The maximum limit is ten in banking and 20 in other businesses.

(b) Select the like-minded persons keeping in view the nature and objectives of the business.

(c) There must be an agreement among the partners to carry on the business and share the profits and losses. This agreement must preferably be in writing and duly signed by the all the partners. The agreement, i.e., the partnership deed must contain the following:

- (i) Name of the firm
- (ii) Nature of the business
- (iii) Names and addresses of partners
- (iv) Location of business
- (v) Duration of partnership, if decided
- (vi) Amount of capital to be contributed by each partner
- (vii) Profit and loss sharing ratio
- (viii) Duties, powers and obligations of partners.
- (ix) Salaries and withdrawals of the partners
- (x) Preparation of accounts and their auditing.
- (xi) Procedure for dissolution of the firm etc.
- (xii) Procedure for settlement of disputes

(d) The partners should get their firm registered with the registrar of firms. Although registration is not compulsory, but to avoid the consequences of non-registration, it is advisable to get it registered when it is setup or at any time during its existence.

Consequences of non-registration of a partnership form of business organization

An unregistered partnership firm suffers from the following limitations:

1. It cannot enforce its claims against a third party in a court of law.
2. It cannot file a legal suit against any of its partners.
3. Partners of an unregistered firm cannot file any suit to enforce a right against the firm.

4. A partner of an unregistered firm cannot file a suit against other partners.

Non-registration of a firm, however, does not affect the following rights:

(i) The right of a partner to sue for the dissolution of the firm or for the accounts of a dissolved firm or to enforce any right or power to realise the property of a dissolved firm.

(ii) The power of an official assignee or receiver to realise the property of an insolvent partner.

(iii) The rights of the firm, or its partners, having no place of business.

(iv) The right of a third party to sue the unregistered firm or its partners.

COOPERATIVE SOCIETIES

Characteristics of Cooperatives

A co-operative society is a special type of business organization. A cooperative society is basically an independent organization of people who have come together voluntarily to meet a common economic, social or cultural needs. The organization is jointly owned and democratically controlled. It can also be defined as a business firm which is owned and controlled by the people who use it on equality basis. Its characteristics are as discussed below:

a) Open membership

The membership of a co-operative society is open to all those who have a common interest. A minimum of ten members are required to form a cooperative society. The Cooperative Societies Act do not specify the maximum number of members for any co-operative society. However, after the formation of the society, the member may specify the maximum number of members.

b) Voluntary Association

Members join the co-operative society voluntarily, that is, by choice. A member can join the society as and when he likes, continue for as long as he likes, and leave the society at will.

c) State Control

To protect the interest of members, co-operative societies are placed under state control through registration. While getting registered, a society has to submit details about the members and the business it is to undertake. It has to maintain books of accounts, which are to be audited by government auditors.

d) Sources of Finance

In a co-operative society capital is contributed by all the members. However, it can easily raise loans and secure grants from government after its registration.

e) Democratic Management

Co-operative societies are managed on democratic lines. The society is managed by a group known as "board of directors". The members of the board of directors are the elected representatives of the society. Each member has a single vote, irrespective of the number of shares held. For example, in a village credit society the small farmer having one share has equal voting right as that of a landlord having 20 shares.

f) Service motive

Co-operatives are not formed to maximise profit like other forms of business organisation. The main purpose of a co-operative society is to provide service to its members. For example, in a consumer co-operative society, goods are sold to its members at a reasonable price by retaining a small margin of profit. It also provides better quality goods to its members and the general public.

g) Separate Legal Entity

A co-operative society is registered under the Co-operative Societies Act. After registration a society becomes a separate legal entity, with limited liability of its members. Death, insolvency or lunacy of a member does not affect the existence of a society. It can enter into agreements with others and can purchase or sell properties in its own name.

h) Distribution of Surplus

Every co-operative society in addition to providing services to its members also generates some profit while conducting business. Profits are not earned at the cost of its members. Profits generated are distributed to its members not on the basis of the shares held by the members (like the company form of business), but on the basis of members' participation in the business of the society. For example, in a consumer co-operative societies only a small part of the profit is distributed to members as dividend on their shares; a major part of the profit is paid as purchase bonus to members on the basis of goods purchased by each member from the society.

i) Self-help through mutual cooperation

Co-operative societies thrive on the principle of mutual help. They are the organisations of financially weaker sections of society. Co-operative societies convert the weakness of members into strength by adopting the principle of self-help through mutual co-operation. It is only by working jointly on the principle of "each for all and all for each", the members can fight exploitation and secure a place in society.

Advantages of Cooperative Societies as a Form of Business

A co-operative form of business organisation has the following advantages:

a) Easy Formation

Formation of a co-operative society is very easy compared to a joint stock company. Any ten adults can voluntarily form an association and get it registered with the registrar of co-operative societies.

b) Open Membership

Persons having common interest can form a co-operative society. Any competent person can become a member at any time he/she likes and can leave the society at will.

c) Democratic Control

A co-operative society is controlled in a democratic manner. The members cast their vote to elect their representatives to form a committee that looks after the day-to-day administration. This committee is accountable to all the members of the society.

d) Limited Liability

The liability of members of a co-operative society is limited to the extent of capital contributed by them. Unlike sole proprietors and partners, the personal properties of members of the co-operative societies are free from any kind of risk because of business liabilities.

e) Elimination of Middlemen's Profit

Through co-operatives the members or consumers control their own supplies and therefore, middlemen's profit is eliminated.

f) State Assistance

The government provides all kinds of help to the societies. Such help may be provided in the form of capital contribution, loans at low rates of interest, exemption in tax, subsidies in repayment of loans, etc.

g) Stable Life

A co-operative society has a fairly stable life and it continues to exist for a long period of time. Its existence is not affected by the death, insolvency, lunacy or resignation of any of its members.

Limitations of Co–operative Society

Besides the above advantages, the co-operative society form of business organisation also suffers from various limitations. Let us learn these limitations.

i. Limited Capital

The amount of capital that a cooperative society can raise from its member is very limited because the membership is generally confined to a particular section of the society. Also due to low rate of return the members do not invest more capital. Government's assistance is often inadequate for most of the co-operative societies.

ii. Problems in Management

Generally it is seen that co-operative societies do not function efficiently due to lack of managerial talent. The members or their elected representatives are not experienced enough to manage the society. Again, because of limited capital they are not able to get the benefits of professional management.

iii. Lack of Motivation

Every co-operative society is formed to render service to its members rather than to earn profit. This does not provide enough motivation to the members to put in their best effort and manage the society efficiently.

iv. Lack of Co-operation

The co-operative societies are formed with the idea of mutual co-operation. But it is often seen that there is a lot of friction between the members because of personality differences, ego clash, etc. The selfish attitude of members may sometimes bring an end to the society.

v. Dependence on Government

The inadequacy of capital and various other limitations make cooperative societies dependant on the government for support and patronage in terms of grants, loans subsidies, etc. Due to this, the government sometimes directly interferes in the management of the society and also audit their annual accounts.

Suitability of Co-operative Societies

The co-operative society is the only alternative to protect the weaker sections of the society and to promote the economic interest of the people. In certain situations when it is not possible to achieve the target by individual effort, collective effort in the form of a co-operative society is preferred. Housing co-operatives, marketing co-operatives, etc., are formed to achieve the common economic objectives of the members. Generally co-operative society is suitable for small

and medium size business operation.

PRINCIPLE OF LEGAL PERSONALITY AND VEIL OF INCORPORATION

"**Legal personality**": The essential feature of a company is that it exists as a separate legal entity distinct from its members. This is the case even if one member owns all the shares. This is known as the separate personality principle. This principle underpins the whole of company law. The most important consequence of the separate personality principle is that of limited liability. The company is liable without limit for its own debts but, in a limited company, the members, as distinct from the company, have limited liability.

RINCIPLES OF CORPORATE PERSONALITY

Corporate personality is the fact stated by the law that a company is recognized as a legal entity distinct from its members. A company with such personality is an independent legal existence separate from its shareholders, directors, officers and creators. This is famously known as the veil of incorporation.

As a result of corporate personality, a company has perpetual succession. It simply means the company is everlasting and will continue to do business until it is properly wound up. As a separate legal person, a company will not be affected by changes such as death, transfer of shares or resignation of any members but will continue to exist despite the number of times the changes of membership occur. Even if all the members die, it will not influence the privileges, immunities, estates and possessions of a company.

Proprietary interest is another principle of corporate personality. Proprietary interest refers to the ability of a company to own property like a land or building. A company as a body corporate has every right to acquire, hold and dispose of as well as transfer property in its own name. Since a company gain full ownership of property, any changes among individual membership would not affect the title.

Debt is also the principle in corporate personality. A company being a legal person has an unlimited amount of debts. The company is fully responsible for the debts that will be incurred during the course of business. However, this principle does not apply to its members with a limited liability. In case the company is insolvent, members are not required to pay more than the initial amount invested on their shares or guarantee. Their liability is limited to the amount of shares they subscribe or any unpaid value on such shares. Therefore, creditors of the company cannot take any action against the members if the company went into liquidation as established in Salomon v. Salomon Co Ltd (1897) (Lee, 2005).

The other principle of corporate personality is demonstrated in the case of Foss v. Harbottle (1843). A company may sue or be sued in its own name. The company must take the initiative to sue the other party by using its own name or handle any possibilities of criminal complaint that might be filed against it. For instance, John as a director cannot take an action against one of his employee for money laundering. It is the company's position to sue the employee for the

MAIN INSTANCES OF LIFTING THE VEIL OF CORPORATION

Although the company and its members were protected by the veil of incorporation, it has its limitations too. It means that, the veil of incorporation sometimes can lead to injustice where the principle is misused. In order to prevent injustice, the court decided to lift the corporate veil.

Below are main instances of lifting the corporate veil.

The first is **doing fraudulent trading**. The court may be willing to pierce the corporate veil if it is found that the owners are plotting fraudulent scheme behind the veil of incorporation. By carrying on a business with the intention to cheat others, the company are said to be doing fraud where the veil will be lifted. When this happens, all members of the company with knowledge of this action are guilty of the crime and may be put responsible for the debts and other liabilities of the company without any limitation. By referring to the case of Re William C. Leitch Brs Ltd, the company was insolvent but one of its director still run the business normally by purchasing goods from its suppliers on credit. Since there is element of fraud existed, the court disclosed that particular director to be personally liable for the debts (McGee, 1992).

The second is **evasion of legal obligations**. The court will not hesitate to lift the corporate veil if its members used the veil as a way to avoid an existing legal obligation. These normally occur when individuals used the doctrine of separate legal entity to do some forbidden act. In law, an individual is not permitted to use the company's name with the power in his hand to do something that is prohibited from doing as illustrated in Jones v Lipman. In this case, the defendant entered into a contract to sell land to the plaintiff but he transferred the land to a company under his control. The court ordered the corporate veil to be lifted as the defendant used the company as a device to avoid his contractual obligations (Sulaiman et al, 2008).

The third is **holding and subsidiary company**. A holding company dominates other companies by owning some or all of their shares. Those other companies were known as subsidiary companies. According to Lee 2005, a holding company and its subsidiary companies are generally two separate legal entities. In other words, each of them had their own corporate veil. The corporate veil will usually be lifted when a holding company produces group accounts known as consolidated financial statement together with all its subsidiaries. In the event that something happens to the subsidiary company, the holding company would be responsible for it and can be sued as if they were a single entity. This is shown in the case of Hotel Jaya Puri Bhd. v National Union of Hotel, Bar & Restaurant Workers & Anor (1980) where the court held that the hotel and its restaurant are one group enterprise (Thavarajah & Low, 2009).

The last is **publication of name**. The use of company's seal or write out of any business letter, statement of account, invoice, official notice, bill of exchange, cheques, negotiable instruments and other documents requires the company's name to be stated. On the seal and all other publications, it must have the name of the company with readable letters and company's number. The veil will be lifted and an officer will be guilty of an offence under Section 121 (2) Companies Act 1965 if he or she omitted the company's name in respect of business documents signed on behalf of the company. For example, if Darren signs a contractual agreement with other company without his company's official name, the contract will be treated as illegal and he may be put behind bars (Lee, 2005).

LIFTING THE CORPORATE VEIL

The general rule about companies is that as the liability of a company's members is limited by shares or by guarantee, then the company's creditors cannot seek satisfaction from the members, even if the company has insufficient funds to pay its own liabilities in full.

However, are there some exceptions to the general rule? Are there are times where the company's members can be called upon, by outsiders, to meet the company's unpaid liabilities?

It is not difficult to imagine situations where outsiders might wish to do this. For example, if a profitable holding company has an under-funded subsidiary that cannot meet tort liabilities to hundreds of victims of the subsidiary's negligence, then the victims may want payment from the parent company that is the subsidiary's shareholder. The answer is no.

Another example is, If a one man company for example, is completely under resourced and unable to meet its trading debts, but it's one man owner is personally wealthy, can the company's creditors claim against the owner shareholder? The answer is also no as was seen is Salamon vs Salamon.

The ruling from the Salomon case lies at the heart of corporate personality and is in principal, the difference between companies and partnerships. There are some situations where the courts look beyond the personality to members or directions of companies, by doing this the courts are said to lift or pierce the corporate veil.

Salomon v. Salomon and Co. Ltd. (1897)

Mr. Salomon was in control of his own business which manufactured boots. His children wanted to become a part of the business as owners, so Mr. Salomon sold his business to the new company which he had planned to form for 40,000 pounds. He was selling his business as he knew that the company is separate legal entity. Mr. Salomon needed 7 shareholders to form the new company, Mr. Salomon's family all became members, his wife and 5 children to make 7 shareholders. He then gave himself 20,000 shares, 1 share to each child and 1 share to his wife. Two children were elected to become directors of the company, with this, Mr. Salomon become a shareholder. The company still owes Mr. Salomon 20,000 pounds so the company gave him debentures of 10,000 pounds, the rest of the amount was paid in cash. After the first year the company went into liquidation as the liabilities were more than the assets by a certain amount, this meant the creditors needed to pay. The liquidator asked Mr. Salomon to pay the creditors since he was the owner of the company, Salomon didn't agree with this, but trial judge Vaughan Williams agreed with the liquidator, he then asked Salomon to pay on behalf of the company. Salomon appealed to the court of appeal as he didn't want to have to pay the debts owed to creditors by the company. The court of appeal ruled that Salomon just found 6 people to form the company, the 6 are merely nominees. The court of appeal also asked Mr. Salomon to pay. Mr. Salomon then appealed to the high court, the House of Lords, who rejected all the judgments made by Judge Vaughan Williams in the court of appeals; they said that there was no fraud in the manner in which Mr. Salomon formed the company. So Mr.. Salomon didn't have to pay to the company's creditors since Mr. Salomon and the company were deemed as two separate entities. In this case it was established that, actions made by the company are that of the company and not of the shareholders themselves.

This principle may be referred to as the '**Veil of incorporation'**. The courts in general consider themselves bound by this principle. The effect of this Principle is that there is a fictional veil between the company and its members. But, in a number of circumstances, the Court will pierce the corporate veil or will ignore the corporate veil to reach the person behind the veil or to reveal the true form and character of the concerned company. The rationale behind this is probably that the law will not allow the corporate form to be misused or abused. In those circumstances in which the Court feels that the corporate form is being misused it will rip through the corporate veil and expose its true character and nature disregarding the Salomon principal as laid down by the House of Lords.

EXCEPTIONS TO THE GENERAL RULE *LIFTING THE CORPORATE VEIL.*

Lifting the corporate veil refers to *the possibility of looking behind the company framework (or behind the company's separate personality) to make the member liable, as an exception to the rule that they are normally shielded by the corporate shell; that is they are not liable to outsiders at all, and are only normally liable to pay the company what they agreed to pay by way of share purchase price or guarantee.*

The process of lifting the corporate veil

In as much as the principle of separate corporate personality is unshakable, exceptionally in some instances the law is prepared to disregard or look behind the corporate personality and have regard to the realities of the situation.

In *Dumbly and Sons Limited vs National Union of Journalists (1984) 1 wlr 427 at 435 , HL,* Lord Diplock , whilst not wholly excluding the possibility that a contrary construction maybe sometimes be justified said;

" the corporate veil in the case of companies incorporated under the company's act is drawn by statute and it can be pierced by some other statute if such other statute provides ; but in view of its raison d'tre and its constant recognition by the courts since salmon vs salmon and co.ltd , one would expect that any parliamentary intention to pierce the corporate veil would be expressed in clear and unequivocal language.

In *Conway vs Ratiu (2006) 1 all er 571, Allud* LJ speaks of the readiness of courts, regardless of the precise issue involved, to draw back the corporate veil to do justice when common sense and reality demand it. His lordship went on; *"there is a powerful argument of principle for lifting the corporate veil where the facts require it."*

On the other hand, in matters of property and contract, the courts should surely be most hesitant to lift the veil in response to superficial considerations of common sense or reality or fairness. Those who adopt the corporate form should surely be expected to take the rough with the smooth.

Statutury lifting of the corporate veil

The Companys Act Kenya 2015 seems to ignore the possibility of lifting the corporate veil to make members of a company liable for the company's wrongs. Instead, attention is given to making directors and other officers liable for corporate wrongs in specified circumstances.

However, Article 1002 provides that each person who knowingly participates in carrying on business in **fraudulent manner** commits an offence. This could, in some circumstances, make shareholder liable if it is established that they had an intention to defraud creditors as will be seen later in this article.

The Insolvency Act Kenya 2015 contains a number of sections providing for directors (and others) to be held personally liable for the debts of a limited company , or to make a contribution to its assets in a liquidation; e.g where there has been fraudulent or wrongful trading or the improper re-use of an insolvent company's name.

CIRCUMSTANCES UNDER WHICH THE CORPORATE VEIL MAY BE LIFTED

1. In order to determine whether a company is to be characterised as an "enemy" in times of war. (public interest/policy)
2. Where an agency or trust relationship between a company and its shareholders or controllers is found to exist.
3. The corporate veil may be disregarded if the company is used as a means go perpetrate a fraud.
4. The veil of incorporation may be lifted to prevent the deliberate evasion of a contractual obligation.
5. The veil of incorporation may sometimes be lifted to allow a group of associated companies to be treated as one.
6. In determining residence of a company for tax purposes
7. Where there is reduction of number of members
8. Mis-description of the company

DISTINCTION BETWEEN COMPANIES AND OTHER FORMS OF BUSINESS ASSOCIATIONS, SOLE PROPRIETORSHIPS, PARTNERSHIPS AND COOPERATIVE SOCIETIES

DIFFERENCE BETWEEN COMPANY AND PARTNERSHIP

The points of difference between a partnership and a company can be summed up as follows:

1. Registration

A company comes into existence only after registration under the Companies Act. In the case of a partnership, registration is not compulsory.

2. Minimum number of members

The minimum number of persons required to form a company is 2 in the case of private companies and 7 in the case of public companies. The minimum number of persons required to form a partnership is 2.

3. Maximum number of members

A public company may have any number of members. A private company cannot have more than 50 members. A partnership carrying on banking business cannot have more than 10 members and partnership carrying on other types of business cannot have more than 20 members.

4. Legal status

A company is regarded by law as a single person. It has a legal personality. A partnership is a collection of individuals. It is not considered to be a single person.

5. Authority of members

The property of a partnership is the joint property of the partners. Each partner has authority to bind the firm by his acts. The property of the company belongs to the company. A shareholder in his individual capacity cannot bind the company in any way.

6. Contractual capacity

The shareholder of a company can enter into contracts with the company and can be an employee of the company. Partners can contract with other partners but not with the firm as a whole.

7. Management

A partnership firm is managed by the partners themselves. The work of management can be distributed among them in any manner they like. A company is managed by the board of directors or whole time directors or managing directors or manager who are selected in the manner provided by the Act. A shareholder, as such cannot participate in the management.

8. Length of existence

A company has perpetual succession. The death or insolvency of a member does not affect its existence.

It comes to an end only when liquidated according to the provisions of the Companies Act. A partnership, in the absence of a contract to the contrary, comes to an end when a partner dies or becomes insolvent.

9. Liability of members

The liability of the members of a partnership for the debts of the firm is unlimited. The liability of the members of a company is limited.

10. Liability of firm and company

The creditors of a firm are creditors of the individual partners, and a decree obtained against a firm can be executed against the individual partners.

The creditors of a company are not creditors of the individual shareholders and a decree obtained against a company cannot be executed against any shareholder. It can only be executed against the assets of the company.

11. Transferability

A partner of a firm cannot transfer his interest in the firm to an outsider and make the transferee a partner without the consent of all the other partners. The shareholder of a company can ordinarily transfer his share and the transferee becomes a member of the company.

12. Statutory obligations

A company is required to comply with various statutory obligations regarding management such as preparing balance sheets, maintaining proper account books and registers. In the case of partnerships there are no such statutory obligations.

13.Transferability of Interest

Shares in a company are freely transferable unless it’s Article otherwise provide. When shares are transferred, the transferee becomes a member of the company and succeeds to all the rights of the transferor. A partner cannot transfer his shares without the consent of the other partners. He may assign his share in the partnership, provided the partnership agreement does not provide otherwise, but the assignee merely becomes entitled to the financial benefits in respect of the shares and he does not become a partner unless other partners of the firm agree.

14. Powers

A partnership firm can do anything which the partners agree to do and there is no limit to its activities, a company’s powers are limited to those allowed by the objects clause in its memorandum of association. Further a partner cannot enter into contracts with his firm without disclosing his interest to the other partners. A member of the company can enter into contract with the company without disclosing any such interest.

15. Restriction on Powers

In a partnership, restrictions on the powers of a particular partner contained in the partnership agreement will not avail against outsiders, but those in the articles of association of a company are effective as against the public because it is a public document and anyone can inspect it to find out what is in it.

16. Insolvency of Firm and Winding up of A Company

The insolvency of a partnership firm means insolvency of all the partners whereas the winding up of an insolvent company does not make the members insolvent.

17. Debts

If a company owes a debt to any of its members, he can claim payment out of its assets when it's wound up ratably with its other creditors, whereas a partner who is owed money by his firm cannot prove against the firm's assets in competition with its other creditors.

18. Dissolution

Unless a partner is entered into for a period fixed by agreement, any partner may dissolve it at any time, and the partnership will automatically come to an end in the event of the death, insolvency or unsoundness of a partner's mind. A company has perpetual succession hence personal circumstances of its members cannot lead to its death. Only liquidation can terminate the existence of a company as a legal entity.

19. Maintenance of Books

A company is bound by law to maintain books of account and have its accounts audited annually by qualified auditors. There is no such statutory provision in the case of partnership.

20. Expenses

A company incurs greater expenses during formation, throughout its life and on dissolution as compared to partnership.

SIMILARITY BETWEEN COMPANIES AND PARTNERSHIPS

The main similarity is that both companies and partnerships are methods of carrying on business. Many companies are of course large and impersonal, having many institutional shareholders. Such companies bear little resemblance to partnerships. Small private companies are however often founded on the same basis as partnerships, i.e. a relationship of mutual trust and confidence.

DIFFERENCE BETWEEN COMPANY AND CO-OPERATIVE SOCIETIES

The main difference between cooperative societies and a company are given below:

1. Basic objects:

The primary objective of a cooperative society is to provide service, whereas a company seeks to earn profits. This does not means that a cooperative society does not earn profits and a company does not render service to society. It simply means that all the activities of a cooperative society are guided by service motive and profits are incidental to this objective. On the other hand, the activities of a company are inspired by profit taking and services rendered to society are incidental to profit motive.

2. Number of members:

The minimum number of persons is 7 in a public company and 2 in a private company. A cooperative requires at least 10 members. The maximum number of members is 50 in a private company and 100 in cooperative credit society. There is no maximum limit in case of public companies and non-credit cooperative societies.

3. Member's liability:

The liability of members of a company is generally limited to the face value of shares held or the amount of guarantee given by them though the Companies Act permits unlimited liability to companies. The members of a cooperative society can opt for unlimited liability. But in practice their liability is generally limited.

4. Membership:

The membership of a cooperative society is open at all times and new members have to pay the same amount per share as old ones have paid. A company, on the other hand, closes the list of members as soon as its capital is fully subscribed. People who want to become members later on have to buy shares at the stock exchange.

5. Management and control:

The management of a cooperative society is democratic as each member has one vote and there is no system of proxy. In a company, the number of votes depends upon the number of shares and proxies held by a member.

There is little separation between ownership and management in a cooperative society due to limited and local member-ship.

6. Distribution of surplus:

The profits of a company are distributed as dividends in proportion to the capital contributed by the members.

In a cooperative society a minimum part of surplus must be set aside as a reserve and for the general welfare of the public. The rest is distributed in accordance with the patronage provided by different members after paying divi-dend up to 10 per cent on capital.

7. Share capital

A public company must offer new shares to the existing members while a cooperative society issues new shares generally to increases its membership.

The subscription list of a cooperative society is kept open for new members whereas, the subscription list of a company is closed after subscriptions. A company is thus capitalistic in nature while a cooperative society is socialistic.

8. Transferability of interest

The shares of a public limited company are freely transferable while the shares of cooperative society cannot be transferred but can be returned to the society in case a member wants to withdraw his membership.

A member of a cooperative society can withdraw his capital by giving a notice to the society. A shareholder, on the other hand, cannot demand back his capital from the company until it's winding up.

9. Coverage

A cooperative society generally draws its membership from a limited local area. The members have common bond in the form of a common occupation or employer or locality. In a company members have no such relationship and are usually drawn from different parts of the country and even from abroad.

10. Exemptions and privileges

A cooperative society enjoys several exemptions and privileges regarding income tax, stamp duty, etc. This is because the Government seeks to encourage the growth of the cooperative movement.

No such exemptions, privileges and assistance is available to a public limited company. A private limited company, however, enjoys a number of exemptions and privileges under the Companies Act.

11. Governing statute

A company is governed by the Companies Act, 1956 while a co-operative organisation is subject to the provisions of the Cooperative Societies Act.

DIFFERENCES BETWEEN SOLE PROPRIETORSHIP, PARTNERSHIP AND CORPORATION

There are some differences that exist between sole proprietorship, partnership and corporation as discussed below:

1. Definition

A sole proprietorship is a business that has a single owner who is responsible for making decisions for the company. A partnership consists of two or more individuals who share the responsibility of running the company. A corporation is one of the most recognizable business structures and has a separate identity from the owners of the company. One or more owners may participate as shareholders of a corporation.

2. Formation

A partnership business automatically begins when two or more people decide to go into business. Sole proprietorships begin automatically when a single business owner decides to open a business. There are no documents to file to begin a sole proprietorship or a partnership. However, businesses are required to file articles of incorporation, also known as a certificate of formation, to legally form a corporation in any state. Each state charges a fee, which varies from state to state, to file articles of incorporation. In addition, corporations are required to register with each state where the company intends to make business transactions. This requirement is not imposed on sole proprietorships or partnerships.

3. Liability

Sole proprietors and partners in a partnership business have unlimited liability for all debts and liabilities that occur while operating the business. This means partners and sole proprietors may lose their homes, cars and other personal assets, if the company's assets are insufficient to cover the company's debts. Corporations provide owners of the company with limited liability protection against business losses and obligations. This means owners of a corporation will not lose their home, if the company goes bankrupt. Owners of a corporation are liable for company debts and obligations up to the extent of their investment in the company.

4. Taxation

Partnerships and sole proprietorships are referred to as pass-through entities. This is because sole proprietors and partners in a partnership report their share of company profits and losses directly on their personal income tax return. Sole proprietorships and partnerships are not required to file business taxes with the Kenya Revenue Authority. Corporations are subject to double taxation. This occurs when the corporation pays taxes on the company's profits at the business level, and shareholders pay taxes on income received from the corporation on their personal tax return.

5. Structure

Corporations have a structure consisting of shareholders, directors, officers and employees. Every corporation must select at least one person to serve on its board of directors. The board of directors is responsible for allocating the company's resources and increasing the shareholders' profits. Officers are required to manage the day-to-day activities of the company and implement the decisions made by the company's shareholders and directors. Sole proprietorships and partnerships have a more informal structure that does not require the selection of officers and directors. Sole proprietors have full control over every aspect of their business, whereas partnerships and corporations have to vote on important company issues.

6. Formalities

Partnerships and sole proprietorships have far less paperwork and fewer ongoing formalities to adhere to in comparison to a corporation. Corporations are required to hold at least one annual meeting, while sole proprietorships and partnerships do not have to hold company meetings. A corporation must keep strict financial records and keep a ledger detailing how the company reached certain decisions. Unlike a corporation, sole proprietorships and partnerships are not required to file annual reports with the state or create financial statements.

TOPIC 2

FORMATION OF A COMPANY

Introduction

The formation of a company involves the delivery of the company's memorandum and articles and an accompanying statement, in the prescribed form of the name and residential address of the person or persons who are to become the first directors and the first secretary of the company to the companies' registrar

In addition, those persons named as the first directors will have to state their nationality, date of birth, business occupation and other current directorships held by them.

This statement has to be signed by or on behalf of the subscribers of the memorandum, who are the persons who have agreed to take a certain number of shares to become the first members of the company, and has to contain a consent signed by each of the persons named as director or secretary.

The registrar is required not to register a company's memorandum unless he is satisfied that all the requirements of the Act have been complied with. If the registrar is so satisfied, he/she is under a duty to register the memorandum and articles. So, when the registrar receives an application for registration, although it has been said that he/she is exercising a quasi-judicial function, his discretion to refuse registration is severely limited.

It has been held, on an application for a writ of mandamus, the registrar is correct in refusing to register a company whose proposed object is unlawful.

It has been stated, obiter, that, if the objects of a proposed company are lawful, then the registrar might still have a discretion to refuse registration.

If the registrar is satisfied, then, on registration of the company's memorandum, he shall issue a certificate of incorporation.

However, the granting of the certificate of incorporation is no guarantee by the registrar that the objects of the company are lawful.

On the date of incorporation (which is stated on the certificate), the company is 'born' and is capable of exercising all the functions of an incorporated company, except that, if it is a public company, it cannot commence business or exercise any borrowing powers, unless the registrar has issued a certificate that he is satisfied that the nominal value of the company's allotted share capital is not less than the authorized minimum.

PROMOTERS AND PRE-INCORPORATION CONTRACTS

PROMOTERS

A company comes into existence from the moment of its registration by the registrar of companies. However, the registration is preceded by what is called "promotion". The promotion consists in taking the necessary steps to incorporate the company and ensuring that it has sufficient capital to commence its operations.

"Promoter" is not defined in the Companies Act. This is so because the lawmakers in England as well as the English judges were of the view that a comprehensive definition of the word would be limiting, and might prevent the court from catching "the next ingenious rogue" who might be brought to the court to account for his actions as promoter. Kenya has adopted the applicable English law.

English judges have however described the word 'promoter' in varying terminology of which the following may be quoted:

(a) The Chief Justice in the **Twycross v Grant** case describes a promoter as "one who undertakes to form a company with reference to a given project a and to set it going and who takes the necessary steps to accomplish that purpose"

Whether someone is acting as promoter of a company is a question of fact rather than a question of law.

Duties of Promoters

In the 19th century, it was common for promoters to sell their own property to a newly formed company at an inflated price, or to acquire assets for the company and receive a commission from the seller.

The courts then began to impose a fiduciary duty on promoters similar to that imposed on agents. A promoter must disclose any profit or potential conflict of interest to either:

a) an independent board of directors, or
b) existing or intended shareholders

Legal Status of a Promoter

A promoter is not an agent of the company he promotes. However, the English courts have held that he stands in a fiduciary relationship to the company he promotes, just as an agent stands in a fiduciary relationship to his principal. In the case of **Re Leeds & Hanley Theatre of Variety** the Court ordered the promoter to pay damages to the company. The court held that the promoters had fraudulently omitted to disclose the profit made by them on the sale of the property to the company. The amount of damages was equivalent to the amount of profit made by the promoters**.**

Remedies for Breach of Promoters Duty

In case of a breach of promoters' duties the following remedies are available;

(i) Where promoter has sold his own property to the company, without disclosing this, the company can rescind the contract and recover the purchase price such as in the case of **Erlanger v New Sombrero Phosphate Co.** Emile Erlanger was a Parisian banker. He bought the lease of the Anguilla island of Sombrero for phosphate mining for £55,000. He then set up the New Sombrero Phosphate Co. Eight days after incorporation, he sold the island to the company for £110,000 through a nominee. One of the directors was the Lord Mayor of London, who himself was independent of the syndicate that formed the company. Two other directors were abroad, and the others were mere puppet directors of Erlanger. The board, which was effectively Erlanger, ratified the sale of the lease. Erlanger, through promotion and advertising, got many members of the public to invest in the company.

After eight months, the public investors found out the fact that Erlanger (and his syndicate) had bought the island at half the price the company (now with their money) had paid for it. The New Sombrero Phosphate Co sued for rescission based on non-disclosure, if they gave back the mine and an account of profits, or for the difference.

The House of Lords unanimously held that promoters of a company stand in a fiduciary relationship to investors, meaning that they have a duty of disclosure. Further, they held that the contract could be rescinded, and that rescission was not barred by laches.

As a general rule the right of recession is lost if restitution in integrum is not possible.

(ii)The promoter may have to account to the company for any profit he has made such as in the case of **Gluckstein v Barnes** . In this case, the defendants bought debentures cheaply in a company at a time when the company was faring very badly. Later, they bought over the company for 140,000 pounds. The debentures were redeemed at full value and they made a good profit.

Here they made a profit of 20,000 pounds. Later on, they formed another company and sold the company to a new company at a profit of 40,000 pounds. This profit was disclosed in the prospectus but not the amount of profit they made on the redemption of the debentures.(20,000 pounds)

The court held that there were in breach of their duties as promoters and the company was entitled to recover the profit from them.

Payment to Promoters

A promoter has no legal right against the company he promotes. The main reason is that the company did not ask him to promote it, and because the company could not make a valid contract with him before its incorporation.

In the case of companies which have adopted Table A, Article 80 empowers the directors to pay promoters their promotion expenses. It is however a power given to the directors and confers no legal rights on the promoter.

PRE-INCORPORATION CONTRACTS

A company has no contractual capacity prior to incorporation - so contracts cannot be made on its behalf.

(a) Effect of Pre-Incorporation Contract on the Company
Company cannot be bound to the contract because it had no contractual capacity

Company cannot ratify the contract because it was not in existence at the time the contract was made.

Company cannot sue or be sued on the contract.

(b) Effect of Pre-Incorporation Contract on Person Purporting to Contract on Behalf of the Company

At Common Law:
- If third party knew company was not yet in existence, he could make the purported agent liable on the contract. In the **Kelner v Baxter** case; Baxter and two others agreed on behalf of a company yet to be formed to purchase trade stock for its business. Later the company was formed and accepted and used the trade stock, but failed to pay for the stock. The court held the company was not liable as it could not ratify a pre incorporation contract with retrospective effect to a date before the company existed. Baxter and friends were therefore unable to recover their money

- if it appeared that the contract was with a company already in existence, the court might hold there was no contract at all, and neither the company nor the purported agent could enforce it. In the **Newborne v Sensolid**case, a company purported to sell goods at a time when it had not been incorporated. The company's name was appended to the contract as 'Leopold Newborne (London)Ltd´ and underneath was the name of Leopold Newborne. When it was discovered that the company had not been formed, Leopold Newborne commenced proceedings for damages for breach of contract against the buyersin his own name. The Court of Appeal held that the plaintiff had never purported to contract to sell nor sold the goods either as principal or agent. The contract purported to be made by the company and Leopold Newborne had merely added his name to verify that the company was a party. In the circumstances, the contract was a nullity. In so deciding, the Court of Appeal distinguished the principle, applied in **Schmaltz v Avery**(1851) 16 QB 655 and other cases, that where a person purported to contract as agent he could nevertheless disclose himself as being in truth the principal and enforce the contract. The only person who had any contract with the defendants was the company and Mr. Newborn's signature merely confirmed that of the company. At first instance, Parker J expressed the view that if the principle had applied the defendants could have escaped liability if they could have shown that they would not have contracted with the agent. The contract would have been voidable and the defendants could have claimed rescission. In the circumstances, however, it was not necessary for either Parker J or the Court of Appeal to determine the circumstances in which an agent could claim to be the principal and thus enforce a contract.

PROCESS OF FORMING A COMPANY

The procedures to be followed by persons who intend to form a registered company will depend on whether the proposed company is to be a public company or a private company.

Public Company

The initial step that must be taken by promoters who are desirous of forming a public company is the preparation of a document called the memorandum of association to which at least seven of them will subscribe their names as prescribed in section 4 of the Companies Act. The memorandum must contain a declaration by the promoters that they are desirous of being formed into a company pursuant thereto and must state:

(a) the name of the company, with "limited" as the last word of the name of the company in the case of a company limited by shares or by guarantee; and
(b) that the registered office of the company is to be situated in Kenya; and
(c) the objects of the company; and
(d) The amount of capital with which the company is to be registered and the division of the capital into shares of a fixed amount.

The memorandum of a company limited by shares or by guarantee must state that the liability of the company's members is limited. The memorandum of a company limited by guarantee shall also state the amount "guaranteed" by each member of the company.

The next step is the delivery of the memorandum to the registrar of companies together with some or all of the following documents:

(i) Articles of association

This document contains the regulations for management of a company. If the proposed company is to be limited by shares the promoters need not deliver it for registration. The provisions of Part I of Table A in the First Schedule to the Act will be automatically applicable to the company under Section II (2) of the Companies Act, if the promoters do not deliver it.

(ii) Consent to act as director (Form No 209)

If any person is appointed director of the company by the articles which are to be delivered for registration in lieu of Table A, Form No 209 must be delivered for registration after being duly completed and signed by him or by his agent authorized in writing to do so. The form is the statutory signification of the person's consent to act as director.

(iii) List of persons who have consented to be directors (Form No 210)

This form, when duly completed and signed, constitutes the statutory list of persons who have given their individual consents in Form no 209. It is to be delivered for registration only if the prospective directors have been appointed by the articles delivered for registration in lieu of Table A, or as complementary thereto.

(iv) Statement of the Nominal Share Capital

This statement is delivered for taxation purposes pursuant to Section 39 of the Stamp Duty Act.

(v) Declaration of Compliance (Form No 208)

Form No 208, when duly completed and signed, constitutes the statutory declaration by the advocate engaged in the formation of the proposed company, or by the person named in the articles as a director or secretary of the company, that all the requirements of the Companies Act in respect of matters precedent to the registration of the company and incidental thereto have been complied with.

(vi) Registration

If the aforesaid documents are correctly prepared in accordance with the provisions of the Companies Act they are registered. The registrar then grants a certificate of incorporation and the company is formed from the date of incorporation written in the certificate.

Private Company

In order to secure the registration of a private company the procedure described above is followed except that:

a) The memorandum of association will be signed by at least two of the company's promoters.

b) Form No 209 and 210 are not delivered for registration because Sec.182 (5) of the Act exempts promoters of a private company from the obligation to deliver them for registration.
c) If articles of association are not delivered for registration the provisions of Part I of Table A will become the company's articles, as modified by Part II thereof.

MEMORANDUM OF ASSOCIATION AND ARTICLES OF ASSOCIATION

MEMORANDUM OF ASSOCIATION

In relation to companies registered under the Companies Act, a Memorandum of Association was judicially defined by Lord Cairns in **Ashbury Railway Carriage Co Ltd v Riche** as "the charter" which "defines the limitation of the powers of a company to be established under the Act".

The memorandum of association is a document which contains the fundamental rules regarding the constitution and activities of a company. It is the basic document which lays down how the company is to be constituted and what work it shall undertake.

The purpose of the memorandum of Association is to enable the members of the company, its creditors and the public to know what its powers are and what is the range of its activities. The memorandum contains rules regarding the capital structure, the liability of the members, the objects of the company, and all other important matters relating to the company. The memorandum is altered only after certain formalities are observed.

The Importance of the Memorandum of Association

The memorandum shows the range of the enterprise. The memorandum is the foundation on which the superstructure of the company has been built up. It enables the shareholders, creditors and outsiders to show the permitted activities of the company.

The Form and Contents of the Memorandum

The contents of a memorandum of association are prescribed by Section 5 of the Companies Act and comprise the following 6 clauses:

1. Name Clause.

The name of the company with the word "limited" at the end of the name of a public company and the words "private limited" at the end of the name of a private company.

2. Registered Office Clause

It must contain the name of the state in which the registered office of the company is to be situated.

3. Objects Clause,

The Memo must state separately:-

i. The main objects and objects, incidental and ancillary to the main objects,
ii. Other objects not included (i).

4. Limitation of Liability Clause

The nature of the liability of the members that is whether limited by shares or by guarantee or unlimited.

5. Capital Clause

In the case of a company having share capital, unless the company is an unlimited company, the memorandum shall state the amount of share capital and the division thereof into shares of a fixed amount.

6. The Association Clause

No subscriber to the memorandum shall take less than one share; and each subscriber to the memorandum shall write opposite to his name the number of shares he takes.

Rules Regarding the Name of the Company

A company cannot adopt a name by which another company is registered. If by inadvertence, mistake or otherwise, a name is selected which is the same as that of an existing company or closely resembles it, the name must be changed.

If the name of company closely resembles the name of a previous company, the public may be misled and may be defrauded. In such a case the court will direct the change of the name of the company.

In Sec.19(2) of the Act provides that a proposed name must not, in the opinion of the registrar, be undesirable. The name may be rejected if

i. It is too like the name of an existing company.
ii. It is misleading, for example, if the name of a company likely to have small resources suggests that it is going to trade on a great scale over a wide field.
iii. It suggests some connection with the crown or members of the Royal Family or royal patronage, including names containing such words as "Royal", "King", "Queen", "Princess" and "Crown".
iv. It suggests connection with a government department or any municipality or other local authority or anybody incorporated by Royal Charter or by statute or with the government of any part of the Commonwealth or of any foreign country.

v. It contains the words "British", unless the undertaking is British-controlled and entirely or almost entirely British-owned and is also of substantial size and importance in its particular field of business.
vi. It includes "Imperial", "Commonwealth", "National", "International", "Corporation", "Co-operative", "Building Society", "Bank", "Bankers", "Banking", "Investment Trust", or "Trust", unless the circumstances justify the inclusion.
vii. It includes a surname which is not that of a proposed director, unless the circumstances justify the inclusion.
viii. It includes words which might be trademarks, unless a trade mark clearance has been obtained.

The name and the address of the registered office of every company must be painted or affixed on the outside of its business premises in a conspicuous position and in letters easily legible in one or more of the languages used in the locality. The words "Limited" and "Private Limited" are parts of the names of public and private companies respectively and must be added at the end of the name of the company.

The name and the address of the registered office of the company must be engraved in legible characters on the company's seal and mentioned in all business letters, bill heads, notices and other documents. But they need not be mentioned in advertisements.If a company does not paint or affix its name as prescribed, the company and every officer in default are liable to a fine not exceeding one hundred shillings and if the company does not keep its name painted or affixed as prescribed, the company and the officer in default shall be liable to a default fine.

The Act provides that the last word of the name of a limited company must be "limited" this would not be if the Central Government may by license, permit the omission of the words limited or private limited in the case of companies which are formed for promoting commerce, art, science, religion, charity or any other useful object, and which are non-profit and non-dividend- paying organisations (e.g., Chambers of Commerce). The license given may be withdrawn if the company ceases to fulfill the conditions mentioned above.

In case of change of business name the Registration of Business Names Act provides that if -

a) Any company is, through inadvertence or otherwise, registered under a business name under which registration under the Act ought to have been refused; or
b) Any change of ownership of a business occurs as a result of which a company carrying on a business under a business name which, on an application for registration under the Act, ought to have been refused, the registrar shall, by notice in writing, require the company to change such business name within a time specified in the notice.

The registrar is empowered to cancel the registered business name if the company fails to change it after he directed it to do so.

Limited Liability Clause

Section 5(2) provides that the memorandum of a company limited by shares or by guarantee shall also state that "the liability of its members is limited".

Companies limited by shares

Most registered companies, both public and private, are companies limited by shares. Such a company is defined by Sec. 4(2)(a) as "a company having the liability of its members limited by the memorandum to the amount, if any, unpaid on the shares respectively held by them". It should be noted that it is the liability of the company's members which is limited and not the company's own liability. To that extent the word "Ltd" at the end of the name of such a company is actually misleading.

In such a company the capital is divided into shares of a specified amount, for example, capital of 100,000 shillings divided into 10,000 shares of 10/- shillings each. Every member of the company is liable to pay 10/-for every share he holds and if, he has already paid the 10/-, he is not liable. If he has not paid the whole amount, he will be liable to pay the balance only.

Companies limited by guarantee

Sec. 4(2)(b) defines a company limited by guarantee as "a company having the liability of its members limited by the memorandum to such amount as the members may respectively thereby undertake to contribute to the assets of the company in the event of its being wound up". The memorandum of such a company would have a clause stating that "every member of the company undertakes to contribute to the assets of the company in the event of its being wound up while he is a member... such amount as may be required, not exceeding (so many) shillings". The member's liability is contingent and he can only be called upon to pay the amount "guaranteed" if the company is in liquidation.

A company limited by guarantee may also have a share capital. The model memorandum and articles of association of such a company is Table D in the First Schedule to the Companies Act. The members of such a company have dual liability, that is, to pay the amount unpaid on their shares and the amount of the guarantee. The model memorandum and articles of association of a company limited by guarantee and not having a share capital is Table C in the First Schedule to the Companies Act.

Unlimited companies

S.4(2)(c) defines an "unlimited company" as a company not having any limit on the liability of its members". In such a case, although the company is a separate legal entity, the members' liability resembles that of partners except that, technically, their liability is to the company itself and not to the creditors.

An unlimited company may also have a share capital. The memorandum and articles of association of such a company would substantially correspond to Table E in the First Schedule to the Companies Act.

Capital Clause

Section 5(4)(a) provides that, in the case of a company having a share capital, the memorandum shall also (unless the company is an unlimited company) state "the amount of share capital with which the company proposes to be registered and the division thereof into shares of a fixed amount". Table B in the First Schedule to the Act, in pursuance of this provision, states that "The share capital of the company is two hundred thousand shillings divided into one thousand shares of two hundred shillings each".

Reasons for Stating Capital

The Act does not expressly state the reasons why the capital of a company should be stated. However, there is a clue in the qualifying words "unless the company is an unlimited company". This means that if a company has a share capital but is registered as an unlimited company the amount of the capital need not be stated in the memorandum. This is so because the company's creditors would not rely on that capital as their primary security. They need not therefore be informed about its quantum. The creditors of such a company would rely primarily on the members' private assets and their personal liability as their security for any money they lend to the company. It may therefore be said that the proposed capital of a limited company is stated in its memorandum of association so that the company's potential creditors may read the memorandum in order to ascertain the amount of the capital as stated therein. Having ascertained the amount they could then decide on the amount to lend to the company. This is so because, legally, the capital is their primary security for any money they lend to the company. In **Ooregum Gold Mining Co of India Ltd v Roper** Lord Halsbury stated that "the capital is fixed and certain and every creditor of the company is entitled to look to that capital as his security".

The Association Clause

What has generally come to be known as "the association clause" is not provided for in Sec.5 of the Companies Act which prescribes the contents of the memorandum of association. It is however the popular or academic designation of the last paragraph of Table B which contains a declaration that the subscribers to the memorandum of association "are desirous of being formed into a company, in pursuance of this memorandum of association and ... agree to take the number of shares in the company" set opposite their respective names.

The declarants then sign the memorandum and their signatures are then witnessed by at least one person who is not a subscriber.

Other Clauses

The clauses enumerated and explained above form part of the memorandum of association pursuant to the provisions of s.5 of the Companies Act. However, other clauses may be included in the memorandum, such as a clause providing special rights for different classes of shares. Such a clause is usually placed in the articles of association but is occasionally incorporated into the memorandum if it is the intention of the promoters that it should, as it were, be "entrenched" (ie one which is more difficult to alter or is unalterable).

Alteration of the Memorandum Generally

Every clause of the memorandum may be altered except the registered office clause which constitutes Kenya the company's domicile. In addition to the methods of alteration of the name clause and the objects clause which have already been explained, Sec.25 allows a company to alter clauses that are included in its memorandum but could lawfully have been contained in the articles. Such clauses can be altered by special resolution except where the memorandum itself provides for or prohibits the alteration of all or any of the said conditions. Holders of 15% of the issued shares have thirty days to apply to the court to challenge the alteration. In the event of such application the alteration shall not have effect except in so far as it is confirmed by the court.

The Legal Effects of the Memorandum of Association

The memorandum of association has some legal effect on the operation of a company as discussed below;

The Contractual Powers of a Company

A Company or a Corporation is an artificial person created by law. It is a legal person capable suing and of being sued. But the contractual powers of a company are limited in two ways:

i) natural possibility and
ii) legal possibility.

i) Natural Possibility

The fact that a company is an artificial person leads to the result that a company must always enter into contract through agents.

ii) Legal Possibility

Joint Stock Company cannot enter into any contract the object of which go beyond the memorandum of association of the company. A statutory corporation cannot enter into any contract which is beyond the scope of its powers as laid down in the statute by which it was created.

The memorandum of association determines the constitution and the powers of the company.

It was observed by Lord Selbourne that the memorandum is the company's "fundamental and unalterable law". A company is incorporated only for the objects and purposes expressed in the memorandum. Any act purported to be done by the company which is beyond the scope of the functions of the company as laid down in the memorandum is ultra vires i.e. beyond the powers of the company, and of no effect.

In **Ashbury Railway Carriage &: Iron Co. v. Rich**e a company was constituted for the purpose of manufacturing railway wagons. The company purchased the right to run a railway in Belgium. It was held that the purchase was invalid. In this case it was observed that the memorandum of association has a twofold effect-an affirmative effect stating what the company can do and a negative effect indicating what the company cannot do. "It (the memo) states affirmatively the ambit and extent of vitality and power which by law are given to the corporation, and it states, if it is necessary so to state, negatively that nothing shall be done beyond that ambit, and that no attempt shall be made to use the corporate life for any other purpose than that which is so specified". It was also observed in the judgment that, "The directors and shareholders, even if they are unanimous, cannot do things which are not authorised by the memorandum."

The important rules concerning the legal effects of the memorandum can be summed up as follows:

1. The terms of the memorandum constitute a binding contract between the company and the members
2. All acts done by the directors or members beyond the powers given in the memo, are ultra vires and not binding on the company.
3. The members cannot ratify ultra vires acts, even by an unanimous resolution.
4. If an act is within the powers given by the memo (intra vires the memo) but contrary to some provision of the articles (ultra vires the articles) the members can change the articles and ratify the act.
5. The object clause in the memorandum is construed like other documents and the company may do anything which is fairly incidental to and consequential upon the powers specified such as in the case of **Attorney- General vs Great Eastern Rly.** Incorporated under the Companies Act,1869, the Ashbury Railway Carriage and Iron Company Ltd's memorandum, clause 3, said its objects were 'to make and sell, or lend on hire, railway-carriages…' and clause 4 said activities beyond needed a special resolution. But the company agreed to give Riche and his brother a loan to build a railway in Belgium. Later, the company refused the agreement. Riche sued, and the company pleaded the action was ultra vires.

   The judges of the exchequer chamber being equally divided, the decision of the court below was affirmed. Blackburn J said, "thought it was at common law an incident to a corporation that its capacity should be limited by the instrument creating it, I should agree that the capacity of a company incorporated under the act of 1862 was limited to the object in the memorandum of association. But if I am right in the opinion which I have already expressed, that the general power of contracting is an incident to a corporation which it requires an indication of intention in the legislature to take away, I see no such indication here. If the question was whether the legislature had conferred on a corporation, created under this act, capacity to enter into contracts beyond the provisions of the deed, there could be only one answer. The legislature did not confer such capacity. But if the question be, as I apprehend it is, whether the legislature have indicated an intention to take away the power of contracting which at common law would be incident to a body corporate, and not merely to limit the authority of the managing body and the majority of the shareholders to bind the minority, but also to prohibit and make illegal contracts made by the body corporate, in such a manner that they would be binding on the body if incorporated at common law, I think the answer should be the other way."

The House of Lords, agreeing with the three dissentient judges in the Exchequer Chamber, pronounced the effect of the Companies Act to be the opposite of that indicated by Mr. Justice Blackburn. It held that if a company pursues objects beyond the scope of the memorandum of association, the company's actions are ultra vires. Lord Cairns LC said,

“ It was the intention of the legislature, not implied, but actually expressed, that the corporations, should not enter, having regard to this memorandum of association, into a contract of this description. The contract in my judgment could not have been ratified by the unanimous assent of the whole corporation.”

The following acts have been held to be valid even though there were no provisions about them in the Memo or Articles.-

i) Grants to an university for research such as in the case of**Evans v. Brunner, Mond & Co. Ltd.** A company was incorporated for carrying on business of manufacturing chemicals. The objects clause in the memorandum of the company authorized the company to do “all such business and things as maybe incidental or conductive to the attainment of the above objects or any of them” by a resolution the directors were authorized to distribute £ 100,000 out of surplus reserve account to such universities in U.K. as they might select for the furtherance of scientific research and education.

   The resolution was challenged on the ground that it was beyond the objects clause of the memorandum and therefore it was ultra vires the power of the company. The directors proved that the company had great difficulty in finding trained men and the purpose of the resolution was to encourage scientific training of more men to enable the company to recruit staff and continue its progress.

   The court held that the expenditure authorized by the resolution was necessary for the continued progress of the company as chemical manufacturers and thus the resolution was incidental or conductive to the attainment of the main object of the company and consequently it was not ultra vires. “Acts incidental or ancillary” are those acts, which have a reasonable proximate connection with the objects stated in the objects clause of the memorandum.

ii) Payments to widows of ex-employees.
iii) Ex-gratia payments to workers for incentives.

6. If a director makes an ultra vires payment (e.g., paying interest out of capital) he can be compelled to refund the money to the company.
7. Contracts which are ultra vires are not binding on the Company. But the aggrieved party can be given relief in certain cases.

ARTICLES OF ASSOCIATION

The articles of association are a document which contains rules, regulations and by-laws regarding the internal management of the company. Articles must not violate any provision of the memorandum or any provision of the Companies Act. The rules laid down in the articles must always be read subject to the rules contained in the memorandum.

Rules contained in the Article of Association

The articles of association contain rules, regulations and by-laws regarding the internal management of companies. An unlimited company, a company limited by guarantee and a private company limited by shares must file their articles of association at the time of registration of the company.

The articles of a private company must contain the restrictive features peculiar to private companies (viz., limitation of the number of members to 50; restrictions on the transfer of shares; prohibition of invitation to the public for the purchase of shares and debentures).

In the case of a company limited by guarantee, the Articles shall state the number of members with which the company is to be registered.

In the case of an unlimited company, the articles shall state the number of members with which the company is to be registered and, if the company has a share capital, the amount of such share capital.

Form of Articles

Section12 provides that articles shall be –

(a) Be in English Language
(b) Be printed;
(c) Be divided into paragraphs numbered consecutively
(d) Dated;

(e) Signed by each subscriber to the memorandum of association in the presence of at least one witness, who shall attest the signature and add his occupation and postal address.

Contents of Articles

Articles of a public company usually contain the following rules, arranged in paragraphs numbered consecutively:

a) Preliminary contracts if any
b) Number and value of shares
c) Share certificates
d) Lien on the members' shares
e) Transfer- transmission and forfeiture of shares
f) Alteration of capital
g) General meetings
h) Directors, their remuneration
i) Dividends and reserves
j) Accounts and audit
k) Winding up

The Articles of Association are commercial documents and they should not be interpreted very strictly.

The Articles should be construed so as to give the company a reasonable business efficacy and make them workable.

Legal effect of articles

Section 22 provides that "the memorandum and articles shall, when registered, bind the company and the members thereof to the same extent as if they respectively had been signed and sealed by each member, and contained covenants on the part of each member, to observe all the provisions of the memorandum and of the articles". The English courts have interpreted this section as follows:

(a) The articles constitute a statutory contract which binds the members to the company, and also binds the company to the members. Consequently:

(i) A company may sue a member to restrain an imminent breach of the articles. This is illustrated by **Hickman v Kent or Romney Marsh Sheepbreeders Association** in which the company obtained an injunction restraining a member (Hickman) from going to court in breach of the articles which provided for arbitration proceedings.

(ii) A member may sue the company for any actual or `imminent' breach of the articles. This is illustrated by **Wood v Odessa Waterworks Ltd** in which a member (Wood) successfully sued for an injunction restraining the company from paying dividends in the form that was not provided by the articles.

(b) The members are bound to the company, and the company is bound to the members, only in their capacity as members. This is illustrated by the following cases:

(i) **Eley v Positive Life Assurance Co** in which Eley failed in his contention that the company had committed a breach of the contract in the articles which appointed him as the company's lawyer for life because he was, in the court's view, suing qua lawyer and not qua member.

(ii) **Beattie v E F Beattie Ltd and Another** in which the company failed to restrain Mrs Beattie from suing in alleged breach of the articles which provided for arbitration. The court explained that Mrs Beattie was suing qua director and not qua member. She was therefore not bound by the arbitration clause which required members to refer disputes between them and the company to arbitration.

(c)The articles also constitute a statutory contract which binds the members inter se (i.e. a member is bound to other members). In **Hickman's case** Astbury J. stated, inter alia: "In my judgment general articles dealing with the rights of members `as such' are treated as a statutory agreement between them and the company as well as between themselves inter se". This is illustrated **by Rayfield v Hands** in which it was held that the defendants were bound, qua members, to buy the shares of the plaintiff (another member) as provided by the company's articles of association.

Members are also bound inter se by the pre-emption clauses in the company's articles of association which require members intending to sell their shares to offer them first to existing members who are given a right to buy the shares in preference to third parties.

Alteration of Articles

Section 13(1) provides that a company may by special resolution alter or add to its articles. Section 13(2) provides that any alteration or addition so made in the articles shall be as valid as if originally contained therein and subject to alteration in like manner by special resolution.

Limitations on Power to Alter Articles

The following are the legal restrictions on a company's power to alter its articles:

(a) Sec.13 (1) provides that the alteration is subject to the conditions contained in the company's memorandum of association. This means that an alteration to include a clause which contravenes a provision in the company memorandum is of no effect.

(b) Under Sec.13 (1) a proposed alteration is subject to the provisions of the Act. An alteration that contains a clause which contravenes a provision in the Act is null and void.

(c) Sec.24 provides that no member of a company shall be bound by an alteration made in the articles after the date on which he became a member if and so far as the alteration requires him to take or subscribe for more shares than the number held by him at the date on which the alteration is made, or in any way increases his liability as at that date to contribute to the share capital of, or otherwise to pay money to, the company. It should be noted that the alteration is valid but does not bind members who have not agreed in writing to be bound by it.

(d) An alteration that varies the rights attached to any class of shares is invalid unless the variation of rights clause, if any, in the company's articles has been complied with. In addition, Sec.74 permits the holders of not less in the aggregate than fifteen per cent of the issued shares of that class who did not vote in favour of the resolution for the variation to apply to the court to have the variation cancelled. Once such an application has been made the variation will not have effect unless and until it is confirmed by the court.

(e) Sec.211 (3) provides that where an order made by the court under Sec.211(2) makes any alteration in or addition to a company's articles, the company concerned shall not have power without leave of the court to make any further alteration in or addition to the articles which is inconsistent with the provisions of the order.

(f) In **Allen v Gold Reefs of West Africa** Lindley, M R stated: "Wide, however, as the language of Sec.13 is, the power conferred by it must, like all other powers, be exercised subject to the general principles of law and equity which are applicable to all powers exercised not only in the manner required by law, but also bona fide for the benefit of the company as a whole".

To be valid, therefore, a proposed alteration of articles must also be made bona fide and for the benefit of the company as a whole. Examples are:

i) **Sidebottom v Kershaw, Leese & Co Ltd** in which the alteration was held to be for the benefit of the company. In this case the company's articles were changed to allow for the compulsory purchase of shares of any shareholder who was competing with the company. One shareholder was competing with the company and challenged the alteration. He argued that a previous case, **Brown v British Abrasive Wheel Co** where a change for compulsory share purchase was held invalid as not being bona fide for the benefit of the company as a whole, should be applied here too.The Court of Appeal held that the article alteration was clearly valid, and very much for the benefit of the company. The court made clear that in **Brown v British Abrasive Wheel Co** Astbury J had been wrong to regard good faith alterations and the company’s benefit as two separate ideas. The important question was whether the alteration for the benefit of the company as a whole.

ii) **Dafen Tinplate Co Ltd V Llanelly Steel Co Ltd** in which the alteration was declared to have been made "mala fides" and was not for the benefit of the company as a whole. In this case, Dafen Tinplate Co Ltd was a shareholder in Llanelly Steel Co. Llanelly realised that Dafen were buying steel from an alternative source of supply, and also to buy up the company's shares (an attempt which failed). Llanelly responded by altering its articles through a special resolution to include a power to compulsorily purchase the shares of any member requested to transfer them. Dafen Tinplate argued the alteration was invalid. The court held that the alteration was too wide to be valid. The altered article would confer too much power on the majority. It went much further than was necessary for the protection of the company. The judge seemed to be using the bona fide for the benefit of the company test in an objective sense, that is, he was judging the situation from the courts point of view.

Relationship between Memorandum of Association and Articles of Association

Lord Cairns in **Ashbury Railway Carriage & Iron Co. v. Riche**.' described the relationship between the memorandum and the articles in this language: "The memorandum is as it were, the area beyond which the actions of the company cannot go; inside the area, the shareholders may make such regulations for their own government as they think fit."

The Memorandum of Association governs the relationship between the company and the outside while Article of Association governs the relationships between the shareholders and directors of the company.

Public Documents

The memo and articles are public documents, which may be inspected by anybody at the office of the registrar of companies. Any person dealing with a company is presumed to have constructive notice of their contents. The members of a company are entitled to have copies of the memo and the articles, on payment of a small fee.

Differences between the Article of Association and Memorandum of Association

The distinction between the memorandum and the articles of association can be summed up as follows:

i. The memorandum is the fundamental charter of the company determining its constitution and objectives; the articles contain rules regarding internal management .
ii. Any rule in the articles contrary to the memorandum is invalid.
iii. Articles can be altered easily while the memorandum can be altered only after the adoption of certain formalities.
iv. Certain clauses of memo cannot be altered without the sanction of the registrar and of the court. Some of the clauses that can’t be altered without sanctions include the object clause and the liability clause. Other clauses can be altered easily for instance the name clause. Articles can be altered by passing a special resolution. The approval of the registrar is required in special cases for instance the remuneration of directors of public companies. To change articles of association, a court sanction is generally not required.
v. The memo defines the powers of the company and the relationship between the company and the members and also non- members. Articles define and regulate the relationship

between the company and the members and the relationship between the members inter se.

vi. Acts beyond the powers of memo (ultra vires) are void. Such an act cannot be ratified by the members even by an unanimous resolution. But acts done by a company beyond the articles can be ratified by the shareholders provided they are within (intra vires) the powers of memo.

vii. If an act is within the powers given by the memo (intra vires the memo) but contrary to some provision of the Articles (ultra vires the articles) the members can change the articles and ratify the act.

Legal Effect of the Articles

The memorandum and articles shall, when registered, bind the company and the members thereof to the same extent as if they respectively had been signed by the company and by each member, and contained covenants on its and his part to observe all the provisions of the memorandum and of the articles.

Thus the articles constitute a binding contract between the company and its members such as in the case of **Beattie v. Beattie, Ltd.**In this case the company sued a director (who was also a member) to recover some money, which it claimed had been improperly paid to him by way of remuneration. The director sought to rely on an arbitration clause in the articles. The court held that he could not invoke that clause in the articles as the dispute did not concern him in his position as a member but in his capacity as a director.

The provisions of the articles can be enforced by suit by the company and the members.

But if the articles are violated by a member, a suit for the enforcement of the articles can be brought only by the company and not by other members, unless the person against whom relief is sought, controls the majority of shares and will not allow a suit to be brought in the name of the company.

The articles come within the definition of public documents. All persons dealing with the company are presumed to know the provisions of the articles. So if anything is done contrary to or beyond the provisions of the articles, the company is not bound.

CERTIFICATE OF INCORPORATION

If Registrar is satisfied that requirements of the Act have been met, he registers the documents and issues a certificate of incorporation. This is the company's "birth certificate".

Certificate is conclusive evidence that registration requirements have been met.
It is also conclusive evidence as to the date of incorporation.

Registrar is entitled to refuse to register a company where it has been formed for an unlawful purpose:

The court may also be petitioned to cancel a registration if it appears that the company has been registered for purposes which are unlawful or contrary to public policy:

EFFECTS OF INCORPORATION

Some of the legal consequences in incorporation include;

1. Separate Legal Personality

A company is a separate person in law from its members. This has several important consequences:

(a) Company is liable for its own debts
The shareholders are not liable for the debts and liabilities of the company and cannot be sued by the company's creditors. A shareholder can be a debtor or creditor of the company and can sue or be sued by the company. (**Salomon v A Salomon & Co Ltd**)

(b) Limited Liability
The fact that the company is a separate person from its shareholders makes limited liability possible.

(Remember: the company's liability is always unlimited - it is the members' liability that is limited and that liability is to the company, not to the individual creditors.)

(c) Company Property
A company owns its own property - the shareholders have no direct right to this or any share of it. Person who no longer wishes to be a member is only entitled to whatever price he can get for his shares. A shareholder has no legal interest in the company's property and cannot insure it against theft, damage, etc.

In **Macaura v Northern Assurance Co** case, Mr Macaura owned the Killymoon estate in County Tyrone, Northern Ireland. He sold the timber there to Irish Canadian Sawmills Ltd for 42,000 fully paid up £1 shares, making him the whole owner (with nominees). Mr Macaura was also an unsecured creditor for £19,000. He got insurance policies - but in his own name, not the company's - with Northern Assurance covering for fire. Two weeks later, there was a fire. Northern Assurance refused to pay up because the timber was owned by the company, and that because the company was a separate legal entity, it did not need to pay Mr Macaura any money.

The House of Lords held insurers were not liable on the contract, since the timber that perished in the fire did not belong to Mr Macaura, who held the insurance policy. Lord Sumner said,

" It was not his. It belonged to the Irish Canadian Sawmills Ltd, of Skibbereen, co Cork… He stood in no 'legal or equitable relation to' the timber at all… His relation was to the company, not to its goods, and after the fire he was directly prejudiced by the paucity of the company's assets, not by the fire…"

This may not apply to someone who is a secured debenture holder.

(d) Contractual Capacity
A company has full contractual capacity - and only the company can enforce its contracts.

(Companies may also be liable in negligence - shareholder cannot be made liable for the negligence of the company, unless he was also personally negligent).

(e) Crimes
A company can be convicted of a crime, regardless of whether its directors are also convicted.

However there are some limitations to this rule i.e.

i. It has been held that a company cannot be convicted of a crime which requires the physical act of driving a vehicle.
ii. A company cannot be convicted of any crime for which the only available sentence is imprisonment.
iii. There are particular problems with crimes which require mens rea ("a guilty mind"). Most common law crimes require mens rea, while many statutory offences involve strict criminal liability. In order to convict companies of common law crimes, courts may regard the mens rea of those individuals who control the company to be the mens rea of the company.

(f) Perpetual Succession
Separate personality means that the existence of a company does not depend on the existence of its members. Membership may change or members may die – the company continues in existence until wound up.

(g) Borrowing
A company can borrow money and grant a security for a debt. Only a company can create a floating charge. Floating charge is a kind of security for a loan. The charge "floats" because it

does not attach to any particular asset, but floats over the company's assets as they exist from time to time. Certain events cause the charge to "crystallise" and attach to whatever assets the company has at the time.

Veil of Incorporation

Separate legal personality of company operates as a shield - the courts will not normally look beyond the façade of the company to the shareholders who comprise it.

The screen separating the company from its individual shareholders and directors is commonly referred to as "the veil of incorporation".

Piercing the Corporate Veil

Sometimes the law is prepared to examine the reality which lies behind the company façade - this is described as "lifting" or "piercing" the corporate veil.

Statute

The following are the sections of the Kenya Companies Act which correspond to those sections of the English Companies Act 1948 which are usually listed in English Company law textbooks as the instances in which the veil of incorporation will be lifted under express statutory provisions:

(a) Section 33: Membership fallen below statutory minimum

This section provides that a company's member is personally liable for the company's debts incurred after the six months during which the company's membership had fallen below the statutory minimum, provided he was cognizant of the fact that the membership had so fallen. The section is regarded as an instance of "lifting the veil" because it modifies the principle established in **Salomon v Salomon & Co Ltd** that a member is not liable for the company's debts, and permits the company's creditors to sue him directly in order to recover the debts. Liability under the section may arise on the death of a member if the death reduces the membership below the statutory minimum for the particular company and:

i) no transferee is registered as a new member, and
ii) the personal representative of the deceased member does not elect to be registered as a member, within the prescribed six months.

It should be noted that the section limits a member's liability to debts contracted after the six months. It does not make the member liable for any debts incurred during the six months which follow the reduction of membership. Neither does it make a member liable for any tort committed by the company during the relevant time.

(b) Non-publication of a Company's Name

Subsection (1) of Section 109 of the Act requires a company's officers and other agents to write its name on its seal, letters, business documents and negotiable instruments. This is to be done primarily for the benefit of third parties who might contract with a limited company without realising that it is a limited company.

Subsection (4) of the section provides that any officer or agent of the company who does not comply with the aforesaid statutory requirements shall be liable to a fine not exceeding one thousand shillings, and shall further be personally liable to the holder of any bill of exchange, promissory note, cheque or order for goods which did not bear the company's correct name, unless the amount due thereon is duly paid by the company. The imposition of personal liability on the company's agent is what is regarded, in a somewhat loose sense, as “lifting the veil of incorporation". A probably better view would be to regard the section as a codification of the common law rule which makes an agent personally liable under a contract which he enters into with a third party without disclosing that he is acting for a principal. That, in effect, is what happens if a company’s agent does not comply with the statutory requirement.

Liability under this section is illustrated in **Penrose v Martyr.**The plaintiff told the court that she was not aware that the company was limited till after the bills were accepted. She had therefore been misled as to the legal status of the company. It should however be noted that the section does not require that the third party suing the company's officer should have been misled by the officer's failure to write the company's name correctly.

(c) Group Accounts

Section 150 requires a company which has subsidiaries to lay before the company in general meeting accounts or statements dealing with the state of affairs and profit or loss of the company and the subsidiaries at the time when the company's own balance sheet and profit and loss account are laid before the company's general meeting. The group accounts are to be prepared in accordance with the provisions of Sections 150 - 154 and paragraphs 17 - 18 of the Sixth Schedule to the Companies Act so as to appear "as the accounts of an actual company".

These provisions constitute what is regarded in a loose sense as an instance of "lifting the veil" because a member (the holding company) is obliged to incorporate into its balance sheet the assets and liabilities of the company ofwhich it is a member (the subsidiary company) as if they were its own assets and liabilities. This is a modification of the general principle that a company's assets and liabilities are not a member's assets and liabilities and would not therefore be incorporated into the member's own balance sheet.

(d) Investigation of Company's Affairs

Section 167 gives an inspector appointed by the court powers to investigate the affairs of that company's subsidiary, or holding company, if the inspector thinks it necessary to do so for the purpose of his investigation. An investigation instituted pursuant to this power would be regarded, in a loose sense, as an instance of "lifting the veil" because the order to investigate a company sufficed to investigate the company's member, or vice versa, as if they were one entity.

Generally speaking, a company and its member (in this case, the holding company) are altogether separate entities and a court order to investigate the affairs of a subsidiary company would not authorise an investigation of its holding company, and vice versa.

(e) Investigation of Company's Membership

Section 173(1) empowers the registrar to appoint one or more competent inspectors to investigate and report on the membership of any company for the purpose of determining the true persons who are or have been financially interested in the success or failure of the company or able to control or materially to influence the policy of the company.

For the purpose of that investigation, subsection 5 of the section confers on the inspector, or inspectors, power to investigate the membership of the company’s subsidiary or holding company for the same purpose. A company and its subsidiary, or subsidiaries, are thereby regarded as one entity for the purpose of the investigation, and the veil of incorporation thereby lifted.

(f) Take-over bids

Section 210 provides that where a scheme or contract involving the transfer of shares or any class of shares in a company to another company has been approved by the holders of not less than nine-tenths in value of the shares whose transfer is involved the transferee company may, at any time within two months after the expiration of four months after the making of the offer by the transferee company, give notice in the prescribed manner to any dissenting shareholder that it desires to acquire his shares. The dissenting shareholder must then apply to the court within one month from the date on which the notice was given for an order restraining the transferee company from compulsorily acquiring his shares. The court order may, in an appropriate situation, lift the veil of incorporation. This is illustrated by **Bugle Press Ltd** case.Bugle Press Ltd. had an issued capital of 10,000 £1 shares, of which Jackson held 4,500, Shaw held 4,500 and Treby held 1,000. Jackson and Shaw then incorporated a new company, called Jackson and Shaw (Holdings) Ltd., with an issued capital of 100 shares, of which each of them held 50 shares.

This company them made an offer to the shareholders of Bugle Press Ltd. which was accepted by Jackson and Shaw but rejected by Treby. The company then served a notice on Treby stating that it wished to purchase his shares.

Treby applied to the court for an order restraining the intended purchase on the ground that it amounted to an expropriation of his interest in that the shareholders of Jackson and Treby (Holdings) Ltd. were the same persons who held 90% of the shares in Bugle Press Ltd. and who had purported to accept the offer. The application succeeded.

The court regarded the offer made by Jackson and Shaw (Holdings) Ltd. as having, in substance, been made by Jackson and Shaw as individuals and thereby lifting the veil of incorporation by treating the company and its members as one entity for purposes of acceptance of the offer.

g) Fraudulent Trading

Section 323 provides that if, in the course of the winding up of a company, it appears that any business of the company has been carried on with intent tofraudulent purpose, the court, on the application of the official receiver or the liquidator or any creditor or contributory of the company may, if it thinks proper so to do, declare that any persons who were knowingly parties to the carrying on of the business in manner aforesaid shall be personally responsible, without any limitation of liability, for all or any of the debts or other liabilities of the company as the court may direct.

The personal liability of the person concerned for the company's debts is what constitutes, in an extremely loose sense, an instance of lifting the veil of incorporation. The corresponding section of the English Companies Act is invariably cited in English company law text-books as an instance of lifting the veil. The citation, though hallowed by English academic tradition, is logically untenable.

No Kenya case appears to have been decided under the section. However, the relevant English cases do suggest that to be "knowingly parties" to fraudulent trading under the section some positive step must have been taken by those concerned. In **Maidstone Building Provisions Ltd** case**,**a partner in a firm of accountants which acted as auditors to Maidstone was appointed secretary of the company. He attended board meetings and pointed out that the company was making large losses. Nevertheless, trading continued and debts were incurred which the company had no reasonable prospect for being able to pay. Eventually, the company went into liquidation owing £99,000. The liquidator sought to make the secretary personally liable, contending that he had been a party to fraudulent trading by the company because he had not advised the directors to stop trading. The contention was rejected. Pennycuka J. stated:

"The steps he (the secretary) omitted to take were to give certain advice to the directors. It seems to me impossible to say mere inertia ... could represent being a party to the carrying on of the business of the company".

It should be noted that, on its literal construction, Section 323 appears to be wider than Section 33 because it also covers liabilities other than debts, such as liability in tort, or damages for breach of contract. It can also be invoked against directors, members or anybody else who participated in the fraudulent trading. However, the obvious limitations of the section is that it can only be invoked on a winding up and the applicant must prove fraud.

If the liquidator applies to the court any money received is distributed to creditors generally and forms part of the general assets of the company. In **William C Leitch Ltd** case adeclaration having been made by the court in the course of the windingup of a company, that W.C.L., a governing director of the company, had been knowingly a party to carrying on the company's business with intent to defraud creditors between certain dates, fixing the liability of the director at £6,000, and charging a debenture for £4,000 issued to the director with that liability, the liquidator recovered the sum of £3,356 from the director in respect of the declaration, and asked for directions as to the application of that sum and any further sum he might recover under the judgment, among the creditors of the company.

The court held that, that the money so recovered and to be recovered were not to be exclusively applied for the benefit of creditors whose debts were contracted during the period when the business of the company was carried on with intent to defraud creditors, but formed part of the general assets of the company available for all creditors, on the same principle as that applicable to moneys recovered from "B" contributories.

However, if a creditor applies the court may award him his actual loss or, alternatively, order the defendants to pay his actual debt.

Lifting the veil under Case Law

Numerous English cases have been variously classified by English writers as instances of "lifting the veil of incorporation". A few of these cases are summarised below. But it should be noted that the particular judges were merely ascertaining the facts of the case before them and making the appropriate decision rather than consciously or deliberately "lifting the veil of incorporation". It is the writers who have categorised the said cases as instances of lifting the veil because the decisions in those cases appeared to them to be a modification of the principle in **Salomon versus Solomon** case. These cases may be explained under the following headings.

(a) Agency

One of the ratio decidendi in Salomon's case was stated by Lord Macnaghten that "the company is not in law the agent of the subscribers". This proposition was affirmed by the English Court of Appeal and extended to associated companies in **Ebbw Vale Urban District Council v South Wales Traffic Area Licensing Authority** when Lord Cohen stated: "Under the ordinary rules of law, a parent company and a subsidiary company, even a 100% subsidiary company, are distinct legal entities, and in the absence of an agency contract between the two companies, one cannot be said to be the agent of the other. That seems to me to be clearly established by **Salomon v Salomon & Co Ltd**

From this statement, it can be inferred that, if a court held that a company acted in a particular instance as an agent of its holding company, the veil of incorporation would have been lifted. This is illustrated by the decision in **Firestone Tyre & Rubber Co v Llewellin.** An American company formed a wholly-owned subsidiary in England to manufacture and sell its brand of tyres in Europe. The American company negotiated agreements with European distributors under which the latter would place orders with the American company which the English subsidiary would carry out. In fact the distributors sent their orders to the subsidiary direct and the orders were met without any consultation with the American company. The subsidiary received the money for the tyres sold to the distributors and, after deducting its manufacturing expenses plus 5 per cent, it forwarded the balance of the money to the American company. All the directors of the subsidiary resided in England (except one who was the president of the American company) and they managed the subsidiary's affairs free from day-to-day control by the American company. It was held by the House of Lords that the American company was carrying on business in England through its English subsidiary "acting as its agent" and it was consequently liable to pay United Kingdom tax.

(b) Fraud or improper conduct

English courts have intervened on numerous occasions and lifted the veil of incorporation in order to circumvent a fraudulent or improper design by a bunch of scheming promoters or shareholders. This is illustrated by the decisions in **Jones and Another v Lipman and Another** Lipman agreed to sell freehold land with registered title to the plaintiffs for £5,250. Pending completion he sold and transferred the land to the defendant company (having a capital of £100), which he acquired and of which he and a clerk of his solicitors were sole shareholders and directors, for £3,000, of which £1,564 was borrowed by the defendant company from a bank and the rest remained owing to him.

In an action by the plaintiffs for specific performance, it was held that, in the circumstances of the case, the defendant company was a cloak for Lipman (the first defendant), who could compel a transfer of the land to the plaintiffs, and the court would accordingly decree specific performance against both defendants. Lawrence L.J. stated:

"The defendant company is the creature of the first defendant, a device and a shame, a mask which he holds before his face in an attempt to avoid recognition by the eye of equity The proper order to make is an order on both the defendants specifically to perform the agreement between the plaintiffs and the first defendant."

The court's order to Lipman and the company to specifically perform Lipman's contract with the plaintiffs lifted the veil of incorporation by regarding a breach of contract by the company itself and thereby treating them as one entity.

In **Gilford Motor Co Ltd v Horne** case, the plaintiff company bought the various parts of motor vehicles from manufactures, assembled the parts on the company's premises and sold the products under the name of Gilford Motor Vehicles. They also sold separate parts which were handed over to the buyers for cash.

By an agreement dated May 30, 1929, the defendant was appointed managing director of the plaintiff company for a term of six years from September 1, 1928. Clause 9 of the agreement provided that "the managing director shall not at any time while he shall hold the office of a managing director or afterwards solicit, interfere with or endeavour to entice away from the company any person, firm or company who at any time during or at the date of the determination of the employment of the managing director were customers of or in the habit of dealing with the company".

The employment of the defendant as managing director was terminated in November, 1931, by an agreement between the parties under which the defendant was to receive a fixed sum payable in instalments. Shortly afterwards the defendant opened a business for the sale of spare parts of Gilford Vehicles but on April 8, 1932 he incorporates a private company called "J.M. Horne & Co" the second defendant, and transferred the business to it. "J.M" were the initials of the defendant's wife. The company had a capital of 500 shares of £1 each, of which 202 were issued. 101 being issued to the defendant's wife and 101 to a Mr Howard, who was previously an employee of the plaintiff company but later became an employee of the defendant company. The defendant's wife and Mr Howard were the only directors of the defendant company whose registered office was private house of the defendant.

Shortly after its incorporation, the defendant company sent out circulars and other documents inviting some persons to deal with it as a company which could supply Gilford Motor spare parts. The persons to whom the circulars were sent had been customers of the plaintiff company during the period when the defendant was managing director of that company.

The evidence adduced in court established that the defendant's wife, as one of the directors, was not taking any part in the business or the management of the defendant company and the other director, Mr Howard, who in fact was an employer of the company. One of the witnesses said in the witness box that, from all dealings which he had with the defendant company, he had formed the opinion that the "boss" was the defendant Horne.

On the basis of the aforesaid facts the Court of Appeal granted an injunction restraining the defendant Horne and the defendant company from committing breaches of the covenants between the defendant and the plaintiff company. Farwell J. stated:

". the defendant company was the channel through which the defendant Horne was carrying on his business. Of course, in the law the defendant company is a separate entity from the defendant Horne, but I cannot help feeling quite convinced that at any rate one of the reasons for the creation of that company was the fear of Mr Horne that he might commit breaches of the covenant in carrying on the business and in sending out circulars as he was doing, and that he might possibly avoid that liability if he did it through the defendant company "

Lord Hanwort, M.R. stated in the Court of Appeal:

"I do hold that the company was "a mere cloak of sham"; I do hold that it was a mere device for enabling Mr E.B Horne to continue to commit breaches of clause 9 and under those circumstances the injunction must go against both defendants".

(c)Enemy Character

A company may be regarded as an enemy if, inter alia, all or substantially all of its shares are held by alien enemies. This is illustrated **by Daimler Co Ltd v Continental Tyre & Rubber Co (Great Britain) Ltd**. A company was incorporated in England with a capital of £25,000 in £1 shares for the purpose of selling in England tyres made in Germany by a German company, who held the bulk of shares in the English company. The holders of the remaining shares (except one) and all the directors were Germans resident in German. The one share was registered in the name of the secretary, who was born in German, but resided i England and had become a naturalised British subject.

After the outbreak of the war between England and Germany, an action was commenced in the name of the English company by specially indorsed writ issued by the company's solicitors on the instructions of the secretary, for payment of a trade debt. One of the defences was that the company was an alien enemy company and that payment of the debt would be trading with the enemy. This defense was rejected by the trial judge and the Court of Appeal but was upheld by the House of Lords where Lord Parker stated:

"My Lords, the truth is that considerations which govern civil liability and rights of property in time of peace differ radically from those which govern enemy character in time of war. I think the law on the subject may be summarised in the following propositions:

1. A company incorporated in the United Kingdom is a legal entity, a creation of law with the status and capacity which the law confers. It is not a natural person with mind or conscience ...... it can be neither loyal nor disloyal. It can be neither friend nor enemy.
2. Such a company can only act through agents properly authorised, and so long as it is carrying on business in this country through agents so authorised and residing in this or a friendly country it is a prima facie to be regarded as a friend.......
3. Such a company may, however, assume an enemy character. This will be the case if its agents or the persons in de facto control of its affairs, whether authorised or not, are resident in an enemy country, or, wherever resident, are adhering to the enemy or taking

instructions from or acting under the control of enemies. A person knowingly dealing with the company is such a case is dealing with the enemy.

4. The character of individual shareholders cannot of itself affect the character of the company. This is admittedly so in times of peace, during which each shareholder is at liberty to exercise and enjoy such rights as are by law incident to his status as shareholder..... The enemy character of individual shareholders and their conduct may, however, be very material on the question whether the company's agents, or the persons in de facto control of its affairs, are in fact adhering to, taking instructions from, or acting under the control of enemies. This materially will vary with the number of shareholders who are enemies and the value of their holdings. The fact, if it be the fact, that after eliminating the enemy shareholders the number of shareholders is insufficient for the purposes of holding meetings of the company or appointing directors or other officers in the present case...... the fact that he (the secretary) held one share only out of 25,000 shares, and was the only shareholder who was not an enemy, might well throw on the company the onus of proving that he was not acting under the control of, taking his instructions from, or adhering to the King's enemies in such manner as to impose an enemy character on the company itself......
5. In a similar way a company registered in the United Kingdom, but carrying on business in neutral country through agents properly authorised and resident here or in neutral country, is prima facie to be regarded as a friend, but may, through its agents or persons in de facto control of its affairs, assume an enemy character.
6. A company registered in United Kingdom but carrying on business in an enemy country is be regarded as an enemy.

My Lords, the foregoing propositions.... have, I think, the advantage of affording convenient and intelligible guidance to the public on questions of trading with the enemy."

Since there appears to be no Kenya case on the point, the principles summarised by Lord Parker may be useful guidance to a Kenyan who might have to determine, in a given case, whether a particular company is to be regarded as a friend or enemy of Kenya.

(d)Ratification of Corporate Acts

A number of English cases which are regarded as instances of lifting the veil are those relating to informal ratification by the members of acts done on behalf of the company. In each of these cases the court regarded a decision of the members as the decision of the company itself and thereby lifted the veil of incorporation. This is illustrated by **Re: Duomatic Ltd**where a company incorporated in 1960, with a share capital of 100 £1 ordinary shares and 80,000 £1 non-voting redeemable preference shares, had originally three directors E.H. and T. who held all the ordinary shares. E. and T. became critical of the way in which H. performed his duties and could have voted him off the board, but since he threatened, if dismissed, to sue the company, they paid him £4,000 to leave the company. He ceased to be a director on April 1, 1963, and later transferred his shares to E. on April 17, 1964, W. A representative of a finance company, B Ltd, who were financing the company's hire-purchase business, became a director. In July, 1964, E. transferred some of his shares to W. and some to C. and K., two other officers of B Ltd. On August 13, 1964 the capital of the company was increased by the creation of 25,000 additional ordinary shares and thereafter the ordinary shareholders consisted of E., T., W., C., K., B Ltd and another company.

The company's articles of association incorporated article 76 of Table A in the Schedule to the Companies Act, 1948, but no resolution authorising directors to receive remuneration was ever passed. None of the directors had contracts of service. They drew sums according to their personal needs, and at the end of each financial year the sums so drawn were totalled, grossed up for tax and entered in the accounts as "directors' salaries".

In the year ending April 30, 1964, when E. was in control of the company, E. drew £9,000 but no final accounts were aged. When W. had become a director in April, 1964, E. had agreed with the shareholders to draw a lower rate of remuneration of £60 a week, although no meeting was held or resolution passed, but the period May 1, 1964, to October 23, 1964 when the company went into voluntary liquidation, he drew a sum in excess of that rate.

On summons by the liquidators seeking inter alia, repayment of the sums paid to E. and H. respectively as salaries on the ground that such sums had never been voted in general meeting, it was held that since E. and H. had, at the time when they are only ordinary shareholders, approved the accounts showing the payments to them of £10,151 0s 8d and £5,510 1s 0d, respectively. The liquidators could not recover the payments.

Buckley, J stated:"Where it can be shown that all shareholders who have a right to attend and vote at a general meeting of the company assent to some matter which a general meeting of the company could carry into effect, that assent is binding as a resolution in a general meeting would be. The preference shareholder, having shares which conferred upon him no right to recieve notice of or attend and vote at a general meeting of the company could in no worse position if the matter were dealt with informally by agreement between all the shareholders having voting rights than he would be if the shareholders met together in a duly constituted general meeting.

(e) Group Enterprises

Numerous cases have been decided by English courts the general tenor of which is to regard a subsidiary and its holding company as one entity. There is no basic principle governing the lifting of the veil in these instances and each decision was based on the facts of the particular case. For examples in **Harold Holdsworth & Co Ltd v Caddies,** an agreement made in 1949 between the appellant company and the respondent it was provided that, for a term of five years, he was appointed "a managing director of the company and as such managing director he shall perform the duties and exercise the powers in relation to the business of the company and the business........ of its existing subsidiary companies. which may be from time to time assigned to or vested in him by the board of directors of the company". In 1950 the board resolved that he should confine his attentions to one of these subsidiaries only.

He refused to do so and brought an action for damages for breach of contract. It was held by the House of Lords that Lord Reid stated:

"It was argued that the subsidiary companies were separate legal entities each under the control of its own board of directors, that in law the board of the appellant company could not assign any duties to anyone in relation to the management of the subsidiary companies and that therefore he agreement cannot be construed as entitling them to assign any such duties to the respondent. My Lords, in my judgement this is too technical an argument. This is an agreement re mercatoria and it must be construed in light of the facts and realities of the situation".

This decision constitutes an instance of lifting the veil because the court regarded a company (the subsidiary company) as being the same entity as the subscribers (the holding company). In effect, Mr Caddies would be working for the holding company at the time he was working in the subsidiary company.

In **Hellenic and General Trust Ltd**case, a company called MIT was a wholly owned subsidiary of Hambros Ltd. and held 53 per cent of the ordinary shares of Hellenic. A scheme of arrangement was put forward under which Hambros was to acquire all the ordinary shares of Hellenic for a cash consideration of 48p per share. The ordinary shareholders met and over 80 per cent approved the scheme, MIT voting in support. However, the National Bank of Greece, which was a minority shareholder, opposed the scheme because it would be liable to meet a heavy tax burden under Greek law as a result of receipt of cash for its shares. Templeman J. refused to approve the scheme after he ruled that there should have been a separate class meeting of ordinary shareholders who were not a wholly-owned subsidiary of Hambros, thus in effect regarding the holding company, Hambros, and the subsidiary MIT as one economic unit in the class meeting.

In **DHN Food Distributors v London Borough of Tower Hamlets** DHN food distributors was a holding company which ran its business through two wholly-owned subsidiaries, Bronze Investments Ltd. and DHN Food Transport Ltd. The group collected food from the docks and distributed it to retail outlets. Bronze Investments Ltd. owned the premises in Bow from which the business was conducted and DHN Food Transport Ltd ran the distribution side of the business. Tower Hamlets compulsory acquired the premises in Bow for the purpose of building houses. This power of compulsory acquisition arose under the Housing Act 1957 and compensation was payable under the Land Compensation Act of 1961 under two headings: (a) the value of the land, and (b) disturbance of business. Tower Hamlets was prepared to pay £360,000 for the value of the land but refused to pay the second heading because DHN Food Distributors and DHN Transport Ltd had no interest in the land.

This was disadvantageous to the group as a whole since the loss of the premises had caused all three companies to go into liquidation, it being impossible to find other suitable premises. However, Lord Denning in the Court of Appeal drew aside the corporate veil and treated DHN Food Distributors as owner of the property whereupon Tower Hamlets became liable to pay for disturbance of business. The basis of Lord Denning's judgement was that company legislation required group accounts and to that extent recognized a group entity which he felt the judiciary should do also.

Disadvantages of incorporation

Some of the disadvantages of incorporation include:

a. Publicity

Companies are subject to undue publicity. There is minimal secrecy as most documents are open to the public

b. Formalities

A registered company is characterized by formalities from incorporation to dissolution.

c. Inflexibility

Due to the ultra vires doctrine a registered company does not enjoy a wide contractual capacity as other forms of business organisations such as partnerships.

d. Participation in management

In a registered company, the company's management and membership are divorced. Members other than directors are not actively involved in the day to day affairs of the company.

e. Expenses

The registered company is the most expensive business association to form and maintain the expenses include search fees legal fees, registration fees and stamp duty . A company must pay directors allowance and remunerate its auditor.

f. Corporation tax

The tax payable by registered company is comparatively higher other business forms thereby reducing the amount of profit available to shareholders as dividend.

TOPIC 3

MEMBERSHIP OF A COMPANY

Introduction

A shareholder denotes a person who holds or owns the shares in a company. On the other hand, a member denotes a person whose name appears on the register of members. For all practical purposes the words 'shareholder' and 'member' are used interchangeably because under normal circumstances a shareholder will also be a member and a member will be a shareholder.

But looked at from a close point, we may come across a few exceptional circumstances where a shareholder may not necessarily be a member and a member may not be a shareholder. For example

i) Companies limited by guarantee or unlimited companies having no share capital (without share capital) will only have members and not shareholders.
ii) A holder of a share warrant is a shareholder but not a member as his name is removed from the register of members immediately on the issue of the share warrant.
iii) Similarly a transferee or the legal representative of the deceased member may be a shareholder but he may not be a member until his name is entered in the register of members.
iv) The transferor of the deceased person is a member so long as his name is on the register of members, whereas he cannot be termed a shareholder.
v) A person who has forfeited his shares ceases to be a shareholder of the company but he remains a past member for purposes of winding up.

However, in this chapter we will give the terms the same treatment.

ACQUISITION OF MEMBERSHIP

There are various ways of acquiring company membership as discussed below;

1) By allotment

Normally a person would become a member of the company by applying for the shares and being allotted them directly by the company.

However, it was held in **Nicol's** case that the membership commences from the moment the name is entered in the members' register. If the company wrongfully refuses to enter the name in the register, the allottee must take rectification proceedings for a court order directing the company to enter the name in its members' register

2) By subscribing to the memorandum

Section 10 of the Act provides that "the subscribers of the memorandum of a company shall be deemed to have agreed to become members of the company and on its registration, shall be entered as a member in its register of members". Thus every subscriber to the memorandum of association of the company becomes a member "ipso facto" on the incorporation of the company and is liable as the holder of whatever number of shares he has subscribed for. In the case of the subscribers of the memorandum no allotment is necessary and no entry on the register of members is necessary to constitute membership.

3) Agreement to become a member and entry on the Register

In cases of membership other than subscription to the memorandum, two essential conditions must be satisfied:

a) An agreement to become a member and
b) Entry on the register.

These conditions are cumulative: unless they are both satisfied the person in question has not acquired the status of membership; it is a condition precedent to the acquisitions of such status that fie shareholder's name should be entered on the register. Conversely, the company is not entitled to place a person's name on the register without, is consent. A person improperly registered without his consent is not bound thereby and may have his name removed from the register.

4) By agreeing to take qualification shares

All persons who have signed an undertaking for their qualification shares, for acting as a director of the company and delivered to the registrar of companies are also in the same position as subscribers to the memorandum. As such, they are also deemed to have become members automatically on the registration of the company.

N/B This method is only possible in public companies with/having a share capital or private company.

5) By transfer

A person also gets registered as a member if he buys the shares in the open market. This is possible in the case of a contract of sale or other transaction. There is no difference between a contract to take shares and any other contract. A formal contract is not necessary.

A transferee also acquires his membership by virtue of sub-section 2 of s.28, being a person who has agreed to become a member. The principle in **Nicol's** case applies to transferees as well, and a transferee becomes a member from the moment his name is entered in the register of members.

6) By transmission

A person may become a shareholder by transmission of shares through death, lunacy or insolvency of a member. Transmission is different from transfer in that it is an involuntary transfer. It takes place by operation of law to a person who is entitled under the law to succeed to the shares of the deceased or lunatic automatically and does not require an instrument of transfer. Here, the company is not entitled without his consent to place the name of the person who may become the shareholder in consequence or by reason of the death or bankruptcy of member or any other event constituting transmission on the register of members.

7) By estoppels

If a person's name is improperly placed on the register and he knows and assents to it, attends company meetings, accepts a dividend, he shall be deemed to be a member. Under this principle if a person holds himself out as being in a position of membership, which is not true, he will be estopped from denying that he is a member.

8) Transmission on bankruptcy of Member

A bankrupt member's shares in a company will be transmitted to his trustee in bankruptcy according to the principles of bankruptcy law. The company's articles may give the trustee an option of being personally registered as a member, as is provided for by Table A, Article 30. If the trustee elects or decides to be registered as the holder of the shares the election constitutes the agreement to be a member and the provisions of sub-section 2 of s.28 become applicable—ie. the trustee in bankruptcy will become a member from the moment his name is entered in the register of members.

9) Compliance with s.182 (2)

A person who has consented to be a director, and has given the statutory undertaking to take and pay for his qualification shares, is declared by s.182(2) to be, "in the same position as if he had signed the memorandum."

The provisions of s.28 (1) accordingly apply to him, and he becomes a member of the company at the moment the memorandum of association is registered.

Member and Shareholder

In companies having a share capital, a shareholder is also a member of the company. In companies, not having a share capital, there are members but no share- holders. "The terms 'member' and 'shareholder' are synonymous, apart from the now exceptional case of the bearer of a share warrant who is shareholder but is not a member because he is not registered in the register of members."

The words, "member," "shareholder", and "holder of a share" have been used interchangeably in the Companies Act. The expression, "holder of a share" denotes, in so far as the company is concerned, only a person who, as a shareholder, has his name entered in the register of members.

Who May Become A Member?

All persons who are competent to contract may in general become members of a company. There are however some special considerations to the following:

1. Company as member of company

A company may become a member of another company.The authorization would be made by a resolution of its directors or other governing body under s.139(1)(a).

Section 29(1) provides that a body corporate cannot be a member of a company, which is its holding company. Any allotment or transfer of shares in a company to its subsidiary shall be void except—

Where the subsidiary is concerned as personal representative or trustee, unless the holding company or its subsidiary is beneficially interested under the trust and is not so interested only by way of security for the purposes of a transaction entered into by it is in the ordinary course of business which includes the lending of money.

This somewhat lengthy provision may be explained with the aid of some examples.

i. M, who is a member of Z Bank Ltd, appoints its subsidiary, Z Bank (Executor & Trustee) Ltd, as his executor. On M's death, the subsidiary may be registered as a member of the holding company in respect of M shares.
ii. M transfers his shares to the subsidiary (in the above example) on trust for a beneficiary B, who borrows money from the holding company and secures repayment by mortgaging his interest in the shares to the company.

Where the subsidiary was a member of the holding company at the commencement of the Act on 1st January, 1962. Such a member would have no right to vote at meetings of the holding company or any class of members thereof except in respect of shares it holds as personal representative or trustee..

2. A Firm

A partnership firm cannot become a member of a company, as it is not a legal person having a separate entity from that of partners. Partners may be registered as joint holders in which case each of them becomes a member. A company may however be a partner in a firm.

3. Minor

An infant is any person who has not attained the age of 18 years (the Age of Majority Act 1974). He has a common law right to enter into a contract to buy shares in a company, and thereby become a member of the company. The contract is however voidable at his option, and he may avoid it at any time during his infancy or within a reasonable time after attaining the age of 18 years. A transfer to a minor is good provided that the company registers the transfer, which it has power to refuse. Until repudiation either by the company or the minor he has the full powers of membership.

However, it was explained in **Steinberg v Scala (Leeds) Ltd** that although the infant has a right to repudiate the contract he would only be entitled to get back the amount already paid if there has been a total failure of consideration because the shares have become valueless. In this case, Miss Steinberg, an infant, purchase 500 £1 shares from the defendant company. She paid 10 shillings on each share and, being unable to meet some calls, repudiated the contract while she was still a minor and claimed

(a) rectification of the register of members to remove her name therefrom, and thereby relieve her from liability on future calls; and
(b) recovery of the money already paid.

The court held that:

(a) She was entitled to rescind and so was not liable for future calls, but
(b) She was not entitled to recover the money already paid because there had not been a total failure of consideration. She had got the thing for which the money was paid, namely, the shares. Although she had not yet received any dividends on the shares, the shares had some value.

A company's articles may however restrict membership of the company to adults only, in which case an infant would not become a member of the company.

4. Bankrupt

A bankrupt individual may be a member of a company; as long as he is on the register of members, he is entitled to vote and to make use of the right of a minority shareholder.

5. Foreigners

A foreigner can be a shareholder, but in times of war (where he becomes an alien enemy) his powers of voting and his right to receive notice is suspended.

6. Personal Representatives

On a shareholder's death, ownership of the shares previously held by him is transmitted to his personal representative, who may be an executor or administrator. The personal representative would be entitled to be registered as a member of the company unless the company's articles provide otherwise.

7. A person upon whom shares have devolved pursuant to the Provisions of Bankruptcy Act, may become a member of the company

Legal protection of Minors

According to decisions of English courts, companies are democratic organisations whose affairs are to be managed by the directors according to the provisions of the Companies Act, the company's memorandum and articles of association and, where a decision of the members is required, according to the decision of the majority of the company's members expressed as an ordinary or special resolution. The minority of members who have been outvoted during the passing of the relevant resolution must be prepared to abide by the decision of the majority of the company's members.

There are however a few but significant instances in which the Companies Act and the general law prescribe certain legal limits on the power of the majority to bind the minority of the company's members. In particular, a resolution passed by the majority would not be allowed to prevail in certain circumstances if it is unfair or prejudicial to the minority, such as a resolution which -

i) requires a member to take or subscribe for more shares than the number held by him at the date on which the resolution was passed
ii) alters the company's objects;
iii) reduces the company's capital in a way which is not "fair and equitable" between the different classes of shareholders;
iv) empowers the company to embark on or continue with, a course of trading which was not contemplated by the minority at the time the company was being formed (in which case the court would be prepared to make an order for the winding up of the company on the ground that it is "just and equitable" to do so); or
v) constitutes "a fraud on the minority".

Statutory Provisions

Variation of Class Rights

Article 4 of Table A permits a company to vary the rights attached to any class of shares if the proposed variation is consented to in writing by the holders of three-fourths of the issued shares of that class or is sanctioned by a special resolution passed at a separate general meeting of the holders of the shares of the class.

The purpose of this article is to protect the minority members in a company against the majority members in the company by ensuring that they do not hold a joint meeting in which the majority class could pass a resolution for variation of the minority's rights despite their opposition. Such a resolution would not be a fair one as it would effectively enable the majority forcibly to modify or appropriate to themselves some rights of the minority. However, the fundamental flaw in the article is its failure to make provision for the protection of the minority members in the minority class. This omission has been compensated for by Section 74 of the Act which entitles the holders of not less in the aggregate than fifteen per cent of the issued shares of the class being varied to apply to the court to have the variation cancelled, provided that they did not consent to or vote in favour of the resolution for the variation.

Where any application is made pursuant to this provision, the variation shall not have effect unless and until it is confirmed by the court.

An application under the section must be made by petition within thirty days after the date on which the consent was given or the resolution was passed. It may be made on behalf of the applicants by such one or more of their number as they may appoint in writing for the purpose.

Section 74(3) provides that on any such application the court, after hearing the applicant and any other persons who apply to the court to be heard and appear to the court to be interested in the application, may disallow the variation if it is satisfied, having regard to all the circumstances of the case, that the variation would unfairly prejudice the shareholders of the class represented by the applicant.

The following are some of the relevant English cases.

(a) Re Holders Investment Trust Ltd (1979)

The company proposed to reduce its share capital by repayment of the 5% 1 pound Cumulative Preference Shares (which were entitled to repayment of capital in priority to ordinary shares) and to effect repayment by the allotment to the holders an equivalent amount of 6% unsecured loan stock, repayable 1985/90. The trustees of trusts which held 90% of the issued preference shares voted at a class meeting in favour of the scheme because they had been advised that as holders of 52% of the company's ordinary stock and non-voting ordinary shares they would derive overall benefit from the change.

The court held that the resolution passed at the class meeting was invalid since the trustees who provided the majority of votes cast were not concerned with benefit to holders of the preference shares as a class. They had instead considered what was best in their own interests, based on their large holding of stock and ordinary shares. Although this case came to the court for approval of the reduction of share capital and not as an objection to variation of class rights, it is in fact the leading case on the principles which the court will apply in dealing with the objection to a variation of class rights approved by a majority of the class.

(b) Carruth vs. I.C.I. Ltd (1973)

There was a sequence of general and class meetings to approve the successive stages of a capital re-organisation. Out of 1,600 members present only 565 were holders of deferred shares. But only the holders of shares of each class were invited to vote (as a class) at their class meeting. The others present took no part.

The court held that there was no irregularity of procedure in conducting a class meeting in the presence of non-members of the class. A class meeting is one at which only members of a particular class vote. It does not matter that others who are not members of the class are present.

It is only necessary to follow the variation of class rights procedure (and a dissenting minority can only apply to the court for cancellation) if what is proposed amounts to a variation of the class, right of itself. It is not a variation of class rights:

(a) to issue shares of the same class to allottees who are not already members of the class (unless the defined class rights prohibit this); In **White vs. Bristol Aeroplane Co** the company made a bonus issue of new ordinary and preference shares to the existing ordinary shareholders who alone were entitled under the article to participate in bonus issues. The existing preference shareholders objected that by reducing their proportion of the class of preference shares the bonus issue was a variation of class rights to which they had not consented. The court held that this was not variation of class rights since the existing preference shareholders had the same number of shares (and votes at a class meeting) as before.

(b) to subdivide shares of another class with the incidental effect of increasing the voting strength of that other class. In **Greenhalgh vs . Arderne Cinemas** case the company had two classes of ordinary shares, i.e. 50p shares and 10p shares. Every share carried one vote. A resolution was passed to subdivide each 50p share into five 10p shares, thus multiplying the votes of that class by five. The court held that the rights of the original 10p shares had not been varied since they still had one vote per share as before.

(c) to return capital to the holders of preference shares which carry no right on a winding up to share in surplus assets but merely a right to prior repayment. In the **Re Saltdean Estate Co. Ltd** case a company had ordinary shares and preference shares. The preference shareholders were entitled to the prior return of capital on a winding up but nothing more. The company proposed to repay the preference shareholders with the court sanction and return their capital to them so that the class of preference shareholders would be eliminated.

    The court held that this was not a variation of class rights of the preference shareholders. The company could resolve to go into liquidation at any time and the preference shareholders would then only receive a return of capital and this they had been given.

(d) to create and issue a new class of preference shares with priority over an existing class of preference shares. In **Underwood v. London Music Hall** case by analogy an improvement in the rights of existing preference shares, e.g. by raising the rate of preference dividend from, say, 6% to 8%, is not a variation of the rights of ordinary shareholders although it diminishes the residual profits available for distribution to the latter as ordinary dividends.

The cases cited in (a) to (d) illustrate the principle that without a "literal variation" of a class right (as defined by the memorandum or articles) there is no alteration of rights to which the safeguards of the variation of rights clause (e.g. Table A, Article 4) apply. Dr. Rice contends that the instances constitute a variation of the enjoyment of the class rights rather than a variation of class right itself.

In the **Bristol Aeroplane** case it was said of the issue of additional preference shares that:

"the existing preference shareholders will be in a less advantageous position on such occasions as entitle them to register their votes whether at a general meeting of the company or at separate meetings of their own class. But there is to my mind a distinction, and a sensible distinction, between an affecting of the rights and an affecting of ... the capacity to turn them to account".

It is a sensible or practical distinction because many decisions taken in the course of the company's business might affect the value of the shareholders' rights. For example, suppose that a company has two businesses: one is a dependable source of profits sufficient to provide for the preference dividend but those profits are a poor return on capital employed. The directors then decide to sell that business at a high price in order to reinvest the proceeds in expanding the company's other business which offers prospects of long-term capital growth but very little immediate profit. The position of preference shareholders would be affected since there may no longer be sufficient profits to cover their dividend. But it would not be appropriate that they should have a veto (under variation of rights procedure) or an opportunity to apply to the court for a veto on what is essentially a question of commercial strategy. It would probably be better to limit the constraint of variation of rights procedure to clear-cut and direct alteration of class rights, e.g. a reduction in the rate of preference dividend from, say, 8% to 6%.

In making this approach the courts have nonetheless kept the door open for action to deal with discrimination against a class by indirect means. In the **Bristol Aeroplane**case it was said (as an obiter dictum) that if the ordinary shareholders had passed a resolution simply to double the votes attached to the ordinary shares this would have been a variation of the voting rights of preference shares (to which the safeguards described above would apply).

A class of shares may carry different rights in one respect (e.g. a preference dividend) but the same rights as other classes in other respects. Because of the difference it ranks as a class to which the safeguards apply. This is so even when the class right to be varied is shared with the other class. Suppose, for example, the articles give one vote per share to both ordinary and preference shares. A proposal to reduce the votes of preference shares to, say, 1 vote for 10 preference shares is a variation of a class right since it is enjoyed by that class (and also by the ordinary shareholders).

Section 74(4) provides that the decision of the court on any application shall be final. The company must deliver a certified copy of the court order to the registrar within thirty days after the making of the order.

Oppression of Minorities

Section 211 of the Act provides that any member of a company who complains that the affairs of the company are being conducted in a manner oppressive to some part of the members, including himself, may make an order under the section. The court is empowered to make such order as it thinks fit with a view to bringing to an end the matters complained of if, on any such petition, it is of the opinion that:

a) the company's affairs are being conducted as alleged by the applicant, and
b) to wind up the company would unfairly prejudice the applicants but the proved facts would have justified the company's winding up on the "just and equitable" grounds.

An order made by the court may-

a) regulate the conduct of the company's affairs in future
b) Order the purchase of some members shares by other members,
c) order the purchase of some members' shares by the company itself and a consequent reduction of the company's capital.

Meaning of "Oppression"

The Section does not define the word "oppression" or what constitutes "oppressive conduct". However, the Cohen Committee's Report (1947) gave the following as examples of oppressive conduct envisaged by the Section.

(a) Where controlling directors unreasonably refuse to register transfers of the minority holdings so as to force a sale to themselves at a low price.
(b) Where the controlling directors take excessive remuneration so as to leave virtually nothing for distribution by way of dividend.

To these, the Jenkins Committee added the following:

(a) The issue of shares to directors and others on advantageous terms.
(b) The passing of non-cumulative preference dividends on shares held by the minority.

In **Scottish Co-operative Wholesale Society Ltd v Meyer** (1958) Lord Denning observed that "the section gives a large discretion to the court" which would be "well exercised in making an oppressor make compensation to those who have suffered at his hands.

In **Re H.R. Harmer Ltd** (1959) Jenkins, L.J. stated:

"Prima facie, therefore, the word `oppressive' must be given its ordinary sense"

Conditions for Relief

In H**.R. Harmer Ltd** (1959) Jenkins L.J. summarised the conditions which must be met before relief under the section can be granted by the court when he stated that:

(1) The oppression complained of must be complained of by a member of the company and must be oppression to some part of the members (including himself) in their or his capacity as a member or members of the company as such.
(2) The facts of the case must not only be those that would justify the making of a winding-up order under the `just and equitable' rule but must also be of a character which have in them the requisite element of oppression
(3) The phrase "the affairs of the company are being conducted" suggests prima facie a continuing process and is wide enough to cover oppression by anyone who is taking part in the conduct of the affairs of the company whether de facto or de jare.
(4) The word "oppressive" must be given its ordinary sense and the question must be whether in that sense the conduct complained of is oppressive to a member or members as such. The strict application of these conditions by the English courts rendered the section largely ineffective as a minority protection section and culminated in its repeal by the English Companies Art 1980.

Only the following cases had been successfully brought under the section-

(i) Re. H.R. Harmer Ltd(1947):- Harmer senior ('the father') formed a private company to take over the stamp-dealing business which he had founded many years earlier; and although as a result of a succession of gifts and purchases the majority of shares in the company were now owned by his sons, the father retained his voting control. The father and sons were appointed life directors by the articles of association, which also constituted the father 'governing director'- an office not defined as carrying any distinctive powers. The sons petitioned for relief under s.210, alleging that the father (by now aged upwards of 88) ran the business as if it were entirely his own, ignoring the wishes of his co-directors, the resolutions of the board, and the interests of the shareholders. (He had, inter alia, founded a branch of the business in Australia, against the wishes of the other directors, which proved unprofitable; purportedly dismissed an old servant and fellow director on his own initiative; procured the appointment of his own 'yes-men' to the board; drawn unauthorised expenses for himself and his wife; engaged a detective to watch the staff; countermanded resolutions of the board; and endeavoured to sell off the company's American business, severely damaging its goodwill.)

Roxburgh J. granted the sons relief under s.210, ordering inter alia, 'that the company should contract for the services of the father as a philatelic consultant at a named salary that the father should not interfere in the affairs of the company otherwise than in accordance with the valid decisions of the board of directors, and that he should be appointed president of the company for life, but that this office should not impose any duties or rights or powers'.

The order was upheld by the Court of Appeal.

(ii) Scottish Wholesale Co-operative Society Ltd v Meyer and Another: **-**The society formed a subsidiary company for the manufacture and sale of rayon materials, and Meyer and Lucas, because of their expert knowledge and trade connections, were appointed joint managing directors. Three nominees of the society, who also served on the board of the society, were appointed to the board of the company as directors. The company issued 7,900 shares, Meyer holding 3,450, Lucas 450 and the society 4,000. For several years the company prospered. Because of changed circumstances the society offered to buy the shares of Meyer and Lucas, but they declined the offer on the ground that it was below the true value of the shares. Thereupon the society, with the knowledge of its three nominee directors, diverted business from the company to a department within its own organisation, and this in time brought the business of the company virtually to a standstill and greatly reduced the value of its shares. Faced with this situation Meyer and Lucas petitioned the Court under section 210 of the Companies Act, 1948, for an order that the society should purchase their shares at a price based on their value before business was diverted from the company or at a price which the Court regarded as fair. The House of Lords held that the society must buy the shares at a fair price

The other applications had been dismissed on the grounds of non-compliance with one or other of the prescribed conditions. No Kenyan case appears to have been contested under the section and it is therefore not possible to evaluate the effectiveness of the section as, in Professor Gower's words, "a weapon in the (minority) shareholder's armory". The section would however be equally ineffective in Kenya if Kenya courts were to adopt the same restrictive conditions that have been postulated by the English courts.

Case Law

The aforesaid statutory provisions for the protection of minorities have been supplemented by judicial intervention in a variety of cases which are generally explained under the following major headings:

Fraud on the Minority

Professor Gower, writing on fraud on the minority, has stated:

".......the exact meaning of the expression `fraud on the minority' is not easy to determine. But at least it is clear that both `fraud' and "minority" are used somewhat loosely. There need not be any actual deceit; if there were, those on whom it was practiced would have a common law remedy against those who had wilfully deceived them. "Fraud" here connotes an abuse of power analogous to its meaning in a court of equity to describe a misuse of a fiduciary position. Nor is it necessary that those who are injured should be a minority; indeed, the injured party will normally be the company itself, though sometimes those who have really suffered will be a class or section of members, not necessarily a numerical minority, who are outvoted by the controllers. It covers certain "acts of a fraudulent character"- in the wider sense just described - of which "familiar examples are when the majority are endeavoring directly or indirectly to appropriate to themselves money, property or advantages which belong to the company or in which the other shareholders are entitled to participate".

Most of the cases in which the principle has actually been applied appear to fall within one of the following two classes:-

1. Where the company is defraued

   (i) Misappropriation of corporate property

   (ii) Breach of duty by directors

2. Where the minority as individuals are defrauded

   (i) Expulsion of minority

   A purported expulsion of a member from the company will amount to fraud unless it is done bona fide and for the benefit of the company. The following cases are relevant:

   (ii) Inequitable use of majority power

In **Clemens v Clemens Bros Ltd**. Case the plaintiff held 45% and her aunt 55% of the issued share capital of a family company. The company had been incorporated in 1913 and carried on a highly successful business in the building trade. the capital of the company consisted of 200 preference shares, of which the plaintiff and the aunt each held 100, and 1,000 ordinary shares of £1 each fully paid off which the plaintiff held 800 and the aunt 1,000. under the articles of association members of the company had a right of pre-emption if another members wished to transfer his shares. The aunt was a director of the company but the plaintiff was not. There were four other directors. The total director's emoluments exceeded the company's net profits before taxation in each of the years 1971 to 1974. The directors proposed to increase the company's shareholding from £2,000 to 3,650 by the creation of a further 1650 ordinary shares all of which were to carry voting rights. The directors other than the aunt would receive 200 shares each and the balance of 350 shares would be placed in trust for long service employees of the company.

The secretary wrote to the plaintiff on 1st November 1974 setting out the proposals and enclosing a notice of an extraordinary meeting to be held on 27th November to approve the setting up of a trust for the company's employees, to increase the company's capital and to provide for the proposed allotment resolutions to that effect were out in the notice and a draft of the proposed trust deed was enclosed. On 22nd November the plaintiff's solicitor wrote a letter to the aunt pointing out that the scheme would reduce the plaintiff's shareholding to under 25% and stating that the plaintiff was opposed to it. The aunt wrote that she was fully aware of the implications of the changes in the company's structure but intended to support the scheme. The plaintiff's solicitor attended the meeting on 27th November as her proxy, and proposed an adjournment. The aunt voted against an adjournment, and the three resolutions were then passed.

The plaintiff brought an action against the company and the aunt, seeking a declaration that the resolutions were oppressive of the plaintiff and an order setting them aside.

The court held that the aunt was not entitled as of right to exercise her majority votes as an ordinary shareholder in any way she pleased. Her right was subject to equitable considerations which might make it unjust to exercise it in a particular way. although it could not be disputed that she would like to see other directors have shares in the company and a trust set up for long service employees, the inference was irresistible that the resolutions had been framed in order to put complete control of the company into the hands of the aunt and her fellow directors, to deprive the plaintiff of her existing rights as a shareholder with more than 25% of the votes and to ensure that she would never get control of the company. Those considerations were sufficient in equity to prevent her aunt using her votes as she had, and the resolutions would accordingly be set aside

The exception of "fraud on the minority" depends, where the company is defrauded, on "wrongdoer control," i.e. the individual shareholder must show that the wrongdoers control the company, as where they control the board and general meetings and will not permit an action to be brought in the company's name. Furthermore, wrongdoer control is essential because cases of misappropriation of property and breach of duty can be ratified by a 51 per cent majority of the members which is not controlled by the wrongdoers.

The wrongdoers will obviously be in the above position if they have voting control as they had. However, in **Prudential Assurance Co. Ltd. v Newman Industries Vinelott**,The court held that de facto control was enough, i.e. the company does what the wrongdoers want even though the wrongdoers do not have voting control. They are able to persuade the majority to follow them.

Negligence

It is still uncertain whether damage caused by negligence can be brought under the heading of "fraud" for the purpose of the exception of "fraud on the minority."

In **Daniels v Daniels** the judge said that a minority shareholder who had no other remedy should be able to sue whenever directors use their powers intentionally or unintentionally, fraudulently or negligently, in a manner which benefits them at the expense of the company.

REGISTER OF MEMBERS

Every company is required by the Act to keep a register of its members. (Section 112). A register may be in one or more bound books or it may be kept in any other mannerfor example loose leaf form, provided adequate precautions are taken against and facilitating its forgery.

Contents of register

The register must contain:

(a) The names and postal addresses of the members. In the case of a company having a share capital, a statement of the shares held by each member, distinguishing each share by its number so long as the share has a number and of the amount paid or agreed to be considered as paid on the shares of each member.

(b) The date at which each person was entered in the register as a member.

(c) The date at which any person ceased to be a member.

(d) If the company has converted some of its shares "into stock" and given notice of the conversion to the Registrar, the register shall show the amount of 'stock' held by each of the members concerned instead of the shares so converted which he previously held.

Location of Register

The register must be kept at the registered office of the company (Section 112(2)). Exceptionally, if the work of making it up is done at another office of the company by another person e.g advocate, practicing company secretary etc, it may be kept at that other office/other person's office as the case may be.

However, it shall not be kept at a place outside Kenya. The company must send notice to the registrar of companies of the place where its register of members is kept and any change in that place.

Where the company defaults with complying with these regulation, the company and every officer of the company shall be liable to a default fine.

Index of Members

Every company having more than 50 members must keep index of member unless the register of members is kept in the form of an index. The index may be kept in the form of a card in which case it must have sufficient indication to enable the entries relating to that member in the register to be readily found.

The index must be kept at the place where the register of members is kept.

Importance of Register

The register is the creditors' guarantee showing them to whom and to what they have to trust. It is prima facie evidence of any matter by the Act directed or authorized to be therein. The register is not conclusive evidence of those matters. Consequently, the reliance to be placed on the register' is qualified to the extent that any person dealing with the company must be taken to know:-

(1) That the shares may be transferred in accordance with the articles, an insolvent person may be substituted with a solvent one.
(2) That a member whether he has been induced to take shares by misrepresentation or mistake even though on the register for years may while the company is a going concern repudiate his shares and have his name removed from the register.
(3) That there may be persons on the register placed there without their consent who may subsequently demand that they be removed.
(4) That a person whose name has been entered in the register under an allotment in contravention of the Act may claim to be removed.
(5) Where the entry on the register is stated to be subject to some condition, membership is not complete.

Inspection of Register

The register and index of members must be open to inspection except when closed under the provisions of the Act.

Section 115(1) provides that the register and index of members shall during business hours be open to the inspection of any member without charge, and of any other person on payment of a fee, not exceeding two shillings for each inspection, as the company may prescribe. Any person may require a copy of the register or any part thereof, on payment of one shilling or such less sum as the company may provide, for every hundred words or fractional part thereof required to be copied. The copy must be supplied within a period of fourteen days commencing on the day next after the day on which the requirement is received by the company.

If a company officer refuses an inspection or fails to provide a required copy, the company and every officer of the company who is in default shall be liable in respect of each offence to a fine not exceeding sh40 and further to a default fine of sh40. The court may by order—

(a) Compel an immediate inspection of the register and index, or
(b) Direct that the copies required shall be sent to the person requiring them.

The court order may also be made against the company's agent who keeps the company's register of members if the company's failure to provide a copy, or permit an inspection, is due to his default.

Section 117 permits a company, on giving notice by advertisement in some newspaper circulating in Kenya or in that area of Kenya in which the registered office of the company is situate, to close the register of members for any time or times not exceeding in the whole thirty days in each year. The purpose of this provision is to keep the register static so that members' holdings may be extracted as at a particular date for the purpose of computing dividends.

Closure of Register

Under S.117 a company may after giving not less than 7 days' notice by advertisement in a local daily close the register of members for a period not exceeding 30 days in each year.

What Is The Necessity of Closure?

Closure is necessary;

1) In order to hold annual general meeting of the shareholders;
2) To declare a dividend;
3) When a call is made/to make a call;
4) To declare a dividend warrant to its members. During the said period of closure no transfer shall take place.

Rectification of Register

Section 118(1) empowers the High Court to rectify the register of members in two cases, namely—

i) If the name of any person is, without sufficient cause, entered in or omitted from the company's register of members; or
ii) Default is made or unnecessary delay takes place in entering on the register the fact of any person having ceased to be a member.

The application to the court to rectify the register may be made by—

i) the aggrieved person; or
ii) any member; or
iii) the company.

Where an application is made, the court may—

i) refuse the application;
ii) order rectification of the register and payment by the company of any damages sustained by any party aggrieved.

An order rectifying the register can be made even when the company is being wound up.

The case of **Burns v Siemens Bros Dynamo Works Ltd** shows that the circumstances set out in Section 118(1), above, are not the only ones in which the court can order rectification. It may also do so where a name stands on the register without sufficient cause.

In this case, the plaintiffs, Burns and Hambro, were the joint owners of shares in the defendant company. The shares were entered in the company's register in the joint names of Burns and Hambro. The company's articles provided that, where there were joint holders, the person whose name appeared first in the register of members, and no other, should be entitled to vote in respect of the shares. This meant that Hambro had no voting rights. Burns and Hambro sued for a rectification of the register so that it may show that the plaintiffs owned roughly half of the joint shareholding.

The court had jurisdiction to make such an order and the company was required to rectify the register, showing shares numbered 1 to 1,000 in the names of Burns and Hambro, and shares numbered 10,0001 to 19993 in the names of Hambro and Burns.

The court may also order rectification of the register by deleting a reference to some only of the registered shareholder's shares. It need not delete his name entirely. This is illustrated by **Transatlantic Life Assurance Co Ltd (1979**) case in which the court deleted an additional number of shares, which had been issued to the applicant in breach of the prevailing Exchange Control Regulations but left the register intact as regards his previous shareholding.

By Sec.118(4), if an order is made in the case of a company required to send a list of its members to the registrar, the court, when making an order for rectification of the register, shall by its order direct notice of the rectification to be given to the registrar.

Branch Register

A company having a share capital may, if so authorized by it articles keep a branch register in any part of the commonwealth.

The company shall give notice to the registrar of the location of the branch office and the register shall be deemed to be part of the company's register of members.

A branch register shall be kept in the same manner in which the principal register is kept.

In the event of closure of branch register notice shall be placed in that area

RIGHTS AND LIABILITIES OF MEMBERS

Rights of Members

The members of a company have the following right:

1. Right to alter memorandum or articles of association of the company.
2. Rights to obtain copies of certain documents i.e memorandum of association, articles of association, balance sheet and profit and loss account, minutes of proceedings of general meetings.
3. Right to inspect certain books viz
   i) Register of members and the index thereof;
   ii) Register of debenture holders and the index thereof, copies of all annual returns, register of charges, minute books of general meetings etc.
4. Right to receive share certificate and transfer shares as per articles.
5. Right to receive dividends and bonus shares, if declared.
6. Right to pre-emption, if provided in articles.
7. Right to receive notices of general meetings together with a copy of directors' report, auditors report and annual accounts.
8. Right to attend general meetings and exercise voting rights, to appoint proxy, to demand a poll and to move resolutions.
9. Right to demand the convening of an extraordinary general meeting whenever necessary.

10. Right to apply to the court;
    i) To investigate the affairs of the company.
    ii) To call annual general meetings if the board default in calling such meetings. (On requisition)
    iii) In event of default to register the transfer of shares, for an order of transfer.
11. Right to petition to High Court for winding up of the company on just and equitable ground.
12. Right to share in the assets of the company on its winding up; if provided by articles or in case of ordinary shareholders.

Liabilities of members

The limited liability of members in a limited liability company is one of the primary reasons why individuals select thelimited liability company business structure. The liability shield of members in a limited liability company, however, is not absolute. Instead, the extension of the liability shield can be both limited and disregarded.

Limited liability protects the individual assets of the limited liability protects the individual assets of the limited liability company members. Thus, the debts or claims against a company cannot be recovered by joining the members of the company. Furthermore, the debts or claims against the individual member cannot be recovered by joining the company members. Thus, the debts or claims against a company cannot be recovered by joining the members of the company. Furthermore, the debts or claims against the individual member cannot be recovered by joining the company.

The limited liability shield can either be determined to not extend to the acts or omissions of company members or may be disregarded altogether. In either case, if the court determines that the liability shield does not protect the individual, then a creditor may proceed to attach the personal assets of the individual member.

There are three basic instances where a creditor or claimant may argue that the acts or an omission of a limited liability member prevents the liability shield from being extended to the member. These include:

i) if the member acts on behalf of an limited liability companies that has not yet been formed
ii) if the member, acting as an agent of the company and without giving notice that s/he is acting on behalf of the company, causes an injury that is recognized by the law
iii) if the member, acting as an agent of the company and without giving notice that s/he is acting on behalf of the company, guarantees a contractual obligation

CESSATION OF MEMBERSHIP

A person ceases to be a member of a company when any of the following event occurs

1. **Death**

When a member dies, his legal heir or his nominee is entitled to be the owner of the shares held by him by transmission.

2. **Insolvency**

In case the existing member becomes insolvent, his membership ceases and the official receiver or the assignee shall be entitled to get its name registered in the register of members.

3. **By transfer of shares**

Where a member voluntarily transfers his shares to a person and this is approved by the board of directors, he ceases his membership.

4. **By sale of shares**

When shares are sold out in execution of a decree or exercising the power of lien over shares, the company sells his shares, the membership may be ceased or terminated since the name of the existing shareholder shall be removed from the register.

5. **By mortgage of shares**

Sometimes the condition of mortgage loan may be that the shares will be transferred to the creditor and in such cases shares if so transferred the creditor shall be deemed to be a member of the company and the mortgager in that case shall cease to be a member.

6. **Forfeiture on non-payment of calls**

If the articles so provides and the member does not pay the call money his shares shall be forfeited resulting in termination or cessation of membership.

7. **By a valid surrender**

Where the articles so provide a surrender of shares if acceptable leads to cessation of membership.

8. **By conversion of share certificate into share warrants**

If articles provide, when share certificates are converted into share warrants the members are deemed to have ceased membership.

9. **By redemption of redeemable preference shares**

When preference shares are redeemed the preference shareholder ceases to be a member.

10. **On winding up**

On winding up of a company the existing members shall cease to be members. However, they may remain contributories.

11. **Rescission of the contract**

A member may rescind a contract on grounds of misrepresentation or mistake. This however does not apply to shares subscribed in the memorandum.

TOPIC 4

SHARES

Introduction

A "Share" may be defined as an interest in the company entitling the owner thereof to receive proportionate part of the profits, if any, and of a proportionate part of the assets of the company upon liquidation. A shareholder has certain rights and liabilities.

Features and Characteristics

The main characteristics of shares are stated below.

1. A share is not a sum of money, but is an interest measured in a sum of money and made up of various rights, contained in the contract
2. A share is an interest having a money value and made up of diverse rights specified under the articles of association.
3. The holder of a share has certain duties and liabilities, as stated in the Companies Act and in the articles of a company.
4. A share is transferable and heritable subject to regulations framed in the articles of association of the company.
5. The shares or other interest of a member in a company is movable property, transferable in the manner provided by the articles of the company.
6. The shares must be numbered so as to distinguish them from one another.

Rights Attached to Shares

The main rights which usually attach to shares are:

1. To attend general meeting and vote

Typically shares carry one vote each at general meetings but there may be non-voting shares or shares with multiple votes. Some shares may carry the right to vote only in particular circumstances.

2. To a share of the company's profits

The distribution of profits is paid by means of a dividend of a certain amount paid on each share. A dividend may be paid only if the company has made profits and to the extent that it decides to distribute them.

3. To a final distribution on winding up

If the company is wound up and all the creditors are paid the remaining assets are available for division among the members. This may be in two stages:

a) A return of capital;
b) Distribution of surplus capital.

Some shares may be given a priority as to one or both of these.
That the company be run lawfully i.e. in accordance with the Companies Acts, the general law and the company's constitution.

In most circumstances only the members of the company will have the legal right to sue to make the company act lawfully, and even they may be restricted in their ability to sue under the common law rule. In **Foss v Harbottle** case two minority shareholders initiated legal proceedings against, among others, the directors of the company. The claimants asked the court to order the defendants to compensate for losses to the company as a result of alleged fraudulent activity. The court held that since the company's board of directors was still in existence, and since it was still possible to call a general meeting of the company, there was nothing to prevent the company from obtaining redress in its corporate character and thus the action by the claimants could not be sustained: "The corporation should sue in its own name and in its corporate character, or in the name of someone whom the law has appointed to be its representative."

However, the best known and perhaps the clearest statement of the rule in **Foss v Harbottle** was actually set out by Jenkins LJ in the case of **Edwards v Halliwell:**

"The rule in Foss v Harbottle, as I understand it, comes to no more than this. First, the proper plaintiff in an action in respect of a wrong alleged to be done to a company or association of persons is prima facie the company or the association of persons itself. Secondly, where the alleged wrong is a transaction which might be made binding on the company or association and on all its members by a simple majority of the members, no individual member of the company is allowed to maintain an action in respect of that matter for the simple reason that, if a mere majority of the members of the company or association is in favour of what has been done, then cadit quaestio.". The rule established that where the company suffers harm, the company itself is the true and proper claimant. Therefore the shareholders cannot generally sue for wrongs done to the company.

Basis of the Rule

The following are the basis of this ruling

(1) The Right of the Majority Rule

The court has said in some of the cases that an action by a single shareholder cannot be entertained because the feeling of the majority of the members has not been tested and that they may be prepared to waive their right to sue.

(2) The Company is a Legal Person

The court has also said from time to time that since a company is a person at law, the action is vested in it and cannot be brought by a single member.

(3) The prevention of multiplicity of Actions

This situation could occur if each individual member was allowed to commence an action in respect of a wrong done to the company.

(4) The court's order may be made ineffective

The court's order could be overruled by an ordinary resolution of members in a subsequent general meeting.

Exceptions to the Rule in Foss vs. Harbottle (**Protection of the Minority**)

It is clear from **Foss vs. Harbottle** rule that it is the majority rule that prevails in the company management. Such powers may be misused to exploit the minority shareholders and to serve personal ends. This may be clear in case of private companies where few individuals own majority of shares.

Palmer rightly pointed out that, "a proper balance of rights of majority and minority shareholders is essential for the smooth functioning of the company".

To curtail the power of the majority, the following exceptions have been admitted as follows:-

(i) Acts which are ultra vires or illegal

Foss vs. Harbottle will apply only when the act done by the majority is one which the company is authorized to do by its memorandum.

No simple majority of members can confirm or ratify an illegal act, not even if all the shareholders are willing to do so. In-case of ultra vires acts, even a single shareholder can restrain the company from committing those acts by filing a suit of injunction. Majority rule will not prevail where the act in question is illegal.

(ii) Acts supported by insufficient majority

For certain acts, it might require ¾th majority. The rule in **Foss vs. Harbottle** cannot be invoked by a simple majority if the act requires special majority. If the requirements of special majority are not fulfilled, any shareholder can restrain the company from acting on resolutions.

In **Edwards vs. Halliwell** (1950) a trade union had rules which were the equivalent of the articles of association, under which any increase in members' contributions had to be agreed by a $\frac{2}{3}$ rd majority in a ballot of members. A meeting decided by a simple majority, to increase the subscriptions without holding a ballot. The claimants as a majority of members applied for a declaration from the court that the resolution was invalid. The court held that the rule in Foss did not prevent a minority of a company from suing because the matter about which they were suing was one which could only be done or validly sanctioned by a greater than simple majority.

(iii) Where the act of majority constitutes a fraud on the minority

A resolution would constitute a fraud on minority if it is not bona fide for the benefit of the company as a whole. Similarly, an action of the majority which discriminates between majority shareholders and minority could constitute a fraud of majority. A special resolution would be liable to be impeached if the effect of it were to discriminate between the majority shareholders and minority shareholders, so as to give the former advantage of which the latter were deprived.

The rule in Foss would create grave injustice if the majority were allowed to commit wrongs against the company and benefit from those wrongs at the expense of the minority, simply because no claim could be brought in respect of the wrong.

In **Cook vs. Deek** (1916) case the directors of a Railway Construction company obtained a contract in their own names to construct a railway line. The contract was obtained under circumstances which amounted to breach of trust by the directors who then used their voting powers to pass a resolution of the company declaring that the company had no interest in the contract.

The court held that the benefit of the contract belongs in equity to the company and that the directors would benefit themselves at the expense of the minority. It is tantamount to majority oppressing the minority. In case of breach of duty of this sort, the rule in Foss did not bar the claimants' claim.

In the **Brown vs. British Abrasive Wheel Co**. (1919) case, a company required further capital. The majority who represented 98 percent of the shareholders, were willing to provide this capital but only if they could buy up the 2 percent minority. The minority would not agree to sell and so the majority shareholders proposed to alter the articles to provide for compulsory acquisition under which 9/10th of shareholders could buy out any shareholders.

Lord Asbury held that the alteration of the articles would be restrained because the alteration was not for the benefit of the company. The rule in Foss did not bar the claimant's claim.

(iv) Where it is alleged that the personal membership rights of the plaintiff shareholder has been infringed

Such individual rights include the right to attend meetings the right to receive dividends the right to insist in strict observance of the legal rules; statutory provisions in the memorandum and articles. If such a right is in question, a single shareholder can on principle, defy a majority consisting of all other shareholders.

Thus, where the chairman of a meeting at the time of taking the poll ruled out certain votes which should have been included, a suit by a shareholder was held to be validly filed.

Where the candidature of a shareholder for directorship is rejected by the chairman, it is an individual wrong in respect of which the suit is maintainable.

(v) Where there is breach of duty

A minority shareholder can bring a suit against the company where there is a breach of duty by the directors and majority shareholders to the detriment of the company.

In **Daniels vs. Daniels** (1978) case a company on an instruction of the two directors (husband and wife), having majority shareholding sold the company's land to one of them, (the wife) at a gross under value. The minority shareholders brought an action against the directors and the company. The court held that minority shareholders had a valid cause of action.

(vi) Oppression and Mismanagement

Where there is oppression of minority or mismanagement of the affairs of the company**, Foss vs. Harbottle** does not apply.

Oppression refers to an act performed in a burdensome, harsh and wrongful manner. A shareholder can bring an action against the management of the company on the grounds of oppression and mismanagement.

CLASSES OF SHARES

As stated in an earlier section of this chapter, there is a presumption of equality between the shareholders of a company. However, a company does not have to issue shares which all confer the same rights on the shareholders. A company can, and often will, issue shares of different classes, conferring different rights in respect of voting, dividends and return of capital in a winding up. The most common classes of shares are ordinary and preference.

a. Ordinary shares

This term is used to refer to the shares which are not given any special rights. If the company issues shares which all enjoy uniform rights, they will be ordinary shares. But, should the company confer special rights on some of its issued shares, then the shares not enjoying those rights will be classed as the ordinary shares. The usual position is that the ordinary shares would carry the voting rights in general meeting, carry an entitlement to any surplus assets in a winding up and have no fixed rate of dividend. This gives the ordinary shareholder the power to influence the policies of the company but makes his investment more speculative than the preference shareholder. In a financial year where the company makes a considerable profit and makes a large distribution by way of dividend, the ordinary shareholder has a right to participate after the preference shareholder rateably in the funds available. But, should the company have a poor year when little profit is made, the ordinary shareholder will receive very little or perhaps nothing. The position of the preference shareholder, then, is significantly better.

b. Preference shares

The most notable feature of preference shares is that they will normally have an entitlement to a fixed rate of dividend, usually expressed as a percentage of the nominal value of the shares themselves. This fixed rate dividend will be paid in priority to the dividends payable to the ordinary shareholders. The preference shareholder will not have an entitlement to a dividend ,(unless there is a specific agreement to the contrary) and will only receive a dividend in a particular year if the directors decide to declare one.

In that respect, they are more like the ordinary shareholder than the debenture holder, who will be entitled to a fixed rate of interest every year. The distributable profit in a poor year can be exhausted entirely in satisfying the claims of the preference shareholders without the ordinary shareholders receiving anything. If the company has performed so badly in a financial year that there is no distributable profit or not sufficient to satisfy the whole amount to which the preference shareholder is entitled, the preference shareholder may still be in a better position than the ordinary shareholder, because the preference share may well be cumulative, in which case, arrears of preference dividend will be carried forward and paid out of the distributable profits made in subsequent years and that is, of course, before the ordinary shareholder will receive anything. Preference shares can be classified as follows:

i) Cumulative or non-cumulative
ii) Participating preference shares or non-participating preference shares
iii) Convertible preference shares or non-convertible preference shares
iv) A preference share may be redeemable or irredeemable
v) Equity shares

1. Cumulative or Non-Cumulative.

In the case of cumulative preference shares, if the profit made by the company in a particular year is not sufficient to pay dividend at the prescribed rate, the shortage must be made up out of the profits of succeeding years. The dividends accumulate. In non-cumulative preference shares such shortages are not required to be made up. Dividends which are not paid do not accumulate but lapse.

2. Participating Preference Shares or Non-Participating Preference Shares

In the participating preference shares type of shares, the shareholder gets a part of the surplus profits beyond the amount or rate prescribed for them, if such surplus profits are available. Sometimes such preference shareholders are given the right to share in the surplus asset upon liquidation if any such assets are available. In the non-participating preference shares type of preference share, the shareholder cannot participate in the surplus profits or in the assets in liquidation.

3. Convertible Preference Shares or Non-convertible Preference Shares

The convertible preference shares types of shares can be converted into equity shares provided there is provision of such conversion in the Articles of a company. The non-convertible preference shares types of shares do not have the right of such conversion.

4. A Preference Share may be Redeemable or Irredeemable

The redeemable preference share could be redeemed i.e., purchased back by the company, subject to the conditions laid down in the articles and in the Act. An irredeemable preference share is one which cannot be purchased back.

c. Equity Shares.

All shares other than preference shares are called equity shares. The rights and privileges of equity shareholders are laid down in the articles subject to the provisions of the Act.

Rights of shareholders

The Companies Act gives various rights to the shareholders of a company. The important rights are mentioned below.

1. A shareholder can attend and vote in the general meetings of the company, He is entitled to receive notice of all such meetings.
2. The holder of a share warrant does not ordinarily possess the right to vote, but the article of a company may give him that right.
3. A shareholder has certain rights in respect of accounts. A shareholder must be given a copy of the balance sheet and the "statutory report" in the case of the statutory meeting" .
4. A shareholder is entitled to inspect the minutes of the proceedings of any general meeting without any charge.

5. A shareholder has the right to inspect the register and index of members and debenture holders and the annual returns, without any charge. He can also take extracts from any of them.
6. If the name of any member is, without sufficient cause, omitted from the register of members, he can apply to the court for rectification of the register.
7. A shareholder can transfer his share, subject to any restrictions that may be contained in the articles.
8. A shareholder can apply for the winding up of the company under certain circumstances, for example if default is made in holding the statutory meeting and delivering the statutory report or if the number of members of the company is reduced to below seven (in the case of a public company) and below two (in the case of a private company).
9. If surplus assets are available after winding up, they are to be distributed among shareholders.
10. Preference shareholders are entitled to get dividends.
11. Shareholders have the right to apply to the court for relief and redress under certain circumstances, e.g. if the annual general meeting is not held ; if there is mismanagement and oppression by the majority etc. In the latter case, the shareholder can also apply to the court.
12. A shareholder, jointly with certain other members, can call an extraordinary general meeting on Requisition.
13. A shareholder can avoid the contract of share and can claim damages, if there is any misstatement or deliberate secrecy of a material fact in the prospectus.
14. The articles of association of a company may give various other rights and privileges to the shareholders.

Classification

The rights of members, as explained above, can be classified in the following manner:

(1) Rights given from the Companies Act.
(2) Rights given by the ordinary laws of the country, i.e., legal rights, proprietary rights and remedial rights.
(3) Contractual rights, i.e., rights given by the memorandum and articles of association.

Liabilities and Duties of Shareholders

Liabilities

The liability of a shareholder depends on the type of the company. In a company limited by shares, the shareholder is not liable to pay anything more than the nominal value of the share, whatever may be the liabilities of the company. In a company limited by guarantee, the shareholder is liable to pay up to the amount of the guarantee and the nominal value of the share, if there is a share. In an unlimited company, the shareholder is liable to an unlimited extent for the debts of the company. The capital clause of the memorandum of association contains provisions regarding the liability of shareholders.

Duties and Obligations

A shareholder has certain duties and obligations. They are summarised below:

1. A shareholder must pay the unpaid amount due on the share, when calls are made.
2. In case of liquidation of a company, the shareholders are to be placed in the list of contributories.-
3. In certain cases a transferor of a share is still liable for the unpaid shares of a company.
4. The memo and the articles of association constitute a binding contract between the shareholder and the company.
5. All the shareholders are bound to follow the decision of the majority of the shareholders, unless the majority are guilty of mismanagement and oppression
6. Cases of unlimited liability.-
   (a) Under the Articles of association, directors and managers can be made liable to an unlimited extent.
   (b) If the number of membership of the company falls to below 7 in public companies and below 2 in private company, the existing members become liable for the debts of the company to an unlimited extent

VARIATION OF SHAREHOLDERS' RIGHTS (Sec. 74)

If in the case of a company, provisions are made by the memorandum or articles of association authorizing the variation of the rights attached to any class of shares in the company. This is subject to the consent of any specified proportion of the holders of the issued shares of that class or the sanction of a resolution passed at a separate meeting of the holders of those shares. In pursuance of the said provisions the rights attached to any such class of shares are at any time varied. The holders of not less in the aggregate than fifteen per cent of the issued shares of that class, being persons who did not consent to or vote in favour of the resolution for the variation, may apply to the court to have the variation cancelled. Where any such application is made, the variation shall not have effect unless and until it is confirmed by the court.

An application shall be made by petition within thirty days after the date on which the consent was given or the resolution was passed.

The court, after hearing the applicant may, having regard to all the circumstances of the case, that the variation would unfairly prejudice the shareholders of the class represented by the applicant, disallow the variation, and shall, if not so satisfied, confirm the variation.

The decision of the court on any such application shall be final.

The company shall within thirty days after the making of an order by the court forward a certified copy of the order to the registrar. If default is made in complying with this regulation, the company and every officer of the company who is in default shall be liable to a default fine.

SHARE CERTIFICATE

Definition

The share certificate is a certificate issued under the common seal of the company specifying the number of shares held by any member.

Rules

The rules regarding share certificates are stated below.

1. A company must prepare the share certificates and have them ready for delivery, within two months of the allotment of shares and/ or registration of any transfer of shares, unless the conditions of the issue of the shares provide otherwise.
2. The share certificate is prima facie evidence of the title of the member of such shares.
3. Duplicate: A certificate may be renewed or a duplicate issued if it
   (a) is proved to have been lost or destroyed, or
   (b) having been defaced or mutilated or torn, 'is surrendered to the company.
4. If a company renews a certificate or issues a duplicate with intent to defraud, it shall be punished with a fine and every officer in default shall be punished with a fine or imprisonment.
5. The Government may prescribe rules regarding the issue, renewal etc. of share certificates.
6. Estoppel: Although the share certificate is only prima facie evidence of title, its contents may lender the company liable under the equitable doctrine of estoppel. This is because the contents of the share certificate are a representation by the company to 3rd parties and a bona fide 3rd party who suffers loss or damage by reason of relying upon the representation will hold the company liable. The company cannot be heard to say that it never made the representation or that it was false. In **Bahia & San Francisco Railway Co,** T was the registered holder of 5 shares. S and G forged a transfer of the shares to themselves and presented it for registration with T's share certificate which they held as her brokers. The transfer was registered and a new share certificate was issued to S and G as shareholders. S and G sold the shares to B and another person who were duly registered as holders. T had the shares re-registered in her name since the forged transfer was a nullity. B and the other purchaser claimed the value of the shares from the company as damages.

The court held that the claim was valid since the share certificate in the name of S and G was "a declaration by the company to all the world that the person in whose name the certificate is made out and to whom the certificate is given, is a shareholder of the company ... with the intention that it shall be acted upon in the sale and transfer of shares". (NB in this case the share certificate issued to S and G was genuine (although obtained by a forged transfer) and the claimants had not themselves presented a forged transfer since the transfer to them by S and G was genuine (although it related to shares to which S and G had no title).

The principle of estoppel which applied in the case cited above is that if a person:

(a) makes a statement of fact with the intention that it shall be relied on; and
(b) the person to whom it is made does act in reliance on it and would suffer loss

If the statement were subsequently denied as untrue, then the person who made the statement is estoppel, i.e., is not permitted to deny his own statement by asserting the true facts. The position must remain or be resolved as if the statement made had been true.

Apart from ownership, the company may be similarly estoppel from denying the correctness of the certificate in other respects. For example, if the certificate states that the shares are fully paid, the company cannot deny that this is so

Contents of the share certificate

The following items are required to be in the share certificate:

a) Name of the company
b) Common seal of the company
c) Registered holder of the shares
d) Number of shares held
e) Serial number
f) Date of issue
g) Signature of directors

A share certificate is not a document of title but is prima facie evidence of ownership. The company therefore requires the holder to surrender his certificate for cancellation when he transfers all or any of his shares. If the company issues a share certificate which is incorrect it is estoppel from denying that it is correct but only against a person who has relied upon it and thereby suffered loss.

Differences between Share Warrant and Share Certificate

The differences between a share warrant and a share certificate are summarised below.

1. A share warrant states that a bearer is entitled to the shares specified therein. It is a substitute of the share certificate.
2. Share warrant is issued only with fully paid up shares. The share certificate may be issued even though the share is partly paid.
3. A share and the share certificate are transferred by the procedure stated in the Companies Act and the articles of the company. A share warrant can be transferred by the delivery of the warrant.

4. A shareholder is paid dividend by the procedure stated in the articles of the company. (It is usually paid by cheque, sent by registered post). A share warrant may have attached coupons on the production of which dividends due on the shares will be paid.
5. The holder of a share warrant does not ordinarily possess the right to vote and to exercise other rights of membership. The holder of a share certificate exercises the right of all the membership, including the right of voting.
6. The holder of a share certificate has his name included in the register of members. When a share warrant is issued, the name of the holder of the share certificate is removed and only the number and date of the warrant are noted

Stolen Certificates and Forged Transfers

Most of the case-law is concerned with share certificates issued as a result of the delivery to the company of a forged transfer together with a stolen or misappropriated share certificate of the registered holder. The company accepts the transfer for registration and issues a new certificate to the transferee who then re-sells the shares to another person. The result is then as follows:

(a) The original registered holder (A) can usually require the company to restore his name to the register since a forged transfer is a nullity which cannot deprive him of his title to the shares;

(b) The person (B) who obtained registration of the forged transfer of shares to himself cannot rely on the share certificate issued to him since he obtained it by presenting a forged transfer. On the contrary, he is liable to compensate the company for its liability. This is so even if B is unaware of the forgery;

(c) The second purchaser (C) has relied upon the share certificate issued to B. C is not disqualified from making the company liable on the certificate since C has not delivered a forged transfer to the company. C is not the owner of the shares (since his claim is based on forged transfer by A to the person (B) who purported to transfer the shares to him. But as the company cannot deny that B's share certificate is correct it must compensate C either by paying C the amount which C paid to B for the shares or by buying other shares in order to be able to register those shares in the name of C. (Alternatively, the company may leave C's name on the register and buy other shares to register in the name of A)

In **Sheffield Corporation V Barclay**, stock was registered in the joint names of T and H. T forged H's signature on a transfer and added his own. T delivered the transfer to B (who was unaware of the forgery) and B obtained registration of the transfer to himself. B later transferred the shares to C to whom B delivered a transfer and the certificate issued to him. When the forgery was discovered, H claimed to be restored to the register as holder of the shares (T had died meanwhile) and the corporation, being estoppel against C, purchased shares in the market for registration as replacement in the name of H. The corporation claimed compensation from B.

The court held that B was liable to compensate the corporation since he had caused it to issue a false share certificate by delivering a forged transfer to himself for registration.

In the example given above, it is assumed that the original registered holder has not contributed to the fraud. But if he does so, even innocently, he may be estoppel from asserting his ownership of the shares. He is not estoppel in this way merely because he leaves his share certificate in the possession of another person. But if he delivers a signed transfer to another person for a limited purpose he gives him apparent authority to use the transfer and so may be unable to repudiate an unauthorised use of the transfer.

In **Fry vs Smellie** case the registered holder of shares gave to an agent a blank transfer (i.e. a transfer signed by transferor but without the name of a transferee inserted) with a view to the agent borrowing a specified sum of money using the shares as security. The agent exceeded his authority by mortgaging the shares for a larger sum. The shareholder denied that the transfer was valid since it had been used in a transaction, which exceeded the actual authority given to his agent.

The court held that the shareholder was estoppel from asserting that the agent had exceeded his authority. The private limitation of authority could not be pleaded against a third party who was not aware of it.

Some companies in Kenya issue a "transfer notice" to the registered holder to the effect that a transfer of his shares had been presented for registration. However, if the registered holder ignores the notice he is not estoppel from later asserting that the transfer was not signed or authorised by him. Hence the issue of a transfer notice is of no value to the company. In England the practice has been generally abandoned. It would however be advisable for public companies to insure against liability arising from accepting a forged transfer.

Stock

A company may, if authorised by its articles, convert its issued shares into stock (or reconvert stock into shares). But shares must be allotted as shares ranking pari passu and be made fully paid before they can be converted into stock. The effect of conversion is that, for example, one hundredpound shares become a single block of 100 pound stock owned and transferrable in units of defined value (usually the same amount as the value of the shares from which they are derived). It used to be common practice to convert fully paid shares to stock to dispense with use of identifying numbers for shares. But this result can now be achieved in other ways. It should be noted that reference to shares in the Companies Act includes stock unless otherwise indicated.

Distinction between Shares and Stocks

There is a difference between shares and stocks as discussed below:

1. The shares of the same company are of equal nominal value. However, stocks may be divided into unequal amounts. Therefore, Ksh. 100 worth of stock can be divided into two parts of Ksh. 50 each.

2. Shares cannot be issued or transferred in fragments. Therefore a member cannot hold half a share. But a stock can be transferred in fragments.
3. Shares may be partly paid. Shares can be converted into stock only when fully paid up.
4. Stock cannot be issued when a company is initially formed. Shares are issued when a company is formed.
5. Shares are numbered consecutively. Stocks are not numbered. However, the names of the stock-holders are recorded in the books of the company.

SHARE WARRANT

A share warrant is a document issued by a company, stating that its bearer is entitled to the shares therein specified. It is a substitute for the share certificate. Share warrants may be issued for fully paid up shares, if the articles so provide. A share warrant may have attached coupons on the production of which the dividends due on the shareswill be paid. Shares may be transferred by delivery of the warrant. –Sec 85

When a share warrant is issued, the name of the holder of the share certificate concerned shall be removed from the register of members and the number and date of the share warrant shall be noted there. Any holder of the warrant can, if he so desires, surrender the warrant and take a share certificate, whereupon his name shall be recorded in the register of members. The holder of a share warrant does not ordinarily possess the right to vote and exercise other right of membership, but the articles may give him that right.

Offences in Connection with Share Warrants (Sec. 87)

If any person–

a) with intent to defraud, forges or alters, or offers, utters, disposes of or puts off, knowing the same to be forged or altered, any share warrant or coupon, or any document purporting to be a share warrant or coupon issued; or
b) by means of any such forged or altered share warrant, coupon or document, purporting as aforesaid, demands or endeavours to obtain or receive any share or interest in any company, or to receive any dividend or money payable in respect thereof, knowing the warrant, coupon or document to be forged or altered, he shall be liable to imprisonment for life.

If any person without lawful authority or excuse, proof whereof shall lie on him–

(a) engraves or makes on any plate, wood, stone or other material any share warrant or coupon purporting to be-
   i) a share warrant or coupon issued or made by any particular company; or
   ii) a blank share warrant or coupon so issued or made; or
   iii) a part of such a share warrant or coupon; or

(b) uses any such plate, wood, stone or other material for the making or printing of any such share warrant or coupon, or of any such blank share warrant or coupon, or any part thereof respectively; or

(c) knowingly has in his custody or possession any such plate, wood, stone or other material, he shall be guilty of an offence and liable to imprisonment for a term not exceeding fourteen years.

ISSUE AND ALLOTMENT OF SHARES

ISSUE OF SHARES

Whenever shares are to be issued to the public the company must issue a prospectus. Prospectus means an open invitation to the public to take up the shares of the company thus a private company need not issue prospectus. A Public Company issuing its shares privately need not issue a prospectus. However, it is required to file a “statement in lieu of prospectus” with the register of companies. The prospectus contains relevant information like names of directors, terms of issue, etc. It also states the opening date of subscription list, amount payable on application, on allotment & the earliest closing date of the subscription list.

Issue of shares at a Discount

According to Section 59 it’s lawful for a company to issue at a discount shares in the company of a class already issued:

Provided that–

i) the issue of the shares at a discount shall be authorized by resolution passed in general meeting of the company, and shall be sanctioned by the court; and
ii) the resolution shall specify the maximum rate of discount at which the shares are to be issued; and
iii) not less than one year shall, at the date of the issue, have elapsed since the date on which the company was entitled to commence business; and
iv) The shares to be issued at a discount shall be issued within one month after the date on which the issue is sanctioned by the court or within such extended time as the court may allow.

Where a company has passed a resolution authorizing the issue of shares at a discount, it may apply to the court for an order sanctioning the issue. The courthaving regard to all the circumstances of the case, it thinks proper so to do, may make an order sanctioning the issue on such terms and conditions as it thinks fit.(Sec. 59(2)

Every prospectus relating to the issue` of the shares must contain particulars of the discount allowed on the issue of the shares or of so much of that discount as has not been written off at the date of the issue of the prospectus.

If default is made in complying with these rules, the company and every officer of the company who is in default shall be liable to a default fine (Sec.59(b).

Power to issue Redeemable Preference Shares (Sec.60)

A company limited by shares may, if so authorized by its articles, issue preference shares which are, or at the option of the company are to be liable, to be redeemed:

Provided that–

i) no such shares shall be redeemed except out of profits of the company which would otherwise be available for dividend or out of the proceeds of a fresh issue of shares made for the purposes of the redemption;
ii) no such shares shall be redeemed unless they are fully paid;
iii) the premium, if any, payable on redemption, must have been provided for out of the profits of the company or out of the company's share premium account before the shares are redeemed;
iv) where any such shares are redeemed otherwise than out of the proceeds of a fresh issue, there shall out of profits which would otherwise have been available for dividend be transferred to a reserve fund, to be called the capital redemption reserve fund, a sum equal to the nominal amount of the shares redeemed. The provisions of the Companies Act relating to the reduction of the share capital of a company shall, apply as if the capital redemption reserve fund were paid-up share capital of the company.

The redemption of preference shares thereunder may be effected on such terms and in such manner as may be provided by the articles of the company.

The redemption of preference shares by a company shall not be taken as reducing the amount of the company's authorized share capital.

Where a company has redeemed or is about to redeem any preference shares, it shall have power to issue shares up to the nominal amount of the shares redeemed or to be redeemed as if those shares had never been issued. The share capital of the company shall not for the purpose of any enactments relating to stamp duty be deemed to be increased by the issue of shares:

Provided that, where new shares are issued before the redemption of the old shares, the new shares shall not, so far as relates to stamp duty, be deemed to have been issued in pursuance of regulations provided for in the Companies Act unless the old shares are redeemed within one month after the issue of the new shares.

The capital redemption reserve fund may be applied by the company in paying up unissued shares of the company to be issued to members of the company as fully paid bonus shares.

ALLOTMENT OF SHARES

Allotment means the appropriation to an applicant by a resolution of the directors of a certain number of shares in response to an application. Shares so allotted are not, in general, specific shares identified by number; the numbering is left till later.

Rules Regarding Allotment

The rules regarding allotment are summarised below.

1. Application Form.

The prospectus is an invitation to the public to purchase shares. Persons intending to purchase shares have to apply in a form prescribed in the prospectus for the purpose and called the "application form." The prospectus also fixes the time when the applications will be opened and the allotment of shares to the applicants will be made. The time is known as "the time of opening of the subscription lists." Applicants to whom shares have been allotted are informed by a letter. This letter is called, "the notice of allotment."

2. Result of a contract

Membership of a company by purchase of shares is the result of a contract. The application by the intending shareholder is the "offer" for the purchase of shares.

Allotment by the directors is the "acceptance of the offer". The notice of allotment is the "communication of the acceptance". Each of these stages in the formation of the contract must conform to the rules laid down in the Contract Act.

3. Conditional offers and acceptance of shares

Conditions are usually printed on the application form. One very common condition is that in case of over-subscription, the number of shares allotted to each subscriber will be proportionately less than the number of shares applied for.

Conditional acceptance is usually invalid. No condition should be attached to the acceptance of the offer to purchase shares. If the acceptance introduces a new term it will be a new offer by the company and it shall not be effective unless it is accepted.

4. By the proper authority

The allotment of shares is to be done by the board of directors of the company. Allotment can be delegated to some persons or a Committee, provided there is a provision in the articles of the company. Allotment made by any other than the proper authority is void.

5. Within a reasonable time

The allotment must be made within a reasonable time, otherwise the applicant is not bound to take the shares. The offer to buy the shares is deemed to be revoked if there is an unreasonable delay in accepting the offer. In the case of **Ramsgate Victoria Hotel Co. v. Montefiore** the defendant offered to purchase shares in the claimant company at a certain price. Six months later the claimant accepted this offer by which time the value of the shares had fallen. The defendant had not withdrawn the offer but refused to go through with the sale. The claimant brought an action for specific performance of the contract. The court held that the offer was no longer open as due to the nature of the subject matter of the contract the offer lapsed after a reasonable period of time. Therefore there was no contract and the claimant's action for specific performance was unsuccessful.

6. Application in a fictitious name.

Any person who

a) makes in a fictitious name an application to a company or acquiring, or subscribing for, any shares therein, or
b) otherwise induces a company to allot, or register any transfer of, shares therein to him, or any other person in a fictitious nameshall be held liable for this offence.

The above common law rules have been modified by the following statutory provisions:

i) Void Allotments

a) Sec. 50 A renders an allotment void if it was made to a body corporate which is not a registered company without the prior written consent of the treasury. This section was presumably "slotted in" in order to prevent public funds given by the treasury to parastatal organisations from being invested in bogus companies "owned" by some of the senior personnel in parastatals.

b) Sec.53 (1) renders an allotment void if it was made before aplying for, or obtaining, stock exchange permission for the company's shares to be dealt in on the stock exchange. This is only applicable in cases where the prospectus had stated that the permission had been, or would be, applied for.

ii)Voidable Allotments

An allotment of shares is voidable if it is made in breach of—

a) Section 49 (1): by having been made before the minimum subscription was raised or subscribed, or before the sum payable on application for the shares applied for was paid to, and received by, the company. The "minimum subscription" is defined in paragraph 4 of the Third Schedule as the minimum amount which, in the opinion of the directors, must be raised by the issue in order to provide for the following matters -

1. The price of any property to be paid for out of the proceeds of the issue.

2. The preliminary expenses and underwriting commission;

3. Repayment of money borrowed by the company for (1) and/or (2); and

4. Working capital.

If a company has not raised the minumum subscription it should not allot any shares but should wait and see if further applications would be made. Sec.49 (4) provides that if the minimum subscription has not been raised on the expiration of sixty days after the issue of the prospectus, all money received from applicants for shares shall be forthwith repaid to them without interest. The repayment should be made during the next 15 days. If however any application money is not repaid within seventy-five days after the issue of the prospectus, the directors of the company become personally liable for it and may be sued jointly or severally for the money, with interest thereon at the rate of 5% per annum from the expiration of the seventy-fifth day.

A director would not be liable if he proves that the default in the repayment of the money was not due to any misconduct or negligence on his part.

b) Sec.50: by having been made before the statement in lieu of prospectus, if any, was delivered to the registrar for registration.

iii)Valid But Irregular Allotments

An allotment of shares is valid but irregular under Sec.52 (3) if it was made before the time of the opening of the subscription lists. The section assumes that:

a) the allotment was not made in contravention of Sec.50 or Sec.53 so as to be void as a consequence, and
b) the allotment was not made in breach of Sec.49 or Sec.51 so as to be voidable as a consequence.

Although the allotment is valid, the company and every officer of the company who is in default shall be liable to a fine not exceeding ten thousand shillings.

Restrictions

The Companies Act prescribes the following restrictions on the allotment of shares: Sec. 49(1)

1. Opening of the subscription list

No allotment shall be made of any share capital of a company offered to the public for subscription unless the amount stated in the prospectus as the minimum amount which, in the opinion of the directors, must be raised by the issue of share capital in order to provide for the matters specified in paragraph 4 of the Third Schedule has been subscribed, and the sum payable on application for the amount so stated has been paid to and received by the company

2. Minimum subscription

No allotment can be made until the amount fixed as the minimum subscription has been received.

3. Application money

The amount payable on each share, with the application form, shall not be less than 5 per cent of the nominal value of the share.-

4. Return of Money

If the conditions provided for have not been complied with on the expiration of sixty days after the first issue of the prospectus, all money received from applicants for shares shall be repaid to them without interest.If any such money is not so repaid within seventy-five days after the issue of the prospectus, the directors of the company shall be jointly and severally liable to repay that money with interest at the rate of five per cent per annum from the expiration of the seventy-fifth day

5. Statement of prospectus

Where a statement in lieu of prospectus delivered to the registrar includes any untrue statement, any person who authorized the delivery of the statement in lieu of prospectus for registration shall be guilty of an offence and liable to imprisonment for a term not exceeding two years or to a fine not exceeding ten thousand shillings, or to both such fine unless he proves either that

a) the untrue statement was immaterial or that he had reasonable grounds to believe and did,
b) up to the time of the delivery for registration of the statement in lieu of prospectus, he believed that the untrue statement was true

Effects of an irregular allotment (s.51)

An allotment made in violation of the five rules discussed above has the following consequences :

1. Option

The allotment becomes voidable at the option of the shareholder. The option, to avoid the contract, must be exercised within one months of the holding of the statutory meeting or, where no statutory meeting is required to be held or , within one month after the date of the allotment,. The option to avoid can be exercised, even if the company is in course of liquidation.

2. Compensation

Any director knowingly or willfully contravening the rules or authorising the contravention, shall be liable to pay compensation to the shareholders concerned for any loss or damage suffered. The suit for compensation must be brought within 2 years of the date of allotment.

Return As To Allotments

Section 54 (1) provides that whenever a company limited by shares or a company limited by guarantee and having a share capital makes any allotment of its shares, the company shall, within sixty days thereafter, deliver to the registrar for registration -

i) A return of the allotments (on Form No.213), stating:

a) the number and nominal amount of the shares allotted,
b) the names, addresses and descriptions of the allottees, and
c) the amount, if any, paid or due and payable on each share.

ii) In the case of shares allotted as fully or partly and paid up otherwise than in cash, a contract in writing constituting the title of the allottee to the allotment together with any contract of sale, or for services or other consideration in respect of which that allotment was made, such contracts being duly stamped, and a return (on Form No.213) stating the number and nominal amount of shares so allotted, the extent to which they are to be treated as paid up, and the consideration for the allotment.

If such a contract is not in writing, the prescribed particulars of the contract must be filed on Form No.221. The form must be stamped with the same stamp duty as would have been payable if the contract had been reduced to writing.

Commencement of Business

The Companies Act provides that a public company which has issued a prospectus cannot commence business or exercise any borrowing powers unless:-

a) the minimum subscription has been raised; and
b) every director of the company has paid to the company on each of the shares taken or contracted to be taken by him and for which he is liable to pay in cash, a proportion equal to the proportion payable on application and allotment on the shares offered for public subscription; and
c) no money is or may become liable to be repaid to applicants for any shares or debentures which have been offered for public subscription by reason of any failure to apply for or to obtain permission for the shares or debentures to be dealt in on any stock exchange; and
d) there has been delivered to the registrar of registration a statutory declaration by the secretary or one of the directors, in Form No.211, that the aforesaid conditions have been complied with.

If the minimum subscription was not raised the company can only commence business or exercise borrowing powers if:-

a) a statement in lieu of prospectus has been delivered to the registrar for registration;
b) Every director of the company has paid to the company, on each of shares taken or contracted to be taken by him and for which he is liable to pay in cash, a proportion equal to the proportion payable on application and allotment on the shares payable in cash; and

c) there has been delivered to the registrar for registration a statutory declaration in Form No.212 by the secretary or one of the directors that condition b) above has been complied with.

The registrar shall, on delivery of the relevant form, or statement in lieu of prospectus, certify that the company is entitled to commence business. The certificate is conclusive evidence that the company is entitled to commence business.

Section III (4) provides that any contract made by a company before the date at which it is entitled to commence business shall be provisional only, and shall not be binding on the company until that date. This provision is somewhat ambiguous and it is not clear whether the "provisional" contract binds the other party.

In **Re "Otto" Electrical Manufacturing Co** (Clinton's Claim) the court held that the company was not liable to pay for the goods which had been sold to it before it obtained the trading certificate. Since it was put into liquidation before obtaining the certificate, the contract did not "become binding" and the liquidator had therefore rightly rejected the claim.

Sec.219 (c) provides that a company which does not commence its business within a year from its incorporation may be wound up by court.

Section III does not apply to a private company which may therefore legally commence its business as soon as it is incorporated.

TRANSFER AND TRANSMISSION OF SHARES AND DEBENTURES

The shares or other interest of any member in a company are movable assets and thus transferable in the manner prescribed under the Act and the articles of the company.

Section 75 of the Act provides that shares in a company shall be capable of being transferred in the manner provided by the articles of the company, and it is well settled that unless the article otherwise provides, the shareholder has a free right to transfer to whom he wills.

It is not necessary to seek the article for a power to transfer, for the Act itself gives such power. It is only necessary to look to the articles to ascertain the restrictions, if any upon it. Therefore a member has a right to transfer his shares to another person unless this right is clearly taken away by the articles.

A transferee under a valid transfer has an absolute right to be registered unless the company has a power to refuse to register and has in fact effectively refused.

One of the greatest advantages of incorporation of a company is the capacity of members subject to some restrictions, to freely transfer their shares. If the directors must reject the transfer of the shares they must do so within reasonable time.

Contract of transfer

The contract by which a shareholder undertakes to transfer his shares is usually a contract of sale whereby the proposed transfer agrees to sell, and the proposed transferee agrees to buy tIte shares.

Where the obligation to transfer shares arises from a contract of sale of those shares the following are the implied terms:

i. That the transferee will pay the price and that the transferor will hand over to him genuine instruments of transfer and share certificates.
ii. That the certificate carries the rights and interests which it purports to convey.
iii. That there is no undertaking by the transferor that the transferee will be registered.
iv. That the transferor will do nothing to prevent the transferee from having the transfer registered or to delay that event.
v. That the transferee will indemnify the transferor from any calls or liability which may arise in respect of the shares subsequent to the transfer.

Once the contract has been entered into the transferee has an equitable title to the shares and the transferor holds them, until registration, as trustee for the transferee.

Restriction on Transferability

Section 30 of the Companies Act requires the articles of private companies to restrict the right to transfer the company's shares. The model articles—Table A—contains provisions which give the directors power to refuse to register a transfer of any share, whether fully or partly paid. The articles of a public company may also restrict the right to transfer the company's shares—usually if the shares are not fully paid or if the company has a lien on them.

Unless the directors have a power under the articles to refuse a transfer and exercise that power properly, the transfer must be registered and the court may order rectification of the register for that purpose. The rules on the restriction of transfer are:

(a) To exercise their power, the directors must consider the transfer and take a decision to refuse to register it.
In **Re Hackney Pavilion** a transfer of shares was sent in by the executors of a deceased director and shareholder. The two surviving directors held a board meeting and disagreed as to whether the transfer should be registered. There was no casting vote. The secretary wrote to the executors to inform them that the directors had declined to register the transfer.
The court held that this was incorrect since a positive act of refusal was necessary and there had been none. The register must be rectified by registering the transfer.

(b) The directors in reaching their decision must act bona fide in what they consider to be the best interests of the company: In **Smith & Fawcett**case , Article 10 of the company's articles provided that the directors might in their absolute and uncontrolled discretion refuse to register any transfer of shares. There were only two directors and shareholders, Smith and Fawcett, who held 4,001 shares each. After Fawcett's death, Smith and a co-opted director refused to register a transfer of his shares into the names of his executors, or one of them, but Smith offered instead to register 20,001 shares and to buy the remaining 2,000 shares at a price fixed by himself. The court refused to intervene in the exercise of this discreet evidence of mala fides.

(c) Where the articles specify grounds of refusal, the directors may be required to identify the grounds of refusal. However, they are not obliged to disclose the detailed reasons for their decision (unless the articles so provide). If the directors fail do disclose their reasons, the court will consider whether the directors acted bona fide or whether their reasons accord with the grounds specified in the articles (if that is the case).

In **Re Bede Ss Co Ltd (**1971) the directors were authorised to refuse transfers if in their opinion it was contrary to the interests of the company that the transferees should be members. The directors rejected transfers of small numbers of shares (and of single shares) on the ground that it was prejudicial to the company that its issued share capital should be fragmented.

The court held that the reason given could be challenged and was invalid. The power to refuse registration must (on the formula used in the articles) be confined to cases of objection to the transferees on personal grounds. In this case the directors were objecting to the small amount of shares transferred which was not an objection to the transferees personally.

(d) The power of refusal must be exercised within a reasonable time from the receipt of the transfer. Under Sec. 80, a company is required to give notice of any refusal within sixty days. If the power is not exercised within a reasonable time it lapses and can no longer be used. The requirement of notice of refusal within sixty days effectually makes that the "reasonable" period.

In **Re Swaledale Cleaners Ltd** (1968) transfers of shares were presented on 3rd August 1967. There was only one director then in office and he purported to refuse to register the transfers in exercise of a power of refusal given by the articles. The quorum for meetings of the directors was two and so the one director was not competent to exercise the powers of the board. On 11th December 1967 proceedings were begun for rectification of the register, i.e., a court order that the transfers should be entered in the register. On 18th December 1967 a second director was appointed and there was a board meeting at which the two directors refused to register the transfers (4 months, 14 days).

The court held that the attempt to exercise the power of refusal on 18th December 1967 was invalid since, in the interval of 4 1/2 months (since the transfers were presented), the power had expired (as regards those transfers). Since the power of refusal had not been exercised the transfers must be entered in the register.

The articles may also restrict the right to transfer shares by giving to members a right of first refusal of the shares, which other members may wish to transfer. Any such rights are strictly construed, i.e. a member who wishes to accept must observe the terms of the articles and a member will not be permitted to evade his obligation to make the offer.

In **Lyle & Scott V Scott's Trustees** case, the articles required any member who might be "desirous of transferring" his shares to give notice to the company secretary so that the shares could be offered to other members. Certain members agreed to sell their shares to an outsider and, while remaining the registered holders, gave the purchaser their proxies so that he could secure control of the company.

The court held that these members were indeed "desirous of transferring" their shares and must give formal notice as the articles required.

The cases cited above show that when there is a dispute over refusal to register the proper remedy is to apply to the court for rectification. A member who applied for an order for compulsory winding up of the company on the just and equitable ground was refused as "a winding up petition is not a proper remedy" in such a case because to liquidate the company would be unfair to other members not involved in the dispute.

Judicial rules Governing Transfer

Some of the judicial rules that govern transfers include:

i. Since shareholders have a prima facie right to transfer to whomsoever they please, this right is not to be cut down by uncertain language or doubtful implications. The extent of the restriction is a matter of construction of the regulation.
ii. The courts will not carry a literal construction of the regulations as to defeat their obvious purpose.

    In **Lyles Scott vs. Scott's Trustees** (1959) case, the articles conferred a right of pre-emption on the other shareholders when any shareholders was "desirous of transferring his ordinary shares". Certain shareholders sold their shares to a take-over-bidder, received the purchase price and gave him irrevocable proxies to vote on their behalf, but, in the light of the articles, transfers were not be lodged for registration. The court held that in the context "transferring" obviously meant assigning the beneficial interest and not the technical process of having a transfer registered.

iii. Where the regulation confers a discretion on directors with reference to the acceptance of the transfers, this discretion must be exercised bona fide and in the interest of the company because it is a fiduciary duty.

iv. If on the true construction of the regulations the directors are only entitled to reject on certain prescribed grounds and it is proved that they acted on other grounds the court will interfere.

v. If the regulations merely give the directors power to refuse transfer, a condition precedent to registration, the transferee is entitled to register unless the directors resolve as a body to reject.

The rules only apply when they have been incorporated in the articles.

Provisions of the Act Relating to Transfer

The following are some of the provisons provided in the Companies Act in relation transfer and transmission of shares and debentures:

1. Instrument of transfer

Section 77 of the Act states that it shall not be lawful for the company to register transfer of shares in or debentures of the company unless a proper instrument of transfer has been delivered to the company. If such transfer is in favour of a body corporate, which is not a company, it must be accompanied with a written consent of the treasury.

2. Transfer by personal representative

Section 78 provides that a transfer of the shares or other interest of a deceased member of a company made by his personal representative shall, although the personal representative is not himself a member, be as valid as if he had been such a member at the time of the execution of the instrument of transfer.

3. Application for Transfer (Sec. 79)

On the application of the transferor of any share or interest in the company, the company shall enter in its register of members the name of the transferee in the same manner and subject to the same condition as if the application for the entry were made by the transferee.

4. Refusal by Company to Register transfers (Sec. 80)

If the company refuses to register a transfer of any shares or debentures, the company shall within 60 days after the date on which the transfer was lodged with the company, send to the transferee notice of the refusal.

5. Certificate of Transfer (Sec. 81)

Certification by a company of any instrument of transfer of shares or debentures of the company shall be taken as a representation by the company to any person acting on the faith of the certification that there has been produced prima facie title to the shares or debentures in the transferor named in the instrument of transfer but not as a representation that the transferor has any title to the shares or debentures.

An instrument of transfer is deemed to be certificated if it bears the words

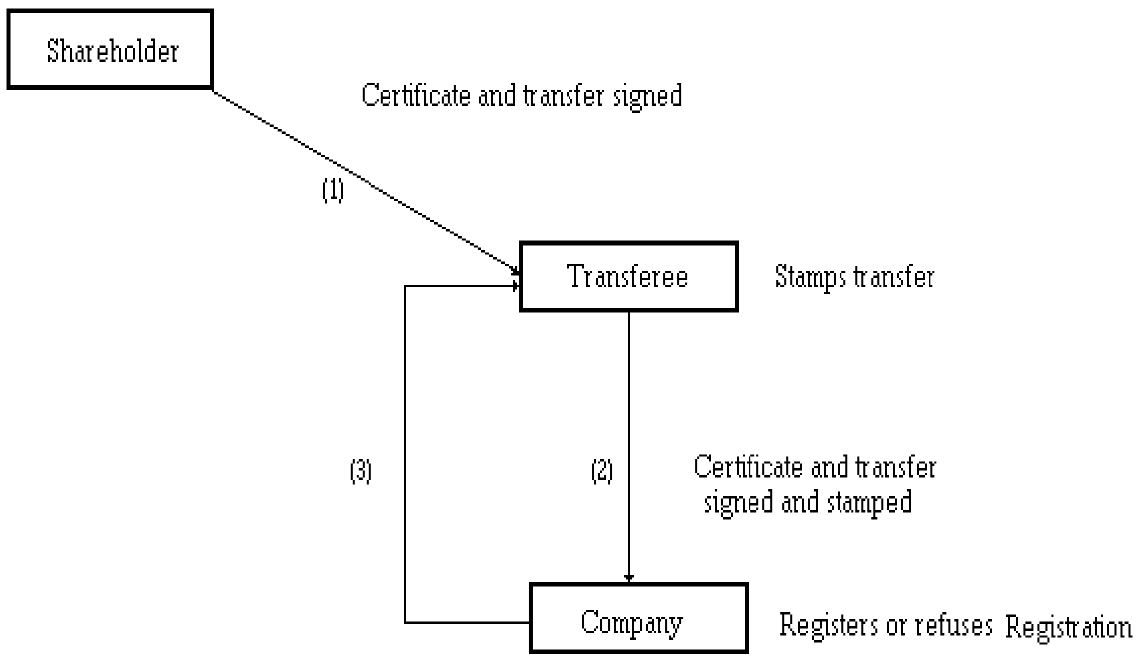
"Certificate lodged" or words to that effect. An instrument is deemed to have been certified by a company if:

i. the person issuing the instrument is a person authorized to issue certificated instruments of transfer on the company's behalf
ii. the certification is signed by a person authorized to certificate transfers on the company's behalf by any officer or servant either of the company or a body corporate so authorized.

Procedure of transfer of shares

1. When a share warrant to bearer has been issued, no procedure for transfer of such shares is to be followed, for they are transferable merely by delivery without any instrument of transfer. On the other hand, in the case of the registered shares for which a share certificate has been issued, certain legal requirements have to be complied with before a transfer of shares takes place.
2. If the shares are registered, a further document will be required. It is illegal for a company to register a transfer unless a proper instrument of transfer has been delivered. It is thus implied in the contract that the seller shall deliver to the buyer validly executed document of transfer.
3. The seller will also be required to hand over to the buyer his documentary title i.e. the share certificate for registration purposes.
4. The seller must not do anything to prevent the buyer (or his nominee) from becoming registered.
5. Before a buyer becomes a member and shareholder, they must enter into an agreement and he must be entered in the register.
6. The company then usually sends a notice to the transferor that a transfer has been lodged for registration. This insures the company against forged transfers.

This is explained by the following diagram:



Effect of Transfer

As regards the rights and liabilities of the transferor of or a transfer Lord Lindley observed in **Taylor Phillips and Co:**

"When a member transfers his shares, he transfers all his rights and obligations as a shareholder as from the date of the transfer. He does not transfer rights to dividends or bonuses already declared nor does he transfer liabilities in respect of calls already made; but he transfers his rights to future payments and his liabilities 10 future calls ",

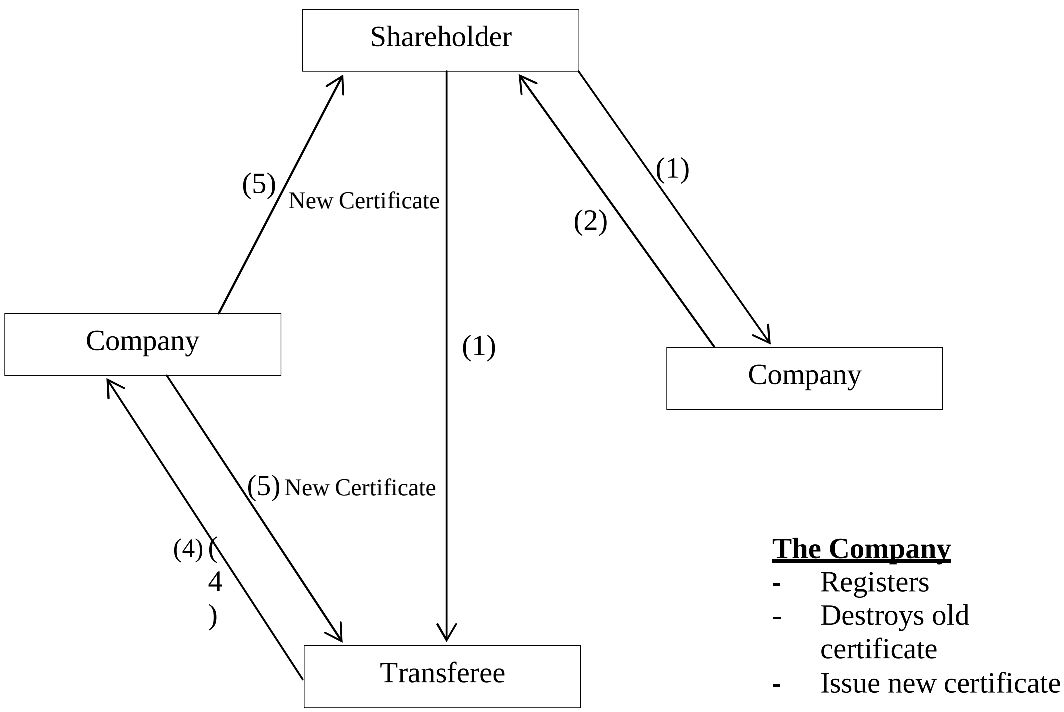
In so far as the company is concerned, the transfer does not take effect until it has been dully registered and the transferor remains the legal owner of the shares entitled to receive dividends and liable to the unpaid calls, if any, in the eyes of the law.

So far as the transferor and transferee inter se are concerned, the transfer takes effect immediately on the execution of a proper instrument of transfer.

Certification of Transfers

If the holder is not transferring his entire holding by a single transfer, it would be inappropriate for him to hand to the transferee a share certificate for a larger number of shares than are comprised in the transfer.

In such a case the holder sends his signed transfer with his share certificate to the company for cancellation and the transfer form is returned to the transferor who then delivers it to the transferee for stamping and representation to the company. If the transferor is retaining some shares the company sends him a new share certificate for the reduced number of shares still registered in his name. This procedure is called "certification" of a transfer. It is explained by the following diagram:



KEY

1. Certificate and signed transfer sent to company
2. Signed transfer is endorsed and returned to transferor
3. Transfer delivered to transferee
4. Transfer stamped and sent to company
5. New certificates sent to transferor and transferee

The transfer of registered debentures or of debenture stock is subject to the same rules as transfer of shares.

Certification is a representation by the company to any person acting on the faith of the certification that documents have been produced to the company which on the face of them show a prima facie title of the transferor to the shares comprised in the transfer. It is not a representation that the transferor has any title to them but it does imply that the certificate will be retained.

Under Sec.81(2), any person who acts on a negligent certification can claim damages from the company for his loss if the company did not either receive or fails to retain the share certificate. But the company has no duty and no liability to anyone else. If, for example, the company returns the certified transfer form and the share certificate to the holder who sells the shares to A giving him the certified transfer form and also to B, giving B a second transfer form of the same shares with the transferor's certificate and A's transfer is then registered first, B has no claim against the company if it refuses to register the second transfer to him. B does not in this case rely on the certified transfer (of which he is unaware) and the share certificate was correct when first issued to the holder.

In **Longman vs Bath Electric Tramways** a transfer of shares to B was registered and a certificate was prepared in his name. Before the certificate had been issued, B signed a transfer of the shares to H and this transfer was sent to the company for certification. The company certified the transfer (as it still had B's new share certificate) and returned the certified transfer to B. By mistake the company then sent to B the share certificate in his name. B deposited the share certificate with L as security for a loan. L later claimed that he was entitled to the shares.

The company held that L's claim must fail. He had never seen (and therefore did not rely on) the certified transfer to H and mere possession of B's share certificate gave him no claim against the company since the certificate at the time of issue correctly described B as still the registered holder of the shares (ie the transfer to H had not at that point been delivered for registration).

If—to vary the facts of Longman's case—L had been able to secure registration as holder of the shares and the company had then rejected the transfer to H, H could claim compensation from the company since the certified transfer delivered to him would have been a representation by the company that it held B's certificate and that the transfer to H was valid.

If identified shares are sold under a preliminary contract the rights and obligation incidental to ownership of the shares pass at once to the purchaser under the contract unless otherwise agreed. Thereafter, any dividend received by the vendor (pending registration of his transfer) must be paid over to the purchaser (unless the shares are sold "ex-div"). The purchaser must indemnify the vendor against any calls made on the shares before registration of the transfer. The vendor is, however, free to vote at meetings as he wishes until the purchase price has been paid to him.

A vendor of shares has a duty (implied by the contract of sale) to deliver a transfer of the shares (in exchange for the price) which will give the purchaser good title to the shares. If he fails to deliver such a transfer, he is liable to pay damages.However, the vendor does not (unless the contract expressly so provides) guarantee that the company will register the transfer. If the company rejects the transfer, the vendor as registered shareholder holds the shares in trust for the purchaser as his nominee.

Blank Transfer

A blank transfer is one where the transferor (seller) signs the transfer leaving blank the name of the transferee and the same is delivered to the transferee along with the relevant share certificate.

By so doing the transferor impliedly by authorizes the buyer to complete the transfer by inserting either his own name or that of a nominee for him or a sub-purchaser for him.

Blank transfer facilities speculation in shares of stock exchanges because every time stock transfer changes hands stamp duty and registration fee is saved.

It is only the last transferee, who wants to retain shares who fills his name, date and affixes stamps and pays the registration fee to the company.

Effects of Unregistered Transfers

The effects of unregistered transfer include:

1. The buyer does not become a member or shareholder.
2. The company shall not be concerned with the beneficial ownership but shall be bound or entitled to recognize tile person whose name is at the register.
3. No notice of trust expressed or implied or constructive shall be entered on the register.
4. In the case of sale and purchase the seller holds as trustee for the purchaser and must account to him for any benefit.
5. Such transfers (unregistered) are incomplete (inchoate) and the transferee's right may be defeated if a third party gets registered first. This is so because both parties have some right (equities) over the shares.
6. Where the equities are equal the first to register a valid transfer acquires priority
7. Similarly where the equities are equal and neither is registered the first in time prevails.

TRANSMISSION OF SHARES

Transmission of shares means transfer of property or title in shares by operation of law

It implies succession to shares e.g.

i. on death of a shareholder to his legal representative;

ii. on the insolvency of a shareholder to his official receiver,
iii. on the lunacy of a shareholder to his administrator in lunacy appointed by the court;

Shall become entitled to the shares owned by the deceased insolvent or a lunatic member respectively

This may further be called an involuntary assignment of shares. This is so because the property in shares passes by operation of law i.e. without a formal instrument of transfer and without consideration to a person who is entitled under the law to succeed to the estate of the deceased or lunatic automatically.

A person entitled to any shares on transmission shall have the same right as to dividend and other privileges carried by a share as if he was the original member except that he cannot exercise any right as a member at the meeting of the company.

The executors or administrators, in whom shares have so become vested, are entitled to be registered as the holder of the shares but in the absence of a provision to the contrary; but the executors or administrators *de not ipso facto* become members of the company, nor is the company entitled, without their consent, to register them as members. Otherwise they may be held personally liable.

Under section 78 a personal representative is capable of transferring the shares of a deceased person and such transfer shall be as valid as if he had been such a member at the time of the execution of the instrument of transfer. However, one of two or more executors cannot transfer, all must concur.

Restrictions on Transfer

Section 30 of the Companies Act requires the articles of private companies to restrict the right to transfer the company's shares. The model articles—Table A—contains provisions which give the directors power to refuse to register a transfer of any share, whether fully or partly paid. The articles of a public company may also restrict the right to transfer the company's shares—usually if the shares are not fully paid or if the company has a lien on them.

Unless the directors have powers under the articles to refuse a transfer and exercise that power properly, the transfer must be registered and the court may order rectification of the register for that purpose. The rules on the restriction of transfer are:

To exercise their power, the directors must consider the transfer and take a decision to refuse to register it.

In **Re Hackney Pavilion** case**,** a transfer of shares was sent in by the executors of a deceased director and shareholder. The two surviving directors held a board meeting and disagreed as to whether the transfer should be registered. There was no casting of votes. The secretary wrote to the executors to inform them that the directors had declined to register the transfer.

The court held that this was incorrect since a positive act of refusal was necessary and there had been none.

The register must be rectified by registering the transfer.

(a) The directors in reaching their decision must act bona fide in what they consider to be the best interests of the company**:** In **RE: Smith & Fawcett**case, Article 10 of the company's articles provided that the directors might in their absolute and uncontrolled discretion refuse to register any transfer of shares. There were only two directors and shareholders. Smith and Fawcett, who held 4,001 shares each. After Fawcett's death, Smith and a co-opted director refused to register a transfer of his shares into the names of his executors, or one of them, but Smith offered instead to register 20,001 shares and to buy the remaining 2,000 shares at a price fixed by himself. The court refused to intervene in the exercise of this discreet evidence of mala fides.

(b) Where the articles specify grounds of refusal, the directors may be required to identify the grounds of refusal. However, they are not obliged to disclose the detailed reasons for their decision (unless the articles so provide). If nonetheless the directors do disclose their reasons, the court will consider whether the directors acted bona fide or whether their reasons accord with the grounds specified in the articles (if that is the case).

In **Re Bede Ss Co Ltd** (1971) case, the directors were authorised to refuse transfers if in their opinion it was contrary to the interests of the company that the transferees should be members. The directors rejected transfers of small numbers of shares (and of single shares) on the ground that it was prejudicial to the company that its issued share capital should be fragmented. The court held that the reason given could be challenged and was invalid. The power to refuse registration must (on the formula used in the articles) be confined to cases of objection to the transferees on personal grounds. In this case the directors were objecting to the small amount of shares transferred which was not an objection to the transferees personally.

(c) The power of refusal must be exercised within a reasonable time from the receipt of the transfer. Under Sec. 80, a company is required to give notice of any refusal within sixty days. If the power is not exercised within a reasonable time it lapses and can no longer be used. The requirement of notice of refusal within sixty days effectually makes that the "reasonable" period.

In **Re Swaledale Cleaners Ltd** (1968), transfers of shares were presented on 3rd August 1967. There was only one director then in office and he purported to refuse to register the transfers in exercise of a power of refusal given by the articles. But a quorum for meetings of the directors was two and so the one director was not competent to exercise the powers of the board. On 11th December 1967 proceedings begun for rectification of the register, i.e., a court order that the transfers should be entered in the register. On 18th December 1967 a second director was appointed and there was a board meeting at which the two directors refused to register the transfers (4 months, 14 days). The court held that the attempt to exercise the power of refusal on 18th December 1967 was invalid since, in the interval of 4 1/2 months (since the transfers were presented), the power had expired (as regards those transfers). Since the power of refusal had not been exercised the transfers must be entered in the register.

The articles may also restrict the right to transfer shares by giving to members a right of first refusal of the shares, which other members may wish to transfer. Any such rights are strictly construed, i.e. a member who wishes to accept must observe the terms of the articles and a member will not be permitted to evade his obligation to make the offer.

In **Lyle & Scott V Scott's Trustees** case**,** the articles required any member who might be "desirous of transferring" his shares to give notice to the company secretary so that the shares could be offered to other members. Certain members agreed to sell their shares to an outsider and, while remaining the registered holders, gave the purchaser their proxies so that he could secure control of the company.

The court held that these members were indeed "desirous of transferring" their shares and must give formal notice as the articles required.

The cases cited above show that when there is a dispute over refusal to register the proper remedy is to apply to the court for rectification. A member who applied for an order for compulsory winding up of the company on the just and equitable ground was refused as "a winding up petition is not a proper remedy" in such a case because to liquidate the company would be unfair to other members not involved in the dispute.

CENTRAL DEPOSITORY SYSTEM

Central depository system was established in the year 2000 after the passing of the Central Depositories Act no 4 of2000.

The purpose of the Act was to ensure speedy and expeditious trading in stock exchange unlike the old system of transfer of shares through execution of an instrument of transfer and registration of transfer of share.

Under this system shares are electronically transferred through a company system established by the central depository which forms part of the system for central handling of securities.

Under the system dealers are supposed to open an account for easy and fast transfer of shares.

Meaning of a Central Depository

A central depository means a company approved by the Authority (Capital Markets Authority) to establish and operate a system for the central system of handling of securities:

a) Whereby all such securities are immobilized or dematerialised and dealings in respect of those securities are effected by means of entries in securities account withheld the physical necessity of certificate,
b) Which permit or facilitate the settlement or registration of securities transactions or dealing in securities without the physical necessity of certificates.
c) To provide other facilities and services incidental thereto

Meaning of Dealing in Securities

Dealing in securities refers to the making or offering to make with any person or inducing or attempting to induce any person to enter into or offer to enter into any agreement for or with the view to acquiring, disposing off or subscribing for securities or any agreement the purpose of which is to ensure or secure a profit to any of the parties from the yields of securities or by reference to fluctuations in the price of securities.

Dematerialization of Securities

This means a book entry of a security which has been prescribed by the central depository whereby the underlying physical certificate is no longer recognised as prima facie evidence of share ownership under the Companies Act from the dematerialisation date. Dematerialization date in relation to a dematerialized security means the date prescribed by the central depository as being the last day on which a certificate representing such security shall be recognised as prima facie evidence of share ownership under the Companies Act.

Meaning of immobilized Securities

This refers to a security where the underlying physical certificate has been deposited with and is being held by a central depository from the immobilisation date.

Immobilization date means the date specified in the notice given by a securities exchange as being the last day on which the eligible security may be traded on the securities exchange unless such security has been deposited with the central depository.

Duties of Central Depository

A central depository shall provide or cause to be provided all such facilities as may be necessary to;

a) facilitate the immobization securities
b) facilitate the deposit and withdrawal of certificates in respect of a mobilized securities.
c) facilitate the dematerialisation of securities
d) open, maintain and close securities account.
e) facilitate the efficient transfer of book entry securities.

f) facilitate the efficient process of cash payment in exchange for securities.
g) facilitate registration of dealings in book entry securities.
h) operate securities account for the handling of book entry securities and cash ifany.

Prescription for Securities for Immobilization

A securities exchange may from time to time after consultation with the central depository prescribe that any security listed or quoted or proposed to be listed or quoted on the securities exchange be immobilized by depositing such security with the central depository. A security exchange shall in respect of securities listed or quoted on securities exchange give notice to the public in the manner prescribed by the central depository requiring all eligible securities prescribed by it to be immobilized with a central depository.

The deposit by a person of any eligible security with an agent of central depository shall be deemed to be a deposit of such security with that central depository. Application for approval to operate central depository

Any person wishing to operate central depository shall submit an application in prescribed form.

The application shall be accompanied with:

i. Memorandum and articles of association of the applicants whose main objective shall be to operate a central depository.
ii. A certificate of incorporation and applicants proposed rules
iii. The name(s), certificate(s) and memorandum and articles of association for all its nominee companies.
iv. A business model including the details of the central depository of settlements system proposed to be adopted by the applicant.
v. A certified copy of the agreement between the systems provider and the applicant where applicable.
vi. Prescribed fees by capital market.
vii. Schedule of proposed fees and penalties and
viii. Any such additional document as may be required by the authority.

Contents of proposed Central Depository rules

The rules proposed to be adopted by an applicant for approval to operate a central depository shall contain the following provisions:

a) Appointment, functions, suspension and revocation of appointment of central depository agent.
b) Appointment of a manager for a suspended central depository agent
c) Notification to the issuers and the public of all eligible securities prescribed to be immobilized or dematerialized with the central depository.
d) A deposit of certificates
e) Information to be contained in the record of depositors.

f) Frequency of issue of the statement of accounts by the company to the depositors
g) Charging of securities.
h) Circumstances when book entry security in securities account in suspense in circumstances other than provided under the act circumstances for investigation or restriction of dealing in any book entry transfer partially or otherwise.

Establishment of Central Depository Guarantee Fund

The central depositories guarantee fund is established under section 14 of the Act for the purpose of ensuring settlement of trades through the central depository. The guarantee Fund shall consist of:

i. A contribution of 1,500,000 (or such higher amount as central depository guarantee fund may from time to time, in consultation with the Authority and the Nairobi Stock Exchange determine) by such central depository agent as will be involved in settlement.
ii. All penalties and fines imposed by the central depository
iii. Such sum of money as accrued from interest and profits from investing the fund's money.
iv. A levy for every transaction through the security exchange as approved by the Authority.
v. Such contribution from the revenue of central depository as its board may determine from time to time.
vi. Funds hitherto constituting Nairobi Stock Exchange Investor Compensation Fund.
vii. Such other funds as the board of the central depository, with approval of the Authority may determine.

Reference to Companies Act

With effect from the dematerialization date and notwithstanding the provisions of the Companies Act, anything in the article of association of the issuer, a reference in respect of dematerialised security to:-

(a) a register of member or debenture holders including branch registers as the case may be, maintained by a company under the Companies Act shall be deemed to be a reference to the record of depositors maintained by the central depository.
(b) A transfer of shares of debentures from a transferee under the Companies Act shall be deemed to be reference to a book-entry transfer performed by the central depository ,and
(c) Any certificate, instrument of transfer as movable property representing any security which is used as prima facie evidence of ownership of security shall be deemed to be a reference to a statement of account issued by the central depository.

Charging or mortgage of security

Where a book entry is charged by a depositor or chargor in favour of any person (chargee) the chargee or his nominee shall create a security interest or cause to be created such security interest in the security which is the subject of the charge.

A security interest in book entry securities to secure the payment of a debt or liability may be created in favour of any chargee by an instrument of charge in the prescribed form under the Central Depository System (CDS) rules executed by the chargor.

However, any security interest in a book-entry security subsequent to any charge created by the chargor in favour of any other person shall be void

Upon receipt of the instrument of charge the central depository agent shall register the charge in the register of charges maintained by the central depository.

Where a charge over a deposited security has been discharged or released, the central depository or the central depository agent as the case may be, shall, upon receipt of a notice in writing from the charge confirming the same, transfer the deposited security into the securities account of the chargor.

A floating may not be created on book entry securities unless it is created under common law.

Suspension of securities

The Central Depository may specify that any book entry security in the securities account is in suspense in the following circumstances:

i. where the transfer of such securities in the name of central depository or its nominee company is not registered by the issuer
ii. where an application for withdrawal of such security has been made by a depositor
iii. in such other circumstances as may be prescribed Central Depository System (CDS) rules
iv. where, pursuant to an objection or investigation made in accordance with the Central Depository System (CDS) rules there is a need for the central depository to restrict the transfer ,charge or mortgage of such security.
v. where, the central depository has been instructed to restrict the movement of any book-entry transfers, whether partially or otherwise, under such circumstances in accordance with the Central Depository System(CDS) rules.

Secrecy of client's information:

Every central depository agent shall take all reasonable measures to protect information and documents relating to the affairs of depositors and in particular relating to their securities account against any unauthorized access by unauthorised persons.

No director ,officer, employee or agent of a central depository or central depository agent, whether during his tenure of office or during his employment or thereafter, and no person who has access by any means to any information or document whatsoever relating to affairs of any of depositors, shall give, divulge, reveal or otherwise disclose such information to any person.

Any person who contravene these provisions commits an offence and shall, on conviction, be liable to a fine not exceeding Shs.5million or to imprisonment for a term not exceeding 5 years or both. These restrictions on confidentiality shall also apply to central depository agent which is a bank or financial institution within the meaning of Banking Act.

Exceptions to non-disclosure/permitted disclosures

The following information may be permitted to be disclosed:

1. Information or document which the depositor, his authorised agent or his personal representative has given permission in writing to disclose.
2. In cases where the depositor is declared bankrupt, or, if the depositor is a corporation, the corporation is being has been wound up, in Kenya or in any country, territory or a place outside Kenya.
3. For the purpose of instituting or in the course of, any civil proceedings between the central depository, central depository agent and a depositor relating to securities account of the depositor.
4. To any person duly authorized to investigate into any offence under the law, such disclosure being in any case limited to securities account and affairs of the depositor suspected of the offence.
5. To a central depository for purpose of compilation of the record of depositors
6. To an issuer in respect of a record of depositors issued under the Act.
7. For the purpose of enabling or assisting the Authority to exercise any power conferred on it.
8. For the purpose enabling or assisting the Authority and the registrar to discharge their functions under the Act
9. For the purpose of enabling or assisting a securities exchange or clearing house of a securities exchange to discharge their functions.
10. For the purpose of assisting auditors of a central depository and central depository agent to discharge their functions.
11. In a summary or collection of information or statistics, framed in such a way as not to enable the identity of any depositor to whom the information or statistics relates, to be ascertained.

Power of court to make certain orders

Where on the application of an aggrieved party or a central depository it appears to the court that a person:-

a) has committed an offence
b) has contravened the CDS rules or
c) is about to do an act with respect to any dealing in book- entry securities that, if done, would be an offence under the Act or would be a contravention of the CDS rules, the High Court may, make one or more of the following orders:

1. In the case of persistent or continuing breach of the Act or the CDS rules, an order restraining a person from acting as a central depository agent.
2. An order restraining a person from withdrawing or otherwise dealing with a book- entry securities that are specified in the order.
3. An order directing a person to do a refrain from doing a specified act;
4. Any ancillary order deemed to be desirable in consequence of the making of an order under any of the provisions of the Act.
5. Any person who fails to comply with the order of the court shall be liable to fine not exceeding Kshs.5,000,000 or imprisonment for a term not exceeding 5 years or both.

MORTGAGE AND CHARGING OF SHARES

MORTGAGE OF SHARES

This is a transaction whereby shares are used as collateral security for loans. The transaction is either legal or equitable.

Under a legal mortgage, the borrower transfers his shares to the mortgagee who becomes the registered holder subject to a separate agreement by which he undertakes to re-transfer the shares to the mortgagor on repayment of the loan. The agreement also determines who is entitled to the dividends and gives the mortgagee the right to sell the shares if the mortgagor defaults on the loan. As registered holder, the mortgagee can transfer the shares to a purchaser who buys from him.

The essential feature of an equitable or informal mortgage is that the borrower deposits his share certificate with the mortgagee but remains the registered holder of the shares. There is again an agreement containing the terms of the loan and the mortgage. The mortgagee may protect himself by serving a "stop notice" on the company but his possession of the share certificate is an effectual bar to dealings with the shares by the borrower.

The equitable mortgagee's is another potential difficulty is that since he is not a registered shareholder he has no direct means of transferring the shares to a purchaser if the borrower defaults and he decides to sell. He usually obtains from the mortgagor a "blank transfer", ie. a transfer signed by the mortgagor as registered holder but without the name of a transferee inserted. This usually gives the mortgagee an implied power to insert his own name as transferee in case of default. He can then dispose of the shares after transferring them into his name. Alternatively, the mortgagee may obtain from the mortgagor a power of attorney giving him power to insert the name of a purchaser on the transfer.

CALLS AND FORFEITURE OF SHARES

A company does not usually demand the full amount of the face value of shares in one lump sum on application but instead demands it in installments as and when it requires the additional capital. Usually the face value of a share is made payable in four equal installments:

i. on application,
ii. on allotment,
iii. on first call and second and
iv. final call.

A call may be defined as a demand made by the company on its shareholders to pay the whole or part of the balance remaining unpaid on each share, after the allotment of shares at any time during its lifetime.

Although the unpaid value of the shares is a debt due from a member of the company, the liability for its payment does not arise until a valid call has been made.

Usually the articles of association of the company prescribe rules for making calls on shares. If the company does not have its own articles of association it adopts Table A of the Act.

The board of directors may from time to time make calls upon the members in respect of money unpaid on their shares according to the need of the Company.

Legal provisions relating to valid calls

As earlier on said a call is made pursuant to the provisions of the articles of each Company. Ifno articles are prepared calls are made in accordance with the provisions of Table 'A' of the First Schedule to the Act.

1. Rate of call

A call on shares must be for 25% of the normal value of the shares and in no case should exceed the limit.

2. Time

No call shall be payable in less than one month from the date fixed for the payment of the last preceding call and each member shall (subject to receiving at least 14 days notice specifying the time or times and place of payments) pay to the company at the time or times and place so specified the amount called on his share

3. A call cannot be made until the minimum subscription has been received.

4. Resolution of the board

A call must be made by a resolution passed in duly convened and constituted meeting of the board of directors. The power to make calls cannot be delegated by directors to a sub-committee of directors or the managing director.

5. A call resolution must specify the amount of call, the date and place of payment.

In **Re Cawley & Co**. a resolution was passed by the directors fixing the amount of a call but it omitted to fix the date of payment. The court held that there was no valid call.

6. Uniform basis

Calls shall be made on uniform basis on all shares falling under the same class but shares of the same nominal value on which different amounts have been paid up shall not be deemed to be under the same class.

7. Bonafide

As regard calls, the directors are in a fiduciary position both towards the company and the shareholders. The power given under the articles to make a call is in the nature of a trust and in the exercise of that power, the director must act for the paramount interest of the company as a whole. If it is exercised mala fide e.g for the directors own ends or some other indirect purpose, this is an abuse of their power and an injunction may be obtained restraining the call.

8. Must conform to the provisions of the articles

The call must be made strictly in accordance with the provisions of the articles of the company. If the articles are silent, regulation 12 of Table A shall apply which provides the following rules in relating to making of calls.

(a) The maximum amount per call shall be 25% of the nominal value of the share.
(b) There must be at least one month interval between 2 successive calls.
(c) Each member must be given at least 14 days notice specifying the amount due on the call, time and place of payment.
(d) The directors have the discretion to revoke or postpone a call. Where the call is not made in conformity with the above provisions then it is invalid and the shareholder is not bound to pay such call.

Types of Calls

There are various types of calls including:

1. Call in advance
2. Calls in arrears
3. Call in the event of winding

1. Call in advance

The board may if it thinks fit and if authorized by the articles and for the benefit of the company receive from any member the whole or any part of the amount uncalled and unpaid upon any shares held by him.

Articles 15 of Table A of the First Schedule provide that the board upon all or any of the money received may pay interest at such rate not exceeding 6% p.a unless the company in a general meeting otherwise directs.

The articles may provide for payment of interest on calls in advance. The shareholder who paid the call money in advance will be regarded as a creditor for the amount due to him as interest. The call money received is credited to a separate account called "call in advance account" and shown separately in the balance sheet.

2. Calls in arrears

If a sum called in respect of a share is not paid on or before the day appointed for payment thereof, the person from whom the call is done shall pay interest thereon from the day appointed for the payment at 5% p.a or such rate as the board of directors may determine. The directors have the discretion to waive payment of any such interest wholly or in part.

Consequences of Non-Payment of Calls

The non-payment of call money on share shall have the following consequences:

(i) Non-payment calls by a director within 6 months from the date of call is a disqualification on his part leading to vacation of his office.

(ii) No member shall be entitled to vote at any general meeting unless all calls or other sums presently payable by him in respect of shares in the company have been paid by him.

(iii) The company may subject to the provisions of the articles forfeit the shares and the amount received thereon after due notice and a resolution passed in this regard.

(iv) The company shall have a first and paramount lien on every share (not being a fully paid shares) for all money (whether presently payable or not) called or payable at a fixed time in respect of that share. The company call sells the shares in exercise of the lien.

3. Call in the event of winding

Where a shareholder did not pay the call money due on the shares and the company has not passed the resolution to forfeit the shares, he will continue to be a member till his name is removed from the register of members. In the event of winding up of the company, he is liable as a contributory and responsible to pay the call money.

In the event of winding up, the amount of calls in advance together with interest will rank in priority before payment of called and paid up capital.

FORFEITURE OF SHARES

Forfeiture of shares means the confiscation of the shares of a shareholder by way of penalty for non-payment of any call made in respect thereof. Should a member default in paying the amount of a call made on him the company may take legal action against him to recover the amount of call.

Though the Companies Act does not provide for the forfeiture of shares, it recognizes the right of the company in this regard. A company has not statutory right to forfeit shares but it may be authorized by express provision to that effect in its articles.

Under normal circumstances, a company should have legal action against the members who had defaulted in the call. However, the company usually avoids going to a court oflaw and prefers instead, to acquire the power under its articles to forfeit shares of such a member. If the company does not have its own articles in this respect, Articles 16 to 17 of Table A apply.

Rules Relating To Valid Forfeiture

The following are the rules should be adhered to so as to make forfeiture valid:

1) Notice

A proper notice of intension to forfeit must be served on the defaulting member requiring him to pay the outstanding amount of call, or installment which remains unpaid together with interest which may have accrued.

2) Contents of Notice

The notice shall name a further day (not earlier than 14 days from the day of service of notice) on or before which the payment required by the notice is to be made and shall state that in the event of non-payment at or before the time appointed the shares in respect of which the call was made will be liable to be forfeited.

3) Resolution

If the member does not comply with the notice, the board of directors will pass a formal resolution of forfeiture.

4) Reason for forfeiture

Shares can be forfeited only against the non-payment of call due in respect of the shares, which, by the terms of issue of shares becomes payable on a fixed time.

5) Declaration

The secretary or director of a company shall make a statutory declaration in writing that the share in the company has been forfeited on a date specified/stated in the declaration.

6) Effect of forfeiture

A person whose shares have been forfeited shall cease to be a member in respect of the forfeited shares, but shall, notwithstanding the forfeiture remain liable to pay the company all moneys which, at the date of forfeiture were payable by him to the company in respect of the shares.

7) Result of forfeiture

A forfeited share may be sold or otherwise disposed of on such terms and in such manner as the directors think fit and on such time before a sale or disposition the forfeiture may be cancelled on such terms as the directors think fit.

Effect of forfeiture

The following are the effects of forfeiture of shares:

a) The defaulting member ceases to be a member of the company and his name is removed from the register.
b) He loses his claim to the paid up amount on his shares.
c) He remains a contributory as a past member.

SURRENDER OF SHARES

Surrender of shares means the return of shares by the shareholder to the company for cancellation voluntarily. It is a short-cut to the long procedure of forfeiture of shares otherwise the cause and effects are the same. Surrender of shares is only done where the Articles contain provisions empowering the directors to accept surrender of shares in cases where the forfeiture is justified. This case is when:-

a) A call remains unpaid after the due date.

b) The company's articles give the directors power to accept a surrender of shares, this power will be recognized if is merely used to avoid the formalities of forfeiture.
c) The shares are exchanged with new shares of the same nominal value being taken in place of those surrendered.

Under no other circumstances will surrender of shares be acceptable. This is so because it shall constitute a reduction of capital without the sanctioning the court which is illegal and void.

Surrendered shares may be re-issued the same way as forfeited shares. It must be noted that no consideration can be paid by the company in exchange of surrendered shares since it would amount to purchase by a company of its own shares which is prohibited by the Act.

TOPIC 5

SHARE CAPITAL

MEANING AND TYPES OF SHARE CAPITAL

Every company limited by shares must have a share capital. Share capital of a company refers to the amount invested in the company for it to carry out its operations. The share capital may be altered or increased, subject to certain conditions. A company's share capital may be divided into different classes. The different classes of share capital and the rights attached to these classes may be provided for in a company's memorandum or articles of association. The Companies Act (Cap 50) sets out specific provisions and obligations for a company in relation to the shares and share capital of the company.

There are various types of share capital including:

a) Nominal or authorised share capital
b) Issued share capital
c) Called-up share capital
d) Paid-up share capital
e) Uncalled share capital.
f) Reserve share capital

a. Nominal or authorised share capital

Every company must state in its memorandum the amount of its nominal capital. This figure shows the maximum number of shares the company is authorised to issue and the nominal value of each share. It does not indicate that any shares have been issued and paid for.

b. Issued share capital

Some or all of the nominal capital must be issued in return for cash or the transfer of non-cash assets. Issued capital is of far more importance than nominal capital since each shareholder is liable to pay the price of shares issued to him. It is the issued capital which in theory comprises a guarantee fund from which creditors can expect to be paid. It is therefore important that it is not wrongfully reduced, for example by using it to pay dividends to shareholders. However it may of course, be quite legitimately lost in the normal course of business trading. Unless it is clear that some other meaning applies, all subsequent references to capital are references to issued capital.

c. Called-up share capital

The liability of shareholders is limited to the amount, if any, unpaid, on their shares. Issued shares can therefore be partly called-up.

Called-up capital equals the aggregate of the calls made on shares, whether or not the calls have been paid, together with any share capital paid-up without being called and any share capital to be paid on a specified future date under the articles.

In practice companies usually require fairly prompt payment of the full amount of issued capital by installments, so that issued capital and called-up capital are generally the same

d. Paid-up share capital

This is the sum of the payments received by the company. Unless some shareholders refuse to pay calls the paid-up capital will equal the called-up capital. Paid -up capital is important because if a company makes a reference on its stationery to the amount of its capital, the reference must be paid-up capital.

e. Uncalled share capital

This is the difference between the amount already paid-up and the total nominal value of the issued shares. Uncalled capital is rare because it is unpopular with both companies and investors, companies because of the possibility that calls will not be met, and investors because of uncertainty as to when calls will be made. Where it exists, uncalled capital is a further guarantee fund for creditors. It is an asset equivalent to debtors, the debtors in this case being the members. The creditors can however only gain access to this fund in the event of a liquidation since they cannot compel the directors to make calls, nor can they levy execution on uncalled capital.

f. Reserve share capital.

In order that the guarantee fund referred to above can be removed from the directors control and made more permanent, a company may, by special resolution, determine that it shall only be called up in the event of winding-up. The special resolution creating reserve capital is irrevocable. Reserve capital, which is also known as 'reserve liability' must not be confused with 'general reserve' or 'reserve fund’. These terms refer to undistributed profits.

RAISING OF SHARE CAPITAL

A company that wants to raise capital by issuing shares has several options. If it is not yet listed on a stock exchange, the company can prepare for an initial public offering (IPO), in which it will be valued and an opening price will be set for its shares when they are released onto the market. How much finance can be raised through an IPO depends partly on the perceived value, and thus share price, of the company, and partly on how much interest there is in the shares when they are released on the market.

For a company that is already listed on an exchange, an alternative route is to launch an additional share issue (also known as a seasoned equity offering, or SEO) or a rights issue. A SEO is a new equity issue by a company following its IPO. A rights issue permits existing stockholders to purchase a designated number of new shares from a company at a specified price within a specified time. The offer may be rejected, or accepted in full or in part, by each stockholder. Rights are usually transferable, meaning that the holder can sell them on the open market. The additional shares in a rights issue are generally issued to stockholders on a pro rata basis—for example, in a two-for-five rights issue stockholders are offered two shares for every five they already hold.

Renounceable rights are rights offered by a company to existing stockholders to purchase further stock, usually at a discount. These rights have a value and can be traded. If rights are to be issued, the company has to set the price of the new shares, determine how many it will sell, and assess how the current share value will be affected as well as the effect on new and existing stockholders. Non-renounceable rights are not transferable and cannot be bought or sold; these rights must be taken up or they will lapse

Advantages

The advantages of raising capital by issuing shares are discussed below:

i. For a company that has reached a certain size and has a strong reputation, an IPO can be a good route to raising a large sum of capital that will enable it to expand, or invest in assets that will enable it to grow in the future.
ii. The company does not need to repay this share capital, but instead agrees to distribute future profits to stockholders in return for their investment.
iii. Once listed, a company can periodically issue further shares via a rights issue, raising yet more capital for expansion without running up debt. Being in a position to raise capital from the stock markets, rather than privately from individual investors, is a major incentive for many companies to issue shares on an exchange.

Disadvantages

The disadvantages of raising capital by issuing shares are discussed below:

i. The main disadvantage of issuing shares through an IPO is that a company's owners no longer have full control of the business and become accountable to stockholders. Stockholders can block plans if they believe they pose too great a risk to their investment.
ii. Any issuance of further shares dilutes the holdings of existing stockholders as a proportion of the company's total shares. This can lead to dissatisfaction from minority stockholders, who have the most to lose. In some jurisdictions, such as the UK, stockholders have preemptive rights by law, which means they have the right to purchase new issuances first. In other jurisdictions, such as the US, preemptive rights must be enshrined in a company's constitution. Stockholders who do not have preemptive rights are most at risk of seeing their investment diluted.

Methods of Public Issue

A company's authorised capital may be raised in one or the other of the following ways:

a) Placing

A \`placing' occurs if the company, instead of selling its shares directly to the public, arranges with a broker to sell them on its behalf.

Company → Broker → sells the shares to → Public

(acts as the company's agent)

The shares are said to be "placed" with the broker. A placing may be "a private placing" if the shares are to be offered for sale to selected customers of the broker (usually institutional investors) rather than made available to the general public.

b) Offer For Sale

An "offer for sale" is an arrangement whereby a company sells some of its shares to a financial institution called "issuing house". The issuing house will then re-sell the shares to the public.

Company → sells shares to → Issuing House → Resells the shares → to Public

(Issues a document called"Offer for sale")

The company normally issues renounceable allotment letters to the issuing house to facilitate the transfer of specific shares to designated purchasers. This obviates the necessity of having to register the name of the issuing house in the company's register of members when shares are allotted to it and having its name removed from the register shortly afterwards when the public buy the shares.

c) Prospectus Issue

Under a prospectus issue the company sells the shares directly to the public rather than selling them through intermediaries.

Company ⟶ sells shares to ⟶ Public

(Issues a document called "prospectus")

PROSPECTUSES/INFORMATION MEMORANDUM

This is a document which invites the members of public to subscribe to the shares or debenture of a public company and it sets out the advantages to accrue from investing in the company. In Section 2 of the Companies Act, aprospectus is any notice, circular, advertisement or other invitation, offering to the public for subscription or purchase any shares or debentures of a company;

A prospectus issued by or on behalf of a company or in relation to an intended company shall be dated, and that date shall, unless the contrary is proved, be taken as the date of publication of the prospectus.

The object of issuing a prospectus is, therefore, to invite the public to invest their moneys in a company. In order to enable the potential investors to take a well-informed decision in the matter, the Act spells out in some detail, the information to be given in a prospectus. Furthermore, to ensure that the information required to be stated in a prospectus is truthfully disclosed, theAct prescribes severe penalties for untrue statements in a prospectus. The object of the law is to protect the potential investors, therefore, theprospectus should truthfully state all matters which will assist a potential investor in taking a decision in the matter.

Characteristics of Prospectuses

The essential characteristics and the features of the prospectus are the following:

i. It is a document described or issued as a prospectus.
ii. It includes any notice, circular, advertisement, inviting deposits from the public or other document.
iii. It is an invitation to the members of the public.
iv. The public is invited to subscribe the shares or debenture of the company.

The term public does not mean an invitation of very large number of people. It is enough if the invitation is to a section of the public. In **South of England Natural Gas Co Ltd** case**,** P "strictly private circulation" = stated to have been distributed by the promoters only to the shareholders in certain gas companies in which they were interested. 3,000 copies were sent out. The court held that the prospectus was an offer of shares to the public. It is a domestic concern of the persons making and receiving the offer or invitation. Thus an offer to one's kith and kin cannot be considered to be an invitation to public.

But an invitation to a few friends and relatives or to the customers of the promoter does not institute a prospectus. In **Sherwell vs. Combined Incandescent Mantles -**"strictly private and confidential, not for publication." The directors distributed, without the authority and company, 200 of them amongst their and promoters' friends and relatives. The court held that it was not an invitation to the public.

From these cases it follows that there must be some degree of publicity, even though it is on a low key.

v. Prospectus is the document through which the Company secures the capital needed for carrying on its business. Any document having this object, comes within the definition of prospectus.

However, an advertisement for securing business or trade is not a prospectus.

Form and Contents of the Prospectus

The Companies Act in its schedules specifies a list of particulars which must be included in the prospectus. The principal items are the following :

1) particulars of signatories of the memorandum of the Company and shares subscribed by them;
2) number and classes of shares and extent of interest of holders and particulars regarding debentures and redeemable preference shares;
3) the rights in respect of capital and dividends attached to different classes of shares;
4) particulars regarding the directors, managing agents, secretaries and treasurers, etc. and of the Contract fixing the remuneration of managing agents, etc
5) the minimum amount of subscription and amount payable on application;
6) time of opening of subscription list;
7) preliminary expenses incurred;
8) particulars regarding purchase of property;
9) details of any premium or under-writing commissions paid;
10) particulars of reserves including reserves capitalised;
11) nature and extent of interest of every director and promoter;
12) names and addresses of the auditors of the company;
13) in case of existing companies, a report by the auditors showing the profit and loss and assets and liabilities of the company, rates of dividend paid for five years preceding issue of prospectus and particulars regarding subsidiaries;
14) whether the prospectus is issued at the time of the formation of the company or subsequently;
15) the nature and extent of restrictions upon members at company meetings;
16) restrictions upon the powers of the directors;

17) voting rights, capitalisation of reserves and surplus of revaluation;
18) inspection of balance sheet and profits and loss account;
19) The following reports are to be annexed to the prospectus
    i) report by auditors and\
    ii) report by the accountant.

The Legal Requirements of Prospectus

1) **Time**
   A prospectus is to be issued after the incorporation of the company.
2) **Particulars**
   The propectus must contain all the particulars listed in Schedule to the Companies Act. (See above).
3) **Date**
   The prospectus must be dated and this date will be considered to be the date of publication unless otherwise proved
4) **Signature.**
   The prospectus must be signed by every person mentioned therein as director or proposed director or his agent.
5) **Copy of prospectus**
   Every application form for shares, issued by the company, must be accompanied by a copy of the prospectus except
   i) application forms issued in connection with a bonafide invitation to a person to enter into an under-writing agreement, and
   ii) application forms issued to existing members and debenture-holders.

1. Statement by expert

A statement, relating to the company, by an expert, can be included in the prospectus only if the expert concerned is not engaged or interested in the formation, promotion, or the management of the company. (Sec. 42). The statement of an expert can be included only if he has, in writing, authorised its issue. (Sec. (Sec. 42(3)). The term expert includes an engineer, valuer, accountant and any other person whose profession gives authority to a statement made by him.

2. Registration

Before a prospectus is issued, it must be registered with the registrar of companies. Copies of relevant documents (e.g., consent of directors and experts to the issue of the prospectus and copies of contracts) have to be filed when application is made for registration. If the relevant documents are not filed or if the prospectus does not comply with the provisions of the Act, registration will be refused..-Sec. 43.

3. Terms of contracts

The terms of any contract, mentioned in the prospectus, cannot be varied after registration of the prospectus except with the approval of the members in a general meeting.-

4. Penalty for non-compliance

If the aforesaid rules relating to the matters to be included in the prospectus, are not complied with, any person who is knowingly a party to the issue thereof, shall be punishable with a fine not exceeding ten thousand shillings (Sec. 42(2)).

If any prospectus is issued in contravention of this section the company and every person who is knowingly a party to the issue thereof shall be liable to a fine

5. Defence

A person charged with non-compliance of the aforesaid rules will be excused in the following cases:

i) as regards any matter not disclosed, if he proves that he had no knowledge thereof; or
ii) if he proves that the non-compliance or contravention arose from an honest mistake of fact on his part; or
iii) if the non-compliance or contravention was in respect of matters which, in the opinion of the Court dealing with the case, was immaterial or was otherwise such as ought (having regard to all the circumstances in the case) reasonably to be excused.

Misstatements in the Prospectus

The public invest money in the purchase of shares and debentures of companies on the basis of statements contained in the prospectus. Misstatements and false statements in the prospectus are instruments through which dishonest company promoters may practice fraud on the public. To prevent such practices the law imposes certain duties and liabilities on all persons who are responsible for the issue of the prospectus.

Liability for untrue statement (s.45)

The authors of the prospectus have to see that the prospectus contains no untrue statement likely to mislead the public. The Companies Act in Section 48states that the term "untrue statement" in connection with a prospectus shall be deemed to include a statement which is misleading in the form and context in which it is included.

Thus, the term untrue statement or misstatement is used in a wide sense. It includes not only false statements but also statements which produce a wrong impression of actual facts. Concealment of a material fact also comes within the category of misstatement.

Liability for misstatement or misrepresentation is governed by the general principles of the law of contract, depending on whether the misstatement was:-

a) A fraudulent misrepresentation

b) An Innocent Misrepresentation

a) A Fraudulent Misrepresentation because the company made it—
   i) knowingly, or
   ii) recklessly, careless whether it be true or false, or
   iii) without belief in its truth:

In **Derry V Peek**the defendants were directors of the Plymouth, Devonport and District Tramways Co. Ltd., which was authorised by statute to run tramways by animal power, or with the consent of the board of trade, by steam power. The prospectus issued by the company indicated that steam power would be used, but the board of trade refused its consent. The plaintiffs, on the strength of the representation in the prospectus, had obtained shares in the company, but in the absence of any evidence that the defendants believed the statement in the prospectus to be untrue, the House of Lords held that they had not committed the tort of deceit.

b) An Innocent Misrepresentation because the company made it honestly, believing what was stated to be true: **Derry V Peek**

If the statement amounted to a fraudulent misrepresentation, the allottee may sue for damages such as in the case of **Derry V Peek**. But the House of Lords held in **Houldsworth V City Of Glasgow Bank** that the allottee can only get damages if he is also in a position to rescind the contract of allotment. If the rescission is no longer possible, there will be no remedy. This is an exception to the general principle of the law of contract that a person who has been induced to enter in a contract by a fraudulent misrepresentation has the option of affirming the contract but suing for damages.

If the statement amounted to an innocent misrepresentation, the allottee can only sue for rescission (i.e. asking the court to order the company to remove his name from the members' register and refund the money he paid for the shares and he in turn returning the shares to the company). Damages cannot be awarded for an innocent misrepresentation. This was held by the House of Lords in **Derry vs Peek**. However, the allottee's right of rescission (whether for innocent or fraudulent misrepresentation) will be lost if—

a) He did not institute rectification proceedings within a reasonable time after becoming aware of the misrepresentation**:** In **the First National Reinsurance Co. V. Greenfield** case, Greenfield applied for 150 shares in the plaintiff company relying on a prospectus which wrongly named one F. as underwriter. On learning of the error he asked to have the allotment to him canceled, but took no other steps until sued by the company seven months later for a call. The court affirming the decision of the City of London Court, held that without rectification of the share register the defence was not good, and that the defendant had lost the right to rescind by laches. (i.e unreasonable delay).
b) He affirmed, or is deemed to have affirmed the contract after discovering the truth (e.g. by accepting dividends, attending and voting at meetings, selling or attempting to sell the shares).

c) Third party rights acquired in the meantime would be interferred with, or
d) The company has gone into liquidation and so the rights of creditors have crystallized and precede other claims. In the**Houldsworth vs City Of Glasgow Bank** Grant had applied for 100 shares in the plaintiff company by handing to an agent of the company on 30th September 1874 a written application for the shares. On 20th October, 1874, the company secretary made out the letter of allotment in favour of Grant and posted it to him after entering his name on the register of shareholders. The letter never reached Grant who contented, as a consequence, that he was not a member of the company.

The court held that there was a binding contract between Grant and the company because, although he had not expressly told the company to post the letter of allotment, the court was of the view that the post is the ordinary mode of transmission of an allotment letter. Baggalay, L.J. stated: "Now a letter of application for shares in a public company expressed in the usual form, must, I think, having regard to the usage in such matters, be considered as authorizing the acceptance of the offer by a letter through the post".

Effect of Rescission

Where a contract of allotment is rescinded, the former shareholder will be entitled to his money back (normally with interest) and to a refund of any expenses to which he has been put.

Persons liable for untrue statements in the prospectus

Section 45(1) of the Act provides that the following persons are liable (and punishable) for un true statements in the prospectus:

(a) every person who is a director of the company at the time of the issue of the prospectus;
(b) every person who has authorised himself to be named and is named in the prospectus either as a director, or as having agreed to become a director, either immediately or after an interval of time;
(c) every person who is a promoter of the company; and
(d) every person who has authorised the issue of the prospectus.

The extent of the liability for untrue statements

The Companies Act imposes the following liabilities on the persons responsible for untrue statements in the prospectus.

(a) Civil Liability

Section 45(1) provides that such persons are liable to pay compensation for any loss or damage whichperson may suffer from the purchase of any share of debenture on the basis of the untrue statement.

A person who has been made to pay compensation under this section can claim contribution from the others who were associated with him in the issue of the prospectus, unless it appears that he was guilty of fraud while the others were not.

In **Clark V Urquhart** the court explained that the amount of compensation payable under S.45 of the Act is calculated or measured in the same way as damages for fraudulent misrepresentation is measured. The court also explained that the word "compensation" was chosen in order to avoid the "invidious association" of damages with dishonesty in such a situation". The specified persons were to be made liable as a matter of policy, irrespective of their moral innocence.

(b) Criminal liability

Section 46 (1) provides that every person who has authorised the issue of a prospectus containing untrue statements, shall be punishable with imprisonment not exceeding ten thousand shillings, or both.

(c) Liability under the law offraud

A person who has suffered damage by purchasing shares or debentures on the basis of untrue statements in the prospectus may, instead of proceeding under Section 45(1) of the Companies Act, take action under the general law of fraud. The law relating to fraud provides that when a person is induced to enter into a contract by fraud, he is entitled to rescind the contract and to get compensation for the loss or damage which he may have suffered. The aggrieved shareholder or debenture holder must prove that

i) there was fraudulent misstatement
ii) misrepresentation relating to material facts
iii) the shareholders had purchased the share on the basis of prospectus, and
iv) that he had been actually deceived.

Defenses available in an action on the prospectus

The parties against whom proceedings have been stated for untrue statements in the prospectus are allowed to use certain pleas in their defence. The defences are summarised below:

a) Defences against the civil liability imposed by Sec. 45(1) :

Sec. 45(2) provides that no decree for damages will be passed if the person charged can prove any of the following facts.

1. **Issue without authority**
   He withdrew his consent to become a director of the company before the issue of the prospectus and it was issued without his authority or consent.

2. **Issue without knowledge**
   The prospectus was issued without his knowledge or consent and on becoming aware of its issue, he forthwith gave reasonable public notice that it was issued without his knowledge or consent.
3. **Withdrawal of consent**
   After the issue of the prospectus and before allotment, he, on becoming aware of any untrue statements therein, withdrew his consent to the prospectus and gave reasonable public notice of the withdrawal and of the reason thereof.
4. **Statement by an expert**
   If the statement alleged to be untrue purports to be statement of an expert or a copy or extract from such a statement or of a valuation report of an expert, the person charged can escape liability if he can prove the following:
   i) it is a fair and correct copy or representation or extract of the expert's statement;
   ii) he had reasonable grounds to believe and did believe (up to the time of the issue of the prospectus) that the person making the statement was competent to make it ;
   iii) the expert had given his consent to the issue of the prospectus; and
   iv) the expert had not withdrawn his consent before registration of the prospectus or allotment.

5. **Copy of official statement or document**

If the statement alleged to be untrue is one purporting to be from an official statement or a public official document, the person charged can escape liability if he can show that it is a fair and correct representation or copy or extract from the official statement or public official document.

6. **True statement**

As regards statements other than those of experts or those contained in official documents, the person charged can escape liability if he can prove that he had reasonable grounds to believe, and did, up to the time of the allotment of shares or debentures, believe that the statement was true.

b) Defences available to an expert

An expert whose opinion was included in the prospectus, can use the following defences.-Sec. 45 (3).

1. **Withdrawal of consent**

Having given his consent to the issue of the prospectus, he withdrew it in writing before delivery of a copy of the prospectus for registration.

2. **Knowledge of untrue statement**

After delivery after a copy of the prospectus for registration and before allotment there under, he, on becoming aware of the untrue statement withdrew his consent in writing and gave reasonable public notice of the withdrawal, and of the reason thereof.

3. True statement:

He was competent to make the statement and he had reasonable ground to believe, and did, up to the time of the allotment of the shares or debentures, that the statement was true.

c) Defences against criminal liability

A person charged in a criminal court under Section 46 (1) will be acquitted if he can prove either of the following :

(a) that the statement was immaterial, or

(b) that he had reasonable ground to believe, and did, up to the time of the issue of the prospectus, believe that the statement was true.

Statement In Lieu Of Prospectus

A public company having a share capital and not issuing a prospectus must at least 3 days before the first allotment of shares or debentures, file with the Registrar for registration a statement in lieu of prospectus. The statement must be in the form prescribed in Part I of the Fourth Schedule. The prescribed form provides for the disclosure of all material facts relating to the company.-Sec. 50 (1).

If the statement in lieu of prospectus contains any untrue statement the persons responsible for the issue thereof may be punished by imprisonment not exceeding two years or to a fine not exceeding ten thousand shillings, or to both.-Sec. 50 (5).

Statement in lieu of Prospectus like in the Prospectus constitutes the basis of the contract of purchase of shares between the company and the shareholder. Liabilities for misstatements and false statements are the same as in a prospectus.

MAINTENANCE OF CAPITAL

The Need to Maintain Capital

The acceptance of limited liability has led to a need to protect the capital contributed by the members since the members cannot be required to contribute funds to enable the company to pay its debts once they have paid for their shares in full. The capital therefore represents a guarantee fund for creditors. It is protected in two basic ways:

a) Provisions designed to prevent the capital being 'watered down' as it comes into the company
b) Provisions designed to prevent capital going out of the company once it has been received.
c)

Underwriting Commission

An underwriter is a person (or finance house) which, on a public issue of shares, agrees to purchase those shares which are not taken up by the public.

The underwriters may be paid a commission not exceeding 10% of the issue price provided there is authority in the articles and compliance with any rules. These rules include the requirement of disclosure in the listing particulars. The commission is charged on the number of shares underwritten and must be paid even if the issue is a success and the public take all the shares.

When a company has been in existence for some years it will probably be able to pay underwriting commission from its accumulated profits or its share premium account. In contrast, when a company makes its first issue of shares these funds will not exist. Underwriting commission must therefore be paid out of the proceeds of the issue, i.e. out of capital. This is why underwriting commission is subject to statutory control.

The Issue of Shares at a Discount

The issue of shares at a discount is prohibited. i.e. Shares may not be allotted as fully paid for a consideration of less than their nominal value. Today shares usually have a very low nominal value. Since there is no statutory obligation on a company to issue shares for the highest price it can get, it is possible for a person to obtain shares for a consideration of less' than their full value.

Minimum Payment for Allotted Shares

A public company may not allot shares unless they are paid-up to the extent of one quarter the nominal value plus the whole of the premium.

In practice the company will almost certainly require the shares to be paid up to the full nominal value plus all of the premium. The share premium is the difference between the nominal value and the issue price.

Allotment for Non-cash Consideration

Where a public company allots shares which are fully or partly paid for by an undertaking to transfer to the company, a non-cash asset at a future date, that asset must transferred within five years of the date of allotment.

Valuation of non-cash consideration, public companies

A public company may not allot shares for a consideration other than cash unless the non-cash asset has been independently valued by a person qualified to be the auditor of the company. The report must state that the value of the consideration (including any cash payable) is not less than the nominal value of the shares plus any premium, i.e. that the shareholders are getting value for money.

Valuation of non-cash consideration, private companies
When a private company issues share in return for a non-cash consideration, the court will not usually inquire into the adequacy of consideration. For example in the **Solomon vs Solomon case**, although the valuation of Salomon's business at £39, 000 was described by the House of Lords as a sum which represented the sanguine expectations of a fond owner rather than anything that can be called a businesslike or reasonable estimate of value, they were not prepared to set aside the transaction even though the correct valuation of the business was about £10, 000.

There are three exceptional situations when the court is concerned with the adequacy of consideration

i. Where the contract is fraudulent;
ii. Where the consideration is past; and
iii. Where the inadequacy appears on the face of the contract.

In **Hong Kong And China Gas Co vs Glen** (1914) the company agreed to allot to the vendorof a concession to supply gas to the city of Victoria in Hong Kong, 400 fully paid shares, plus one fifth of any future increase in capital, allotted as fully paid. The court held that the part of the agreement relating to future increases in capital was invalid because it meant that the company had agreed an unlimited value for the purchase of the concession.

Serious Loss of Capital

The directors of a public company must call an extraordinary general meeting when it becomes known to a director that the net assets have fallen to half or less of the company's called-up share capital.

The purpose of the meeting is to decide what action, if any, should be taken. In some cases the meeting will decide on a reduction of capital.

Reduction of Capital (Sec. 68)

The general rule is that it is illegal for a company to reduce its capital. This is so because such a reduction would be tantamount to reducing the security available to the company's creditors. In **Trevor v Whitworth**case, James Schofield & Sons Ltd was incorporated in 1865 under the Companies Act 1862. Its articles authorized it to purchase its own shares. During the company's liquidation a former shareholder made a claim against the company for the balance of the prive of his shares which he had sold to the company before the liquidation but had not been wholly paid for. The liquidation rejected the claim and the shareholder sued for breach of contract. The court held that the company had no power under the Companies Act to purchase its own shares, that the purported purchase was therefore ultra vires the company and void.

Mode of Reduction

Sec. 68 (1) expressly states that a company may reduce its capital "in any way". There is therefore no statutorily prescribed mode of reduction and the actual scheme adopted by the company will depend on the ingenuity of its directors or accountants. However, the Act gives the company an option of reducing its capital in one of the following ways:

a.)By extinguishing the liability on any of its shares in respect of share capital not paid up: Sec. 68 (1) (a)

For example: The company's memorandum reads:

"...Ksh.1,000,000/- divided into 100,000 ordinary shares of shs 10 each."

- amount already paid per share is shs.5
- amount unpaid per share is shs.5

The company passes a special resolution to reduce the capital to shs.500,000/-. The resolution is confirmed by the court.

The amended memorandum will read as follows:

"... Ksh.500,000/- divided into 100,000/- ordinary shares of shs 5each."

- already paid per share is shs.5
- the unpaid amount of shs 5 per share ceases to be payable and the liability thereon is "extinguished."

b) By reducing the liability on any of its shares in respect of share capital not paid up: S.68 (1)

For example: The company's memorandum reads:

"... 1,000,000/- divided into 100,000/- ordinary shares of 10 each."

- amount already paid per shares is shs.5
- amount unpaid per share is shs.5.

The company passes a special resolution to reduce the capital to shs.750,000. The resolution is confirmed by the court.

The amended memorandum will read as follows:

"... Kshs. 750,000/- divided into 100,000 ordinary shares of shs.7/50 each."

- amount already paid per share is shs.5.
- amount unpaid per share becomes shs.2/50 (i.e. the liability on unpaid shares has been reduced from shs.5/- to shs.2/50).

c) By canceling any paid-up share capital which is lost or unrepresented by available assets without extinguishing or reducing liability on any shares: Sec. 68 (1) (b):

For example:

The company's memorandum reads:

"... 1,000,000/- divided into 100,000 ordinary shares ofshs 10 each.."

- amount already paid per share is shs.5
- amount unpaid on each share is shs.5

The Shs.500,000received from the shareholders was banked by the company. Shs.100,000was later withdrawn from the bank and used to buy goods for resale. After the goods were paid for and received, they were kept in the company's store pending delivery to customers the following day. The directors felt that it was unnecessary to insure the goods for one night only. A fire completely destroyed the good during the night. The shs.100,000 used to buy the goods represents the capital which, according to the Act, "is lost or unrepresented by available assets."

The company passes a special to reduce its capital by shs.100,000. The resolution is confirmed by the court.

The amended memorandum will read:

"...Ksh. 900,000 divided into 100,000 ordinary shares of shs 9 each."

- amount unpaid on each share is shs.5 (i.e. the liability on unpaid shares has not been reduced or extinguished).
- amount paid per share becomes 4 (by consent of shareholders).

This mode of reduction is legally possible but may be questioned from a practical point of view. The truth is that it is the shareholders who have in fact lost their capital.

It should be noted that, despite the above reduction, the members will receive the same amount of dividend from the company as they would have received if, for psychological reasons, the directors did not ask them to reduce the capital so that the shares retained their 10/- nominal value.

d) By canceling any paid up share capital which is lost or unrepresented by available assets and also reducing liability on any shares: S.68 (1) (b).

For example:

The company's memorandum reads:

"...Sh.1,000,000/- divided into 100,000 ordinary shares of shs 10 each."

- amount already paid per share is shs.5
- amount unpaid per share is shs.5

Assume that the same type and quantity of goods are destroyed by fire in the same circumstances as in example (c) above.

The company passes a special resolution to reduce its capital by shs.200,000/-. The resolution is confirmed by the court.

The amended memorandum will read:

"...Kshs. 800,000/- divided into 100,000 ordinary shares of Shs 8each."

- amount already paid per share is shs.5
- amount unpaid per share becomes shs.3.

e.)By cancelling any paid-up share capital which is lost or unrepresented by available assets and also extinguishing liability on any shares: S.68 (1) (b)

For example:

The company's memorandum reads:

"...Kshs. 1,000,000/- divided into 100,000/- Ordinary Shares of Shs 10 each.

- amount paid per share isShs 9
- amount unpaid per share is Shs 1.

The Shs.900,000 received by the company from the shareholders is banked. Shs.100,000 is later withdrawn to buy goods for resale.
The goods are destroyed by fire in circumstance identical with those in example (c) above.

The company can reduce its capital by shs.200,000 so that the amended memorandum will read as follows:

"...Kshs.800,000divided into 100,000ordinary shares of 8each."

- amount paid per share becomes Shs 8
- amount unpaid per share is NIL (i.e. the liability of Shs 1/-has been extinguished).

f) By paying off paid-up share capital which is in excess of the wants of the company without extinguishing or reducing liability on any shares

For example:

i) The company's memorandum reads:

"...shs 10,000,000/- divided into 1,000,000 Ordinary Shares of Shs.10 each."

- shs 5/- has been paid on each share
- shs 5/- is unpaid on each share

The company can pass a special resolution to reduce the capital to 7,500,000/- by paying back to the shareholders shs.2,500,000/- out of the shs.5,000,000/- they have already paid to the company if the directors convince the members that the paid-up amount of shs.5,000,000/- is in excess of the company's current needs and it will take a long time before the company would require more capital.

The company's memorandum will be amended to read:

"...Shs.7,500,000/- divided into 1,000,000 Ordinary Shares of shs 7/50 each."

- amount paid on each share becomes shs.2/50;
- amount unpaid on each share remains shs.5/-.

ii) Study the scheme adopted by the British and American Trustee & Finance Corporation Ltd.

g) By paying off paid-up capital which is in excess of the company's needs by extinguishing liability on any shares.

For example: Read the scheme of reduction that was adopted by the British and American Trustee and Finance Corporation Ltd. and confirmed by the House of Lords.

h) By paying off paid-up capital which is in excess of the company's needs and reducing liability on any shares

The company can pass a special resolution to reduce the capital toshs 5,000,000/- by paying to the shareholders shs.21/2m/- out of the 5m/- which they have already paid to the company if the directors tell the members that the paid up amount of shs.5m/- is in excess of the company's current needs.

The company's amended memorandum will read as follows:

"..Kshs.5,000,000 divided into 1,000,000 ordinary shares of shs.5 each." Amount paid on each share becomes 2/50 and the unpaid amount ofshs 5/- is reduced to shs 2/50.

The Function of the Court

In **Scottish Insurance Corporation Ltd v. Wilsons & Clyde Coal Co.** Lord Simmons stated: "But important though its task is to see that the procedure by which a reduction of capital is carried through is formally correct and that creditors are not prejudiced, it has the further duty of satisfying itself that the scheme is fair and equitable between the different classes of shareholders". The court would therefore, not confirm a scheme of reduction if it is of the view that it is not "fair and equitable" to any of shareholders.

The court plays the following roles during capital reduction

a) Protection of creditors
b) Protection of the members
c) Protection of general public

a) Protection of Creditors

Where the reduction of capital involves diminution of unpaid capital or repayment to shareholders of paid-up capital, creditors have a statutory right under Sec. 69(2) to object to the proposed reduction and, upon objection a list of creditors must be given to the court. The court will then confirm the reduction if satisfied that the creditors:

i. have consented thereto; or,
ii. have been secured (i.e. given alternative security so that they will no longer rely on the reduced capital as their security), or
iii. have been discharged or paid off (Sec.70 (1).

b) Protection of Members

A majority of the company's members are protected by the requirement that a special resolution must be passed by the company's members in order to initiate the reduction process. It is most unlikely that a three-fourths majority of members could freely pass a resolution for reducing capital if the resolution is detrimental to their interests.

A minority of the company's members are protected by their judicially acknowledged right to seek the court's protection where they are of the view that the resolution passed by the majority is not "fair and equitable". In the **British and American Trustee and Finance Corporation Ltd** case**,** the appellant company, as a company limited by shares, had power under its articles to reduce its capital by paying off capital. The shares were divided into ordinary shares partly paid up, and founders' shares fully paid up. The company had carried on business both in England and the United States but found out that it was impossible to do so in both countries with advantage. The court determined that the company should cease to carry on business in the United States, that the American investments should be made over to the American shareholders, their shares being canceled, and that the English shareholders should take the English assets, receiving an agreed sum by way of adjustment. This arrangement was carried out by special resolution providing that the capital should be reduced by paying off the shares (both ordinary and founder's) held by the American shareholders (the capital represented thereby being in excess of the wants of the company,) and that such shares and all liability thereon be wholly extinguished. The company presented a petition asking the court to confirm the resolution. All the creditors were either paid or assented to the arrangement. The confirmation by the court was opposed by one shareholder.

The court held that reversing the decision of the Court of Appeal, that the reduction of capital was within the powers conferred by the Companies Act and that the arrangement being a fair and equitable one there was no reason why it should not be confirmed.

c) Protection of General Public

It may happen that a resolution reducing a company's capital was passed in circumstances which indicate that the shareholders had not been properly and correctly informed about the real causes of the reduction. In such a case, it is desirable that the general public, as potential members of the company, should be told the truth about the reduction. Section 70 (2) (b) empowers the court where appropriate, to make an order requiring the company to publish, as the court directs, the reason for reduction or such other information in regard thereto as the court may think expedient with a view to giving proper information to the public, and, if the court thinks fit, the causes which led to the reduction.

The court order confirming the reduction and the relevant minute as approved by the court, must be delivered to the registrar for registration. Section 71 (2) provides that, on the registration of the order and minute, and not before, the resolution for reducing share capital as confirmed by the order so registered shall take effect.

Liability of Members

Section 72 (1) provides that in the case of a reduction of share capital a member of the company, past or present, shall not be liable in respect of any share to any call or contribution exceeding in amount the difference, if any, between the amount of the share as fixed by the minute and the amount paid, or the reduced amount, if any, which is deemed to have been paid on the shares.

Power of company to arrange for different amounts being paid on share (Sec. 61)

A company, if so authorized by its articles, may do any one or more of the following things–

(a) make arrangements on the issue of shares for a difference between the shareholders in the amounts and times of payment of calls on their shares;
(b) accept from any member the whole or a part of the amount remaining unpaid on any shares held by him, although no part of that amount has been called up;
(c) pay dividend in proportion to the amount paid up on each share where a larger amount is paid up on some shares than on others.

Reserve Liability of Limited Company (Sec. 62)

A limited company may by special resolution determine that any portion of its share capital which has not been already called up shall not be capable of being called up except in the event and for the purposes of the company being wound up.Thereupon that portionof its share capital shall not be capable of being called up except in the event and for the purposes aforesaid.

Power of Company Limited by Shares to Alter its Share Capital (Sec. 63)

A company limited by shares or a company limited by guarantee and having a share capital may alter the conditions of its memorandum as follows,–

(a) increase its share capital by new shares of such amount as it thinks expedient;

(b) consolidate and divide all or any of its share capital into shares of larger amount than its existing shares;

(c) convert all or any of its paid-up shares into stock, and reconvert that stock into paid-up shares of any denomination;

(d) subdivide its shares into shares of smaller amount than is fixed by the memorandum. However in the subdivision the proportion between the amount paid and the amount, if any, unpaid on each reduced share shall be the same as it was in the case of the share from which the reduced share is derived;

(e) cancel shares which, at the date of the passing of the resolution in that behalf, have not been taken or agreed to be taken by any person, and diminish the amount of its share capital by the amount of the shares so cancelled.

The powers of a company to alter its share capital shall be exercised by the company in general meeting.

A cancellation of shares shall not be deemed to be a reduction of share capital within the meaning of the Companies Act.

Notice of increase of share capital (Sec. 65)

Where a company having a share capital, whether its shares have or have not been converted into stock, has increased its share capital beyond the registered capital, it shall, within thirty days after the passing of the resolution authorizing the increase, give to the registrar notice of the increase. The registrar shall record the increase.

The notice shall include such particulars as may be prescribed with respect to the classes of shares affected and the conditions subject to which the new shares have been or are to be issued. They shall be forwarded to the registrar, together with the notice and a printed copy of the resolution authorizing the increase.

If default is made in complying with these regulation, the company and every officer of the company who is in default shall be liable to a default fine.

Power of Unlimited Company to Provide for Reserve Share Capital on Re-registration (Sec.66)

An unlimited company having a share capital may, by its resolution for registration as a limited company does either or both of the following things, namely-

(a) increase the nominal amount of its share capital by increasing the nominal amount of each of its shares, but subject to the condition that no part of the increased capital shall be capable of being called up except in the event and for the purposes of the company being wound up;

(b) provide that a specified portion of its uncalled share capital shall not be capable of being called up except in the event and for the purposes of the company being wound up.

Power of Company to Pay Interest Out Of Capital in Certain Cases (Sec. 67)

Where any shares of a company are issued for the purpose of raising money to defray the expenses of the construction of any works or buildings or the provision of any plant which cannot be made profitable for a lengthened period, the company may pay interest on so much of that share capital as is for the time being paid up for the period and subject to the conditions and restrictions provided for, and may charge the sum so paid by way of interest to capital, as part of the cost of construction of the work or building, or the provision of plant:

Provided that–

i) no such payment shall be made unless it is authorized by the articles or by special resolution;

ii) no such payment, whether authorized by the articles or by special resolution, shall be made without the previous sanction of the registrar;

iii) before sanctioning any such payment the registrar may, at the expense of the company, appoint a person to inquire and report to him as to the circumstances of the case, and may, before making the appointment, require the company to give security for the payment of the costs of the inquiry;

iv) the payment shall be made only for such period as may be determined by the registrar, and that period shall in no case extend beyond the close of the half-year next after the half-year during which the works or buildings have been actually completed or the plant provided;

v) the rate of interest shall in no case exceed five per cent per annum or such other rate as the minister may for the time being by notice in the gazette prescribe;

vi) the payment of the interest shall not operate as a reduction of the amount paid up on the shares in respect of which it is paid.

THE ACQUISITION AND REDEMPTION BY A COMPANY OF ITS OWN SHARES

For many years it was a fundamental case law principle of company law that a company may not purchase its own shares.

The basic rule is that a company cannot acquire its own shares. Any purported acquisition in contravention of this rule is void.

However, there are a number of exceptions to the basic rule:

i. Where it acquires its own fully paid shares otherwise than for valuable consideration
ii. A purchase of redeemable shares
iii. An acquisition as part of a capital reduction scheme.
iv. An acquisition in pursuance of a court order
v. Where shares are forfeited for non-payment of a call, or where shares are surrendered in lieu of forfeiture.

There are a number of reasons why it is undesirable for a company to be able to purchase its own shares:

i. It is a reduction of capital, i.e. if it pays shareholder A cash for his shares, less cash is available to satisfy the claims of creditors X, Y and Z;
ii. If it paid shareholder A too much for his shares this would dilute the value of the remaining assets, i.e. on winding-up there would be less cash available for shareholders B, C and D;
iii. If it paid shareholder A too little for his shares this would enhance the value of the remainder and could be used by the directors to increase the value of their own holdings;
iv. A method of frustrating a takeover bid is to buy shares on the open market. If the directors could use the company money to do this, no doubt they would do so, thus entrenching themselves in control of the company.

In recent years, there has been increasing interest in relaxing the prohibition for the benefit of the company and its shareholders provided the position of creditors and other interested parties could be protected. The advantages of allowing a company to purchase its own shares are:

i. It facilitates the retention of, family' control of a private company;
ii. It increases the marketability of a company's shares, since the company itself is a potential buyer. This in turn would increase interest in employee share schemes, and may therefore help the company to raise further capital;
iii. It enables both public and private companies to use surplus cash to the company’s advantage. For example if redeemable shares have a market value of less than their redemption price, they could be redeemed immediately rather than waiting to pay the higher price on the redemption date;

iv. It may make it easier for companies to raise venture capital from merchant banks since banks have the possibility of 'getting out' by selling their shares back to the company.

Purchase of Own Shares

A company's may prevent paid-up capital form leaving if the company purchased its own shares. It was therefore held in **Trevor v Whitworth** that it is illegal for a limited company to purchase its own shares. In this case a company bought back almost a quarter of its own shares. During liquidation of the company, one shareholder applied to court for the balance of amounts owed to him after the buyback. The Court of Appeal held that he should be paid.

Such a purchase, if permitted, would constitute an indirect reduction of the paid-up capital without compliance with the statutory provisions relating to reduction of capital. This is the general rule that is applicable in Kenya. This decision was said to be based on the implied provisions of the English Companies Act 1862. The said provisions were incorporated in the English Companies Act 1948 which in turn became our Companies Act (Cap. 486). It may however be criticized for its assumption that whenever a company buys its shares it would do so by utilizing its paid-up capital. It is in fact possible for a company to buy its shares without using its paid-up capital but using the money from a reserve fund which was constituted for that purpose. Such a purchase might in fact be beneficial to the company which could use it as a mechanism for propping up the market value of its shares at a time when there is panic selling by its shareholders which has been precipitated by adverse rumours about the company. The company would later resell the shares in such a way as to prevent high fluctuations in their market prices.

Despite the rule in **Trevor V Whitworth** a company may purchase or acquire its own shares in the following cases:

a) Where it acquires its own fully paid shares otherwise than for valuable consideration, as in **Castiglione's Will Trusts** case. A testor, Edwin James castiglione, by his will directed that 1,000 fully-paid shares in a private company called Castiglione, Erskine & Co. Ltd be held in trust for his son for life, and after his death without leaving any child, the shares should be transferred to the company. The son died without children and the validity of the bequest was questioned. The court held that the shares could not be transferred to the company itself, but could be transferred to nominees to hold on trust for the company.

b) Where it is a purchase of redeemable shares under Sec. 60 of the Act. This is permitted because the redemption "shall not be taken as reducing the amount of the company's authorized share capital" if it is done in accordance with the provisions of the section.

c) Where the shares are acquired pursuant to the resolution for reducing the company's capital under Sec.68 of the Act. Such acquisition is permitted because the interests of the company's creditors would have been protected by the court at the time of confirming the proposed reduction.

d) Where the shares are purchased in pursuance of a court order under Sec.211 (2) on an application by the oppressed members. The shares purchased would be cancelled and the company's capital reduced accordingly.

e) Where the shares are forfeited for non-payment of a call, or where they are surrendered in lieu of a forfeiture.

Redemption of Shares

Section 60 (1) empowers a company limited by shares to issue preference shares which are, or at the option of the company are to be liable, to be redeemed, if the articles authorise such an issue. It however, provides that —

a) no such shares shall be redeemed except out of the profits of the company which would otherwise be available for dividend, or out of the proceeds of a fresh issue of shares made for the purposes of the redemption;
b) no such shares shall be redeemed unless they are fully paid;
c) the premium, if any, payable on redemption must have been provided for out of the profits of the company or out of the company's share premium account before the shares are redeemed;
d) where any such shares are redeemed otherwise than out of the proceeds of a fresh issue, there shall out of profits which would otherwise have been available for dividend be trasferred to a reserved fund, to be called the capital redemption reserve fund, a sum equal to the nominal amount of the shares redeemed. The provisions of the Act relating to the reduction of the share capital of a company shall apply to the reserve fund as if it were paid-up share capital of the company. However, subsection 5 provides that the capital redemption reserve fund may be applied by the company in paying up unissued shares of the company to be issued to members of the company as fully paid bonus shares. These provisions are intended to prevent a company's authorised capital from being reduced by any redemption of the redeemable preference shares of the company.

FINANCIAL ASSISTANCE BY A COMPANY FOR PURCHASE OF ITS OWN SHARE

According to Section 56it is illegal for a company directly or indirectly to give any financial assistance for the acquisition of any of its shares or shares in its holding company. It is irrelevant whether the financial assistance is given before, at the same time as, or after, the acquisition.

Financial assistance includes:

i) A gift;
ii) Provision of a guarantee, security, indemnity, release or waiver;

iii) A loan and related arrangements; and
iv) Any other financial assistance by a company whose net assets are as a result reduced to amaterial extent or which has no net assets.

In **Heald vs O'connor** (1971) case, the seller of the controlling shareholding in a company lent part of the price to the buyer. The loan was secured by a floating charge on the company's assets. In addition this debenture was guaranteed by the purchaser. The court held that the debenture amounted to financia1 assistance. Also the seller could not enforce the guarantee since it was not possible to guarantee an illegal transaction.

In **Belmont Finance vs Williams Furniture** (1980) case, Group 'A' wanted to buy Belmont from Group 'B' without paying for the shares with their own money. It was arranged that the purchase would be financed from Belmont's own assets, which were extracted by Group 'A' first selling to Belmont for £500,000 shares in another company which were worth only £60,000. The £500,000 was then used by Group 'A' to pay Group 'B' for Belmont's shares. It was held that the arrangement was illegal.

The effects of contravention of rules on financial assistance for acquisition of shares include:

i) The financial assistance, for example the guarantee or security is void. In the **Standard Bank v Mehotoro Farm case.** The first defendant as the customer of the plaintiff executed two memoranda of charge in favour of the plaintiff over its two farms as security for overdraft facilities up to a maximum of Shs.320,000/=.The second defendant negotiated for the purchase of the first defendant's assets; the plaintiff advanced Shs.66,000/= to the second defendant towards purchase of the assets. Thereafter the second defendant and his wife (the third defendant) successfully negotiated the purchase of all the shares in the first defendant for Shs.660,000/=. The advance of Shs.66,000/= made by plaintiff to second defendant was used as a deposit for the purchase of shares. This was done by the plaintiff closing the second defendant's account and transferring the debit balance of Shs.66,000/= to the first defendant's account. The plaintiff advanced the total price of the shares to the first defendant and this was secured by unstamping the existing memoranda of charge by two instruments of variation under which the first defendant agreed that the amount secured be increased to Shs.660,000/= and also by the guarantees of the second and third defendants.
ii) At the time of these transactions the first defendant owed the plaintiff Shs.203,309/95 under the pre-existing overdraft arrangements.

The plaintiff in this suit claimed:-

(1) repayment of the loan from the first defendant,
(2) payment of Shs.660,000/= from the second and third defendants as guarantors; and
(3) an order that in default of payment by the defendants as claimed above, the first defendant's shares be sold and the proceeds of the sale be utilised in the discharge of the debt.

The court held that since the plaintiff advanced the money to the first defendant for the known purpose of this money being lent to the second and third defendants to purchase shares in the first defendant's company. The advance as rendered illegal, void and irrecoverable by Sec.56 of the Companies Act (Cap.486).

Likewise the securities, charges and guarantees given or executed in connection therewith are also illegal and void and no money advanced directly or indirectly thereunder is recoverable.

iii) The company and any officer in default is liable to a fine and/or up to two year, imprisonment;
iv) Every director who is party to a contravention of Section 56 is guilty of a breach of duty and the loan is liable to recoup any losses which the company suffers as a result.

The exceptions to this rule are rather complex. Some straightforward examples include:

i. Where the lending of money is part of the ordinary business of the company, and the loan is in the ordinary course of its business. For example a bank may lend to its customer so that he can buy shares in the bank.In **Steen v Law** the Privy Council explained that this provision does not validate a loan given for the express purpose of enabling the loanee to purchase the lending company's shares. This is so because no company can be constituted for the sole purpose of lending money to persons who would be buying its shares so that a loan it gives for any other purpose would be regarded as an "unusual" or "extraordinary", loan. To be valid, therefore, the loan must have been given for one of the purpose for which the company ordinarily or usually lends money but was diverted (wholly or partly) to a purchase of the lending company's shares.
ii. Where the loan is provided in good faith in the interests of the company, for the purpose of an employees' share scheme. For example, a company may give a guarantee or some other form of security to a bank that lends money to an employees' share scheme.
iii. Where the loan is to employees (other than directors) to enable them to purchase fully paid shares to be held by them as beneficial owners.

ALTERATION OF CAPITAL

A company is empowered by Sec. 63 to pass an ordinary resolution to alter the capital clause of its memorandum. However, the power is exercisable subject to the following conditions:

a) The articles must confer the authority to alter the capital. If they do not, they may be altered by special resolution and the authority incorporated therein.
b) The company must hold a general meeting for the purpose of altering the capital.

c) The alteration must be authorised by an ordinary resolution (See Table A, Article 45

Modes of Alteration

The alteration of capital may be made by -

1) Increasing the company's share capital by new shares of such amount as the resolution prescribes; or
2) Consolidating and dividing all or any of the company's share capital into shares of larger amount than the existing shares; or
3) Converting all or any of the company's paid-up shares into stock, or reconverting the stock into paid-up shares of any denomination; or
4) Subdividing all or any of the shares into shares of smaller amount than is fixed by the memorandum; or
5) Canceling shares which have not been taken or agreed to be taken by any person, and diminish the amount of the capital. This mode of alteration is also known as diminution of capital. Subsection (3) provides that it shall not be deemed to be a reduction of share capital within the meaning of the Act.

The registrar must be notified of an alteration of capital within thirty days after the passing of the resolution authorizing the alteration. In the event of a failure to do so, the company and every officer of the company who is in default shall be liable to a default fine.

In **Greenhalgh V Arderne Cinemas** (1946) 10 pence ordinary shares ranked equally as regards voting with 50 pence ordinary shares. Each 50 pence share was then sub-divided into five 10 pence ordinary shares with one vote each. It was held that the voting rights of the original 10 pence shares had not been varied even though the holder of these shares had now lost his power to block a special resolution.

It is possible that such a decision could be successfully challenged if it is unfairly prejudicial to members generally or some part of the members.

a) Conversion

Fully paid shares may be converted into stock and vice versa.

Stock is basically a number of shares put in a bundle. The main difference between shares and stock is that a share cannot be split into fractions, whereas the stock of a company can be split into as many portions as is required. In practice stock is now extremely rare.

b) Cancellation

This refers to a decrease in the nominal capital of the company, i.e. un-issued shares are cancelled. Cancellation, which is also known as diminution, must be distinguished from reduction of capital, which is a decrease in the amount of issued share capital.

The registrar must be notified of an increase within 15 days. In other cases the registrar must be notified within one month.

DIVIDEND

The basic common law rule was, not surprisingly, having regard to the maintenance of capital rule, that there can be no distribution of dividends to shareholders out of capital.

A company cannot make a distribution except out of profits available for the purpose. A company's profits available for distribution (or its distributable profits) are its accumulated, realised profits, so far as not previously utilised by distribution or capitalization less its accumulated, realised losses, so far as not previously written off in a reduction or reorganisation of capital duly made.

This definition was introduced in the Companies Act and has the consequence that dividends can only be paid out if 'realised profits' exceed 'realised losses'. These terms are not defined by the Act but are recognised inaccountancy and the courts are guided by accounting practices that have been laid down.

A company would, for example, have made a realised profit, once it receives cash from another person or is legally and unconditionally entitled to money or other property with a certain value from another person under a transaction, when the value of what it is so entitled to exceeds what has been spent by the company under the transaction. This requirement tightened up the previous rules which allowed a company to make a distribution following revaluation of capital assets which produced a surplus, which, in other words, produced a 'profit on paper'.

Under the present rules, the asset would have to actually be sold in order to realise the profit. Even tighter rules apply to public companies

It is important to look at the past history of profits and losses to calculate the distributable profits for the current year. The company must look at how the profits and losses have accumulated over the previous years. For example, consider a company which has a trading record as follows:

1995–96	Sh. 2,000	loss
1996–97	Sh. 3,000	profit
1997–98	Sh. 4,000	loss

The company will have to produce a profit of at least Sh.3, 000 in 1998–99 to be in a position to show that its accumulated profits exceed its accumulated losses.
Even where there is a distributable profit in any financial year, it will not necessarily be distributed in the form of a dividend to shareholders. The dividend will first have to be 'declared' in accordance with the provisions of the company's articles.

A general meeting may, by ordinary resolution, declare dividends but no dividend shall exceed the amount recommended by the directors. So, the directors, as a matter of management policy, decide how much of the distributable profit should be paid out by way of dividend and how much should be retained and invested into the company's business, and it is the general meeting which then technically declares the dividend.

Once declared, the dividend becomes a contractual debt owed to the shareholders.

Dividends should only be paid in cash, unless there is a provision to the contrary in the company's articles, and a member can enforce a payment in cash.

Where there has been an unlawful distribution, there is the possibility of two main consequences.

First, where a distribution made by a company to one of its members is made in contravention of the provisions for calculating distributable profit, then, if, at the time of the distribution, the member knows or has reasonable grounds for believing that it is so made, he is liable to repay it to the company.

The other major consequence of the payment of an unlawful dividend isthat the directors will be liable to compensate the company for losses. As Jessel MR, in **Re Exchange Banking Co (Flitcroft's Case),** explained: "It follows then that if the directors who are quasi -trustees of the company improperly pay away the assets to the shareholders, they are liable to re place them. ... I am of opinion that the company could in its corporate capacity compel them to do so, even if there were no winding up. They are liable to pay, and none the less liable because the liquidator represents, not only shareholders, but creditors. The body of the shareholders no doubt voted for a declaration of dividend on the faith of the misrepresentation of the directors, so that there was really no ratification at all.

Since the act of unlawfully repaying money to shareholders is outside the statutory corporate powers and, therefore, ultra vires. The shareholders, even acting unanimously, would not be able to ratify and approve of what the directors had done.

Certainly, directors will be liable if they knew that there was no power to pay dividends at the time and, similarly, if they were mistaken as to the law in relation to the paying of dividends. But, if they act honestly and without negligence in paying dividends while, for example, relying on the accounts, then they will not be liable.

Payment of Dividends

A dividend is the portion of the distributable amount of profit to which each member is entitled when it is formally declared in the annual general meeting (AGM).

The power to declare dividends is implied and does not require express authority either in the memorandum or in the articles of association.

It is the absolute right of the board of directors to recommend the rate of dividend to be declared. However, the shareholder's approvals of the recommended rate of dividend is required and can reduce the rate of dividend but the AGM (members) cannot increase the rate of dividend.

Rule Relation to Dividend

There are several rules that a company should adhere to when it comes to the issue of dividends. These rules include:

1. Dividend can only be paid only be paid of profits and out of capital. This is so to prevent reduction of capital of the capital company.
2. Dividend is declared by a resolution passed at the AGM. The directors determine the rate of the dividend but has to be confirmed by the shareholders in the AGM.
3. Dividend cannot be declared if this would result in the company being unable to pay its debts as they fall due.
4. The dividend is payable only in cash
   In the absence of express authority in the articles the company must pay dividends in cash and may not pay e.g. by the distribution of its own shares in another company.
5. A company may if authorized by its articles pay dividends in proportion to the amount paid on each share where a large amount is paid up on some shares than on others.
6. Unrealized profits cannot be declared or distributed by way of dividend.
7. Losses on circulating assets, made in previous accounting periods need not be made good. A dividend can be paid provided there is a profit on the year's trading.
8. A realized profit on the sale of fixed assets may be treated as profit available for dividend, or any rate if there is an overall surplus of fixed and circulating capital over assets.
9. Losses of circulating assets in the current accounting period must be made good before a dividend can be declared
10. Where the dividend has been declared but has not been paid or the warrant in respect thereof has not been posted within 42 days from the date of the declaration of the dividend to any shareholder entitled to payment of the dividends, every director, who is knowingly a party to the default is punishable.
11. An interim dividend may be paid. An interim dividend is one declared between two AGMs of the company. They do not need the sanction of the AGM and are usually declared by the directors if authorized by the articles.
12. A dividend once declared becomes a debt on the company **-** Each shareholder is entitled to sue the company for his proportion.

Dividend Warrant

Payments of dividend is normally done by the company sending the registered members dividend warrants which usually consist of two parts –

i) an advice informing the members of the particulars of the payment and
ii) the warrant proper which is in the form of a cheque and directs the company's bank to pay the sum due to the member.

The warrant must show the amount of dividend or interest paid and the amount of tax credit to which the recipient might be entitled.

Dividend Mandates

A request from any shareholder having a banking account, to pay dividend to his bank direct is known as dividend mandate. The company usually issues the forms to all shareholders.

This has got an advantage so that the company reduces the amount of unclaimed dividend and which has to be carried forward from year to year. Similarly, one warrant can be used for the payment of dividends due to several shareholders having accounts with the same bank.

Capitalization of Profits

Capitalization of profits means that the profits are not divided amongst the shareholders in cash but are allotted further shares or debentures which are wholly paid up or partly paid up out of those profits.

The amount paid by the company on account of these newly issued shares is known as the bonus and the shares are referred to as the bonus shares.

This is usually decided at the Company's general meeting at the recommendation of the directors. It is usually done in the following manner - the bonus is provided out of the credit balance of the profit and loss account or out of reserves, so that the balance sheet shows the profit and loss account at a reduced figure and the issued capital at a correspondingly increased figure.

This process reduces the risk of any person gaining control of the company and distributing the liquid resources of the company against a reduction of the profit and loss account. If the profits have been capitalized, the assets can only be distributed by way of the capital reduction procedure which requires a special resolution and confirmation by the court.

TOPIC 6

DEBT CAPITAL

Introduction

Businesses have several options to raise money. If they are able to trade publicly on the stock market, they can sell shares of stock in the company and quickly raise capital. However, shares are actually ownership in the company, and investors who buy them become partial owners with at least a small say in how the company is run. Business may not want this extra ownership, may not be able to sell anymore stock or may simply need to balance out its capital activities with an alternative method. The other method of raising capital is through debt.

Debt capital is money that a business has raised through debt. Essentially, investors agree to make a loan to a business immediately. The business receives the debt capital and agrees to pay the loan back at a certain time with additional interest payments that are compounded as long as the loan is active.

Debt capital in a company's capital structure refers to borrowed money that is at work in the business. The safest type is generally considered long-term bonds because the company has years, if not decades, to come up with the principal, while paying interest only in the meantime.

A debenture is a document that either creates a debt or acknowledges it, and it is a debt without collateral. In corporate finance, the term is used for a medium- to long-term debt instrument used by large companies to borrow money. In some countries the term is used interchangeably with bond, loan stock or note. A debenture is thus like a certificate of loan or a loan bond evidencing the fact that the company is liable to pay a specified amount with interest and although the money raised by the debentures becomes a part of the company's capital structure, it does not become share capital. Senior debentures get paid before subordinate debentures, and there are varying rates of risk and payoff for these categories.

Debentures are generally freely transferable by the debenture holder. Debenture holders have no rights to vote in the company's general meetings of shareholders, but they may have separate meetings or votes e.g. on changes to the rights attached to the debentures. The interest paid to them is a charge against profit in the company's financial statements.

BORROWING POWERS AND METHODS

A company needs capital to finance its activities. Part of this requirement is met by the issue of shares and the rest a company may resort to borrowing. A trading or a commercial company unless prohibited by the memorandum and articles has implied powers to borrow money for its purposes and to give security or charge its assets by way of security for the amount borrowed.

A non-trading company requires express powers to borrow. In that case it must be stated in the memorandum or articles. A private company is entitled to exercise borrowing powers immediately upon registration but a public company cannot exercise borrowing powers until it acquires a certificate of incorporation and a certificate of commencement of business.

The power of a company to borrow is exercised by the directors subject to the restrictions which may be placed by its memorandum or articles of association or by the Act. Sometimes the memorandum limits the borrowing powers of directors to a specific sum or to a sum not exceeding a paid up capital.

Where a company has powers to borrow, it has incidental powers to secure the repayment of the borrowed money by mortgage or charge of all or any of its property real or personal, present or future.

Borrowing by a company may thus be ultra vires the company that is, unauthorized borrowing or ultra vires the directors that is, beyond the powers of the directors.

Borrowing ultra vires

Where a company has no borrowing powers or where the memorandum or articles fix a limit to the borrowing powers of the company, any borrowing in the one case and any borrowing in excess of such limit in the other case, is ultra vires. If a company borrows money beyond its powers the borrowing is ultra vires the company and is void. Where the borrowing is ultra vires the company the lender has no legal or equitable right against the company.

However, a lender of money ultra vires to the company may have the following equitable remedies:

1. Proceedings for injunction

If the company has not spent the money so advanced to any transaction so far, a lender may obtain an injunction to restrain the company from spending the money and may recover the money as actually existing.

2. He can claim for an order of subrogation

If the money so borrowed is applied in paying off the lawful debts of the company the lender is entitled to step into the shoes of the creditors who have been paid off and be subrogated to their rights. He can thus ranks as a creditor of the company to the extent to which his money has been so applied.

3. Identification and tracing

If the money has been so expended in purchasing some particular assets which can be traced into the company's possession the lender can obtain a tracing order and may recover that asset.

4. Recovery of damages

The lender under a transaction, which is ultra vires, may claim damages from the directors personally for a breach of implied warranty of authority unless the fact that the borrowing was ultra vires could have been discovered from the public documents of the company.

Borrowing Ultra Vires the Directors and the Rule of Indoor Management

Borrowing ultra vires is the borrowing in excess merely of the powers of the directors but not of the company. In such a case the borrowing can be ratified and thus be validated by the company. If the company ratifies the borrowing, then the loan binds both the lender and the company as if it had been made with the company's authority in the first place.

If the company refuses to ratify then the normal principles of agency and the rule of indoor management will apply as long as the lender proves that he lent the money in good faith and without notice.

When the articles of association of a company prescribed a particular procedure for doing a thing, the duty of carrying out the provisions lies on the person in charge of the management of the company. Outsiders are entitled to assume that the rules have been complied with. This is known as the doctrine of indoor management.

The principle of indoor management was laid down in the **Royal British vs. Turquand**. In this case Turquand was sued as the official manager of a coal mining and railway company on a bond for £2,000, which had been given by the company to the plaintiff bank to secure its drawings on a current account. The bond was given under the seal of the company and signed by two directors and the secretary but the company alleged that under the terms of its registered deed of settlement, the directors had powers to borrow only such sums as had been authorized by a general resolution of the company and in this case no sufficiently specific resolution had been passed. The court held that the company was bound by the bond.

However, the principal is liable if the agent does;

i) what he is actually authorized to do or:
ii) what an agent of that type would normally have authority to do or;
iii) what he has been 'held out' by the principal as having authority to do.

For the rule to apply the other party must not have known that the agent was exceeding his actual authority. Therefore the third parties dealing with the company are not bound to ensure that the internal regulations of the company have been complied with. This rule laid down in the Tarquand's case is normally referred to as rule of indoor management.

The rule is based on the convenience of business transactions because business could not be carried out effectively if everybody who had dealings with the company had meticulously to examine its internal machinery in order to ensure that the official he dealt with had actual authority. However, the rule must not be overstretched. The mere fact that someone purports to act on behalf of the company cannot alone impose liability on the company. The *soi distant* agent may be a complete impostor.

Thus the courts have developed the following rules or propositions in the application of the rule of indoor management:

Rule 1
Anyone dealing with the company is deemed to have notice of its public documents. Hence every act, which is clearly contrary to these documents, will not bind the company unless subsequently ratified by the company acting through its appropriate organ.

Rule2
Provided that everything appears to be regular so far as this can be checked from the public documents, an outsider dealing with the company is entitled to assume that all the internal regulations of the company have been complied with unless he has knowledge to the contrary or there exist suspicious circumstances putting him on inquiry.

Rule 3
An outsider dealing with the company through an officer who is or is held out by the company as a particular type of officer for example managing director and who purports to act or exercise a power which that officer would normally/usually have is entitled to hold the company liable for the officer's acts even though the officer has not been so appointed or is in fact exceeding his actual authority.

In **Freeman and Lockyer vs. Buckhurst Part Properties Ltd t**he defendant company was formed to buy and resell a large estate by Kapoor, a property developer, and Hoon, who contributed half of the capital but played no active part in the company's business. Kapoor, Hoon and a nominee of each were appointed the four directors of the company, and under the articles all four were needed to constitute a quorum. Hoon spent much time abroad, leaving all the day-to-day management of the company's affairs to Kapoor. After the initial plan to resell the land failed, Kapoor decided to develop the estate and engaged the plaintiff, a firm of architects and surveyors, to apply for planning permission. The company later refused to pay the plaintiffs fees on the ground that Kapoor had had no authority to engage them.

The court was held that the company was liable since by its own acquiescence, it had represented that the director was managing director with the usual authority of that office.

The court also found that the plaintiffs intended to contract with Kapoor as agent for the company and not on his own account and that, Kapoor although never appointed as managing director, had throughout been acting as such to the knowledge of the board.

But this is not so if the officer is in fact exceeding his actual authority and:

a) the outsider knows that the officer has not been so appointed or has no actual authority.
b) the circumstances are such as to put him on inquiry or
c) the public documents make it clear that the officer has no actual authority or could not have actual authority unless a resolution had been passed which requires filing as a public document and no such document has been filed.

Rule4
If the officer is purporting to exercise an authority, which that sort of officer would not usually have, the outsider will not be protected if the officer exceeds his actual authority unless the company has held him out as having authority to act in the manner and the outsider relied thereon.

Rule 5
An outsider who can bring himself within the protection of rule 3 and 4 above would not necessarily loose his protection merely because the ostensible officer with whom he deals has never been validly appointed.

Rule 6
If a document purporting to be sealed by or signed on behalf of the company is proved to be a forgery, it does not bind the company.

In **Ruben vs. Great Fingall Consolidated Ltd**. the plaintiffs Ladenburg, who were stockbrokers, had procured a loan for one Rowe (the secretary of the defendant company) on the security of a share certificate for 5,000 shares in the defendant company, to which Rowe had affixed his own signature and the company's seal and had forged the signatures of two directors. The plaintiffs, having reimbursed the mortgages, claimed damages from the company for failure to register them as owners of the shares

The court held that the company was not stopped by the certificate. The forged certificate is a complete nullity and the doctrine of indoor management cannot apply to it.

However, a company may be estopped from disclaiming the document as a forgery if it has been put forward as genuine by an officer acting within his actual, usual or apparent authority and if a transaction is binding on the company under the foregoing rules a company will be liable notwithstanding that the officer has acted fraudulently or committed a forgery.

The doctrine of indoor management does not apply in certain cases:

(a) Void Acts
Where the act is void ab initio, the company is not bound, e.g., forgery.

Examples:

i) An act ultra vires the memo or articles cannot bind a company.
ii) A share certificate forged by the secretary of the company and issued under the seal of the company cannot confer any right on the holder thereof.

(b) Knowledge of irregularity

Where the person dealing with the company has notice, actual or constructive, that the prescribed procedure has not been complied with the company is not bound.

For example X company lends money to Y company on a mortgage of its asset. The procedure laid down in the articles for such transaction was not complied with. The directors of the two companies were the same. Here it may be presumed that the lender had notice of the irregularity. Hence the mortgage is not binding

(c) Lack of authority

If an agent of a company makes a contract with a third party and if the act of the agent falls outside the ordinary authority of the agent, the company is not bound.

DEBENTURES

There is no legal definition of a debenture. However the Act provides that a debenture includes debenture stock, bonds and any other securities of a company whether constituting a charge on the assets of the company or not.

All companies public or private can issue debentures. They may be issued at par, at a premium or at a discount either privately or through prospectus.

The legal requirements for issue and allotment of debentures are the same as those used in the case of issue and allotment of shares except that no 5% cash of nominal capital as nominal money no minimum subscription are required and no legal restriction is placed on the company's power to purchase its own debentures.

Characteristics of debentures

Some of the characteristics of debentures include:

1. Each debenture is numbered
2. Each contains a printed statement of the terms and condition i.e., the rate of interest, the time of payment of interest, the security against which the debenture is issued and what steps the debenture holder can take in case of non-payment of his dues.
3. A debenture usually creates a floating charge on the assets of the company, e.g., a charge which is enforceable upon non-payment of the interest or principal on the due dates.
4. A debenture may create a fixed charge instead of a floating charge.

5. Sometimes debenture holders are given the right to appoint a receiver In case of non-fulfilment of the terms of the debentures by the company.
6. Sometimes a series of debentures are issued with a trust deed by which trustees are appointed to whom some or all the properties of the company are transferred by way of security for the debenture holders.

Classes of Debentures

Debentures can be categorized into the following classes:

1. Secured Debentures
2. Unsecured/Naked debentures
3. Registered Debentures
4. Redeemable Debentures
5. Irredeemable/perpetual Debentures
6. Bearer/unregistered Debentures
7. Convertible Debentures

1. Secured Debentures

These are debentures which are secured by some charge on the property of the company. The charge or mortgage may be fixed or floating hence there may be fixed mortgage debentures or floating mortgage debentures.

2. Unsecured/Naked debentures

They are those that are not secured by any charge on the assets of the company.

The holders of such debentures are just like ordinary unsecured creditors of the company.

3. Registered Debentures

These are debentures which are payable to the registered holders. A registered holder is one whose name appears both on the debenture certificate and in the company's register of debentures required to be maintained by the company. He can transfer them like shares but the transfer has to be registered.

4. Redeemable Debentures

This provides for the payment of the principal sum on a specified date or on demand or notice. They can be issued after 'redemption in accordance with the provisions of the articles of association.

5. Irredeemable/perpetual Debentures

In such a case the issuing company does not fix a date by which they should be redeemed and the holder of such debenture cannot demand payment from the company so long as it is a going concern. They are normally payable on winding upor some serious default by the company or were made payable at a remote period of say, 100 years.

6. Bearer/Unregistered Debentures

These are debentures which are payable toa bearer. They are regarded as compatible instruments and are transferable by delivery and therefore a bona fide transferee for value is not affected by the defect of title of the previous holders.

7. Convertible Debentures

A convertible debenture contain an option entitling the holder to convert his debt at times stated in the debenture to ordinary or preference shares of the company at a stated rate of exchange. If the holder exercises the right, he ceases to be a lender of the company and becomes a member instead.

8. Debenture Stock

This means the borrowed capital consolidated into one mass. The difference between debenture and debenture stock is the same as the difference between a share and stock, Like a share, the debenture is always of a fixed denomination, indivisible and transferable in its entity and like stock, the debenture stock is not any fixed amount.

Distinction between Debentures and Shares

The following is distinction between debentures and shares:

1. A shareholder is part-owner of the company but a debenture holder is only a creditor.
2. A share is an ownership security usually non-repayable during the lifetime of the company but a debenture is a creditor ship security usually payable during the life time of the company.
3. Income on debentures is fixed and certain whether or not a company has made profits whereas income on shares (dividend) is uncertain and depends on the directors' discretion.
4. A shareholder has normal rights of a member for example the right to receive notices of a general meeting, whereas a debenture holder is not a member and is not entitled to some of these rights.
5. A company may generally purchase its own debentures (redeemed) whereas it is not open to a company to purchase its own shares.
6. In case of winding up, debenture holders rank first for repayment whereas shareholders can only obtain payment after all the outside creditors have been paid.

Similarities between debentures and shares

Some of the similarities between debentures and shares include:

1. Debentures can be issued in a series or class just like shares can be of several classes.
2. Shares and debentures are long term investment of a mostly long term naturepayable on winding up in case of shares and on winding up or the happening of the stated event or period in cases of debentures.
3. The two are normally issued in the same way and can be issued by prospectus where appropriate.
4. Debentures just like shares can be issued at par or at premium or in exceptional circumstances at a discount.
5. Both shares and debentures may be redeemable if stated to be so redeemable.

Debenture Trust Deed

Normally a debenture is one of a series issued to a number of lenders and it is often accompanied by a charge fixed or floating on the company's property. In practice therefore, in the case of mortgage debentures the issuing company usually mortgages property with a trustee who hold mortgaged property on trust for the benefit of debenture holders through a trust deedbecause it cannot possibly create a separate charge in favour of thousands of debenture holders . The trust deed 'contains detailed conditions and stipulations safeguarding the interest of debenture holders. A debenture trust deed is usually a long and elaborate document containing the following major elements:

a) The appointment of a trustee for prospective debenture stockholders.

The first trustee is normally appointed by the company as the other party to the deed. Any replacement trustee is to be appointed by the debenture stockholders. The trustee is usually a bank, insurance company or other institution but may be an individual trustee.

b) The nominal amount of the debenture stock is defined which is the maximum amount, which may be raised then or later.

c)The date or period of payment is specified, as is the rate of interest and interest payment dates.

d) If the debenture stock is secured, the deed creates a charge or charges over the assets of the company and often of its subsidiaries, which are parties to the deed for that purpose

e) The trustee is authorized to enforce the security in case of default and in particular to appoint a receiver with suitable power of management.

f) The company enters into various covenants, for instance, to keep its assets fully insured or to limit its total borrowing among others

g) There may be other provisions regarding the following:

i) Register of a debenture stockholders
ii) Transfer of stock
iii) Issue of stock certificate
iv) Meetings of debenture stockholders at which extra ordinary resolutions passed by ¾ majority is binding on all debenture stockholders.

Advantages of a trust deed

Some of the advantages of a trust deed include;

1. The trustee with appropriate powers can intervene promptly in case of default.
2. Security for the debenture stock in the form of charges over property can be given to a single trustee unlike a mortgage which could be given to numerous and changing body of debenture holders. The company can contact the trustee with whom it can negotiate for example on consent to sell an obsolete security and to replace it by another.
3. The debenture holders will be able to enjoy the benefits of a legal mortgage over the company's land. This would not be possible without the trustee since under the law of property a legal estate/interest in land cannot vest in more than four persons at the same time.
4. By calling a meeting of debenture holders, the trustee can consult them and obtain a decision binding on them all powers to re-issue redeemed debentures
5. When debentures have been redeemed the company has the right to keep the debentures alive for the purpose of reissue. This id dependent on the fact that that there is no provision to the contrary in the articles or in a contract of issue and the company has not shown an intention to cancel them either by passing a resolution to that effect or some other act. In exercising such rights the company may either reissues the same debentures or issues others in their place. Upon re-issue the persons entitled to the debentures will have the same rights and priorities as if the debentures have been issued

Debentures with *pari passu* clause

When debentures are issued creating a charge, it should be mentioned on the back of the debentures or in the trust deed that each debenture of the series issued is to rank pari passu that is, equal as regards charge and repayment with the others of the same series.

In the absence of the pari passu clause, the legal portion will be that the debentures will be payable according to the days of issues and if all of them were issued on the same date then according to consecutive numbers.

The objects of the pari passu clause is to place all the debentures on the same level as to security so that if the security is to be enforced wherever it is realized from it shall be divided amongst them rateably in proportion to the total amount due to each debenture holder for capital and interest.

Register and Index of Debenture Holders

The register of the debenture will be kept at the company's registered office.

The register of debenture holders must contain the following particulars:

i. The name and address and occupation, if any, of each debenture holder.
ii. The debentures held by each holder distinguishing each debenture by its number and the amount paid or agreed to be considered as paid on those debentures.
iii. The date at which each person was entered on the register as debenture holder.
iv. The date at which each holder ceased to be debenture holder.

If the number exceeds fifty debenture holders, a debenture holders' register index must also be prepared unless the register of debenture holders is in such a form as in itself to constitute on index.

Advantages of Debentures

Debentures have the following advantages:

1. A debenture is easily tradedand as the company issuing it is a public company, the trading will take place on the stock exchange.
2. Its terms as set out in the trust deed are clear and specific so that a company can be certain of its obligations.
3. The debenture holder has no say in running of the company. His status is that of a creditor not member as he would be had a share issue been made. The balance of powers in the company is thus maintained by the issue of debentures.The debentures secured by floating charge are popular instruments; they give holders the security of a charge but mean from the company's view point that the assets charged can be freely tradedThe debentures offer potential investors the security of a guaranteed income and thus from the company's view point an issue of debentures may be more popular than an issue of preference shares
4. Interest payable on debenture stock is deductible when computing taxable profits whereas dividends are not.
5. The Companies Act requirements that affect debentures are more relaxed in a number of ways than those that affect shares. For instance there are no restrictions on a company purchasing its own debentures and debentures can be issued at a discount unlike shares.

Disadvantages of Debentures

Some of the disadvantages of debenture are:

1. The company may have to offer a relatively high rate of interest in order to make the debentures attractive. This applies in times of inflation where the real value of fixed interest payment will decline.
2. Payment of debenture interest is mandatory and not discretionary as it is with shares. The company must therefore consider whether this liability can be met.
3. Debenture holder's remedies include the appointment of liquidator or receiver, which may have disastrous consequences on the company.
4. Crystallization of floating charge can mean that the security is swiftly enforced. Given that the security will often be over the trading assets, enforcement can cause major problems for the company.
5. If interest payment results in costs in dividend yield and this may lead to pressure from shareholders and cause share prices to fall.

CHARGES

A 'charge' on a property is created when it is made liable for the payment of money. A charge may be

1. Fixed Charge
2. Floating Charge

Fixed Charge

A fixed charge or mortgage is one, which is created on some definite or specific property of a permanent nature for example, a building or heavy machinery and land and prevents the company from selling the property so mortgaged free from the burden of the mortgaged debt. In the event of winding up of the company a debenture holder secured by a specific charge is in the highest ranking class of creditors that is, that of secured creditors. Where the property of the company is specifically charged the company cannot dispose of it unencumbered by the charge without obtaining the consent of the holders of the charge. Such charge may be either legal o equitable charge or mortgage.

In a legal mortgage the full ownership of the property is transferred to the creditor (the mortgagee) without necessarily delivering the possession of the mortgaged property and the mortgagor reserves the right to regain the full ownership upon the payment of the loan with interest.

In an equitable mortgage, only the title deed or documents of title to the property are deposited with the creditor as security for repayment without transferring legal ownership.

Floating charge

In **Illingworth vs. Houldsworth**, Lord McNaughten defined a floating charge in the following word "a floating charge is ambulatory (shifting) in its nature, hovering over, so to speak floating with the property which it is intended to affect until some event occurs or some act is done which causes it to settle and fasten in the subject of the charge within its reach ". It is an equitable charge on the assets of the company for the time being of a going concern. It does not relate to any specific property over which it is created. It may, however, fasten upon any specific property including any which is subject to a fixed charge, but it can be restricted to a limited class of property. It attaches to the subject charged in the varying condition in force from time to time.

It is of the essence of such a charge that it remains dormant until the undertaking charged ceases to be going concern or until the person in whose favour the charge is created intervenes

This right to intervene may however be suspended by agreement. However, if there is no agreement for suspension he may exercise his right whenever he pleases after default.

The property, which is subject to the floating charge, can be dealt with by the company without consulting the holder of the charge and may be sold, exchanged or otherwise dealt with in any way that the directors may think fit.

Upon the happening of certain event(s) which are specified in the trust deed, the floating charge becomes fixed or in technical terminology, crystallized and becomes fastened to the assets 'in being of the company.

Sec. 104 of the Act imposes an important condition for the validity of a floating charge created within 12 months immediately preceding the commencement of winding up. It says that the charge shall be invalid except:

a) The company immediately after the creation of the charge was insolvent.
b) If the company received cash actually at the time of or after the creation of the charge in consideration thereof

Rules relating to floating charges

The creation of a floating charge confers several rules on various parties who may have an interest in the property charged.

1. A floating charge operates as an immediate or continuing charge on the property charged subject only to the company's powers to deal with the property in the ordinary cause of its business.
2. A floating charge unless otherwise agreed, leaves the company at liberty to create specific mortgages ranking in priority to the floating charge and by dealing with debtors give them a right to set off.
3. Notice of a floating charge does not stop subsequent specific mortgages.

4. A floating charge is valid as against execution creditors save that if the execution creditor takes a property in execution and contemplates the execution for example, by seizure and sale while the charge floats, he obtains it in priority.
5. It is also valid as against the unsecured creditors whether in winding up or otherwise. Priority must however be conceived to the preference creditors.
6. A floating charge unless otherwise agreed retains its floating character until a receiver is appointed either by the court or by the debenture holder under a power contained in the debenture or when winding up commences. The charge seizes to be a floating charge on winding up even though the debentures are not repayable under the express terms of the debentures. It is then said to crystallise.
7. A landlord can destrain for rent before the appointment of a receiver but where a receiver has been appointed by the court, he must apply for leave of the court before destraining for rent. He cannot however distrain for land not contained in the lease.
8. Where chattels are in the company's possession under a hire purchase agreement under which the goods are to remain the property of the supplier, the rights of the owners prevails over a floating charge, created by the company even if the chattels become fixtures.

Crystallisation of Floating Charge

When a floating charge becomes fixed or fastens to some particular property for any reason, it is said to crystallize and such charge becomes a fixed charge. A floating charge crystallizes on the occurrence of any of the following events:

1. **When a company goes into liquidation**
   Upon a company going into liquidation, the floating charge automatically crystallizes whether or not the company is in default to the holder of the charge.
2. **Appointment of receiver**
   Where the company is in default or commits other breaches of the terms of the debenture and the lender takes some steps to realize the property charged, the charge is said to crystallize.
3. When the company ceases to carryon business or ceases to be a going concern, the charge may crystallize.
4. Crystallization may also occur where a creditor takes possession of assets subject to the charge through seizure or under power of seizure or license.
5. Where the charge is converted into a fixed charge in which case it will concern the specific property.
6. Crystallization of another charge if the crystallization of that charge causes the company to cease business.

Advantages of a Floating Charge

Some of the advantages of floating charge include

1. The company can freely trade with the stock of the company
2. The company is free to create further charge on the property subject to a floating charge.
3. To the lender, a floating charge is valid as against execution unless the executor takes property in execution by seizure.
4. It is valid as against the unsecured creditors.

Disadvantages of Floating Charges

Some of the disadvantages of floating charges are as follows:

1. **Reduction in values of the asset**
   A floating charge is often worthless when a lender seeks to rely upon it because a company, which creates a floating charge, is free to deal with its assets in the ordinary course of business. It may therefore, unknown to the lender realize its stocks and collect money from trade debtors in order to meet pressing unsecured creditors with the result that when the lender appoints a receiver the value of the remaining assets may be very small.

2. **Priority of preferential creditors**
   Certain classes of creditors are by law treated preferentially, either in the event of the company being wound up or in the event of a receiver being appointed.

   These preferential creditors as they are usually called have priority over creditors holding a floating charge and over unsecured creditors.

3. **Priority of other creditors**
   If a lender is relying on a floating charge and the company is being hard pressed by its creditors, there is a risk that certain creditors may obtain priority over the lender for example:

   a) If a company landlord levies distress for rent before the lender appoints a receiver over a floating charge this will be valid as against the lender.
   b) If a creditor obtains judgment against the company and goods covered by floating charge are seized and sold by the auctioneer to satisfy the judgment, this will be valid as against the holder of the floating charge.
   c) If a creditor has a lien over some of the company's goods, his rights may take precedence over those of a holder of a floating charge.
   d) A supplier may have sold goods to the company on the terms that the ownership of the goods is not to be transferred to the company until payment of the price. Therefore unless the supplier has been paid the goods still in the company's possession will remain

in the ownership of the supplier and he has a right to proceed in priority to the secured and unsecured creditors of the company.

e) If a creditor obtains a garnishee order absolute attaching a credit balance of the company in the hands of some third party this will be valid as against the holder of a floating charge provided that the order absolute is made before the receiver is appointed

4. Liquidation within 6 months

The Act provides that a floating charge created within 6 months from the commencement of winding up is invalid except the amount of any cash paid to the company at the time of or subsequently the creation of and in consideration for the charge.

5. Possible priority of subsequent fixed charges

A company which has created a floating charge may at a later date execute in favour of another lender a fixed mortgage or charge on some of the assets comprised in the floating charge. Unless proper precautions are taken in the first instance by the holder of a floating charge, the subsequent fixed charge may take priority over the earlier floating charge. The reason why the subsequent fixed charge may take priority over the earlier floating charge is because the specific charge is regarded as having been completed under implied licence from the holder of a floating charge. In the result the fixed charge will take priority over the floating charge whether or not the specific charge had notice of the floating charge and whether his charge is legal or equitable.

In order to avoid this result, it is usual to insert a clause in the debenture containing the floating charge whereby the company undertakes not to create any mortgage or charge on any of its assets to rank in priority to or pari passu with the floating charge. This restrictive clause however, will not be binding upon a subsequent chargee unless he has notice of it.

Priority of Charges

The priorities between charges are as follows:

(a) Legal fixed charges rank according to their order of creation.

(b) If an equitable fixed charge (i.e. an informal mortgage created by a deposit of title deeds to land or a share certificate with the lender) is created first and a legal charge over the same property is created later, the legal charge takes priority over the equitable charge.

(c) A floating charge will be postponed to a later fixed charge over the same property. This is so because the fixed charge attaches to the charged property at the time of its creation whereas the floating charge attaches at the time of crystallization.

The floating charge would however have priority over the later fixed charge if—

i. the floating charge contained a "negative pledge" clause which prohibited the company from later on creating fixed charges with priority over it, and
ii. the holder of the fixed charge actually knew of the prohibition. In **Valletort Sanitary Co** it was explained that registration of the floating charge would be constructive notice of the charge itself but not constructive notice of the contents of the charge, including the negative pledge clause.

(d) If two floating charges are created over the general assets of the company,they rank in order of creation.
(e) If a company creates a floating charge over a particular kind of assets, e.g. book debts, the charge will rank before an existing floating charge over the general assets.

REGISTRATION OF CHARGES

Under Sec.96 (6) of the Act every company is required to keep at its registered office a register of all floating charges specifically affecting property of the company and all floating charges on the undertaking or any property of the company and to enter in it a short description of the property charged, the amount of the charge and the names of the persons entitled to it. The Act provides for the registration of the following mortgage charges of the company together with the instrument creating or evidencing them:

1. a charge for the purpose of securing any issue of debentures.
2. a charge on the uncalled share capital of the company.
3. a charge created or evidenced by an instrument which if executed by an individual would require registration as a bill of sale.
4. a charge on land
5. a charge on bad debts of the company
6. a floating charge on the undertaking or property of the company.
7. a charge on calls made but not paid
8. a charge on a ship or aircraft or any share in a ship
9. a charge on goodwill or a patent or license under a patent on a trade mark
10. or on a copy right.

General Aim

The purpose of registering the aforesaid particulars is to enable a would-be creditor to know the company's existing indebtedness and the assets available for their settlement.

Certificate of Registration

Section 99 requires the registrar to give a certificate, under his hand, of the registration of any of the specified charges. The certificate shall be conclusive evidence that the statutory requirements as to registration have been complied with. Consequently, the charge would not be rendered void on the grounds that one of the prescribed particulars, such as the date of the creation of the charge, is later found to be in correct. In **C.L. Nye Ltd** case the company completed a charge in favour of a bank on 28th February 1964. Due to an oversight by the bank's solicitor the charge was not registered. On the 18th June 1964 the oversight was noticed and on the 3rd July 1964 registration was applied for. The 18th June was inserted as the date of creation of the charge and the charge was duly registered. On the 16th July the company went into liquidation and the liquidator sought a declaration that the charge was void because if was registered too late. The court held that since a certificate of registration is conclusive evidence of the date of creation of the charge it must be regarded as created on 18th June 1964. Since it was registered within 21 days of this date (Note: the time allowed for registration in England is 21 days) it was valid and could be enforced by the bank.

Effect of Non-Registration of Charges

The effects of non-registration of charges include:

1. This charge would be void as against the liquidator and any other creditor of the company.
2. A debt in respect of which a charge was given remains valid but as an unsecured debt.
3. The money, which the charge purports to secure, becomes immediately payable.
4. Any person in default is liable to a penalty for everyday during which the default continues.

Company's register of charges

The Act in Section 105 (1) provides that every company must keep a register of charges containing:

- A short description of the property charged
- The amount of the charge
- The names of the persons entitled to the charge.

Failure to comply with Sec.105 (1) does not invalidate the charge but the officers of the company responsible for the omission shall be liable to a fine not exceeding one thousand shillings.

Time or Registration of Charges

A company, which has created a charge, shall have the same registered within 42 days after the date on which the instrument is created. The instrument creating a charge must be delivered to the registrar and in case of a company created out of Kenya, it must be sent for registration to the registrar of companies.

Late Registration

Where the court is satisfied that the omission to register a charge within the time stipulated was accidental or due to inadvertence or some other sufficient course or that on other ground, it is just and equitable to grant a relieve on the application of the company.

REMEDIES AND RIGHTS OF DEBENTURE HOLDERS

The rights and remedies available depend on whether the debenture holder was secured or unsecured.

In case of unsecured debentures

Where the debenture is not secured by mortgage or charge the remedy of the holder is either to bring an action to enforce the debenture and obtain judgement and levy execution on the property of the company.

He may either before or after judgement presents a petition for the compulsory winding up of the company.

If there is a winding up in progress, he can prove in the winding up for the amount due to him but not having any other security.

He may rank with the ordinary creditors although he would be a speciality creditor.

In case of secured debentures

A secured debenture is in a much stronger position than that of unsecured holder.

1. Action for the debt

Every creditor whether secured or not has of course a right to sue his debtor if the latter fails to pay his debt. However, in most cases, it is a waste of time for a secured creditor to obtain judgement against his debtor because a secured creditor already has measure of control over some of his debtor's property.

Therefore, if the lender has any reason to think that the debtor could if hard pressed, repay the loan it is occasionally good plan to hold the threat of bankruptcy proceedings over his head. This course in suitable instances may prove to be simpler and more effective than an attempt to realise the security.

2. Sale of a property

In case of a fixed charge over property, a debenture holder has implied power of sale under the law of property. The Act provides that every mortgagee whose mortgage is made by deed shall have power to sell the mortgaged property or any part thereof either together or in lots by public auction or private contract.

3. Foreclosure

This is a remedy occasionally available in debenture holders action but not where the property has been conveyed to the trustee of a debenture trust deed on trust for sale. The effect of foreclosure is to make the debenture holders absolute owners of all rights, title and interest held by the borrower in the property charged.

4. Taking possession of the property

The mortgages right to take possession of the property is not statutory but does not depend on any express authority conferred by the mortgage deed. It results from the fact that a legal mortgage gives the mortgagee a term of years therefore he is entitled to take possession of the property peaceably if he can or if he fails then by means of an action for recovery of the land against the mortgagor.

The aim of taking possession is usually for the mortgagee to repay himself by taking the rent from the mortgaged property until he is repaid.

As a secured creditor a debenture holder mayor can petition the court for the company to be wound up. This is usually so where there is express powers in the debenture to do so. If no express power to appoint a receiver is contained in a debenture, the debenture holder may apply to a court to make an appointment where:

a) The principle amount of the loan has become payable.
b) The payment of interest or instalments of capital repayments are in arrears.
c) The company is insolvent or seize to carry on business or undertaking.
d) The assets of the company are being sold to an extent which exceeds any limit set by the company's memorandum or by the terms of the debenture.
e) Execution is levied on the property charged.
f) The company is being wound up including winding up in the course of reconstruction and amalgamation.
g) It appears probable because of pressure from the creditors that the company will be wound up.
h) The security is in jeopardy and there is a risk that the company may use the secured property to pay other claims ranking after the debenture holders claims.
i) Where a floating charge becomes crystallized for whatever reason.
j) Where any other event occurs upon the happening of which the security becomes under the terms enforceable.

Where the security under a debenture comprises a business, it is normally, for the purpose of running the business and maintaining its goodwill, to sell as a going concern or for the purpose of winding up the business in an orderly version.

6. Appointment of receiver

In a debenture holder's action, the court usually appoints a receiver and a manager if necessary and by its judgment declares the debentures to be a charge on the property.

The duty of the receiver is merely to collect and protect the property over which he is appointed. He may also be appointed under the circumstances outlined in (5) above.

7. Status of the receiver

The appointment of a receiver does not of itself affect a company's existence. However, while a company continues to exist, the receiver becomes responsible for the conduct of the company's business to the exclusion of the company and he can also dispose of the property of the company.

If a receiver is appointed by the court he is not an agent of the company but an officer of the court. He is also not the agent of the debenture holder and so any action, which he enters into, are in his own name as principal. Existing contracts are not contaminated by the appointment of a receiver.

Receiver's Responsibilities

Some of the responsibilities of the receiver include:

i) His overriding responsibility is to use the proceeds of the assets in his charge to repay the debenture holder and (in the case of a floating charge) creditor having a prior claim to those proceeds. He must ensure that his actions do not unnecessarily cause damages to other interested parties such as the unsecured creditors.
ii) If the receiver is acting under a fixed charge, his course of action may be to realise the relevant assets at the best price, repay the debenture holder and pass any surplus to the company or liquidator.
iii) Where he is acting under a floating charge, may carry on the business in order to sell it or put of it as a going concern or in order to avoid prejudicing the interest of other parties it appears that he would be able to hand the business back to the company after satisfying the claims of the debenture holders.

Order of Payment

If the receiver is acting under a fixed charge, he settles the charge holders debt out of the net proceeds after his costs and remuneration and returns the surplus to the company. Where the receiver is acting under a floating charge, certain other liabilities take priority over the shareholders debt in usual cases where the receiver under a floating charge is appointed before any winding up commences the order in which liabilities are to be settled is as follows:

a) Costs of realising the assets including costs of abortive attempt to sell the assets.
b) Costs expenses and remuneration of the receiver
c) Costs, charges and expenses of a trustee for debenture holders
d) d)The plaintiff's costs in any action to enforce the security
e) Debts, which would have been preferential in a winding up
f) Claims of the holder of the floating charge
g) Any surplus is returned to the company (accounting to the company)

The order of settlement is as follows:

a) Cost of realisation of the assets, expenses of the receivership and the receivers remuneration.
b) Costs and expenses of the winding up
c) Preferential debts in the winding up to the extent that any assets not covered by the floating charge are insufficient to meet them.
d) Claims of the holders of the floating charge
e) Any surplus is returned to the liquidator accounting to the company.

Priority of Charges

The Act does not distinguish between legal and equitable mortgage and charges.

Although the system of registration affects the validity of charges, it does not entirely replace the legal and equitable priority rules. As between legal and equitable mortgages inter se first in time prevails.

Specific Priority in Charges (fixed)

A registered charge takes priority over a non-registered charge whether prior or subsequent as long as the second charge is created at least 21 days after the other.

A subsequent purchaser of the mortgaged property takes subject to the registered charge because of the doctrine of constructive notice.

Where registration under another system is also required, it must be done to achieve priority.

Registered charges depend on priority on registration but take priority from the date of their creation.

A non-registered charge may take priority over a subsequent registered charge if it has been discharged before its validity has been called in question.

Priority in Floating Charges

The priority for floating charges is as follows

1. A registered floating charge without a restrictive clause ranks after a prior subsequent specific charge, which is duly registered.
2. A subsequent registered floating charge over the undertaking purporting to rank prior to pari passu rank after the first registered floating charge.
3. A subsequent over part of the company's property made under a payer expressly reserved to create security over part of a property ranking prior to the earlier will obtain priority in such circumstances.
4. A registered floating charge with a restrictive clause ranks before a subsequent registered specific charge where a specific chargee has knowledge or notice of the clause.
5. A crystallised registered floating charge takes priority over a subsequent registered specific charge (fixed charge) unless the mortgagee had no notice of the crystallisation.

TOPIC 7

COMPANY MEETINGS

Meaning of Company Meeting

A meeting may be defined as assembly of people for lawful purpose or coming together of at least two people for the same reason.

A Company meeting may be defined as, "a conference or coming together of at least a quorum of members in order to transact either the ordinary or special business of the company".

Therefore, a meeting can no more be constituted by one person than it could if no shareholders at all had attended.

Although the word meeting is not defined in the Companies Act, in Sharp vs. Dawe (1876), a meeting was defined as, "**an assembly of people for lawful purpose or the coming together of at least two persons for any lawful purpose**".

In **Sharp vs. Dawes** a meeting of a cost - book-mining company was summoned for the purpose of inter alia, making a call. It was attended by only one member, Silvers ides, and the secretary (who was not a member). The call was in due course made on a shareholder, Dawes, who refused pay. The court held that the meeting was a nullity and that therefore the call was invalid.

However, in the case of **East vs Bennet Brothers**, Lord Warrington observed that there are exceptional circumstances, which take it out of the ordinary rule when one person may constitute a meeting.

The meeting in dispute in this case was a meeting of a separate class of shareholders. All shares of the class were held by one person, which was permitted under the constitution of the company. This shareholder attended a meeting 'of the class and signed' a resolution proposed to be passed thereat. The meeting was held to be valid and the resolution validly passed.

In modem company law, statutory provisions provide that one member of the company present in person or by proxy shall be deemed to constitute a meeting. In extraordinary circumstances it is not uncommon to see a meeting constituting of one person only.

Exceptions to the rule in Sharp vs. Dawes

There are certain exceptional circumstances when one person may constitute a quorum for the purpose of a meeting. Thus a meeting of a company may be constituted by one person in the following circumstances:

i. If the meeting is the annual general meeting directed by the registrar of companies pursuant to Section 131 (2) of the Act. The section empowers the registrar, on the application of any member of the company, to call or direct the calling of a general meeting of the company where default is made in holding the meeting as required by Section 131 (I) of the Act The Registrar is empowered to give such ancillary or consequential directions as he thinks expedient including direction "that one member of the company present in person or by proxy shall be deemed to constitute a meeting".

ii. If the meeting is an extraordinary general meeting held under Section 135 (1) of the Act Section 135 (1) of the Act empowers the court, either out of its own motion or on the application of any director or member of a company, to order a meeting of the company to be called, held and conducted in such manner as the court thinks fit, if for any reason it ill impracticable to call a meeting of the company in the usual way.

 Where the court makes the order it may give such ancillary or consequential directions as it thinks expedient - including "a direction that one member of the company present in person or by proxy shall be deemed to constitute a meeting". This is illustrated by **East vs. Bennet Brothers Ltd** case.

iii. Where the meeting is a "class meeting" held pursuant to the provisions of the articles for the purpose of authorizing a variation of a right attached to a class of shares and all the shares of that class are held by one member. This is illustrated by the facts of, and the decision in, **East vs Bennet Brothers Ltd** case**.**

iv. If the meeting is an adjourned meeting and the articles provide that “the member or embers present shall be a quorum". Articles 54 Table A provides that if within an hour of the time appointed for the meeting the quorum is not present, the meeting shall stand adjourned to the same day and if at the adjourned meeting a quorum is not present, the member present shall form a quorum.

v. **Creditors' meeting-** In creditor's voluntary winding up and the creditor is the creditor is the only creditor of the company, the member present may constitute a: meeting and a resolution passed thereat as validly passed.

vi. **Directors meeting-** If the meeting is held by a sole director pursuant to Section 200 of the Act, in order to declare the nature of this interest in a proposed contract with the company. In the matter of **Re MJ Shantly Contracting Ltd**., the directors who had resolved to put the company into liquidation convened the necessary general meeting. The chairman and his wife held 95% of the issued shares and the other owned the other 5%. Before the meeting the other indicated his assent to the proposed liquidation and did not attend the meeting: The chairman's wife did not attend either but gave proxy to the chairman who was the only person present in the meeting. On whether the resolution passed at the meeting was valid the court held that an effective extra-ordinary resolution had been passed without even the meeting since all the shareholders entitled to attend and vote had assented.

Meetings are divided into: -

a) **Public Meetings: -** Those meetings which consider maters of public concern and to which all members of the public have access, subject to physical limitations of the place where the meeting is held or conditions imposed by any law.
b) **Private Meetings: -** Those attended by people who have a specific right to attend, for example, Committees of golf club or members of a registered company. Therefore company meetings fall under this category.

Role of Company Meetings

Since a company is an artificial person, it cannot act on its own. It is the directors, elected representatives of shareholders who are vested with the powers of control and management of the company. Since directors must work as a team, meetings are held frequently. It is at these meetings that matters relating to the company business are decided.

Similarly shareholders meetings are also important as it is here that shareholders can look after their interest by exercising the powers conferred on them by statute. These meetings provide an opportunity to shareholders to come together and take decisions for their welfare by controlling the Board of Directors and their activities.

Company General Meetings

These are held from time to time in order:

a) To comply with statutory provisions which require certain general meeting to be held in order to transact specified business, such as the statutory meeting, the annual general meeting and class meetings.
b) To transact business which may only be transacted at a general meeting of the members or shareholders, such as alteration or reduction of the company's capital.
c) To enable the directors and members to exchange views regarding the running of the company's affairs or resolve some existing dispute.

CLASSIFICATION OF MEETINGS

Company meeting can be classified as.

i. Statutory meetings
ii. Annual General Meetings (AGM)
iii. Extraordinary General Meeting
iv. Class Meeting
v. Directors meeting
vi. Creditors meeting

i) Statutory Meeting (S.130)

This is the first official general meeting of the shareholders. All public companies having a share capital (except unlimited companies) are required to hold a statutory meeting compulsorily, This meeting must be held after one month and not more than 3 months from the date at which the company is entitled to commence business. A private company is not required to hold this meeting or me statutory report.

Notice of meeting

The directors are required to give notice of the meeting to all members of company at least 14 days before the date of the meeting

Statutory report

In order to enable the members to make the best use of this opportunity the directors are required to prepare and read to every member a document known as the statutory report at least 14 days by the date on which the meeting is to be held,

If the report is sent later it will still be valid, if it is so agreed by the members entitled to attend and vote. A copy of the report shall be delivered to the registrar for registration forthwith.

Contents of the statutory report

The statutory report must set out the following information:-

(a) The total of shares allotted, distinguishing shares allotted fully allotted paid up or otherwise than in cash.
(b) The total amount of cash received by the company in respect of all the shares allotted distinguished as aforesaid.
(c) An abstract of the receipts of the company and the payments made there out up to a date within seven days of the date of the report exhibiting under distinctive headings the receipts of the company from shares and debentures and other sources and shall given an account or estimate of the preliminary expenses of the company showing separately any commission OJ; paid or to be paid in the issue of shares or debentures.

(d) The names, postal address and description of the directors, auditors, managers, if any, and the secretary of the company.
(e) The particulars of any contract the modification of which is to be submitted to the meeting for its approval together with the particulars of the modification or proposed modification.
(f) The certification

The statutory report so far as it relates to the shares allotted by the company and to the cash received in respect of such shares and to the receipts and payments of the company on capital account must be certified correct by not less than 2 directors of the company.

At the commencement of the meeting, the directors shall present a list showing the names and postal addresses of the members of the company and the number of shares held by them respectively to be produced at the commencement of the meeting and to remain open and accessible to any member of the company during the continuance of the meeting.

The members of the company present at the meeting shall be at liberty to discuss any matter relating to the formation of the company or arising out of statutory report whether or not previous notice has been given in accordance with the articles,

The meeting may adjourn from time to time and at any adjourned meeting any resolution of which notice has been given in accordance with the articles either before or subsequently to the former meeting may be passed and the adjourned meeting shall have the powers as an original meeting,

Consequences of default in holding the meeting

In the event of any default in complying with the provisions of this section i.e. Sec. 130 (1) every director of the company who is knowingly or willfully guilty of default or in the case of default by the company, every officer of the company who is an default shall be liable to a fine not exceeding one thousand shillings.

List of Members

Sec.130(6) provides that the directors shall present a list showing the names and postal addresses of the members of the company, and the number of shares held by them respectively, at the commencement of the meeting. The list shall remain open and accessible to any member of the company during the continuance of the meeting.

By Sec.130(9) if there is any default in complying with the provisions of Sec.130, every director of the company who is knowingly and wilfully guilty of the default shall be liable to a fine not exceeding one thousand shillings.

It should be noted that the statutory meeting is not held by a private company, and that it is held only once in the lifetime of a public company. It is the first official coming-together of the company's members and is held within a very short time after the company is entitled to commence business. Its timing is important because the members are in fact being given a chance to ascertain, before it is too late, whether the minimum subscription was raised and, in the event of the minimum subscription not having been raised, to decide on whether to avoid the contract of allotment. These are matters in respect of which any procrastination could be financially disastrous for the members since the company could be put into liquidation before the members had come together to ascertain what had happened since the time the prospectus was issued.

ii) Annual General Meeting

Section 131(1) provides that "every company shall in each year hold a general meeting as its annual general meeting in addition to any other meetings in that year, and shall specify the meeting as such in the notices calling it".

Not more than fifteen months must elapse between the date of one annual general meeting and the next. The word "year" was defined in **Gibson v Barton** as "calendar year", ie. the period January 1 to December 31.
S.131(1) has a provison to the effect that, so long as a company holds its first annual general meeting within eighteen months of its incorporation, it need not hold it in the following year. Therefore a company incorporated on October 1, 1992, need not hold its first annual general meeting until March 1994.

Subsection (2) provides that if default is made in holding an annual general meeting in accordance with the aforesaid provisions, the registrar may, on the application of any member of the company, call or direct the calling of a general meeting of the company and give such ancillary or consequential directions as he thinks expedient, including a direction that one member of the company present in person or by proxy shall be deemed to constitute a meeting.

The registrar is not bound to call or direct the calling of the meeting but, in the event of his refusing to do so, the aggrieved member may apply to the court for an order such as in the El **Sombrero Ltd** case, in which the court made an order after the registrar had declined to do so.

Section 131 does not provide for the business which may be transacted at the annual general meeting but Table A, Article 52 mentions the following as the "ordinary" or usual business at an annual general meeting:

i. declaring a dividend;
ii. the consideration of the accounts, balance sheets and the reports of the directors and auditors;
iii. the election of directors in the place of those retiring, and
iv. the appointment of, and the fixing of the remuneration of, the auditors.

Subsection 5 makes it a criminal offence punishable with a fine not exceeding two thousand shillings for the company and every officer of the company to fail to hold the annual general meeting or comply with any directions of the registrar regarding the calling and conduct of the meeting.

Business usually transacted at AGM

Some of the matters that are discussed at AGM include:

i. A consideration of annual accounts, balance sheet and reports of board of directors and auditors
ii. The declaration of dividends of directors
iii. The appointment and the fixation of the remuneration of auditors
iv. Elections of directors in place of those retiring

Extra-ordinary General meeting (s.132)

Any other meeting of the shareholders will be referred to as an extraordinary general meeting (EGM) and these can be called by the directors by giving 14days’ notice in writing, or 21 days’ notice if it is the intention to pass a special resolution at the meeting.

In addition, shareholders are given certain rights to requisition an EGM. Despite any clause in the company’s articles which may provide to the contrary, the members can requisition a meeting where there is support from members holding not less than one tenth of such of the paid up capital of the company as at the date of the deposit of the requisition carry voting rights; or, where the company does not have a share capital, members representing not less than one-tenth of the total voting rights. The requisition must state the objects of the meeting and must be signed by the requisitioning members and deposited at the registered office. The directors are then under an obligation to convene a meeting by notice within 21 days of the deposit of the requisition. The actual date of the meeting convened should be not more than 28 days after the notice convening the meeting; otherwise they will be deemed not to have convened a meeting.

If the directors fail to convene a meeting following a valid requisition, then the requisitioning members, or any of them representing more than one half of the total voting rights of all of them, may themselves convene a meeting within three months of the date of the requisition.

Further, any reasonable expenses incurred by the requisitioning members by reason of the failure of the directors to convene a meeting can be recovered from the company, which, in turn, can be recovered from remuneration or fees which are paid to the directors.

iii) Class Meetings

In addition to the above types of meetings sometimes a meeting of a particular class of shareholders may also be held. Such meetings are called class meetings. They are convened by either the company or by the court to effect variations in the rights of that particular class of shareholders or in connection with the scheme of arrangements or at the time of winding up of the company.

A class meeting is not a general meeting but similar rules relating to convening and conducting of meetings also apply to it.

The articles of association may provide that certain matter affecting the interests of the holders of a particular class of shares shall be subject to the consideration and decision of a meeting of those holders only. For example Table A states that if at any time the share capital is divided into different classes of shares, the rights attached to any class (unless otherwise provided by the terms of issue of that class) may, whether the company is being wound up or not be varied with the consent in writing of the holders of ¾ of the issued shares of that, class or with the sanction of a special resolution passed at a separate general meeting of tile holders of the class of shares.

Where such provision exists, the articles will define also the constitution and mode of convention of the meetings concerned. A meeting of a class of shareholders may consist of one person is all if all share of that class are held by him.

If the memorandum makes the right attaching to class of shares variable .by the holders of that class, Section 74 of Act makes a provision designed to prevent the abuse of that power and the rules of reduction apply.

The provisions of Section 207 of the Act are also germane to a consideration of class meetings.

i. Where a compromise or arrangement is proposed between a company and its creditors or any class of them, or between the company and its members or any class of them, the court may, on the application in a summary way of the company or of any creditor or member of the company, or in the case of a company being wound up, of the liquidator, order meeting of the creditors or class of creditors, or of the members of the company or class of members, as the case may be, to be summoned in such manner as the court directs.
ii. If a majority in number representing three-fourths in value of the creditors or class of creditors, or members of a class of members, as the case may be, present and voting either in person or by proxy at the meeting, agree to any compromise or arrangement, the compromise or arrangement shall, if sanctioned by the court, be binding on all the creditors or the class of creditors or on the members or the class of members, as the case may be, and also on the company, or in the case of a company in the course of being wound up, on the liquidator and contributories of the company.

iii. An order made under subsection (2) the Section shall have no effect until an official copy of the order has been delivered to the registrar of companies for registration, and a copy of every such order shall be annexed to every copy of the memorandum issued after the order has been made, or in the case of a company not having memorandum, of every copy so issued of the instrument constituting or defining the constitution of the company.

If a company makes default in complying these regulation, the company and every officer of the company who is in default shall be liable to a fine not exceedingsh.100 for each in respect of which default is made

N/B:The expression 'company' means any company liable to be wound up under the Companies Act. The expression 'arrangement' includes a reorganization of the share capital of the company by the consolidation of shares of different classes or by the division of shares into shares of different classes or by both those methods.

The following points are to be observed in relation to these provisions:-

A dissentient minority is protected from prejudice or abuse of the rights created by the section in as much as a compromise or arrangement, even when resolved upon, does not become binding until confirmed by the court.

Holders of Kshs.20 shares fully paid may be regarded under the section as of a different class from holders of similar shares which are Kshs.5 called and paid and Kshs.50 paid in advance of calls and 'carrying interest; and where a company issued 50p ordinary shares and later subdivided the unissued ordinary shares into ordinary shares of 10p which were issued ranking with the 50pshares. The court held that although 50p and 10p shares might constitute one class for some purposes, yet they were two distinct classes as regards voting and similar rights .

The requisite majority to approve a compromise or arrangement must comprise three-fourths in value of the members of the class present a voting in person or by proxy. It is not necessary that three-fourths in value of the whole class should approve. The purpose is to preclude a numerical majority with a small stake from outvoting a minority with a large stake.

The section gives a general right to vote by proxy (subsection [2]).

The meeting to be convened in order to seek approval for a proposed compromise or arrangement must be in manner that the court directs. The court may give general or specific directions, and may waive non-compliance with the directors given by it as to the convention .f the meeting.

The power of the court to sanction a scheme is discretionary. The court must be satisfied not only that the necessary majority has assented, but also that the 'minority is not being overridden by a minority having interests of its own clashing with those of the minority whom they seek.

The court has no power under section 207 to sanction an arrangement between a company and its creditors (or shareholders) if the scheme involves a transaction which is ultra vires the company as e.g, a sale or transfer of the entire undertaking of the company where no adequate power is contained in the memorandum of association.

Directors Meetings

These meetings are also called board meeting. A detailed treatment on the same is contained herein below.

Creditors Meeting

Creditors meetings are only relevant during the winding up of a company.

Convening of General Meetings

General meetings are normally convened by the board of directors pursuant to the relevant provision of the company's articles, such as Table A, Article 49.

a) Table A, Article 49 empowers any director or any two members of the company to convene an extraordinary general meeting if at any time there are not within Kenya sufficient directors capable of acting to form a quorum. Such a meeting is to be convened in the same manner as nearly as possible as that in which meetings may be convened by the directors.
b) S.132(3) empowers members holding not less than one-tenth of the paid-up capital of a company, or representing not less than one-tenth of the total voting rights of all the members, to convene an extra-ordinary general meeting of the company if the directors have failed to do so despite their requisition .
c) S.134(b) empowers two or more members holding not less than one-tenth of the issued share capital, not less than five per cent in number of the members of the company, to call a meeting of the company if the articles do not provide otherwise.

The company secretary or other officer of the company has no power to call a general meeting. In the **State of Wyoming Syndicate,** a company was governed, so far as the calling of meetings was concerned, by Table A (in Schedule 1 to the Act of 1862), clause 32 of which provided that "the directors may, whenever they think fit.... convene an extraordinary general meeting."

By the articles of association two directors constituted a quorum. A requisition was sent to the directors in accordance with s.13 of the Companies Act, 1900, requesting them to convene a meeting to pass an extraordinary resolution for voluntary winding-up. Within the twenty-one days allowed to the directors, by s.13, for convening the meeting, the secretary of the company, without the authority of the directors, summoned the meeting. At the meeting two directors, the requisitionists, and many shareholders were present, and the resolution was passed by the required majority.

At the hearing of a petition by a creditor for the compulsory winding-up of the company, the defence was set up that a voluntary winding-up was pending, and that the petitioner did not show that he was thereby prejudiced.

The court that the secretary had no power to issue the notices, that there was no ratification of his act, that the so-called ratification of the company was invalid, and that a compulsory winding-up order must be made.

However, the directors may ratify the unauthorized act.

Good Faith

The directors must act in good faith when calling a meeting. Thus, in **Cannon v Tasks**, the directors called the annual general meeting at an earlier date than was usual for the company to hold it. Their intention in doing so was to ensure that transfers of shares to certain persons who were likely to oppose some of their proposals would not be registered in time so that they would be unable to vote. An injunction stopping the meeting from being held was granted.

However, once the directors have called the meeting they cannot postpone or cancel it. For example, in **Smith v Paringa Mines Ltd**, a notice was issued purporting to postpone the holding of a general meeting of shareholders which had previously been duly convened. One of the directors of the company who was in disagreement with the remainder of the board attended the meeting together with several shareholders.

The court held that resolutions passed at the meeting were valid and effective. The purported postponement of the meeting was inoperative since the articles pursuant to which the meeting had been convened did not give specific power to postpone a convened meeting. The proper course is for the meeting to be held and, with the consent of the majority of those present and voting, adjourned.

ESSENTIALS OF A VALID MEETING

For transacting legally binding business the meeting must be validly held. A general meeting of shareholders is said to be valid when it is properly convened (i.e. when proper notice is issued by a proper authority to all those entitled to receive the notice and legally constituted (i.e. when there is a proper person in the chair, requisite quorum is present and provisions of the Act and Articles are complied with.

1. Proper Convening Authority

A valid meeting should be called by a proper authority. The proper authority to convene a general meeting of shareholders is the directors who should pass a resolution at a board meeting for the same. In the event of default by the directors, the requisitionists or the court or the Registrar shall become the proper authority to call such a meeting.

2. Proper Notice

A proper notice of the meeting should' be given to every member (shareholder), auditors of the company, each director of the company and to every such other person who is entitled to attend the meeting e.g the person to whom the shares of any deceased or insolvent member may have devolved.

The notice must specify the place, day and hour of the meeting and must contain a statement of the business to be transacted thereat,

No fresh notice need to be given in the case of an adjourned meeting because such meeting is regarded by law to be a continuance of the original meeting.

Contents of the Notice

The notice convening a meeting must be clear and explicit so that the person receiving it may be in a position to decide whether or not he ought in his own interest to attend the meeting. In **Tiessen v Henderson** case, Violet Consolidated Gold Mining Co. Ltd was in difficulty, and meetings were summoned to put before the shareholders alternative schemes for reconstruction. The scheme which was approved was one in which certain of the directors had a strong financial interest, but this fact was not disclosed in the notice convening the meeting. The notice merely stated that the "guarantors" of the new scheme were to have a "right of call" or share option on 50,000 of new shares of the company without telling the shareholders that three of the directors were interested as such "guarantors". The court held that the resolution invalid.

In practice, however, the articles generally mention some of the items that have to be stated in the notice. For example, Table A, Article 50 states that the notice "shall specify the place, the day and the hour of of meeting and, in case of special business, the general nature of that business". If the meeting is the annual general meeting, the notice must "specify the meeting as such" as prescribed by s.131(1). If the meeting is convened to pass a special resolution the notice must specify "the intention to propose the resolution as a special resolution" (5.141(1)).

Method of Service

Article 131 provides that a notice may be given by the company to any member either personally or by sending it by post to him at his registered address or at the address. Where a notice is sent by post, service of the notice shall be deemed to be effected within 72 hours of properly addressing, prepaying and posting a letter containing the notice.

Article 132 provides that a notice may be given by the company to the joint holders of a share by giving the notice to the joint holder first named in the register of members in respect of the share.

Under Article 133, a notice may be given to the personal representative or trustee in bankruptcy by sending it through the post in a prepaid letter addressed to them by name, or by any official description, at the address, if any, within Kenya-supplied by them for the purpose, if no address has been supplied, the notice shall be given in any manner in which it might have been given if the death or bankruptcy of the registered holder had not occurred.

Length of Notice

Sec .133(1) provides that any provision of a company's articles shall be void in so far as it provides for the calling of a meeting of the company (other than an adjourned meeting) by a shorter notice than 21 days. The notice must be in writing.

Sec .133(2) provides that, except in so far as the articles of a company make other provision in that behalf (not being a provision avoided by Sec .133(1), a meeting of the company (other than an adjourned meeting) may be called giving twenty-one days notice in writing. This in effect means that a company's articles may provide for a longer period of notice than twenty-one days but cannot provide for a shorter period.

By Sec .133(3) a meeting of a company, if called by a shorter period of notice than that prescribed in Sec .133(1) or by the company's articles, shall be deemed to have been duly called if it is so agreed -

a) in the case of the annual general meeting, by all the members entitled to attend and vote at the meeting; and

b) in the case of any other meeting, by a majority in number of the members having a right to attend and vote at the meeting, being a majority together holding not less than 95% in nominal value of the shares giving a right to attend and vote at the meeting; or in the case of a company not having a share capital, a majority together representing no less than 95% of the total voting rights at that meeting of all the members.

It was explained in **Pearce Duff & Co. Ltd** that the mere fact all the members are present at the meeting and pass a particular resolution, either unanimously or by a majority holding 95% of the voting rights, does not imply consent to short notice. Anyone who voted for the resolution can therefore change his mind afterwards and challenge it.

S.133 does not indicate whether the days of notice must be "clear days". However, Table A, Article 50 provides that the notice "shall be exclusive of the day on which it is served or deemed to be served and of the day for which it is given".

3. Requisite Quorum

A quorum is the 'specific minimum number of qualified persons (members) whose presence is necessary for transacting legally binding business at the meeting.

Under Table A, article 53, no business is to be transacted at a general meeting unless a quorum of members is present "at the time when the meeting proceeds to business". In **Hartly Baird Ltd** it was held that the words "of the time when the meeting proceeds to business" mean that the quorum is required only at the time when the meeting begins. There need therefore be no quorum after the meeting has begun and it may be legally continued - provided there are at least two persons present who would constitute a valid meeting at common law.

Sec.134(c) provides that, unless the articles otherwise provide -

(a) The quorum for a private company shall be two members present in person. This provision is modified by Table A, part II, Article 4 which states that the members may be present in person or by proxy.
(b) The quorum for a public company shall be three members personally present. Table A, Article 53, adopts this provision.

Where the articles prescribe a quorum of at least two members, and there is no quorum, there would also be no valid meeting. This is so because as was explained in **Sharp v Dawes**, "the word `meeting' prima facie means a coming together of more than one person".

Exceptions

A valid meeting may be constituted by the presence of one person in the following cases:

i) If the meeting is an annual general meeting which was called by, or on the direction of, the registrar pursuant to Sec.131 (2). In such a case, the section empowers the registrar to direct "that one member of the company present in person or by proxy shall be deemed to constitute a meeting".
ii) If the meeting is one which has been called pursuant to a court order under Sec.135 (1). The section empowers the court to direct that "one member of the company present in person or by proxy shall be deemed to constitute a meeting". This is illustrated by **El Sombren Ltd**. The applicant held 900 of the 1,000 shares in the company, while the remaining shares were held as to 50 each by the two respondents, who were its only directors. The applicant had twice requisitioned a meeting of the company for the purpose of exercising the power given by Sec.184 of the Companies Act 1948 to remove the directors by ordinary resolution, but on each occasion the respondents had absented themselves in order to ensure that the quorum of two members (as fixed by the articles) was not present. He sought an order under Sec.135 and a direction that one person should be deemed to constitute a quorum at such meeting. The court, overruling the decision of the registrar, made an order accordingly
iii) If the meeting is a class meeting held pursuant to the provisions of the articles for the purpose of authorizing a variation of a right to those shares and all the shares are held by one member, as in **East v Bennett Brothers Ltd**. In this case the memorandum of association authorised the company to increase its capital by the creation (inter alia) of new shares to rank pari passu with existing classes of shares, provided that the issue was sanctioned by an extraordinary resolution of the existing holders of shares of the class in question at a separate meeting of such holders. A fresh issue of preference shares was made at a time when all the existing preference shares were held by Joseph Bennett, who

gave his approval at a `meeting' attended, according to the minute-book only by himself. This action was held to be equivalent to the resolution required by the memorandum.

iv) If the meeting is an adjourned meeting and the articles provide that "the member or members present shall be a quorum".

Unless the Articles provides for a larger number, the quorum shall be two in the case of a private company and three in the case of a public or any other company.

Note:

The Articles cannot provide for a lesser number/quorum than that fixed by the Act.

Only members present in person and not by proxies can be counted for purposes of quorum.

There is always a presumption of the existence of a quorum and if half an hour from the time prescribed for the holding of the meeting a quorum is not present the meeting if called upon the requisitionists shall stand adjourned. If it the adjourned meeting a quorum is not present within half an hour from the time appointed for holding the meeting the member(s) present shall be a quorum.

4. Proper Person in the Chair

There must be a chairman to preside over the proceedings of the meetings.

The chairman of a general meeting is responsible for conducting the business at the meeting. He has authority to decide on all incidental questions which arise at the meeting and require immediate decision.

Chairman of the meetings

Every company meeting must be presided over by a chairman. A committee of the board may have its separate chairman appointed as per the articles.

Election of Chairman

Sec. 134(d) provides that, unless the articles of a company contain a contrary provision, any member elected by the members present at a meeting may be chairman thereof. In such a case, either those responsible for the convening of the meeting or some other member of it will nominate a proposed chairman. There is no general rule which requires such a proposal to be supported by a seconder, but it is customary that it be formally seconded. The proposal is then put to the meeting, and upon its being carried the nominee becomes the chairman of the meeting, deriving his authority from the consensus of those present.

Table A, Article 55 provides that the chairman, if any, of the board of directors shall preside as chairman at every general meeting of the company, or if there is no such chairman, fifteen minutes after the time appointed for the holding of the meeting or he is unwilling to act, the directors present shall elect one of their number to be chairman of the meeting.

Article 56 further provides that if at any meeting no director is willing to act as chairman or if no director is present within fifteen minutes after the time appointed for holding the meeting, the members present shall choose one of their number to be chairman of the meeting.

Powers and Duties of chairman

In the case of **National Dwellings Society v Sykes Chitty**, the presiding judge stated:

"It is the duty of the chairman, and his function, to preserve order, and to take care that the proceedings are conducted in a proper manner, and that the sense of the meeting is properly ascertained with regard to any question which is properly before the meeting". From this dictum and other judicial decisions the principal powers and duties of a chairman emerge as the following:-

i) **Notice**
Before the meeting commences he ought to satisfy that the meeting was properly convened.

ii) **Constitution**
He must also ensure that the meeting is property constituted, i,e, that his own appointment is in order and that a quorum is present.

iii) **Conduct**
During the whole course of the meeting, be must ensure that the proceedings are conducted strictly in accordance with the rules which govern the meetings'.

iv) **Preservation of order**
He has a duty to preserve orders. For this purpose he may have -powers to order the withdrawal of offenders, but this is a power, which depends upon the nature of the meeting and where it is held.

v) **Orders of business**
He must ensure that the business is dealt with in the order-set out in the agenda paper - unless the meeting consents to a variation of the order: He may decide points of order and other incidental matters, which require decision at the time. A point of orders is raised when, in the opinion of a member the rules or regulations governing a meeting are being broken or there are genuine doubts about the correctness of the procedure being followed. This might include any informality or irregularity such as the absence of a quorum, the belief that a motion under discussion is not within the scope of the notice, or the use of offensive and abusive language. Points of order should be put to the chairman as directly and as briefly as possible and should not be used to spoil or interrupt a speaker's contribution. The chairman's ruling on a point of order is final, though once raised others present should be given the opportunity of speaking upon it if they so desire.

vi) **Discussion**
He has duty to allow reasonable discussion, and on the other hand:-

a. He must restrain irrelevant discussion;
b. He must allow no discussion unless there is a motion before the meeting;
c. He must give equal opportunity to those who wish to speak.

Sense of the Meeting

He must ensure that the sense of the meeting is properly ascertained with regard to any question which is properly before the meeting, for example, by putting motions and amendments to the meeting in proper form. .

Powers ofthe Chairman:

The chairman derives his powers principally from the rules which govern the meeting over which he presides, but also, to some extent, from common law. His powers from either or both of these sources may be summarized as follows:

i) **Maintain order**
To this end he must use his decision in dealing with emergencies as they arise.

ii) **To decide on points of order** as they arise, and to give and maintain his rulings on any points of procedure.

iii) **To use a casting vote** where there is an equality of votes, and if the rules confer this power. A chairman has no casting vote at common law.

(iii) **To order remand of disorderly persons**. Where necessary, reasonable force may be used to effect the removal, if the person concerned has failed to withdraw after being requested to do so by the chairman.

(iv) **At a private meeting, the chairman has** the power to order the removal of any person who has no right to be present. Where a member of a society or organization is disorderly and refuses to leave on being requested to do so, the degree of force used to eject him or her must be limited to that level which the occasion reasonably requires.
The issue of ejection is more delicate where individuals have a right to attend for instance in company meetings. The problem may be resolved by the chairman putting a motion to the meeting that disorderly members be asked to leave and ejected if necessary. Alternatively, the chairman may adjourn the meeting.

(v) **To adjourn the meeting**: Unless he rules to give him express power to adjourn in specified cases, the chairman derives his power of adjournment from the meeting. If he were to adjourn without the consent of the meeting, another chairman may be appointed the meeting and business resumed.

Adjournment of Meeting

Table A, Article 54 provides that if within half an hour from the time appointed for the meeting a quorum is not present, the meeting, if convened upon the requisition of members, shall be dissolved, in any other case it shall stand adjourned to the same day in the next week, at the same time and place or to such other day and at such other time and place as the director may determine.

Proceedings at the meeting

The general rules of procedure as regards shareholders' meeting can be summarised as follows: (Sec. 134)

a) notice of the meeting of a company shall be served on every member of the company in the manner in which notices are required to be served
b) two or more members holding not less than one-tenth of the issued share capital or, if the company has not a share capital, not less than five per cent in number of the members of the company may call a meeting;
c) in the case of a private company two members, and in the case of any other company three members, personally present shall be a quorum;
d) any member elected by the members present at a meeting may be chairman ;
e) in the case of a company originally having a share capital, every member shall have one vote in respect of each share or each two hundred shillings of stock held by him, and in any other case every member shall have one vote

VOTING

Every holder of equity shares whose name appears on the register of members shall be entitled to vote on every resolution placed before the company at a general meeting. A shareholders vote is a right of property which he may use as he pleases.

The propriety or impropriety of his motive is normally immaterial even he votes against a resolution which the court has ordered the company to effect.
The preference shareholders do not possess normal voting rights unless any resolution proposed to be passed directly affects their rights e.g. winding up or reduction of share capital or when a diridend is due.

Method of Voting
The methods of voting include:
1. Show of hands
2. Poll vote

1. Show of Hand
Unless otherwise, the articles provide questions arising at a general meeting are to be decided in the first instance by show of hands. This is a common law rule which applies automatically unless expressly excluded. The chairman has the duty to count the hands held up and to declare the result accordingly without regard to the votes a member possesses and without regard to proxies.

2. Poll vote

If there is dissatisfaction about the result of voting by show of hands 'poll' can be demanded, A proper demand for a poll cancels the result of the previous voting on show of hands. Anyone member may demand a poll. The Act provides that any provisions in the articles is void which excludes the right to demand a poll on any question other than the election of the chairman or adjournment or which requires a demand for a poll on such questions to be made by more than five members having the right to vote at the meeting or by members representing more than one-tenth of the total voting rights of all members entitled to vote at the meeting. In voting by poll, each member is entitled to record the number of votes proportion to equity shares held him. Voting by proxy is also allowed.

PROXIES

A proxy can be defined as follows;

i. A proxy means member’s authorized agent for purpose of voting.
ii. It also means the instrument by which the appointment is made.
iii. It also means the power of the person so appointed to vote

Under section 136 any member entitled to attend and vote at meeting other than a member of a company not having a share capital is entitled to appoint another person whether a member or not as his proxy.

In a public company, a proxy has the right to attend the meeting for which he is appointed or any adjourned thereof but has no right to speak at the meeting except to demand or join in demanding a poll. However, a proxy appointed in a private company shall have all the rights of a member including speaking at the meeting.

Unless otherwise provided by the articles, a proxy shall not be allowed to vote except in a poll. Unless otherwise provided a member of a private company is not entitled to appoint more than one proxy to attend on the same occasion.

A proxy shall be in writing in the proper- form duly signed by the appointerand stamped.

A proxy may be lodged at the company's registered office not less than 48 hours before the commencement of the meeting. -

Every notice calling a general meeting must state with reasonable prominence that a member is entitled to appoint a proxy and that the proxy need not be a member.

Board meetings and Resolutions

The board is a collective name used to mean 'directors' under the Companies Act.

This therefore means meetings of directors. The board is the top administrative organ of a company. These powers are given to the directors as a board and not to an individual director hence the directors have to act as a board.

Board meetings are the most important meetings of the company. All the major decisions of the company matters even in regard to those for which approval of the shareholders in a general meeting is required under the Act are done at the board meetings.

At meetings of directors the proceedings are governed by the company's articles and by any rules made by the directors themselves by virtue of powers given to them by the articles.
The articles usually provide that the directors may conduct their proceedings as they think fit Article 98 provides that directors may meet together for the dispatch of business, adjourn and otherwise regulate their meetings as they think fit.

Questions arising at any such meeting shall be decided by a majority of votes. In case of an equality of votes, the chairman shall have a second or casting vote. A director may and the secretary on the requisition of a director shall, at any time summon a meeting of the directors.
The articles also normally provide what number constitutes a board. It will further provide that (subject to a minimum number of directors) the directors may act notwithstanding a vacancy in their number.

Frequency of Board meetings

The board may hold meetings as frequently as necessary. Normally they are at a regular interval e.g, weekly, fortnightly. This usually applies to larger companies. In small companies board meeting will be held only when there is sufficient business to justify the holding of a meeting.

In **Barron vs Potter** the articles of a company provided that the quorum at directors' meeting should be two and also conferred upon the board the powers to appoint additional directors. At the time the only directors were Barron and Potter. Barron had refused to attend board meeting with Potter. Barron convened a meeting and met Potter on the platform Potter said walking by his side. "I want to see you, please"; Barron replied, "I have nothing to sayto you". Potter then told him that he formally proposed a meeting to add 3 people as additional directors to which Barron replied. "I object and I object to say anything to you at all". Potter purported to give a casting vote inhis capacity as chairman. The court held that this informal encounter could not be deemed to be meetings of the board.

Notice of meeting

The articles usually provide that anyone director may summon a meeting directly or by requesting the secretary to do so. One notice must be given convening a meeting of directors. However, meetings may be held at particular times in which case notice is not necessary.

Where the notice is given, it may be given verbally unless the articles require it to be given in writing and it must be given within reasonable time before the meeting. It must be given to all directors even those who have declined to attend. Otherwise such meeting would be irregular.

Quorum of directors

The articles usually fix or allow the directors to fix the quorum for a board meeting. A quorum means the specified minimum number of qualified persons whose presence is necessary for transacting legally binding business at the meeting.

The quorum necessary for the transaction of the business of the directors may be fixed by the directors and unless so fixed shall be two.

The quorum must be a disinterested quorum i.e. it must not comprise of directors who are interested in a transaction, which is to be discussed. If the requisite quorum is not present the meeting is irregular and cannot transact business.

If the meeting of the board could not be held for want of quorum, then unless otherwise provided the meeting shall automatically stand adjourned till the same day in. the next week.

Agenda

The term 'agenda' means things to be done. It is a statement of the business to be transacted at a meeting. It also sets out the order in which the business is to be dealt with. A separate agenda may be enclosed with notice of the meeting or the notice itself may contain the agenda.

Resolutions of directors

At the board meetings, the directors exercise their powers by resolutions, which are passed in the manner laid down in the articles or agreed upon bythem under powers given them by the articles. They decide usually by a majority of votes of those present. Proxies may be admitted. The chairman is usually given a casting vote by or under the articles. Each directorhowever, has one vote for each resolution put to vote at the meeting notwithstanding the number of shares held by him.

A resolution passed at the adjourned meeting of the board is for all purposes treated as passed on a day on which it was in fact passed and not on any earlier date. Examples of resolutions include appointment of managing director, creation of debenture stock, to offer shares, to make a call, forfeiture of shares etc.

Committee of the Board

The directors, if permitted by articles may delegate some of their powers to a committee .of one or more of their number. Usually committees are appointed for specific purposes e.g. a committee to decide allotment policy, a committee to approve transfers etc.

Unless the articles otherwise provide, all acts of a committee must be done by the whole committee and a majority cannot act in the absence of any member. However the number need not be unanimous. Minutes of committees should be kept in the same manner as minutes of the board meetings.

Resolutions and Minutes

Decisions of the company are made by resolutions of its members, passed at meetings of the members. The articles of association usually provide who is entitled to vote and in what circumstances and they further will normally provide how many votes each such person shall have.

Place of meetings

Meetings of the board may be held anywhere even in informal circumstances provided all the directors have been given proper notice of the meeting and the directors present at the meeting expressly name formalities.

In **Smith vs Parlnga Mines Ltd** (1906) a directors meeting was duly summoned to fill up a vacancy. There were only two directors T and B, B being the chairman, T did not attend, B went to T's personal office and met him in the passage outside his office. While standing there B proposed F's name. T objected. B being in the chair gave his casting vote: and declared F elected. The court upheld the election and observed that there is no reason why a meeting should not be held in the passage.

However, though a board meeting may be held informally, it cannot be constituted on a casual encounter between the directors if one of them objects.

The proposed resolution or motion when passed by requisite majority of votes by the shareholders becomes a company resolution. Thus a resolution may be defined as the formal decision of a meeting on any proposal before it.

RESOLUTION

The company's act provides for the following kinds of resolutions

i. Ordinary Resolution
ii. Special Resolution
iii. Resolution requiring special notice

i) Ordinary Resolution

A resolution shall be an ordinary resolution when the votes cast in favour of the resolution by members present in person or, where proxies are allowed, by proxy, exceed the votes, if any, cast against the resolution.

Therefore, where it is provided that 'the company in general meeting may do some act, this means that an ordinary resolution is requited to be passed. It is in other words a resolution which requires a simple majority of the persons when being present and entitled to vote upon the resolution, to vote.

In **Bushell vs. Faith**, Lord Upjohn said' an ordinary resolution is-in the first place passed by a bare majority on a show of hands by the members entitled to vote who are present personally or by proxy and on such a vote each member .has one vote regardless of his shareholding, If a poll is demanded then for an ordinary resolution still only a bare majority of votes is required.

Therefore if three members personally present form a quorum and there are indeed three members, if two of them vote in favour of the resolution this binds all other members of the company unless a poll is demanded. If the quorum is two then the chairman himself can bind the rest of the company provided that the articles given a casting vote (Article 60).11 is not necessary that there should be in favour of the resolution a majority of all the persons present and entitled to vote, but only a majority of those voting for it' against the resolution e.g. if 25 members are present and 5 vote in favour, one against and 19 abstain, the resolution is passed

An ordinary resolution is normally used for the so called 'ordinary business' in the Annual General Meeting e.g. to pass the annual accounts, to declare a dividend to appoint directors in place of those retiring, to appoint auditors etc.

ii) Special Resolution

A special resolution is one which has been passed by a majority of not less than three fourths (75%)of such members being entitled to do so, vote in person or (where proxies are allowed) by proxy at a general meeting of which notice specifying the intention to propose the resolution as a special resolution has been duly given.

The definition raises three points:-

(a) The specified majority - 75% of those voting must be in favour of the resolution.

(b) The resolution to be passed should be set out in the notice convening the meeting.

(c) The notice must state that the resolution is to be proposed as a special resolution.

This is the most important mechanism of a company. It is by and through the instrumentally of such a 'special resolution' that many of the most important things which a company is, by the Companies Act empowered to do are ordained to be done.

The Articles of the company may specify purposes for which a special resolution is required. The Companies Act has also specified certain matters for which a special resolution must be passed;

1) Alteration of its objects subject to the right of a qualified minority to object (Sec.8).
2) Alter its articles (Sec.13)
3) Change its name.
4) Reduce its capital subject to the confirmation of the court (Sec.6~) etc.

Procedure

The following points should be noted in regard to a special resolution:-

a) Not less than 21 days' notice is required
b) The actual resolution - i.e. the format of the proposed resolution must be set out in the notice
c) The notice of the meeting must state the intention to propose the resolution as a special resolution

The resolution must be passed at the meeting by a three fourths majority of the votes cast at the meeting.

Unless a poll is demanded, a declaration of the chairman that resolution has been carried is to be conclusive evidence of the fact.

Resolutions requiring Special Notice

This is the kind/type of resolution, which requires special notice. In such cases the resolution shall not be valid unless notice of intention to move it has been given to the company not less than 28 days before the meeting at which it is moved and the company shall give its members notice of any such resolution at the same time in the same manner as it gives its members notice of the meeting or, if that is not practicable, shall give them notice thereof, either by advertisement in. a newspaper having appropriate circulation or in any other mode allowed by the articles not less than 21 days before the meeting.

Notice to registrar of resolutions

A certified copy under the signature of an officer of the company of the following resolutions and agreements must be registered with the registrar within 30 days of passing the resolutions.

(a) Special resolutions.
(b) Resolutions which have been agreed to by all the members of a company, but which, in the absence of such an agreement, would have to be passed as special resolution.
(c) A resolution or agreements which have been approved by all the members of a class of shareholders, and all resolutions and agreements which bind all the members of a class of shareholders though not approved by all these members

Registration of Resolutions

By Sec. 143(1) a printed copy of the following resolutions shall, within 30 days after the passing thereof, be delivered to the registrar for registration:

a) special resolutions;
b) resolutions agreed to by all the members which would otherwise not have been effective unless passed as special resolutions;
c) resolutions agreed to by all the members of a class of shareholders; and
d) resolutions requiring a company to be wound up voluntarily.

By Sec.144 where a resolution is passed at an adjourned meeting of –

a) a company
b) the holders of any class of shares in a company;
c) the directors of a company, the resolution is treated as having been passed on the date on which it was in fact passed on the date of the original meeting.

When a Meeting is Unnecessary

The purpose of holding general meetings with all the formality which it entails is to give to each member the opportunity of voting (in person or by proxy) on the resolutions before the meeting. If the meeting is not properly convened and held its purported decisions are not binding on any member who disagrees with and challenges them. His right to do so exists whether he was absent from the meeting or attended it but was in the minority. However, this is a protection given to a dissenting member. If every member in fact agrees it would be pointless and wrong to allow any non-member to dispute the validity of the unanimous decision because unanimity was achieved in some informal way.

Accordingly a unanimous decision of the members is treated as a substitute for a formal decision in general meeting properly convened and held and is equally binding.

In **Express Engineering Works** (1920) case, the five individuals who were both the directors and all the members of the company held a directors' meeting and resolved unanimously to issue debentures. For technical reasons their decision as directors was invalid but could be ratified by a general meeting. The court held that the decision was valid since it had been agreed to by everyone who could have voted on it at a general meeting.

In the above case there was a meeting. But the principle was later extended to cases where, without holding any meeting at all the members had all, even if informally, agreed to the relevant decision.

In the **Re Duomatic** (1969) case, the company was in liquidation and the liquidator sought to recover three payments which he asserted had not been properly approved in general meeting as was required. These were:

(a) compensation paid to a director for loss of office. The payment had been approved by three directors who were also the only ordinary shareholders entitled to attend and vote but it had not been disclosed to the holders of non-voting preference shares;
(b) remuneration paid to directors and later sanctioned by all shareholders through approval of the accounts in which these payments were disclosed;
(c) the remuneration paid in advance of approval by shareholders was made in accordance with previous practice. It was irregular but the directors would be excused.

Finally the assent principle of unanimity of the members has been extended to cover cases where every member had the opportunity to object and either voted in favour or merely abstained.

In the **Re Bailey Hay & Co Ltd** (1971) case all five members of the company attended a general meeting which had not been validly convened owing to a defective notice. At the meeting two members voted in favour of a resolution to wind up the company and the other three abstained. The court that there was sufficient "unanimity" to validate the resolution since all members had been present and none had dissented.
By this means informal decisions which would otherwise be invalid are valid. The same principle may be given formal recognition by articles which provide that a written resolution signed by all the members should have the same effect as a resolution duly passed at a general meeting. Articles in this form substitute one formality (a resolution signed by all members) for another (a resolution passed in general meeting). The assent principle is more flexible since it recognises as valid a unanimous agreement of the members reached without any meeting or other formality at all.

MINUTES OF MEETINGS (Sec.145)

The term minutes means a concise 'and accurate official record of the business transacted at company meetings. It normally includes only the resolutions actually passed.
Every company shall present minutes of all proceedings of general meetings, and all proceedings at meetings of its directors, to be entered in books kept for that purpose. The minutes, if purporting to be signed by the chairman of the meeting at which the proceedings took place or by the chairman of the next succeeding meeting, are evidence of its proceedings. The minutes if signed by the chairman are to be taken as prima facie correct.
The minutes are usually written from the notes taken by the chairman and secretary during the course of the meeting.

The minutes must incorporate/contain the following:-
i) The nature of the meeting e.g. AGM or EGM etc
ii) The date, time and place of meeting
iii) The names of the chairman and secretary.

iv) The names of the members present at the meeting (with the view of indicating the presence quorum).
v) All the resolutions passed at the meeting.
vi) Vote of thanks.
vii) Chairman's signature with a date in his own hand.

TOPIC 8

DIRECTORS

Introduction

The law does not precisely define the term "director." Section 2(i) of the Act states that a director includes any person occupying the position of director by whatever name called. This is not a satisfactory definition. Judicially a director means one or those persons who are responsible for directing, governing or controlling the policy or management of a company.
Since the term is not defined, the articles of any company may designate its directors as governors, board of management, etc. but as far as the law is concerned they are directors.

The board of directors is the administrative organ of the company. If the company is the body then the directors are the brain of the company and the company can and does act through them.

Legal Position of Directors

It is not easy to describe the exact legal position of the directors of a company.

In **Imperial Hydropathic Co. vs Hampson** Lord Brown observed;
"Directors are described sometimes as agents, sometimes as trustees and sometimes as managing partners. But each of these expressions is used not as exhaustive of their powers and responsibilities but as indicating useful points and for the particular purpose be considered",

a) Directors as agents

In **Ferguson vs. Wilson**, Lord Cairns, while considering the position or directors of a public company, observed: "they are merely agents of the company The company itself cannot act in its own person, for it has no person: It can only act through directors and the case is, as regards those directors, merely ordinary case of principal and agent. Whenever an agent is liable those directors would be liable; where the liability would attach to the principal and the principal alone, the liability is the liability of the company."

The directors are, therefore, agents of the company. As agents, they must conduct the business the reasonable care and diligence and abide by the memorandum and articles of association. If they act with their authority, the acts are deemed acts of the company itself and the company is liability for them. They enter into the contracts and put their signatures on behalf of the company like the agents.
However, in its strict sense the directors are not agents.

For example directors are elected but agents are appointed. Similarly, directors are not rewarded but may be remunerated. Agents are entitled to commissions in case of agreement which is a reward to them.

b) Directors as Managing Partners

Directors are elected representatives of the shareholders and are therefore in the position of managing partners. In most private companies limited by shares they are required to hold share qualification. This makes them partners with the shareholders. They are bestowed with the powers of allotting shares, making calls, forfeiting of shares etc.

However, directors do not have authority to bind other directors and shareholders like in a partnership.

Similarly the issue of retirement of directors shows that they are not strictly speaking partners.

c) Directors as Trustees

Under certain circumstances directors are in the position of trustees for the company.

In the **Sykes case**, Bacon VC observed this:

"the plain duty of the directors, who are trustees for the company, is to deal in all matters of business with which the company is concerned for the benefit of the company, and not with regard in their own particular interests".

Almost all the powers of directors e.g. allotting of shares, making calls, accepting and rejecting transfers etc are powers in trust. In every such case, they are required to exercise those powers in the best interest of the company.

They stand in a fiduciary position to protect the interest of the company. They have been held liable for moneys, which they have misapplied in the same footing as if they were trustees.

In **York& North Midland Ry vs. Huudson** directors who had improperly dealt with funds of the company were of the company for the benefit of the shareholders. It is an office of trust which, if they undertake, it is their duty to perform fully and entirely. A resolution by shareholders therefore, that shares or any other species of property shall be at the disposal of directors, is a resolution that it shall be at the disposal of trustees. In other words, that the persons entrusted with that property shall dispose of it, within the scope of the functions delegated to them, in the manner best suited to benefit their cestuis que trust. "

Sir George .Jessel expressed himself similarly in Dean, etc., Co Forest: “directors are called trustees. They are no doubt trustees of assets which nave come into their hands, or which are under their control "

Thus, in **Joint Stock Discount Co. VS. Brown** where directors had misapplied funds of the company, it was declared that they had "committed breach of trust and were jointly and separately liable" accordingly.

In **Re Lands Allotment Co**., Lindley L. J. said: "Although directors are not properly speaking trustees, yet they have always been considered and treated as trustees of money which comes to their hands or which is actually under their control, and ever since joint stock companies were invented directors have been held liable to make good money which they have misapplied upon the same footing as if they were trustees …..”
They are however not trustees for the shareholders or third parties who deal with the company.
However, in some instances they are not strictly trustees. For example he is not allowed to enter into a contract for himself. Similarly, a trustee in the legal sense, is the owner of property and deals with it as principal owner, subject only to the equitable obligation to account to the beneficiaries.

Therefore directors are neither agents nor managing partners or trustees or owners of the company in the full sense. In fact they are officers of the company and as officers may be responsible for their faults.
An agent who professes a trade or profession is required to display such care, diligence and skill as would a reasonably competent member of the trade or profession. But other agents are required to exercise only such skill as they possess and such care and diligence as would be displayed by a reasonable man in the circumstance.

General principles
The general principles governing the duties of a director vis a vis the company were very fully considered by **Romer J. In Re City Equitable Fire Insurance Co**., where, after considering the earlier authorities, he said:
“.. in discharging the duties of his position thus ascertained a director must, of course, act honestly, but he must also exercise some degree of both skill and diligence. To the question of whatis the particular degree of skill and diligence required of him the authorities do not I think, give any very dear answer. It has been laid down that so long as a director acts honestly he cannot be made responsible in damages unless guilty of gross or culpable negligence in a business sense ..

There are in addition, one or two other general propositions that seem to be warranted by the reported cases.

1. A director need not exhibit in the performance of his duties a greater degree of skill than may reasonably be expected from a person of his knowledge and experience. A director of a life insurance company, for instance, does not guarantee that he has the skill of an actuary or of a physician.

2. A director is not bound to give continuous attention to the affairs of his company. His duties are of an intermittent nature to be performed at periodical board meetings; and at meetings of any committee of the board upon which he happens to be placed. He is not, however, bound to attend all such meetings, though he ought to attend whenever, in the circumstances, he is reasonable able to do so.
3. In respect of all duties that, having regard to the exigencies of business, and the articles of association, may properly be left to some other official, a director is, in the absence of grounds of suspicion, justified in trusting that official to perform such duties honestly."

The remarks of Romel J. in the **City Equitable Fire Insurance case**, which are the locus classicus on the subject, may be considered under a series of headings

1. Directors not expected to be experts unless appointed as such

A director is not expected to exercise skill which he does not possess. Thus, for example, a rubber-producing company may have a manager on its estate who is responsible for all the day-to-day work there, but who is responsible to the board of directors. The estate may be in Malaya and the board in England and the board, or at least certain members of it., may know little or nothing about the management of an estate.

In **Re Brazilian Rubber Plantations& Estate Ltd** it was said:

"A director's duty has been laid down as requiring him to act with such care as isreasonably to be expected from him having regard to his knowledge and experience. He is, I think, not bound to bring any special qualifications to his office He may undertake the management of-a rubber company in complete ignorance of everything connected with rubber, without incurring responsibility for the mistakes which may result from such ignorance; while if he is acquainted with the rubber business he must give the company the advantage of his knowledge when transacting the company's business."

Similarly Romer J. said in **Re City Equitable Fire Insurance Co**. that "a director of a life insurance company, for instance, does not guarantee that he has the skill of an actuary or of a physician. "

It is clear from these observations that the directors of a specific' company are not required to be experts in the type of business which the company promotes unless they are appointed in view of their specialist qualifications. Many boards consist only partly of such experts and, further rest, of persons who are specialist, in business administration or in certain general aspects of business management such as legal, financial accounting, banking or export trade practice.

Upon these principles a director would be entitled to rely upon the advice of his fellow directors in matters which they are, or should be, experts.

2. A director must exercise reasonable care and diligence but is not liable for errors of judgment:

Care and diligence of ordinary man. The liability of a director where he takes no part in the company's business is dealt with below. Where he does take part, he must, in the words of Neville J., display "reasonable care in its dispatch. Such reasonable care must……be measured by the care an ordinary man might be expected to take in same circumstances on his own behalf. He is clearly ... not responsible for damages occasioned by errors of judgment."

In **Lagunas Nitrate Co. vs. Lagunas Syndicate,** Lindley M. R. observed."

"if directors act within their powers, if they act with such care as is reasonably to be expected from them, having regard to their knowledge and experience, and if they act honestly for the benefit of the company they represent, they discharge both their equitable as well as their legal to the company.

3. A director may reasonably rely on co-directors and officers of the company

In determining a director's duties, consideration must be given to the nature of the company's business, and, provided that the work is distributed in a reasonable way, to the manner in which the work is distributed between the directors themselves and the other officials of the company. As Romer J. said in the passage above:

"In respect of all duties that, having regard to the exigencies of business, and the articles of association, may properly left to some other official, a director is, in the absence of grounds of suspicion; justified intrusting that official to perform such duties honestly."

Upon this principle the case of **Dovey vs. Cory** was decided, in which a bank had sustained heavy losses by the issue of fraudulent balance sheets and the improper advance of money to customers of the bank. The frauds were the work of the manager and the chairman, and the question arose whether a co-director, though in fact, innocent of any complicity, was liable to the company for negligence in not having discovered the frauds. The House of Lords in the result exonerated him from liability, on the ground that the directors may properly delegate to trusted subordinates the details of management.

Lord Halsbury L. C said:

"It is obvious if there is such a duty {of detecting frauds} it must render anything like an intelligent devolution of labour impossible ... I cannot think it can be expected of a director that he should be watching either the inferior officers of the bank or verifying the calculations of the auditor himself. The business of life could not go on if people could not trust those who are put into a position of trust for the express purpose of attending to details of management."

In determining whether a director has been guilty of negligence, the court will take into account the character of the business, the number of the directors, the provisions of the articles, the ordinary course of management and practice of directors, the extent of their knowledge and experience, and, in short, all the special circumstances of the particular case.

In an early case, **Re Denham & Co**., a director was, upon this principle, not liable for the fraud of his co-directors for the issue to the shareholders of false and fraudulent reports and balance sheets. In circumstances where the books and accounts of the company had been kept and audited by duly appointed and responsible officers, and where the director had no ground for suspecting fraud but the articles of the company concerned gave supreme control and ail the powers of the directors to the chairman, so that on a summons against one of the directors for misfeasance, the court absolved the directors although for some four years he had not attended single meeting of the directors, "being misled as he says by reason of the extraordinary powers conferred by the articles upon (the chairman)."

Application of general principle

To a certain extent the cases have established some specific rules arising out of the application of these general principles, but these rules are necessarily little more than guides to conduct, and must be treated as flexible to meet the circumstances of each case, and the overriding principle must be that the director must act honestly and reasonably.

The following are the specific rules which can be deducted from the decisions of the court:

i)It is the duty of each director to see that the company's moneys are from time to time in a proper state of investment, except in so far as the company articles of association may justify him in delegating that duty to others.

When presenting their annual report and balance sheet directors ought not to be satisfied as to the value of their company's assets merely by the assurances neither of their chairman nor with the expression of the belief of the auditor,

This point will arise in particular in two instances, first in relation to the company's stock in trade, and secondly in relation to its investments and fixed assets. As regards the latter directors should if they are not personally skilled in valuing these items, insist on some independent valuation at appropriate intervals; e.g. real property may well not require to be revalued for a number of years, whereas the values of stock market or trade investments may require yearly review.

At such time as the valuations are made the company’s titleshould also be reported upon by a competent expert.

A list of cheques to be authorized by the board (whether or not they have already been paid) should be presented at each board meeting showing the amounts and the name of the payee.

This practice, as opposed to an authorization of cheques to an aggregate amount, will preclude the risk of the managing director obtaining the signature of different co-directors to cheques for the same purpose.

4. Negligence by non-attendance at board meetings

Diligence carries with it the necessity of giving a reasonable amount of attention to the company's affairs.

The amount of attention to be given will depend largely upon the extent to which devolution of duties has been organized and upon the number of directors.

In **Marquis of Bute's Case** where there were 50 "trustees" (i e persons in the position of directors) of a savings bank "trustee" who attended no meetings for a number of years was not liable for the misconduct of his "co-trustee”.

Continuous non-attendance at meetings may render a director guilty of the breaches of trust which are committed by others, but it is not necessary for a director to attend every board meeting unless the articles otherwise provide time" In the sale of goods; is a question of fact which is to be understood by "reasonable regularity."

Thus, in cases such as **Denham & Co.,** where the entire control was exercised by a single person, or in

Marquis of Bute's Case, where the directors were very numerous, the court may find itself able to excuse a director who failed to attend board meetings fairlyfrequently, but such cases should, be considered as exceptional, and other considerations govern a case where e.g. the company has a board of eight directors and a director fails to attend. Speaking generally, the fewer the directors the greater the duty to attend.

5. Directors with full-time service contracts

The principles discussed above were developed by the court largely in relation to non-executive directors. It is common today for a proportion of the members of the board of a public company to hold full-time service agreements with the company. The service contract may impose obligations upon the directors that go beyond his duties qua director,

It would seem, for example, that a director with a full-time service contract is obliged by that contract to devote the whole of his working time to the company and that heading 4 above (negligence by non-attendance at board meetings) does not apply to him in an unqualified way. Further, it has been said by skilled employees that: "The failure to afford the requisite skill which had been expressly or impliedly promised is a breach of a legal duty, and therefore misconduct,"

Number of Directors

Every public company must have at least two directors and every other company (and every private company) must have at least one director, The Act does not fix any maximum number.

Similarly, Section 177 provides that every company shall have a secretary and a sole director cannot also be the secretary.

Under Section 179the company cannot evade the restriction by appointinga company secretary the sole director or nor appointing the sole director of which is secretary to the company

The purpose of this restriction is to maintain a dual control in the management of the affairs of the company and to prevent fraudulent mechanisms by one man-management,

QUALIFICATION AND DISQUALIFICATION OF DIRECTORS

QUALIFICATION DIRECTORS

The Companies Act does not lay down any academic or shareholding qualification for a director.

There is a widespread misconception that a director must necessarily be a shareholder of the company. This is because the Act does not require a director to hold qualification shares.Unless the articles provide otherwise, a director need not be a shareholder of the company.

Financial prudence, however, requires that directors must have some stake in the company. That is why articles usually provide for certain shares for a director.

If the articles of the company contain a provision that the qualification of a director shall be the holding of a certain number of shares in the company, then all its directors must hold such number of shares. The articles generally permit directors sometime within which to acquire the share but at no time must it exceed two months - but the articles may prescribe a shorter period,

If a director does not purchase qualification shares within the prescribed period or thereafter does not posses such shares at any time he ceases to be director automatically.

Any director who vacates office for failure to acquire the share qualification shall become liable to a penalty which may not exceed sh.200 for every day during which he continues to act as a director after the expiry of the said period {Sec.183 (5).

Qualification Shares

S.183(1) provides that it shall be the duty of every director who is by the articles of the company required to hold a specified qualification, and who is not already qualified, to obtain his qualification within two months after his appointment, or within the shorter time (if any) fixed by the articles.

Subsection (3) further provides that if the director fails to obtain his share qualification, or ceases to hold the required number of shares, he shall vacate his office. If he does not actually do so but continues to act as director he becomes a de facto director .

In **Ivan Arthur Camps** case the respondent, in his capacity as a director of a company, had been charged with several offences under the Companies Act. Although the directors of the company had under article 96 of the company's articles of association duly appointed him to be director and he had acted as such, he never acquired the required share qualification but in a statutory return, subsequent to his appointment, he was shown as a director which, by article 84, was fixed at one fully paid-up share in his own right.

Article 87(c) which was substantially in the same terms of Sec.183(1) and Sec.183(3) of the Act provided that the office of the director shall be vacated if a director ceased to hold the number of shares required to qualify him for office or fails to acquire the same within two months after his election or appointment.

The magistrate held that as the respondent had never possessed or acquired his qualifying share, his appointment was invalid and that there was no case for him to answer. He also held that the respondent was never even a de facto director and that in any event a de facto director was not criminally liable as a director for offences under the Companies Act.

Against that decision the attorney-general appealed to the High Court by way of case stated, but the appeal was dismissed, the court holding that a de facto director was not liable qua director for criminal offences under the Companies Act. On a further appeal it was submitted (for the crown) that the respondent was validly appointed a de jure director, that thereafter he was a de facto director and that a de facto director was criminally liable for offences under the Companies Act.

The court held that :

i) The word "director" in the Companies Act includes a de facto director unless the context otherwise requires, and looking at the mischief at which the sections in question aimed a de facto director is as much a person whose conduct should be the subject of the sections as a person who has been duly appointed a director.
ii) The respondent was duly and validly appointed a de jure director but he ceased to be a de jure director two months later as he failed to acquire his share qualification within that time.
iii) If the respondent acted as a director after the expiration of two months from his appointment he was then a de facto director and he was a director for the purpose of those sections of the Companies Act which it was alleged he had contravened.

The appeal allowed and acquittal was set aside.

Age Limit

Sec.186 provides that no person shall be capable of being appointed a director of a public company or a private company which is a subsidiary of a public company if at the time of his appointment—

(a) he has not attained the age of twenty-one; or

(b) he has attained the age of seventy.

This provision does not apply if:

(a) The company's articles provide otherwise; or

(b) "Special notice" of the resolution to appoint the director was given to the company.

The company must also have given notice of it (i.e. the special notice) to its members and stated the age of the proposed director.

Sec.142 defines "special notice" as a notice given to the company not less than twenty eight days, before the meeting at which the relevant resolution is to be moved.

Undischarged Bankrupts

Sec.188 provides that if an undischarged bankrupt acts as director of any company without leave of the court he shall be liable to imprisonment for a term not exceeding two years or to a fine not exceeding Shs.10,000/=, or both.

Defects in Appointment

Sec.181 provides that a director's acts shall be valid despite any defect that may afterwards be discovered in his appointment or qualification. This provision applies to technical defects in appointment or qualification, such as a failure to obtain the director's share qualification within the prescribed time. An example is **R v Camps** case. The respondent, in his capacity as a director of a company, had been charged with several offences under the Companies Act. Although the directors of the company had under article 96 of the company's articles of association duly appointed him to be director and he had acted as such, he never acquired the required share qualification but in a statutory return, subsequent to his appointment, he was shown as a director which, by article 84, was fixed at one fully paid-up share in his own right.

Article 87(c) which was substantially in the same terms of S.183(1) and S.183(3) of the Act provided that the office of the director shall be vacated if a director ceased to hold the number of shares required to qualify him for office or fails to acquire the same within two months after his election or appointment.

The magistrate held that as the respondent had never possessed or acquired his qualifying share, his appointment was invalid and that there was no case for him to answer. He also held that the respondent was never even a de facto director and that in any event a de facto director was not criminally liable as a director for offences under the Companies Act.

Against that decision the attorney-general appealed to the High Court by way of case stated, but the appeal was dismissed, the court holding that a de facto director was not liable qua director for criminal offences under the Companies Act. On a further appeal it was submitted (for the crown) that the respondent was validly appointed a de jure director, that thereafter he was a de facto director and that a de facto director was criminally liable for offences under the Companies Act.

The court held the following:

i) The word "director" in the Companies Act includes a de facto director unless the context otherwise requires, and looking at the mischief at which the sections in question aimed a de facto director is as much a person whose conduct should be the subject of the sections as a person who has been duly appointed a director.
ii) The respondent was duly and validly appointed a de jure director but he ceased to be a de jure director two months later as he failed to acquire his share qualification within that time.
iii) If the respondent acted as a director after the expiration of two months from his appointment he was then a de facto director and he was a director for the purpose of those sections of the Companies Act which it was alleged he had contravened.

The appeal allowed and there for the acquittal set aside.

APPOINTMENT OF DIRECTORS

Any person who is not qualified and who holds the minimum share qualification, if any, may be appointed as directors of a company.

(a) First directors

Articles of a company usually name the first directors. The promoters usually appoint them and their names are mentioned in the articles. If no provision is made in this respect the subscribers to the memorandum are deemed to be the first directors.

Such directors shall retire at the first annual general meeting of the company when the new directors will be appointed by the shareholders in accordance with the articles of a company.

(b) Subsequent directors

According to article 89 of Table A shareholders must elect the directors according to the Articles at the first AGM and every subsequent annual general meeting of the company. At least $\frac{1}{3}$ of the total number must retire by rotation or a number nearest to $\frac{1}{3}$. The directors longest in office shall retire first,

(c) Appointment for casual vacancies (by directors)

If the office of any director is vacated before the expiry of his term, such casual vacancies may be filled or as an addition to the existing directs, but the total number of directors must not exceed the number fixed in accordance with the regulations or the company. Any such director holds office only until the next following annual general meeting and shall be eligible for re-election.

(d) Appointment of alternate directors

If authorized by the articles or if a resolution is passed in a general meeting authorizing the board of directors to appoint an alternate director, the board may appoint an alternate director.

(e) Additional directors

The company in a general meeting may appoint any person to be a director either to fill a vacancy or as an additional director.

(f) Restrictions on Appointment

The following are the restrictions which the Act imposes on appointment of directors:

Sec.182(1): Appointment by the Articles

Sec.182(1) provides that a person shall not be capable of being appointed director of a company by the articles unless, before the registration of the articles, he has by himself or by his agent authorized in writing—

i) signed and delivered to the registrar for registration a consent in writing to act as such director; and
ii) either—
    a) signed the memorandum for a number of shares not less than his qualification, if any; or
    b) taken and paid or agreed to pay for his qualification shares, if any; or
    c) signed or made and delivered to the registrar for registration an undertaking to take and pay for his qualification shares, if any, or the statutory declaration that a number of shares not less than his qualification, if any, are registered in his name.

DISQUALIFICATION OF DIRECTORS

A person is disqualified to be appointed as director of a company if he suffers from any of the following disabilities:

(1) lf he has been adjudged to be of unsound mind.,
(2) If he has been absent from the company's meetings for 6 months.
(3) If is un-discharged bankrupt/insolvent.
(4) If he has been convicted of any offence for which he been sentenced to more than 6 months imprisonment for an offence involving moral turpitude and five years having not elapsed from the date of expiry of the sentence.

(5) If he has failed to pay any call on his shares for six months.
(6) If he has otherwise been guilty of any fraud in the relation to the company or of any breach of his duty to the company.
(7) If he has not attained the age of 21 years.
(8) If heis over 70 years.

POWERS AND DUTIES OF DIRECTORS

Duties of Directors

The duties of directors are usually considered under two broad headings, namely—

1. Duties of care and skill at common law, and
2. Fiduciary duties as enunciated by courts of equity

1. Duties of Care and Skill

The directors' duties of care and skill have been formulated in a series of cases brought against directors in order to make them liable in negligence for the manner in which they conducted the company's affairs. These duties were summarised by Romer, J. in **City Equitable Fire Insurance Co Ltd** as follows:

i) A director need not exhibit in the performance of his duties a greater degree of skill than may reasonably be expected from a person of his knowledge and experience.
This rule prescribes a duty which is partly objective (the standard of the reasonable man) and partly subjective (the reasonably man is deemed to have the knowledge and experience of the particular director). It may also be expressed by saying that, if a foolish director makes foolish decisions resulting in loss to the company, he cannot be liable for negligence. It would be unreasonable to expect a foolish director to make wise decisions. However, if the director made very foolish decisions resulting in loss to the company, he will be liable in negligence since it is not reasonable to expect a foolish director to make very foolish decisions. On the other hand, a wise director will be liable if he makes unwise decisions, since it is unreasonable to expect him, a wise man, to make unwise or foolish decisions.

Directorship is not a professional job with a legally prescribed qualification. In the circumstances, anybody (even a six-months-old baby) can become a director. All that the law can expect him to do is to serve the company honestly and to the best of his ability.

ii) A director is not bound to give continuous attention to the affairs of his company. His duties are of an intermittent nature to be performed at periodical board meetings, and at meetings of any committee of the board upon which he happens to be placed. He is not, however, bound to attend all such meetings, though he ought to attend whenever, in the circumstances, he is reasonably able to do so.

In **Marquis of Bute's** case a director who had attended only one board meeting in thirty eight years was exonerated from liability for alleged negligence on the ground that "neglect or omission to attend meetings is not, in my opinion, the same thing as neglect or omission of a duty which ought to be performed at those meetings" (per Stirling, J.)

A company is, however, free to impose a duty on its directors to attend board meetings within a certain period of time and to prescribe the consequences of a breach of the duty.

iii) In respect of all duties that, having regard to the exigencies of business, and the articles of association, may properly be left to some other official, a director is, in the absence of grounds for suspicion, justified in trusting that official to perform such duties honestly.

If a director is to be made liable, it can only be on the basis of his personal negligence, and it is not negligence to delegate some responsibilities to officials or employees of the company whose previous conduct has given no grounds for distrust or suspicion.

In **Dovey vs Cory** a director was held not liable for negligence merely because he had failed to verify false information regarding the company's accounts which he had been given by the company's manager and managing director. The court stated:

"Business cannot be carried on upon principles of distrust. Men in responsible positions must be trusted by those above them, as well as by those below them, until there is reason to distrust them. We agree that care and prudence do not involve distrust."

2. Fiduciary Duties

The fiduciary duties of directors arising from their fiduciary relation to the company have been the subject of consideration in an enormous body of case law but the ratio decidendi of the cases can be reduced to two fundamental propositions:

(a) A director is not allowed to put himself in a position where his interest and duty conflict.

The application of this rule is illustrated by the following cases:

1. **Aberdeen Rly Co v Blaikie Brothers**:-Sec.200(5) adopts this rule by providing that nothing in section 200(5) shall be taken to prejudice the operation of "any rule of law" restricting directors of a company from having any interest in contracts with the company".Sec.200 requires a director who is in any way interested in a contract with the company to declare the nature of his interest at a board meeting. He must disclose the interest at the first board meeting at which the contract is to be discussed or, if he did not have an interest at that time, at the first board meeting after his interest arose. This provision is supplemented by Article 84 of Table A which provides that—

i) The director shall not vote in respect of the contract. If he does vote, his vote shall not be counted; and
ii) The director shall not be counted in the quorum present at the meeting.

2. **Cook v Deeks** in which some of the company's directors diverted to themselves a contract that was intended to be for the company. It was held that they had to surrender the benefit of the contract to the company. In law the benefit of the contract belonged to the company which the directors had formed for the purpose of obtaining the contract but in equity the contract belonged to the company for which it was intended.
3. In **Bray v Ford** Lord Herschell stated that the aforesaid rule is not "founded upon principles of morality" but is based on the consideration that human nature being what it is, there is danger, in such circumstances, of the person holding a fiduciary position being swayed by interest rather than by duty and thus prejudicing those whom he was bound to protect".

   A director is not, unless otherwise expressly provided, entitled to make a profit. In **Boston Deep Sea Fishing Co v Ansell,** Ansell was a director of the plaintiff company and, on the company's behalf, contracted for the building of fishing smacks. Unknown to the company, he was paid a commission on the contract by the shipbuilders. He was also a shareholder in an ice company which, in addition to dividends, paid bonuses to shareholders who were owners of fishing smacks and who employed the ice company in supplying ice to the fishing smacks. Ansell employed the ice company in respect of the plaintiff company's fishing smacks and received the bonus.

   The court held that Ansell must account to the company for both the commission and the bonus, although the bonus could never have been received by the plaintiff company as it was not a shareholder in the ice company.

   This rule is essentially a restatement of the fundamental rule of the law of agency that an agent must not make a secret profit. The cases in company law are just examples of how a particular agent (the company director) committed a breach of his duties to a particular principal (the company).
4. **In Percival v Wright,** case the plaintiff wished to sell shares in the company and wrote to the secretary asking if he knew of anyone willing to buy. After negotiations, the chairman of the board of directors arranged the purchase of 253 shares, 85 for himself and 84 for each of his fellow directors at a price based on the plaintiff's valuation of £12 10s per share. The transfers were approved by the board and the transactions completed. The plaintiff subsequently discovered that prior to and during the negotiations for the sale, Mr. Holden was also negotiating with the board for the purchase of the company for resale to a new company, and was offering various prices for shares, all of which exceeded 15612 10s per share. No firm offer was ever made,

and the negotiations ultimately proved abortive, and the court was not satisfied that the board ever intended to sell. The plaintiff brought this action against the directors asking for the sale of his shares to be set aside for non-disclosure.

The court held that the directors are not trustees for the individual shareholders and may purchase their shares without disclosing pending negotiations for the sale of the company. A contrary view would mean that they could not buy or sell shares without disclosing negotiations, a premature disclosure of which might well be against the best interests of the company. There was no unfair dealing since the shareholder in fact approached the directors and named his own price.

Directors Powers

Equity regards directors as holding their powers on trust for the company. They can only exercise those powers for the benefit of the company, otherwise the purported exercise will be regarded as "ultra vires" and invalid. In such cases the court would regard the transaction as having been entered into for an "extraneous purpose". This is illustrated by—

i. **Roith Ltd** where the controlling shareholder and director of two companies wished to provide for his widow but did not want to leave her his shares. Accordingly he entered into a service agreement with one of the companies under which his widow was entitled to a pension for life on his death.
The court held that on the application of the liquidator - that the agreement was not binding on the company.

ii. **Hogg v Cramphorn** whereby in order to prevent a take-over bid, which they honestly thought would be bad for the company as a whole, the directors used certain money belonging to the company which was standing in an account headed "employees" benevolent and pension fund" to set up a pension scheme by issuing preference shares bearing 10 votes each. This had the effect of giving the trustees of the fund and the directors together control of the company. The directors had power to issue shares but not attach more than one vote to each. This action was brought by a minority shareholder on behalf of all the others except the directors against the company and the directors.

The court held that since the proper purpose of issuing shares is to raise capital for the company, an issue made to forestall a take-over bid was a breach of the directors' fiduciary duties. The allotment could not stand unless confirmed in general meeting and a meeting should be convened to consider whether to approve what had been done. However, the increased votes should not be exercised by the directors at the meeting though they could exercise their original votes.

Statutory Provisions Regarding Directors' Powers and Duties

Under various sections of the Act the following powers, subject to any restriction placed by the articles can be exercised by the board only by means of resolutions passed at meetings of the board and not by circulation:

i) the power to make calls
ii) the power to issue debentures;
iii) the power to borrow moneys otherwise than on debentures;
iv) the power to invest the funds of the company; and
v) the power to make loans.

The board, may however, by a resolution passed at a meeting, delegate to any committee of directors, the managing director, the manager or any other-principal officer of the company, the powers to borrow money, to invest the funds and to make loans. The resolution should specify the extent, nature and purpose in each case.

Besides the above-mentioned powers, the Companies Act under several other sectionsprovides for some other powers which must be exercised at the board meeting only. For example:

i. The power to fill up casual vacancies among directors, to appoint alternate directors, and to appoint additional directors subject to any regulation in the Article.
ii. The power to accord sanction to such contracts in which any directors or their relatives etc., are interested.
iii. The power to recommend the rate of dividend to be declared by the company at the annual general meeting, subject to the approval by the shareholders.
iv. The power to appoint the first auditors of the company and to fill any casual vacancy in the office of the auditor unless such a vacancy is caused by resignation of the auditor.

In exercise of certain powers, however, unanimous consent of all the directors present at theboard meeting and entitled to vote thereon is required, for example:

The power to appoint in a person as 'managing director if he is the 'managing director' or if he fails to take a share qualification within the time prescribed i.e. 2 months from the date of appointment.

A change in the mode of management (switching to direct management of the board of directors) and as a consequence of it the office of the person concerned becomes redundant.

As per Section 192 a company may pay 'compensation for loss of office' or for retirement from office to a managing director or a director holding the office of manager or a whole time director. No other director is entitled to such compensation.

Even in the case of former category, payment shall not be made:

i. Where the director resigns in view of the reconstruction or amalgamation of the company and take an appointment as the managing director, manager or other officer in the reconstructed or amalgamated company;

ii. Where the director resigns otherwise than on reconstruction or amalgamation as aforesaid.
iii. Where the office is vacated by virtue of:
    a) Power of the court to restrain fraudulent persons from managing companies;
    b) Vacation of office of director,
iv. Where the company is wound up due to the negligence or default of the director,
v. Where the director has been guilty of fraud or breach of trust or gross negligence or gross mismanagement either in respect of the company or its holding or subsidiary company;
vi. Where the director has instigated or has taken part directly or indirectly in bringing about the termination of his office.

REMOVAL AND VACATION OF OFFICE

In addition to vacating office under the aforesaid provisions of Article 88 a person may cease to be a director for various reasons, such as—
(a) death; or
(b) retirement by rotation under the articles; or
(c) court order restraining him from acting as director; or
(d) dissolution of the company.

Removal of Directors(S.185)
A company may by ordinary resolution remove a director before the expiration of his period of office notwithstanding anything in its articles or in any agreement between it and him.

In such cases, the shareholders must give a special notice to the company. .

On receipt of the notice of an intended resolution to remove a director, the company shall send a copy thereof to the director concerned and the director shall be entitled to be heard in the resolution at the meeting.

Where notice is given of an intended resolution to remove a director and the director concerned makes representations in writing to the company and requests their notification to members, the company shall in any notice of the resolution given to members of the company state the fact of the representations having been made.

The company shall then send a copy of the representation to every member of the company to whom notice of the meeting is sent (whether before or after receipt of the. representations by the company).

If the representations are not sent they shall be read out at the meeting.

A vacancy created by the removal of a director under this section may be filled at the same meeting if a special notice of the intended appointment has been given or it may be filled as a casual vacancy.

Undischarged Bankrupts

Sec.188 provides that if an undischarged bankrupt acts as director of any company without leave of the court he shall be liable to imprisonment for a term not exceeding two years or to a fine not exceeding Shs.10,000/=, or both.

Fraudulent Persons

Sec.189(1) empowers the court to make an order restraining a person from being appointed, or acting, as a company's director for a period not exceeding five years if—

i. The person is convicted of any offence in connection with the promotion, formation or management of a company; or
ii. In the course of a winding up, it appears that the person has been guilty of fraudulent trading (under Sec.323) or has otherwise been guilty, while an officer of the company, of any fraud or breach of duty to the company.

Individual Voting

Sec.184(1) provides that appointment of directors is to be voted on individually unless a motion for the appointment of two or more persons as directors by a single resolution was agreed upon by the meeting without any vote being given against it.

A resolution moved in contravention of this provision is void {Sec`.184(2)}.

REGISTER OF DIRECTORS

Every company shall keep a register showing in respect to each director of the company the number, description and amount of any shares in or debentures of the company or any other body corporate, being the company's subsidiary or holding company, or a subsidiary of the company's holding company, which are held by or in trust for him or of which he has any right to become the holder (whether on payment or not):Provided that the register need not include shares in anycorporate body which is the wholly-owned subsidiary of another body corporate.For this purpose, a body corporate shall be deemed to be the wholly-owned subsidiary of another if it has no members but that other and that other's wholly-owned subsidiaries and its or their nominees.

Where any shares or debentures fall to be or cease to be recorded in the register in relation to any director by reason of a transaction entered into after the commencement of Companies Act and while he is a director, the register shall also show the date of, and price or other consideration for the transaction:

Provided that, where there is an interval between the agreement for any such transaction and the completion thereof, the date shall be that of the agreement.

The nature and extent of a director's interest or right in any shares or debentures recorded in relation to him in the said register shall, if he so requires, be indicated in the register.
The company shall not be affected with notice of, or put upon inquiry as to, the rights of any person in relation to any shares or debentures.

The said register shall be kept at the company's registered office and shall be open to inspection during business hours as follows -

(a) during the period beginning fourteen days before the date of the company's annual general meeting and ending three days after the date of its conclusion, it shall be open to the inspection of any member or holder of debentures of the company; and

(b) during that or any other period, it shall be open to the inspection of any person acting on behalf of the registrar; and, in computing the fourteen days and the three days mentioned in this subsection, any day which is a Saturday or a Sunday or a public holiday shall be disregarded.

The registrar may at any time require a copy of the said register, or any part thereof. The register shall also be produced at the commencement of the company's annual general meeting and remain open and accessible during the continuance of the meeting to any person attending the meeting.

REMUNERATION OF DIRECTORS

If the directors are not entitled to remuneration by the terms of the articles, they cannot be awarded it by an ordinary resolution passed by the members of the company. If the members wish to remunerate the directors, they must first alter the articles. Hence directors who are not remunerated are entitled to be indemnified by the company against expenses incurred in carrying out their functions but remunerated directors are entitled to be reimbursed their expenses by the company. .

If a director's remuneration consists of the company's profit and there is no method laid down in determining the company's profits and the director's service agreement only provide that the percentage or commission shall be based on the company's profits for a specified period, then the sum to be taken to be the gross trading receipts of that period less the expenses incurred in earning them. .

Remuneration payable to a director is a debt arising from the company and is not contingent on the company earning sufficient profits to pay it unless it is expressly made contingent by the terms of the director's service agreement or the company's articles.

If a director is not properly appointed he cannot claim the remuneration to which a director is entitled even though he believes himself to have been properly appointed and actually serves the company as such. Nevertheless, he is entitled to a reasonable sum as quantum meruit for the service he has already rendered. This can only be possible when the director's appointment is only valid or when there is no valid contract between the company and the director for his employment.

LOANS TO DIRECTORS

Under Section 191, it shall not be lawful for a company to make to any person who is its director or director of its holding company or to enter into any guarantee or provide any security in connection with a loan made to such a person as aforesaid by any other person. However, this restriction does not apply either

i) to anything done by a company which is for the time being a private company; or
ii) to anything done by a subsidiary, where the director is its holding company or
iii) to anything done to provide any such person as aforesaid with funds to meet expenditure incurred or to be manned by him for the purpose of the company or for the purpose of enabling him properlyto perform his duties as an officer -of the company or
iv) in the case of a company whose ordinary business includes the lending of money or the giving or guarantees in connection with loans made by other persons, to anything done by the company in the ordinary course of that business. Where lending is done in [iii] above, the approval of the company must be given at a general meeting at which the purpose of the expenditure and the amount of the loan or the extent of the guarantee or security, as the case may be, are disclosed.

If the approval of the company is not given as aforesaid at or before the next following annual general meeting, the loan shall be repaid or the liability under the guarantee or security shall be discharged, as-the case may be, within six months from the conclusion of that meeting

COMPENSATION FOR LOSS OF OFFICE

Section 192 makes it unlawful for a company to make payment to a director by way of compensation for loss of office, or as consideration for or in connection with his retirement, unless particulars of the proposed payment, including the amount, are disclosed to the members of the company and the proposal is approved by the company in general meeting. If the payment is not disclosed and approved, the director to whom it is paid shall be deemed to have received it in trust for the company. The directors who paid the money are liable to repay the money to the company.

In the **duomatic** case, a company incorporated in 1960, with a share capital of 100 £1 ordinary shares and 80,000 £1 non-voting redeemable preference shares, had originally three directors E.H. and T. who held all the ordinary shares. E. and T. became critical of the way in which H. performed his duties and could have voted him off the board, but since he threatened, if dismissed, to sue the company, they paid him £4,000 to leave the company. He ceased to be a director on April 1, 1963, and later transferred his shares to E. on April 17, 1964, W. a representative of a finance company, B Ltd, who were financing the company's hire-purchase business, became a director. In July, 1964, E. transferred some of his shares to W. and some to C. and K., two other officers of B Ltd. On August 13, 1964 the capital of the company was increased by the creation of 25,000 additional ordinary shares and thereafter the ordinary shareholders consisted of E., T., W., C., K., B Ltd and another company.

The company's articles of association incorporated article 76 of Table A in the Schedule to the Companies Act, 1948, but no resolution authorising directors to receive remuneration was ever passed. None of the directors had contracts of service. They drew sums according to their personal needs, and at the end of each financial year the sums so drawn were totalled, grossed up for tax and entered in the accounts as "directors' salaries".

In the year ending April 30, 1964, when E. was in control of the company, E. drew £9,000 but no final accounts were aged. When W. had become a director in April, 1964, E. had agreed with the shareholders to draw a lower rate of remuneration of £60 a week, although no meeting was held or resolution passed, but the period May 1, 1964, to October 23, 1964 when the company went into voluntary liquidation, he drew a sum in excess of that rate.

On summons by the liquidators seeking inter alia, repayment of the sums paid to E. and H. respectively as salaries on the ground that such sums had never been voted in general meeting. The court held that since E. and H. had, at the time when they are only ordinary shareholders, approved the accounts showing the payments to them of £10,151 0s 8d and £5,510 1s 0d, respectively. The liquidators could not recover the payments.

Section 193 makes it unlawful, in connection with the transfer of the whole or any part of the undertaking or property of a company, for any payment to be made to any director of the company by way of compensation for loss of office or on retirement unless particulars are disclosed and approved. If such a payment is not disclosed the director holds it upon trust for the company.

Section 194 deals with the situation where the shares of the company are being transferred. It applies where the transfer results from—

i. an offer made to the general body of shareholders;
ii. an offer made by another company with a view to the company becoming its subsidiary or a subsidiary of its holding company;
iii. an offer made by an individual with a view to his acquiring at least one-third of the voting power at any general meeting of the company; or
iv. any other offer which is conditional on acceptance to a given extent.

If a payment is made to a director as compensation for loss of office or on his retirement in any of the aforesaid circumstances, he must take reasonable steps to ensure that the particulars of the proposed payments are disclosed in the offer. If this is not done, the director holds the payment on trust for the persons who have sold their shares as a result of the offer.

Section 195(3) provides that references under sections 192, 193 and 194 to payments made to any director by way of compensation for loss of office do not include any bona fide payment by way of damages for breach of contract or by way of pension in respect of past services.

DISCLOSURE OF DIRECTOR'S INTEREST IN CONTRACTS

A director who is in any way interested in a contract with the company must declare the nature of his interest at a board meeting. He must disclose his interest at the first board meeting at which the contract was discussed, or if he did not have an interest at that time, at the first board meeting after his interest arose.

If disclosure is not made the director is liable to a fine of unlimited amount. In addition the contract is voidable by the company unless it is too late to rescind.

THE RULE IN TURQUAND'S CASE/INDOOR MANAGEMENT RULE

As per the doctrine of indoor management if a person, who has satisfied himself that a proposed dealing is not in the nature inconsistent with the memorandum and articles of association of the company is not bound to make a further enquiries and is entitled to assume that all the due internal procedures to render the transaction binding on the company have been followed. This Doctrine is also termed as 'Turquand Rule' and was enunciated in the famous and leading case of **Royal British Bank v Turquand** in 1856. It provides a shelter and protection to the outsiders dealing with the company that are, in no way, bound to judge the regularity of the internal procedures of a company. The doctrine of indoor management may be summarized as:"While a person dealing with a company is presumed to have read the public documents and understood their contents and made sure that the transactions are not inconsistent therewith, he is also entitled to assume that the provisions of the articles have been observed by the officers of the company. It is no part of the duty of an outsider to see that company has carried out its indoor internal proceedings (or indoor management)

For an example if someone wants to give loan to the company, he/she has to make the following investigations:

1. **Knowledge of Irregularity**

The first and the most obvious restriction is that the rule has no application where the party affected by an irregularity had actual notice of it. Knowledge of an irregularity may arise from the fact that the person contracting was himself a party to the inside procedure. As **in Devi Ditta Mal v The Standard Bank of India**, where a transfer of shares was approved by two directors, one of whom within the knowledge of the transferor was disqualified by reason of being the transfer himself and the other was never validly appointed, the transfer was held to be ineffective. Similarly in **Howard v. Patent Ivory Manufacturing Co.,** where the directors could not defend the issue of debentures to themselves because they should have known that the extent to which they were lending money to the company required the assent of the general meeting which they had not obtained. Likewise, in **Morris v Kansseen**, a director could not defend an allotment of shares to him as he participated in the meeting, which made the allotment. His appointment as a director also fell through because none of the directors appointed him was validly in office. But after the **Hely-Hutchinson v Brayhead** Ltd according to which the mere fact that a person is a director does not mean that he shall be deemed to have knowledge of the irregularities practiced by other directors. A newly appointed director does not mean that he shall be deemed to have knowledge of the irregularities practiced by the other directors. A newly appointed director entered into contracts of indemnity and guarantee with the company through a director whom the company had knowingly allowed to hold himself out as having the authority to enter into such transaction, although in fact he had no such authority. The company was held liable

2. Suspicion of Irregularity

The protection of the “Turquand Rule” is also not available where the circumstances surrounding the contract are suspicious and therefore invite inquiry. Suspicion could arise, for example, from the fact that an officer is purporting to act in matter, which is apparently outside the scope of his authority. Where, for example, as in the case of **Anand Bihari Lal v. Dinshaw &amp Co**., the plaintiff accepted a transfer of a company’s property from its accountant, the transfer was held void. The plaintiff could not have supposed in absence of a power of attorney, that the accountant had authority to effect transfer of the company’s property.

Similarly, in the case of **Haughton & co v. Nothard, Lowe & Wills Ltd**., where a person holding directorship in two companies agreed to apply the money of one company in payment of the debt to other. The court said that it was something so unusual “that the plaintiff were put upon inquiry to ascertain whether the persons making the contract had any authority in fact to make it.” Any other rule would “place limited companies without any sufficient reasons for so doing, at the mercy of any servant or agent who should purport to contract on their behalf.”

3. Forgery

Forgery may in circumstances exclude the ‘Turquand Rule’. The only clear illustration is found in the **Ruben v Great Fingall Consolidates** case. In this case the plaintiff was the transferee of a share certificate issued under the seal of the defendant’s company. Company’s secretary, who had affixed the seal of the company and forged the signature of the two directors, issued the certificate. The plaintiff contended that whether the signature were genuine or forged was apart of the internal management, and therefore, the company should be stopped from denying genuineness of the document. The court held, that the rule has never been extended to cover such a complete forgery.

4. Representation through Articles

The exception deals with the most controversial and highly confusing aspect of the “Turquand Rule”. Articles of association generally contain what is called ‘power of delegation **’Lakshmi Ratan Lal Cotton Mills v J.K. Jute Mills Co**. explains the meaning and effect of a “delegation clause”.

Here one G was director of the company. The company had managing agents of which also G was a director. Articles authorized directors to borrow money and also empowered them to delegate this power to any or more of them. G borrowed a sum of money from the plaintiffs. The company refused to be bound by the loan on the ground that there was no resolution of the board delegating the powers to borrow to G. Yet the company was held bound by the loans.

Thus the effect of a “delegation clause” is “that a person, who contracts with an individual director of a company, knowing that the board has power to delegate its authority to such an individual, may assume that the power of delegation has been exercised.”

The question of knowledge of Articles came up in the case of **Rama Corporation v Proved Tin and General Investment Co.**, here; one T was the active director of the defendant company. He, purporting to act on behalf of his company, entered into a contract with the plaintiff company under which he took a cheque from the plaintiffs. The company’s article contained a clause providing that “the directors may delegate any of their powers, other than the power to borrow and make calls to committees, consisting of such members of their body as they think fit”. The board had not in fact delegated any of their powers to T and the plaintiffs had not inspected the defendant’s articles and, therefore, did not know of the existence of power to delegate. The court held that the defendant company was not bound by the agreement. An outsider, with knowledge of articles, finds that an officer is openly exercising an authority of that kind. He, therefore, contracts with the officer.

5. Acts outside apparent authority

Lastly, if the act of an officer of a company is one which would ordinarily be beyond the power of such an officer, the plaintiff cannot claim the protection of the “Turquand rule” simply because under the articles power to do the act could have been delegated to him. In such a case the plaintiff cannot sue the company unless the power has, in fact, been delegated to the officer with whom he dealt. A clear illustration is **Anand Behari Lal v Dinshaw**, whereby the plaintiff accepted a transfer of a company’s property from its accountant. Since such a transaction is apparently beyond the scope of an accountant’s authority’ it was void. Not even a ‘delegation clause’ in the articles could have validated it, unless he was, in fact, authorized

The Managing Director

Appointment

In **Ellis v Bailey and Company (East Africa) Limited** it was stated that "without specific authority in the articles directors may not appoint one of their number to the position of managing director or other salaried office ... such an appointment would entail delegation of authority ... not authorized for directors".

This formulation of the law is a derivation from the general maxim of agency law, "delegatus non potest delegare".

In the case of companies which have adopted Table A, Article 107 empowers directors to appoint a managing director "for such period and on such terms as they think fit". In **Craven-Ellis v Cannons Ltd** it was explained that the words "the directors" at the beginning of Article 107 means "the de jure directors". Consequently, a purported appointment by de facto directors would be null and void. A managing director occupies a crucial position in the management of a company and as such it would be improper to allow people who are in fact illegally in office (the de facto directors) to appoint him. This decision is not inconsistent with Sec.2 of the Act which defines "director" as including a de facto director because the section provides that the definition will apply "except where the context otherwise requires".

Powers of Managing Director

Article 109 provides that "the directors may entrust to and confer upon a managing director any of the powers exercisable by them upon such terms and conditions and with such restrictions as they may think fit, and either collaterally with or to the exclusion of their own powers and may from time to time revoke, withdraw, alter or vary all or any of such powers".

The purport of this lengthy provision is not clear. However the phrase "either collaterally with or to the to the exclusion of their own powers" would have startling consequences if they were given their literal interpretation. That seems to be one of the reasons why they no longer appear in the current Table A of the English Companies Act 1989.

Remuneration

Article 108 provides that "a managing director shall receive such remuneration (whether by way of salary, commission or participation in profits, or partly in one way and partly in another) as the directors may determine". It was explained in **Craven-Ellis v Cannons** Ltd that, unless the articles provide otherwise, a managing director would be entitled to remuneration payable on a quantum meruit basis in respect of services rendered to the company, in those cases where the directors had not fixed his remuneration at the time of his appointment. No such payment would however be made if the articles, like Article 108, contain specific provisions pertaining to the payment of remuneration. This is illustrated by **Re Richmond Gate Property Co Ltd** in which the court held that the phrase "as the directors may determine" meant that the managing director would be entitled to no remuneration unless and until the directors actually decided it. A payment on a quantum meruit would be inconsistent with the express provisions of the articles regarding payment of remuneration.

Removal

Article 107 provides that the managing director's "appointment shall be automatically determined if he cease from any cause to be a director". It was explained in **Southern Foundries Ltd v Shirlaw** that if the appointment constituted a service agreement with the company the managing director would be entitled to sue the company for damages if the removal from directorship derogated from the terms of the agreement and constituted a breach of it, such as being removed before the period fixed in the service agreement expired. If on the other hand the appointment does not constitute a service contract the managing director would have no remedy for premature removal, as illustrated in **Read v Astoria Garage Ltd**. The defendant company's articles included article 68 of Table A of the 1929 Act, which provided that the directors might appoint a managing director for such term and at such remuneration as they might think fit; ". but this appointment shall be subject to determination *ipso facto* if he ceases from any cause to be a director, or if the company in general meeting resolve that his tenure of the office of managing director be determined". Read was appointed managing director at a salary of £7 per week by a resolution of the board.

Jenkins L.J stated the following: "there is no record anywhere of any terms on which the plaintiff was appointed managing director beyond the minute of resolution No.4 which was passed at the first meeting of the directors by which the plaintiff was appointed managing director at a salary of £7 per week from 1 February 1932, and the articles of association of the company. The company's articles adopted Table A, with certain modifications. Amongst the articles of Table A adopted was article No. 68. (His Lordship read the article)".

It is argued by Mr. Harold Brown for the plaintiff that, notwithstanding the provisions of article 68, there was a contract between the plaintiff and the defendant company in the nature of a contract of general hiring - a plain contract of employment, one of the terms of which was that the plaintiff's employment should not be determined by the defendant company except by reasonable notice. The judge came to the conclusion that the terms of the plaintiff's appointment were not such as to entitle him to any notice in the event of the company choosing under article 68 to resolve in general meeting that his tenure of office as managing director be determined.

INVESTOR PROTECTION

Investor protection is governed by the Capital Markets Act (Cap 485A). The protection of investors is the duty of the Capital Markets Authority which is a body corporate established under see 5 of the Act with the capacity to hire and fire servants and own property in its corporate name and capacity to sue and sued, among other things.

Objects of Capital Markets Authority

The principle objects of the Capital Markets Authority are:

i) The development of all aspects of the capital markets with particular emphasis on removal of impediment to, and the creation of incentives for long-term investment in productive enterprises;

ii) To facilitate the existence of a nationwide system of stock market and brokerage services so as to enable wider participation of the general public in the stock market.

iii) The creation, maintenance and regulation of a market in which securities can be issued and traded in an orderly, fair and efficient manner through the implementation of a system in which the market participants are self-regulatory to the maximum practicable extent.

iv) Protection of investor interest

v) Operation of a compensation fund to protect investors from financial loss arising from the failure of a broker or dealer to meet his contractual obligation.

vi) The development of a framework to facilitate the use of electronic commerce for the development commerce for the development of capital market in Kenya.

INSIDER DEALING

Insider dealing is broadly understood to mean a situation where a person buys or sells securities of a company when he but not the other party to the transaction is in possession of price-sensitive confidential information which affects the value of those securities

The confidential information in question must have been of that person because of some connection which he has with the company whose securities are to be dealt in.

This person may be a director or secretary or employee of company or professional adviser of the company.

Inside dealing is prohibited under the Capital Markets Act. Under the Act, a person who has information as an insider is guilty of insider dealing if he deals in the securities that are price-affected in relation to this information where the acquisition or disposal of the securities takes place in regulated market such as the stock exchange. He is also guilty relies on professional intermediary of his own, acting as such.

Such person also commits an offence if he encourages another person to deal in those securities or discloses information otherwise then in the proper performance of his duties, function, employment, office or profession.

The rationale behind the prohibition was the obvious and understandable concern about the damage to public confidence which insider dealing is likely to cause. The clear intention isto prevent as much as possible, what amount to cheating when those with inside knowledge use that knowledge to make a profit or avoid loss in their dealing with others.

The Act renders individuals who have information as insiders guilty of the offence of insider dealing in three different circumstances:

i) Actual dealing.
ii) Encouraging another person to deal.
iii) Discussing inside information to another person.

Meaning of Security

Insider dealing relates to company or government securities. Securities mean;

a) Debentures bonds issued or proposed to be issued by the government.
b) Debentures, shares, bonds commercial paper or notes issued or proposed to be issued by a body corporate.
c) Any right, warrant or option in respect of any debentures, shares, bonds or notes in respect of commodities.
d) Any unit, interest or share offered under a collective investment scheme.
e) Any instrument commonly known as securities but does not include;
    i) Bill of exchange
    ii) Promissory notes
    iii) Certificates of deposits issued by a bank or financial institution, license under the Banking Act.

Meaning of Stock Market

Stock market means a market or other place at which or facility by means of which

a) offer to sell or purchase or exchange securities are regularly made
b) offers or invitations that are intended to or may reasonably be expected to result whether directly or indirectly in the making of acceptance of offers to sell, purchase or exchange securities.
c) Information regularly provided concerning the prices at which or the consideration for which particular persons or particular classes of persons propose or may be expected to sell purchase or exchange securities.

Meaning of Inside Information

The possession of inside information is an essential requirement of liability for insider dealing. Under the Act no person shall:

i) either on his own behalf or on behalf of any other person deals in securities of a company listed in any stock exchange on the basis of any unpublished price-sensitive information
ii) Communicate any unpublished price sensitive information to any person with or without his request for such information except as required in the ordinary course of business or under any law.
iii) Counselor procure any other person to deal in securities of any company on the basis of unpublished price sensitive information.

The definition of inside information is invariably complex and breaks down into four cumulative components:

a) Inside information means information which relates either to particular securities or to a particular issuer of securities. For example, information that a takeover bid of a company was imminent or that the profits of the company are out of line with expectation.
b) Insider information must be specific and precise
c) Information must not have been made public
d) If the information were made public it must be likely to materiality affect the price of any security.

Meaning of Insider

The following are some of the meaning of an insider:

a) Where the person is a body corporate, insider means:
    i) A director;
    ii) Secretary of the body corporate
    iii) Body corporate related to any other person.
b) A person with whom the other person has or proposes to enter into an understanding.
c) A person with whom the other person is acting or proposes to act in relation to the matter to which the reference relates.
d) A person with whom the other person is by virtue of any law is to be regarded as associated in respect of the matter to which the reference relates.
e) A person with whom the other person is or proposes to became associated whether formally or informally.

Thus, from the above, there are two categories of insiders:

i) Primary insider - a person who has access to information by virtue of some connection or status with the company.

ii) A secondary insider- the person who has the information from a primary insider.

Penalties for Insider Dealing

The person who contravenes the Act or is guilty of insider dealing shall be guilty of an offence and shall be liable to:

a) On first conviction, to a fine not exceeding Shs.2.5m in the case of a director or officer of the body corporate or imprisonment to a term not exceeding five years or both.

b) On second conviction, to a fine not exceeding Shs.5 million or imprisonment to a term not exceeding 7 years or both.

c) In case of a body corporate, to a fine not exceeding Shs. 5million and on subsequent conviction to a fine not exceeding shs.l0million.

d) In addition to these penalties any person guilty of an offence shall be liable to pay compensation to any person who in a transaction for the purchase or sale of securities entered into with the other person for the difference between the price at which the securities are transacted and the price at which they would likely have occurred if the offence had not been committed.

   In the event of harm being done to the market the liability shall be the amount of the illegal gains received or the loss averted as result of the illegal action.

Defences

A person who would otherwise be guilty of insider dealing may avoid liability by proving the following:

1. The defendant may show that he did not expect the dealing to result in profit attributable to the fact that the information was price sensitive in relation to the securities.
2. The defendant may show that he believed on reasonable grounds that the information had been disclosed widely enough to ensure that others dealing would not be prejudiced by not having the information.
3. The defendant may show that he would have dealt or encouraged others to deal as the case may, be even if he had not had the information.
4. The defendant discloses information in circumstances where he didn't expect any person to deal by virtue of that information. For example, where he makes a disclosure to a journalist expecting him thereby to use the information for a story no matter how naive the expectation, he will not be guilty.
5. The defendant has a defence if he can show that he has acted in conformity with price stabilization exercise made by capital market authority.
6. He can show that the information could be obtained by participants in the market in the course of participation and that he acted in good faith.

7. The person especially director, may avoid liability if he acts in the context of facilitating dealing which was already underway e.g. in case of take over bid, the director of the predator company having inside information that their company was about to take over another may himself buy shares in the targeted company or encourage others to do so in order to facilitate the takeover.

Investor Compensation Fund

The investor compensation fund is established under Sec 18 of the Act pursuant to its objects. The investor who suffers pecuniary loss resulting from failure of a licensed stock broker or dealer to meet his contractual obligations may claim to be paid or compensated from this fund.

The investor compensated fund consists of:

a) Such monies as is required to be paid into the compensation fund by licensed persons
b) Such sum of money as paid under the Act as ill-gotten gains where those harmed are not specially identifiable.
c) Such sums of money as accrued from interest and profit from investing the compensation fund's money.
d) Such sum of money recovered on behalf of the Authority from entities whose failure to meet their obligation to investors' results payment from the compensation fund.
e) Interest deemed to accrue on the proceeds of a public issue or offer for sale of shares of a company listed or to be listed on an approved securities exchange between the closing date of dispatch of shares certificate or refund cheques to be determined at the rate prescribed by authority.

TOPIC 9

THE COMPANY SECRETARY

Introduction

A company secretary is a senior position in a company. It is normally in the form of a managerial position or above. In large publicly listed corporations, a company secretary is typically named a corporate secretary or secretary.

The company secretary is responsible for the efficient administration of a company, particularly with regard to ensuring compliance with statutory and regulatory requirements and for ensuring that decisions of the board of directors are implemented.

Despite the name, the role is not a clerical or secretarial one in the usual sense. The company secretary ensures that that company complies with relevant legislation and regulation, and keeps board members informed of their legal responsibilities. Company secretaries are the company's named representative on legal documents, and it is their responsibility to ensure that the company and its directors operate within the law. It is also their responsibility to register and communicate with shareholders, to ensure that dividends are paid and to maintain company records, such as lists of directors and shareholders, and annual accounts.

QUALIFICATION, APPOINTMENT AND REMOVAL

QUALIFICATIONS

Section179 stipulates minimum qualifications for secretaries of public companies. The directors must take all reasonable steps to ensure that the secretary is a person who appears to them to have the requisite knowledge and experience and who:

a) Already holds office as secretary, assistant secretary or deputy secretary of the company; or for at least three out of the five years immediately preceding his appointment held office as secretary of a public company; or
b) Is a barrister, advocate or solicitor; or
c) Is a member of any of the following bodies :
    i) The Institute of Chartered Accountants;
    ii) The Association of Certified Accountants;
    iii) The Institute of Chartered Secretaries and Administrators;
    iv) The Institute of Cost and Management Accountants;
    v) The Chartered Institute of Public Finance and Accountancy; or

d) Is a person who, by virtue of having held any other position or being a member of any other body, appears to the directors to be capable of discharging the functions of secretary.

APPOINTMENT

According to Section 178 of the Companies Act every company must have a secretary. However, a sole director cannot also be the secretary (Sec. 179).

Powers

The powers and duties of the secretary depend on the size and nature of the company and the personal contractual arrangements that it makes with him. However, a company secretary usually has the following powers and duties:

(a) To be present at all meetings, including board meetings, and take the minutes of such proceedings.
(b) On the instructions of the board, to issue notices of meetings to members and others.
(c) To countersign instruments to which the company seal has been affixed (see Article 113 of Table A).
(d) To conduct and record transfer of shares.
(e) To keep the books of the company, particularly those relating to the internal administration of the company, e.g. the share register, and register of charges.
(f) To make all the returns of the company, eg. the annual returns, notice of special resolutions, etc.

Section 180 provides that a provision requiring or authorizing a thing to be done by or to a director and the secretary is not satisfied by it being done by or to the same person acting as secretary and director.

Position in Relation to the Company

In 1882 Lord Esher in Barnett, **Hoares & Co v South London Tramsways Co** stated that:

"A secretary is a mere servant; his position is that he is to do what he is told, and no person can assume that statements made by him are necessarily to be accepted as trustworthy without further inquiry."

Thus it was held in various cases that the secretary had no independent authority to bind the company by contract. However, in 1971 in **Panorama Developments Ltd v Fidelis Furnishing Fabrics Ltd** case the Court of Appeal stated that in modern times the secretary is no longer a mere clerk; he is a chief administrative officer of the company and thus can make representations on behalf of the company and enter into contracts on its behalf as long as they concern the administrative side of the business such as contracts for the employment of staff, the acquisition of office equipment or the hiring of transport for visiting the company's factory, as the secretary had done in that case.

However, apart from such exceptions, the secretary still has no power and so he acts outside his authority. If, for example, he borrows money in the company's behalf, or negotiates contracts other than those necessary for administrative purposes, or calls a general meeting on his own authority; of course the articles empower the directors to delegate any of their powers to any agent they choose, they may delegate to the secretary and this is not uncommon, especially when the secretary is also a director

REMOVAL

It is usual for the secretary to be appointed by the directors on such terms as they think fit. The directors may also remove the secretary.

POWERS AND DUTIES OF A COMPANY SECRETARY

The secretary's duties include:

a) Ensuring that the company's documentation is in order, that the requisite returns are made to the companies registry, and that the company's registers are maintained;
b) Taking minutes of meetings;
c) Sending notices to members; and
d) Countersigning documents to which the company seal is affixed.

LIABILITY OF SECRETARY

Given the fact that a company secretary is an officer of a company just like the directors, he or she has fiduciary duties to perform for the company. He or she is required to act honestly and in good faith.

A company secretary is personally liable to criminal charges is he or she commits wrongful acts, and can also be penalized with a fine. A wrongful act may be as simple as failure to lodge the annual return

In the event of a liquidation, the secretary as an officer of the company will be liable under Section 323 if he has been guilty of a misfeasance. The secretary will also be liable to specific criminal penalties if he details or omits a wrongful act in respect of his statutory duties. For example, he can be made to pay a default fine if he fails to sign the annual return and accompanying documents and as the officer most clearly in default will be liable in the event of failure to keep and make available registers such as the registers of directors and secretaries.

Indemnity

Section 206 applies to the secretary and thus a provision in the Articles or any contract exempting him from liability is void. However, again the court can relieve him from liability in certain cases.

REGISTER OF DIRECTORS AND SECRETARIES (Sec.201)

Every company must keep at its registered office a register of its directors and secretaries.

The register contains the following particulars with respect to each director:-

(a) in the case of an individual, his christian name and surname, his postal address, his nationality and, if that nationality is not his nationality of origin, his nationality of origin, his business occupation, if any, particulars of all other directorships held by him and his date of birth; and

(b) in the case of a corporation, its corporate name and registered or principal office and postal address:

(c) The register shall contain the following particulars with respect to the secretary or, where there are joint secretaries, with respect to each of them:–

(d) in the case of an individual, his present christian name and surname, and his postal address; and

(e) in the case of a corporation, its corporate name and registered or principal office and postal address:

Provided that where all the partners in a firm are joint secretaries, the name and postal address of the principal office of the firm may be stated instead of the said particulars.

The company shall, within the period mentioned below, deliver to the registrar for registration a return in the prescribed form containing the particulars specified in the register and a notification in the prescribed form of any change among its directors or in its secretary or in any of the particulars contained in the register, specifying the date of the change.

The periods referred to above include:

(a) the periods within which the return is to be sent shall be a period of fourteen days from the appointment of the first directors of the company; and

(b) the period within which the notification of a change is to be sent shall be fourteen days from the happening :

Provided that, in the case of a return containing particulars with respect to any person who is the company's secretary on the appointed day the period shall be fourteen days from the appointed day.

The register to be kept shall during business hours (subject to such reasonable restrictions as the company may be) open to the inspection of any member of the company without charge or any other person on payment of two shillings, or such less sum as the company may prescribe, for each inspection.

If any inspection required is refused or if default is made in complying with the rules discussed above concerning register of directors and secretaries, the company and every officer of the company who is in default shall be liable to a default fine.

In the case of any refusal, the court may by order compel an immediate inspection of the register

TOPIC 10

AUDITORS

Introduction

The Act does not define an auditor despite his essential role in the company. However, he is an officer of the company for the purpose of a misfeasance under the Act. An auditor is an officer in carrying out these duties as an auditor but is not liable as an officer if he is only appointed ad hoc for a limited-purpose. On the other hand he is an agent of the members or the company in certain respect. An auditor is specifically mentioned as an agent for the purpose of the Actis however not an agent for the company and his signature in the statutory report and on the balance sheet will not amount to an acknowledgement on behalf of the company.

Just as it is important for readers of financial statements to have a guarantee that they have been properly prepared under an accepted set of conventions, it is also necessary for them to be able to rely on the word of those persons who certify them as having been so produced. This means that auditors should be recognized as fit and proper persons to carry out the duties of their office,

If reliance is to be placed on accounts, it is essential that they should be true and fair and that is more likely to be the case if someone independent of the company has vetted them and certified that they are. lf however, that certification is to be relied on, the scrutineer must be competent as well as independent. The Companies Act has attempted to ensure that company auditor are both. The provisions of the Companies Act are meant to ensure that only persons who are properly supervised and appropriately qualified are appointed company auditors, and that audits by persons so appointed are carried out properly and with integrity and with proper degree of independence.

QUALIFICATION, APPOINTMENT AND REMOVAL

QUALIFICATIONS OF AUDITORS

A person is eligible for appointment as an auditor of company only if he is a member of the Institute of Certified Public Accountants of Kenya and is eligible to be appointed under the rules of that body. It would appear that a firm of partners may be appointed as auditors unless a contrary intention appears. An appointment of the partnership as such is not appointment of individual partners and when the composition of partnership changes, the appointment extends to the successor partnership as long as its composition is substantially the same practice.

Where no one succeeds under the foregoing, the appointment may, with the consent of the company, be extended to a partnership or other person eligible for the appointment which succeeds to the business of the former partnership (or to such part of the business as is agreed by the company to include the appointment).

Disqualifications for Appointment of Auditors

Under Section 161(2) the following persons are disqualified from being appointed as auditors of a company,

a) an officer or servant of the company
b) a person who is a partner of or in the employment of an officer or servant of the company
c) a body corporate
d) If he is disqualified for appointment as auditor of any other body corporate which is the company's subsidiary, holding company or a subsidiary of that company's holding company, or would be so disqualified if the body corporate were a company.

An officer of the company for this purpose includes director, manager or secretary.

An auditor who discovers that he has become disqualified for appointment as auditor shall cease to act as auditor, and shall give notice to the company that he has vacated his office because of disqualification otherwise he shall together with every officer of the company in default be liable to a fine not exceeding sh.4900

Appointment of Auditors

Every company shall at each annual general meeting, appoint an auditor or auditors to hold office from the conclusion of that, until the conclusion of the next, annual general meeting.

Automatic Appointment

There is a provision for automatic reappointment, without a resolution, of an existing auditor who is willing to continue in the office. Under this provision, the retiring auditor shall be deemed to be reappointed without any resolution being passed unless;

a) he is not qualified for reappointment, or
b) a resolution has to be passed at that meeting appointing somebody instead of him or providing expressly that he shall not be reappointed
c) he has given the company notice in writing of his unwillingness to be reappointed,

However, where notice is given of an intended resolution to appoint some person or persons in place of retiring auditor, and by reason of the death or incapacity disqualification of that person or of all those persons, as the case may be, the resolution cannot be proceeded with, the retiring auditor shall not be deemed to be automatically re- appointed.

Where at an annual general meeting no auditors are appointed or are deemed to be appointed, the registrar may appoint a person to fill the vacancy. In such a case thecompany shall within 7 days give therefore and if the registrar notice thereof and if the company fails to give notice as required the company and every officer of the company who is in default shall be liable to a default fine.

Appointment of first auditors

The first auditors of a company are usually appointed by the board of directors time before the first annual general meeting. The auditors so appointed hold office until the conclusion of the first annual general meeting. The new auditor, to be appointed in the place of the auditor who has been removed, must have been nominated for appointment by any member of the company. The notice of such a nomination must have been given to the members of the company at least 14 days before the date of the meeting.

If the board fails to exercise its power to appoint first auditors, such power shall cease upon the company in a general meeting, appointing the first auditors.

Subsequent appointment

At the expiry of the term of an auditor the company may, on the annual general meeting, appoint another person in his place (ref. above).

Filling casual vacancies

The board may fill any casual vacancy in the office of an auditor, but while any such vacancy continues, the surviving or continuing auditor or auditors, if any, may act. However, where such vacancy is caused by the resignation of an auditor, the vacancy can only be filled by the-company in a general meeting, Any auditor appointed in a vacancy holds office until the conclusion of the next annual general meeting.

Removal and Resignation of Auditors

A company may by ordinary resolution at any time remove an auditor from office notwithstanding anything in any agreement between the company and the auditor. Unlike the removal of directors; auditors are specially protected to ensure that auditors are not only protected but also companies are protected from being deprived of an auditor whose fault in the eyes of directors may be that he is not loyal to the whims of the directors. For that reason, a special notice shall be required for a company's annual general meeting appointing as auditor a person other than a retiring auditor or providing expressly that a retiring auditor shall not be reappointed.

On receipt of the notice, the company is required to send a copy thereof to the retiring auditor. The auditor is entitled to make written representations to the company within a reasonable time and may require the notification of the same to the members unless the representations are

received late for the company do to so. Any notice of the resolution to remove an auditor is given to members of the company shall state the fact of the representations having been made.
If a copy of the representations is not sent as aforesaid because it was received too late or because of the company's default, the auditor may require that the representations be read out at the meeting.
However, copies of the representations need not be set out and the representations need not be read out at the meeting if, on the application either of the company or of any other person who claims to be aggrieved, the court is satisfied that the rights conferred are being abused to secure needless publicity for defamatory matter. In such a case, the court may order that the company's costs on this application be paid in whole or in part by the auditor notwithstanding that he is not a party to the application.

A company cannot remove an auditor against his will without facing a serious risk of a row at the general meeting (and in the case of a listed company, adverse publicity) and probably payment of compensation.

REMUNERATION OF AUDITORS

The term 'remuneration' includes sums paid by the company as auditors' expenses. According to section 159 subsection 7

i) in the case of an auditor appointed by the directors or by the registrar his remuneration is fixed by the directors or by the registrar respectively
ii) in case of an auditor appointed during an annual general meeting, his remuneration shall be fixed by the company in general meeting or in such manner as the company in general meeting may determine.

POWERS AND DUTIES OF AUDITORS

The rights and duties are inter-related. The several rights conferred upon an auditor relate to the matters in respect of which he has to make a report to the members on the annual accounts of the company.

Duties of an Auditor

The following are some of the duties of an auditor

1. **Acquaintance with the Articles and the Companies Act**.
   The auditor of a company is under a duty to make himself acquainted with his duties under the articles of the company and under the Companies Act.

2. Report to members.

The main duty of an auditor is to make a report to the members of the company on the accounts examined by him and on the balance sheet and the profit and loss account of the company and on every document which is annexed to the balance sheet or profit and loss account. If, in his opinion and to the best of his information and according to the- explanations given to him, the accounts do not give a true and fair view, he must qualify his report.

In **London & Genera1Bank,**, Lindley L.J. observed in this regard as follows:

"A person whose duty it is to convey information to others does not discharge that duty by simply giving them so much information as is calculated to induce them, or some of them, to as for more…an auditors who gives shareholders means of information, instead of information, in respect of a company's financial position does so at his peril, and runs the very serious risk of being held judicially to have failed to discharge his duty."

The duties of auditors have been exhaustively reviewed by the Court of Appeal in **City Equitable Fire Insurance Co.,** (1925) case the following propositions were laid down in this case:

a) The measure of an auditor's responsibility depends upon the terms of his engagement, either by a special contract, or as contained in the articles.
b) The duty imposed on the auditor by the Act is not defined as regards its nature or extent, but it depends on the information and explanations furnished to him.
c) The auditor should not be content with a certificate that securities of the company are with a particular person or firm unless such person or firm is trustworthy and is one which in the ordinary course of business keeps securities for his customers. The auditor must also see that the securities of the company exist by making a personal inspection of them. If they are in safe custody of a banker in the ordinary course of business he may rely upon the certificate of the banker.

In **London & General Bank Case**, Lindley, L.J. observed:

"An auditor is not bound to do more than exercise reasonable care and skill in making inquiries and investigations ... He must be honest, he must not certify what he does not believe to be true, and must take reasonable care before he believes that what he certifies is true, Where there is nothing to excite suspicion, very little inquiry will be reasonably sufficient. ..
..Wheresuspicion is aroused, more care is obviously necessary, but still an auditor is not bound to exercise more than reasonable care and skill, even in a case of suspicion, and he is perfectly justified in acting on the opinion of an expert where special knowledge is required,"

In **Kingston Cotton Mills Co.** it was observed:

"An auditor is not bound to be a detective or to approach his work with suspicion or with a foregone conclusion that there is something wrong, he is a watch-dog but not a bloodhound.

He is justified in believing tried servants of the company in whom confidence is placed by the company. He is entitled to assume that they are honest and to rely upon their representations, provided he takes reasonable care. If there is anything calculated to excite suspicion, he should probe it to the bottom, but in the absence of anything of that kind he is only bound to be reasonably cautious and careful.

Further duties

In addition to the duties of an auditor discussed above, he has also to perform the following duties:

3. Statutory report

After the statutory report has been certified as correct by not less than 2 directors of a company, the auditor of the company must certify the report as correct, so far as it relates to

(a) the shares allotted by the company,
(b) the cash received in respect of shares, and
(c) the receipts and payments of the company.

The provision does not apply to private companies as they are not required to hold a statutory meeting.

4. Prospectus.

The law requires a report by the auditor of the company with respect to profits and losses, assets and liabilities and the rates of dividends, if any, paid to the company, to be included in a prospectus. The auditor has to certify these as correct. This point was discussed in detail in the topic of 'prospectus'.

5. Assistance In investigation.

According to Sec.165 it is the duty of all the officers and other employees and agents, the expression 'agent' includes 'auditors' of a company-

a) to preserve and to produce to an inspector (appointed under Sec. 165 to investigate the affairs of the company) or any person authorized by him in this behalf with the previous approval of the registrar all book and papers of, or relating to, the company, which are in their custody and power; and
b) otherwise to give to the inspector all assistance in connection with the investigation which they are reasonably able to give.

6. In case of investigation of the company the auditor is required-

i) to produce to an inspector all books and papers
ii) to give to the said inspector all assistance required for such investigation.

7. Duty of care and skill

In relation to the duty of care and skills, the company should;

i) Ensure that only 'fit and proper' persons are appointed as company auditors. In determining whether someone is fit and proper the professional conduct of that person has to be taken into account.
ii) Ensure that audits are carried out with 'professional integrity'. One component of this will be compliance with technical standards; the other will cover independence, objectivity ant confidentiality.

The following guidelines that are laid down by judicial decisions are still law will still play a key role part in determining the required standard care and skill:

Auditors must ascertain that the books show the true financial position. To do this, auditors must do more than merely verify the numerical accuracy, of the accounts. If entries in or omissions from the books make the auditors suspicious they must make a full investigation into the circumstances. For example:

In **Re Thomas Gerrard**(1968) case, the managing director falsified the accounts by including non existent stock and altering invoices. This caused the company's profits to be overstated.

Dividends were declared that would not otherwise have been declared and too much tax was paid. The auditors became suspicious when they noticed that invoices had been altered, but they accepted the managing director's explanation and made no further investigation. The auditors were held liable to the company for the cost of recovering the excess tax paid and for dividends and tax not recovered.

Auditors must check the cash in hand and the bank balance.

iii) Where payments have been made by the company, the auditors should see that they are authorised.
iv) Auditors should check that company borrowing has been authorised and is in accordance with the articles.
Auditors should satisfy themselves that the securities of the company exist and are in safe custody, either by making a personal inspection of the securities or checking that the securities are in the possession of a person who in the ordinary course of business keeps securities for customers, for example a bank.
v. Auditors are not required to value stock or work in progress. They may accept the valuation of a responsible official of the company, unless they have reason to suppose it to be inaccurate. In practice auditors exceed this legal duty with regard to stock-taking.
vi. Auditors do not have a duty to comment on whether the management is running the business efficiently or profitably.
vii. If the directors do not allow auditors the time to conduct their investigations, the auditors must either refuse to make a report or make a qualified report. They must not make a report containing a statement the truth of which they have not had an opportunity to verify.

Powers of Auditors

The following are some of the powers of an auditor

i) The auditors have a right of access to the books, accounts and vouchers of the company.

ii) The auditors may require from the officers of the company such information and explanation they think necessary for the performance of their duties. If they fail to obtain such information they must say so in their report.

iii) The auditors may attend any general meetings, they must be sent all notices communications relating to general meetings, and they may speak at a meeting on any matter which concerns them as auditors.

RIGHTS AND LIABILITIES OF AUDITORS

Rights of Auditors

Some of the rights of auditors include:

1. **Right to access to books, accounts and vouchers**
   The auditor of a company has a right to access, at all times, to the book and accounts and vouchers of the company, whether kept at the head office of the company or elsewhere.
2. **Right to obtain information and explanation**
   He is entitled to require from the officers of the company such information and explanations as he thinks necessary for the performance of his duties as auditor.
3. **Right to visit branch offices and right to books, etc.**
   Where the accounts of any branch office are audited by a person other than the company's auditor, the company's auditor-
   a) is entitled to visit the branch office, if he deems it necessary to do so, for the performance of his duties as auditor; and
   b) has a right of access at all times to the book and accounts and vouchers of the company maintained at branch office.
4. **Right to receive notice of, and any other communications relating to, any general meeting of tile company**
   He has also a right to attend any general meeting and to be heard on any part of the business which concerns him as auditor.
5. **Right to receive remuneration**
   He has the right to receive remuneration for auditing the accounts of the company.
6. **Right to make representations**
   Where at a general meeting it is proposed to remove an auditor, he is entitled to make written representation and demand that the same be circulated to members, or be heard at the meeting thereof.
7. **Action for damages**

Where the termination of an auditor's service is unlawful or unprocedural, he is entitled to sue for damages for compensation for loss of office.

Liabilities of Auditors

The auditor has a contractual relationship with the company and it is therefore the company to the basic duty is owed. Even so auditors must, on occasions, disclose facts which may harm the company.

Since the decision in **Hedley Byrne V Heller**(1964) it has been clear that a person may be liable for financial loss resulting from a negligent statement even if there is no contract between the maker of the statement and the recipient (although a disclaimer of responsibility will exclude the defendant's liability).

As far as auditors are concerned, recipients of statements are likely to fall into two categories, existing shareholders (members) and potential shareholders (investors). The situation of both members and investors was recently considered by the House of Lords in the leading case of **Caparo Industries v Dickman** (1990) where the plaintiff company sued two directors of Fidelity Public Limited Company and the accountant Touche Ross &Co , the auditors Fidelity. The plaintiff had taken over Fidelity and allegedly that the profits were much lower than shown in the audited accounts consequently they had suffered financial loss. The House of Lord stated that whether a duty of care is owed to persons who rely on accounts to deal with the company or buy and sell its shares.

The house stated that the criteria for imposition of duty were

a) Foreseeability of damage
b) Proximity of the relationship
c) The reasonableness or otherwise imposing duty

To establish proximity all of the following factors will typically need to be present:

i. The advice was required for a purpose made know to the adviser when the advice was given
ii. The adviser knew his advice would be communicated to the recipient in order that it should be used for this purpose.
iii. It was known that the advice was likely to be acted upon without independent inquiry
iv. It was acted on the recipient’s detriment

The house was prepared to acknowledge that liability for negligent audit can exist, but the above factors were not present in Caparo case. The plaintiff case therefore failed

TOPIC 11

COMPANY ACCOUNTS, AUDIT AND INSPECTION

Introduction

The term audit is derived from the Latin term ‘audire,’ which means to hear. In early days an auditor used to listen to the accounts read over by an accountant in order to check them Auditing is as old as accounting. It was in use in all ancient countries such as Mesopotamia, Greece, Egypt. Rome, U.K. and India.

The original objective of auditing was to detect and prevent errors and frauds. Auditing evolved and grew rapidly after the industrial revolution in the 18th century. With the growth of the joint stock companies the ownership and management became separate. The shareholders who were the owners needed a report from an independent expert on the accounts of the company managed by the board of directors who were the employees.

The objective of auditing shifted and an audit was expected to ascertain whether the accounts were true and fair rather than detection of errors and frauds.

With the increase in the size of the companies and the volume of transactions the main objective of audit shifted to ascertaining whether the accounts were true and fair rather than true and correct. Hence the emphasis was not on arithmetical accuracy but on a fair representation of the financial efforts. The Kenya Companies Act also prescribed the qualification of auditors

The International Accounting Standards Committee has developed standard accounting and auditing practices to guide the accountants and auditors in the day to day work.

The later developments in auditing pertain to the use of computers in accounting and auditing.
It can therefore be can be said that auditing has come a long way from hearing of accounts to taking the help of computers to examine computerised accounts

BOOKS OF ACCOUNT

Every company must keep proper books of account in the English language with respect to–

(a) all sums of money received and expended by the company and the matters in respect of which the receipt and expenditure takes place;
(b) all sales and purchases of goods by the company;
(c) the assets and liabilities of the company:

The books of account shall be kept at the registered office of the company or at such other place or places in Kenya as the board deems fit and shall always be open to the inspection of the directors.

The board may, from time to time, determine whether and to what extent and at what times and places and under what conditions or regulations the accounts and books of the company or any of them shall be open to the inspection of members not being directors and no member, not being a director, shall have any right of inspecting any account or book or document of the company except as conferred by statute or authorised by the directors or by the company in general meeting.

FORMS AND CONTENTS OF ACCOUNTS

The Companies Act in Sec. 149 provides the following rules on the forms and contents of accounts:

(1) Every balance sheet of a company must give a true and fair view of the state of affairs of the company as at the end of its financial year. The profit and loss account of a company must give a true and fair view of the profit or loss of the company for the financial year.
(2) A company's balance sheet and profit and loss account must comply with the requirements of the Sixth Schedule
(3) The registrar may, on the application or with the consent of a company's directors, modify in relation to that company any of the requirements of the Act as to the matters to be stated in a company's balance sheet or profit and loss account.
(4) The points discussed in (1) and (2) shall not apply to a company's profit and loss account if–
    (a) The company has subsidiaries; and
    (b) The profit and loss account is framed as a consolidated profit and loss account dealing with all or any of the company's subsidiaries as well as the company and-
        i) Complies with the requirements of the Act relating to consolidated profit and loss accounts; and
        ii) Shows how much the consolidated profit or loss for the financial year is dealt with in the accounts of the company.

If any person who is a director of a company fails to take all reasonable steps to secure compliance as respects any accounts laid before the company in general meetingor the provisions of the Act, he/she shall, in respect of each offence, be liable toimprisonment for a term not exceeding twelve months or to a fine not exceeding ten thousand shillings.

It's important to note the following 2 main points;

(a) Any reference to a balance sheet or profit and loss account must include any notes or document that give information which is required by the Act.

(b) Any reference to a profit and loss account shall be taken(in the case of a company not trading for profit) to refer to its income and expenditure account.

GROUP ACCOUNT

According to Section 150 of the Companies Act, a group account is a financial statement that is prepared at the end of every financial year by a company that has subsidiaries. Itmentioned the state of affairs and profit or loss of the company and the subsidiaries must be laid before the company in general meeting when the company's own balance sheet and profit and loss account are so laid.

Group accounts shall not be required where the company is at the end of its financial year the wholly owned subsidiary of another body corporate incorporated in Kenya. Group accounts do not deal with a subsidiary of the company if the company's directors are of opinion that–

i) it is impracticable, or would be of no real value to members of the company, in view of the insignificant amounts involved, or would involve expense or delay out of proportion to the value to members of the company; or

ii) the result would be misleading, or harmful to the business of the company or any of its subsidiaries; or

iii) the business of the holding company and that of the subsidiary are so different that they cannot reasonably be treated as a single undertaking.

If the directors are of such an opinion about each of the company's subsidiaries, group accounts shall not be required: Provided that the approval of the registrar shall be required for not dealing in group accounts with a subsidiary on the ground that the result would be harmful or on the ground of the difference between the business of the holding company and that of the subsidiary.

If any person being a director of a company fails to take all reasonable steps to secure compliance as respects the company with the provisions on group accounts, he shall, in respect of each offence, be liable to imprisonment for a term not exceeding twelve months or to a fine not exceeding ten thousand shillings or to both:

However the person shall not be held liable if he can prove that– (Sec 150(3))

i. He had reasonable ground to believe that a competent and reliable person was charged with the duty of seeing that the requirements in relation to group accountswere complied with and was in a position to discharge that duty.
ii. The offence was committed willfully.

Form of Group accounts (Sec. 151)

The group accounts laid before a holding company shall be consolidated accounts comprising -

i. a consolidated balance sheet dealing with the state of affairs of the company and all the subsidiaries to be dealt with in group accounts;
ii. a consolidated profit and loss account dealing with the profit or loss of the company and those subsidiaries.

If the company's directors are of opinion that it is better for the purpose–

(a) of presenting the same or equivalent information about the state of affairs and profit and loss of the company and those subsidiaries; and
(b) of so presenting it that it may be readily appreciated by the company's members,

the group accounts may be prepared in a form other than that stated in (i) and (ii) above. In particular, it may consist of more than one set of consolidated accounts dealing respectively with the company and one group of subsidiaries and with other groups of subsidiaries or of separate accounts dealing with each of the subsidiaries, or statements expanding the information about the subsidiaries in the company's own accounts, or any combination of those forms.

The group accounts may be wholly or partly incorporated in the company's own balance sheet and profit and loss account.

Content of Group Accounts(Sec. 152)

The group accounts laid before a company shall give a true and fair view of the state of affairs and profit or loss of the company and the subsidiaries dealt with thereby as a whole, so far as concerns members of the company.

Where the financial year of a subsidiary does not coincide with that of the holding company, the group accounts shall, unless the registrar on the application or with the consent of the holding company's directors otherwise directs, deal with the subsidiary's state of affairs as at the end of its financial year ending with or last before that of the holding company, and with the subsidiary's profit or loss for that financial year.

DIRECTORS' REPORT

In Sec. 157 there should be attached to every balance sheet laid before a company in general meeting a report by the directors with respect to

i) The state of the company's affairs,
ii) The amount, if any, which they recommend should be paid by way of dividend,
iii) The amount, if any, which they propose to carry to reserves within the meaning of the Sixth Schedule.

The report shall deal, so far as is material for the appreciation of the state of the company's affairs by its members and will not in the directors' opinion be harmful to the business of the company or of any of its subsidiaries, with any change during the financial year in the nature of the company's business, or in the company's subsidiaries, or in the classes of business in which the company has an interest, whether as member of another company or otherwise.

If any person being a director of a company fails to take all reasonable steps to comply with these provisions, he shall, in respect of each offence, be liable to imprisonment for a term not exceeding twelve months or to a fine not exceeding ten thousand shillings.

AUDITOR'S REPORT

An auditor is required to make e a report to the members of the company on the accounts examined by him and on every balance sheet and profit and loss account and every document annexed to the balance sheet or profit and loss account laid before the company in the annual general meeting during his tenure of office.

The report must state whether in his opinion and to the best of his information and according to the explanations given to him, the accounts give the information required by the Act and give a true and fair view of the state of the company's affairs and of the profit or loss.

The obligation to make an inquiry, imposes an obligation on the auditor to inquire in particular ~

a) whether loans and advances made by the company on the basis of security, have been properly secured and whether the terms on which they have been made are not prejudicial to the interests of the company or its members;
b) whether transactions of the company which are represented merely by book entries are not prejudicial to the interests of the company;

c) where the company is not an investment company or a banking company whether as much of the assets of the company e.g. shares, debentures and other securities have been sold at a price less than the purchase price of the company;
d) whether loans and advances made by the company have been shown as deposits; whether personal expenses have been charged to revenue account;
e) when: any shares have been allotted for cash, whether cash has been received,
f) whether the position shown in the books and balance sheet is correct, regular and not misleading.

Matters to be stated in an Auditor's Report

The auditor's report must state-

i. whether he has obtained all information and explanation which to the best of his knowledge and belief necessary purposes of his audit
ii. Whether proper books of account as required by law have been kept by the company and proper returns adequate for the purposes of his audit have been received from branches not visited by him;
iii. Whether he has proper books of account of any branch office audited by some person other than auditor bas been forwarded to him and how he has dealt with it in preparing his report;
iv. Whether the balance and profit and loss account dealt with in report are in agreement with the company books of account and returns; and
v. Whether the accounts examined by him, in his opinion, give the information required by the Act and whether the balance sheet and profit and loss account laid before the company in general meeting render a true and fair view of the state of company and of its profits or losses for the financial year for which they have been prepared.

Where any of the above matters is answered in the negative or with a qualification, the report must state the reason for it.

In the final analysis as observed by Professor Gower, this topic may be summed up in a sentence:
"Anyone involved, either as plaintiff or defendant, in a suit based upon alleged negligence in the preparation or auditing of the annual accounts has stepped into a minefield which, has still not been comprehensive mapped."

However, it has been shown that the status of company auditors has, in the course of this century, been transformed from that of somewhat toothless strays given temporary houseroom once a year, to that of trained rottweilers, entitled to sniff around at any time and, if need be, to bite the bands that feed them. As a result, the quality of most company audits has improved, even if the likelihood of recovery, in cases where audits are defective, has not.

ANNUAL RETURN

Section 125(1) provides that every company having a share capital shall, once at least in every year, make a return (referred to in the marginal note as the "annual return") to the registrar of companies. No return need be made in the year of the company's incorporation or, if the company is not required by Sec.131 to hold an annual general meeting during the following year, in that year.

The return must contain the matters, and be in the form specified in Part I of the Fifth Schedule.

The Fifth Schedule matters are:

1. The situation of the registered office.
2. The place where the register of members and the register of debenture holders are kept if they are not kept at the registered office.
3. A summary, distinguishing between shares issued for cash and shares issued as fully or partly paid up otherwise than in cash, specifying—
   (a) the amount of the share capital of the company and the number of shares into which it is divided;
   (b) the number of shares taken from the commencement of the company up to the date of the return;
   (c) the amount called up on each share;
   (d) the total amount of calls received;
   (e) the total amount of calls unpaid;
   (f) the total amount of the sums (if any) paid by way of commission in respect of any shares or debentures;
   (g) the discount allowed on the issue of any shares issued at a discount or so much of that discount as has not been written off at the date on which the return is made;
   (h) the total amount of the sums, if any, allowed by way of discount in respect of any debentures since the date of the last return;
   (i) the total number of shares forfeited;
   (j) the total amount of shares for which share warrants are outstanding at the date of the return and of share warrants issued and surrendered respectively since the date of the last return, and the number of shares comprised in each warrant.
4. The total amount of the indebtedness of the company as at the date of the return in respect of all mortgages and charges which are required to be registered with the registrar.
5. A list of present and past members—

a) containing the names and postal addresses of all persons who, on the fourteenth day after the company's annual general meeting for the year, are members, and of persons who have ceased to be members since the date of the last return or, in the case of the first return, since the company's incorporation;
b) stating the number of shares held by each of the existing members at the date of the return, specifying shares transferred since the date of the last return (or, in the case of the first return, since incorporation) by persons who are still members and have ceased to be members respectively and the dates of registration of the transfers;
c) if the members' names are not arranged in alphabetical order, having an index annexed to enable the name of any person therein to be easily found.

If any shares have been converted into stock, the amount of stock held by each of the existing members as required by provision (ii) to section 125(1).

6. All particulars of the directors and the secretary as are contained in the register of directors and secretaries.

The return made by a company not having a share capital shall contain the matters specified in (1), (2), (4) and (6) above.

Annual Return to be made by Company not having a Share Capital (Sec.126)

Every company not having a share capital shall once at least in every calendar year make a return stating -

a) the situation of the registered office of the company and the registered postal address :
b) in a case in which the register of members is kept elsewhere other than at the registered office, the address of the place where it is kept must be stated;
c) in a case in which any register of holders of debentures of a company or part of any such register is, in Kenya, elsewhere than at the registered office of the company, the address of the place where it is kept must be stated;
d) all such particulars with respect to the persons who at the date of the return are the directors and secretary of the company .

The annual return should have a statement containing particulars of the total amount of the indebtedness of the company in respect of all mortgages and charges which are required to be registered with the registrar.

If a company fails to comply with this regulation, the company and every officer of the company who is in default shall be liable to a default fine.

Time for Completion of Annual Return (Sec. 127)

The annual return shall be completed within forty-two days after the annual general meeting for the year, whether or not that meeting is the first or only ordinary general meeting, or the first or only general meeting, of the company in the year. The company shall within that period deliver to the registrar a copy signed both by a director and by the secretary of the company.

If a company fails to comply with this rule, the company and every officer of the company who is in default shall be liable to a default fine.

Documents to be annexed to Annual Return (Sec. 128)

There following shall be incorporated in the annual return–

i) a certified copy of every balance sheet laid before the company in general meeting during the period to which the return relates (including every document required by law to be in the balance sheet);
ii) a certified copy of the report of the auditors and directors accompanying, each balance sheet.

If any such balance sheet or document required by law does not comply with the requirements of the law, there shall be made such additions to and corrections in the copy as would have been required to be made in the balance sheet or document so as to comply with the said requirements.

If a company fails to comply with this section, the company and every officer of the company who is in default shall be liable to a default fine.

Certificates to be sent by Private Company with Annual Return (Sec.129)

The annual return in the case of a private company must be accompanied by a certificate signed both by a director and by the secretary of the company that the company has not, since the date of the incorporation of the company, issued any invitation to the public to subscribe for any shares or debentures of the company.

Where the annual return discloses that the number of members of the company exceeds fifty, acertificate so signed that the excess consists wholly of persons who are not to be included in reckoning the number of fifty.

INVESTIGATION BY THE REGISTRAR (Sec. 164)

Where the registrar has reasonable cause to believe that the provisions of this Companies Act are not being complied with, or where, on perusal of any document which a company is required to submit to him under the provisions of this Act, he is of opinion that the document does not disclose a full and fair statement of the matters to which it purports to relate, he may, by a written order, call on the company concerned to produce all or any of the books of the company or to furnish in writing such information or explanation as he may specify in his order. Such books shall be produced and such information or explanation shall be furnished within such time as may be specified in the order.

On receipt of thewritten order it shall be the duty of all persons who are or have been officers of the company to produce such books or to furnish such information or explanation so far as lies within their power.

If any person refuses or neglects to produce such books or to furnish any such information or explanation he shall be liable to a fine not exceeding two hundred shillings in respect of each offence.

If after examination of such books or consideration of such information or explanation the registrar is of the opinion that an unsatisfactory state of affairs is disclosed or that a full and fair statement has not been disclosed the registrar shall report the circumstances of the case in writing to the court.

APPOINTMENT AND POWERS OF INSPECTORS

Appointment of Inspectors (Sec.165)

The court may appoint one or more competent inspectors to investigate the affairs of a company and to report in a manner as the court directs-

(a) in the case of a company having a share capital, on the application either of not less than two hundred members or of members holding not less than one-tenth of the shares issued;

(b) in the case of a company not having a share capital on the application of not less than one-fifth in number of the persons on the company's register of members.

Powers of Inspectors

The appointed inspectors have the following powers:

1. The inspectors appointed must enquire into the affairs of the company concerned.
2. The officers of the company and the directors and management etc. must preserve and produce before them all books and documents required.

3. They must also give evidence on oath and answer question put to them, by the inspectors. The inspectors may examine any other person on oath, if so authorised by the registrar.
4. If it is considered necessary, the inspectors may also examine the affairs of the holding company of the company concerned any of its subsidiaries, its managing agents, secretaries and treasuries and their associates and related companies.

INSPECTORS REPORT (Sec.169)

An inspector may, and, if so directed by the court, make interim reports to the court, and on the conclusion of the investigation shall make a final report to the court. Any such report shall be written or, if the court so directs, printed.

The court shall–

a) forward a copy of any report made by an inspector to the company and to the registrar;
b) if the court thinks fit, forward a copy thereof on request and on payment of the prescribed fee to any other person who is a member of the company or of any other body corporate dealt with in the report, or whose interests as a creditor of the company or any such other body corporate to be affected;
c) where any inspector, furnish, at the request of the applicants for the investigation a copy to them,

TOPIC 12

CORPORATE RESTRUCTURING

Introduction

Corporate Restructuring may be a one-time exercise for an organization but it may have a perpetual influence on the business and other concerned agencies due to its numerous considerations and immense advantages viz., convalescent corporate performance and immeasurable corporate governance.

Corporate restructuring is an expression, by which a company can consolidate its business operations and reinforce its position for accomplishing its short-term and long-term corporate objectives – synergetic, dynamic and continuing as a competitive and successful entity.

NEED AND SCOPE OF CORPORATE RESTRUCTURING

Corporate Restructuring is concerned with arranging all the business activities of the corporate/enterprises as a whole so as to achieve predetermined objectives at the corporate level. Such objectives include the following:

- Orderly redirection of the firm's activities;
- Redistribution of surplus cash from one business to finance profitable growth in another;
- Exploiting inter-dependence among present or prospective businesses within the corporate portfolio;
- Risk reduction; and
- Development of core competencies

Restructuring may be financial restructuring, technological restructuring, market restructuring and organizational restructuring.

TYPES/TOOLS OF CORPORATE RESTRUCTURING

MERGERS

Basic procedure will usually provide either:

i) That the transferee company takes over the debts of the transferor; or
ii) That the transferor company retains sufficient funds to pay its debts.

If the creditors feel that their position is jeopardized in that the new assets received by the transferor company will not be sufficient to pay their debts they can petition for the compulsory winding-up of the transferor company on the ground that it is unable to pay its debts.

Types of merger

There are two types of merger:

1. Company A goes into voluntary liquidation, selling its assets to company B (an established and successful company). In return the shareholders of company A receive shares in company B. company A is then dissolved and the business of both companies is carried on by company B. This is, in effect, a takeover by agreement.
2. Companies A and B both go into voluntary liquidation. The assets of both companies are then transferred to company C, a new company formed for the purpose, the members of A and B receiving shares in company C. Companies A and B are then dissolved. In order to retain their goodwill company C may change its name to A B Ltd.

POST-MERGER INTEGRATION

The period that starts at the closing of a deal but which can last from a few months to a number of years. The post-merger integration is the time in an acquisition when all of the operations of the target company are absorbed into the buyer. If the deal was structured as a merger, then this is the time when the operations of both legacy companies are combined.

TAKEOVERS

The term takeover is usually used to describe a contested bid for the shares in one company (the 'target' company) by another company. Takeovers have become very common in recent years. They have also been the subject of increasing concern, because in some cases the interests of investors in general have suffered as directors and controlling shareholders have sought to further their own personal interests. Takeovers are not however undesirable as such. It may well be that larger size brings economies of scale and better management.

Reasons for Takeovers

Takeovers often take place for one of two reasons:

i) The target company may have been badly managed so the market price of the controlling shares has fallen to less than the potential value of the company's assets. Thus even if the offeror pays slightly more than market value for the shares, it will still obtain control of the assets for less than their true value.

ii) A well-managed and successful company may be sufficiently attractive to a larger company that the larger company is prepared to pay the true value for its shares to secure control of its assets.

The Basic Procedure for Takeovers

The following is the basic procedure to be followed during a takeover

a) The bidding company will offer to purchase all the shares in the target company either for cash or in return for its own shares. Usually the offer will be conditional on acceptance in respect of a certain percentage ofthe shares.

b) In some cases the dissenting minority will not wish to sell their shares even at market value. This could be inconvenient for the offeror which may wish to acquire a wholly owned subsidiary. In such a situation the Act provides for the offeror to 'buyout' the dissenting minority of the target company, provided it acquires 90% of the shares to which the offer relates and complies with certain conditions. Such a purchase will not however be allowed if it is being used as a means of expropriating the minority interest when there is no genuine takeover:

   In **Re Bugle Press** (1961) case, persons holding 90% of the shares in a company formed a new company. The new company then made an offer for the shares of the old company. Clearly the 90% accepted the offer and the new company then served a notice on the 10% shareholder in the old company stating that they wished to purchase his shares. He opposed the scheme on the ground that it amounted to an expropriation of his interest in that the shareholders of the new company were the persons who held 90% of the shares in the old company. His claim succeeded.

   This is a good example of the court lifting the veil of incorporation of the companies and basing its decision on the actual identity of the members concerned.

c) The dissenting minority also have a right to change their minds and accept the offer when it becomes clear that the offeror has a substantial majority. It applies when the shares transferred under the scheme plus those already held by the offeror amount to 90% in value of the shares or class of shares in the target company. The offeror must then give notice of this fact to the remaining shareholders and any such shareholder can then require the offeror to buy his shares.

Distinction between a scheme of arrangement and a reconstruction

The following are some of the difference between schemes of arrangement and a reconstruction:

Scheme or arrangement	Reconstruction.
- It involves re-organisation of the share capital of the company by consolidation of shares different classes. - May be sanctioned by court. - Settlement of dispute by mutual consensus. - Company may enter into arrangement with its creditors or any class of them or its members without going into liquidation. - Operates under Section 280 of the Companies Act.	- Selling of the assets of the company to a new company for partly paid shares. - Sanctioned by the resolution of members. - Carried out by the company which is to be wound up voluntarily. - Made by another company by transfer or sale of its assets or business during liquidation. - Operates under section 201 of the Companies Act.

SCHEMES OF ARRANGEMENT AND COMPROMISES

It can be used to effect any type of compromise or arrangement with creditors or members, for example changing their rights in or against the company, or transferring their rights to another company which then issues shares or takes over liabilities in return for cancellation of existing rights against the first company, i.e. it can be used for both reconstructions and mergers. There must however be a 'compromise' or an 'arrangement':

A compromise can only be made when there has previously been a dispute
An arrangement has a much wider meaning and does not depend on the presence ofa dispute.

Procedure of Reconstruction

1) The first step is for the company, or any creditor, or any member or, if the company is being wound up, the liquidator asks the court to convene a meeting of creditors and meetings of each class of members.
2) The company must send out with the notice of any meeting called a statement explaining the effect of the scheme and in particular details of material interests of directors and its effect on them (Sec. 208(1))

3) The compromise or arrangement must be agreed at each meeting by a simple majority in number representing 75% in value of those voting in person or by proxy. (Sec. 207(2))
4) When the necessary meetings have been held and the required majorities obtained the court must give its approval.

The role of the court in reconstruction

The court plays a key role in reconstruction as discussed below

1) The court will ensure that the scheme is not ultra vires or an improper use of the procedure laid down in reconstruction
2) The court will check that the meetings were properly convened and that the required majority approval was obtained.
3) Since the requirement is only for a majority of members voting rather than of all the members, the court will examine whether the class was fairly represented at the meeting
4) Probably the court will have already directed that a substantial percentage of the class constitute a quorum when the initial application was made to the court to hold the meeting.
5) The court will be very careful if the majority of one class of shares also hold the shares of another class since they may vote in favour of a scheme which harms the first class of shares but benefits the second class.
6) The court will look at situations where creditors are also shareholders since a similar conflict of interest could arise.
7) In general, the court will require disclosure of all relevant information, listen to any minority objections and finally only sanction the scheme if it is one that an honest and intelligent businessman would approve. Once the court has approved the scheme it binds all parties and cannot be altered.

RECONSTRUCTION

When a company has been making losses for a number of years, the financial position does not present a true and fair view of the state of the affairs of the company. In such a company the assets are overvalued, the assets side of the balance sheet consists of fictitious assets, useless intangible assets and debit balance in the profit and loss account. Such a situation does not depict a true picture of financial statements and shows a higher net worth than what the real net worth ought to be. In short the company is over capitalized. Such a situation brings the need for reconstruction.

Reconstruction is a process by which affairs of a company are reorganizedby revaluation of assets, reassessment of liabilities and by writing off the losses already suffered by reducing the paid up value of shares and/or varying the rights attached to different classes of shares.

The object of reconstruction is usually to reorganize capital or to compound with creditors or to effect economies. Such a process is called internal reconstruction which is carried out without liquidating the company and forming a new one.

However, there may be external reconstruction. Wherever an undertaking is being carried on by a company and is in substance transferred, not to an outsider, but to another company consisting substantially of the same share holders with a view to its being continued by the transferee company, there is external reconstruction.

AMALGAMATION

Amalgamation is the combination of two or more firms, into either an entirely new firm or a subsidiary controlled by one of the constituent firms.

a blending together of two or more undertakings into one undertaking, the shareholders of each blending company, becoming, substantially, the shareholders of the blended undertakings. There may be amalgamations, either by transfer of two or more undertakings to a new company, or to the transfer of one or more companies to an existing company". Thus, the two concepts are, substantially, the same. However, the term amalgamation is more common when the organizations being merged are private schools or regiments.

There are three forms of business combinations:

- Statutory Merger: a business combination that results in the liquidation of the acquired company's assets and the survival of the purchasing company.
- Statutory Consolidation: a business combination that creates a new company in which none of the previous companies survive.
- Stock Acquisition: a business combination in which the purchasing company acquires the majority, more than 50%, of the Common stock of the acquired company and both companies survive.
- Amalgamation: Means an existing Company (Vendor Company) which is taken over by another existing company. In such course of amalgamation, the consideration may be paid in "cash" or in "kind", and the purchasing company survives in this process....

TOPIC 13

RECEIVERSHIP AND LIQUIDATION OF COMPANIES

MEANING OF RECEIVERSHIP

Receivership must not be confused with liquidation. It refers to a situation where a creditor (usually one secured by a debenture) realizes that the company is in default of payment of his debt under the security with which the debenture was secured is threatened. In this event, the creditor or the court acting on his petition appoints a receiver to realise the security for the benefit of the creditor or assumes the management of the entire company (in which case he becomes a receiver manager) to salvage the company and put it back on the repayment course. Therefore receivership is a rescue measure.

If it is successful liquidation can be avoided. If it fails, then liquidation must follow. Therefore, where receivership is resorted to it precedes liquidation and not vice versa.
Illiquidity of a company may also trigger receivership. Illiquidity may be evident not only from the default in repayment but also from

i. continual trend of losses ;
ii. sudden loss of major clients or contracts;
iii. declining turnover;
iv. declining industry;
v. change in accounting practices to attempt to show effects of improvement,
vi. obvious mismanagement and scandals.

APPOINTMENT BY RECEIVER BY THE COURT

This provides for the situations where the courts will appoint a receiver, where the company is being wound up and the security is in jeopardy.

Status of a receiver appointed by court

This receiver is not an agent of the company, he is not even an agent of the debenture holder, instead he is an agent of the bank. This receiver is an officer of the court and not an agent of any of the parties. If he makes any contracts he is personally liable but he will be indemnified by the assets of the company.

Since he is appointed by the court, he cannot sue or be sued without first going to the court. Novation, the rules is that the receiver is not liable for any acts or the company that existed before he became a receiver. however this receiver can be liable by novation – a special document where someone accepts to take on some certain responsibilities.

Newhart Developments v. Co-operative Commercial Bank [1978] Q.B 814

The receiver's remuneration is fixed by the court either by way of salary or an agreed percentage of his receipts. Receivers rank as unsecured creditors right down the list.

APPOINTMENT OF RECEIVER OUTSIDE COURT

Debenture Holder – There may be reference to a floating charge where some interest of a lender is identified by means of a floating charge but without isolating any particular goods but the minute the company goes into receivership the debenture crystallises. The debenture holder will appoint a receiver where there is a specific provision in the debenture that gives power for the appointment of receiver. The receiver has to notify the registrar of companies about his appointment so that the registrar can indicate this in the register. The receiver must notify the registrar to notify the entire world that anybody dealing with that company is deemed to have notice that the company is under receivership. A receiver appointed by a debenture holder, he becomes the agent of the debenture holders and the debenture holders are liable as principals to whatever contract the receiver gets into.

Since a receiver appointed out of court is a mere agent, he incurs no personal liability for acts properly done by him as a receiver. however, in the case of a receiver of the property of a company, the Companies Act provides that the receiver is to be personally liable on any contract entered into by him in the performance of his functions to the same extent as if he had been appointed by the court. The receiver is not personally liable on existing contracts unless he accepts them by novation. But he has duty to ensure that if the contracts are profitable, they are performed fully and profitably.

Where a receiver is appointed out of court, the employees are not automatically dismissed and their contracts remain intact and inoperative.

Effect of appointment

Floating charges crystallise and become fixed. The directors' powers are suspended and the company cannot deal with the assets charged without the receiver's consent. However this does not prevent a director from pursuing an action on behalf of the company if the debenture holder's interests are not thereby threatened.

Statement of affairs

The company is supposed to submit the statement. Section 351 of the Companies Act provides that where a receiver or manager of all substantially all of the property of the company is appointed, he must give notice forthwith to the company.;

i. Past and present officers of the company
ii. Persons who have participated in the formation and management of the company at any time within one year of the receivers appointment

Once the receiver gets the statements, he is supposed to send them to the

i. Registrar and to the court, a copy of the statement together with the comments.
ii. He is supposed to give the statement of affairs to the company and in addition he has to give his own comments derived from his own observation as an expert.
iii. The statement also has to be given to the debenture holder.

EFFECT OF APPOINTMENT OF A RECEIVER:

Some of the effects of appointment of a receiver include:

1. The floating charges crystallize and become fixed.
2. The directors' powers are ceased and the same vest ill the receiver.
3. The employment of the company's employees is automatically terminated.
4. Notice of his appointment must be .given to the company and the creditors of the company.
5. The officers of the company must submit to the receiver within a specified time, a statement of affairs.
6. Contracts current at the time of his appointment are not binding on the receiver personally unless he adopts them.
7. The receiver can recover debts owing to the company subject to any rights of set off which the debtor might have.

POWERS AND DUTIES OF THE RECEIVER

The receiver has the following duties;
1. He must after appointment take up the affairs of the company.
2. After his appointment, he must demand for the submission of the statement of affairs by the company.
3. Upon receipt of the statement he must submit a copy thereof to the registrar of companies to the company itself and to any trustee for the debenture holders.
4. He must periodically or annually send to the registrar or any trustee for the debenture holders and the company itself an abstract showing his receipts and payments during the relevant period.
5. He has powers to borrow to enable him carry on the business of the company or to preserve the property of the company.

ADVANTAGES AND DISADVANTAGES OF RECEIVERSHIP

There are certain advantages and disadvantages that accrue from the appointment of a receiver.

Advantages
1. The receiver is supposed to protect the property and safeguard the security of the creditors and debenture holders. He will determine who gets paid first.
2. Expert monitoring of the company's management and trading activities. The trouble may be that the receiver may not have the expertise in the field of that company and it is up to him to hire the necessary experts.
3. He makes a rapid assessment of the company's management and trading activities.
4. He sells the business or viable parts of it as a going concern and obtains a higher price that that which would be obtained in liquidation of the company.

Disadvantages
1. If a business is insolvent, there will be extra burdens, especially if there is no hope of recovery for that company.
2. The staff that the receivers come in with may not have the expertise about the business that the company is involved in. it is absolutely important that if a receiver knows he does not have the expertise to get the necessary expertise to assist in management of the company.
3. The reputation of the company in receivership suffers greatly. The suppliers do not want to deal with the company due to the negative publicity. This can hamper the efforts of the company to actually recover.

4. Even when it is a going concern, the sale as a going concern will fetch a less amount than what the company would have received had it been a going concern before being put into receivership. When a property is sold via a public auction, the property ends up going for less than the market value. Nobody wants to buy the assets at their real market value.

A body corporate cannot be a receiver and neither can an undischarged bankrupt.

MEANING OF LIQUIDATION

A company is an artificial person and so it cannot die a natural death. But sometimes there may be circumstances where it might be desirable that the life of the company be put to an end. This is done through the legal process of winding up or liquidation.

Winding up of a company is a process whereby its life is ended or terminated and its property administered for the benefit of its creditors and members.

An administrator called a liquidator is appointed and he takes control of the company, collects its assets, pays its debts and finally distributes any surplus among the members in accordance with their rights. Therefore it is a process, which involves the realization of assets, payment of liabilities and distribution of surplus if any amongst the members of the company.

It is however important to distinguish winding up from dissolution of a company.

Winding up of a company precedes its dissolution. Prior to dissolution and after winding up, the legal entity of the company remains and can be sued in a court of law.
On dissolution the company ceases to exist, its name is struck off the registers of companies by the registrar and the same is published in the Kenya Gazette.

Modes or types of winding up (SEC.212)

There are 3 modes of winding up provided by the Act:

1. Voluntary winding up which may be:
    a) Members' voluntary winding up
    b) Creditors' voluntary winding up
2. Winding up by the court (also known as compulsory winding up).
3. Winding up subject to court supervision. (supervisory winding up)

1. voluntary winding up

This means winding up by the members or creditors of the company without interference by the court.

Grounds for voluntary winding up

S.271 of the Act sets the grounds under which a company may be wound up voluntarily. These are:

a) **Passing ofa special resolution:**
   A company may at any time pass a special resolution that it be wound up voluntarily. The reasons for this can be varied including:
   i) loss of business prospects on favourably changed business circumstances
   ii) insolvency, break down in management or
   iii) simply the members wish to distribute surplus, assets amongst themselves and terminate the company's activities.

b) **If the company was formed to last only for a fixed period and that period has come to an end**.
   Such a situation can arise where for instance; a company was formed to prospect for oil for 5 years and this period has ended.

c) **If the company was created to last until the occurrence of a specified event**.
   This event may include any eventuality and may be the death of the last founding company director

Types of Voluntary Winding Up

There two types of voluntary winding up :-

i) Member voluntary winding up
ii) Creditors' voluntary winding up

i) Member voluntary winding up

Members voluntary winding up is where the members of the company themselves conduct the liquidation process through their appointed liquidator. This is possible when the company is solvent and able to pay its liabilities in full. This requires the filing of a statutory declaration of a solvency.

A declaration that the company is solvent must be made by the directors at the meeting of the board. They have to declare that the company has no debts or that it would be able to pay its debts in full within 12 months from the commencement of the winding up.

In order to be effective, this declaration must be made within 30 days immediately preceding the date of the passing of the winding up resolution and the same resolution shall be delivered to the registrar for filing before the said date accompanied by a copy of the report of auditors of the company and the profit and loss account prepared since the date of the last account and the balance sheet of the company made out on the last mentioned date which must contain a statement of the company's assets and liabilities as at the latest practicable date before the making of the declaration.

Directors making false declaration of solvency are punishable with imprisonment for not exceeding 12 months or to a fine not exceeding Shs.20,000 or both.

Procedure of members voluntary winding up

1. **Appointment of Liquidator**
   The company in a general meeting shall appoint one or more liquidators for the purpose of winding up the affairs and distributing the assets of the company.

2. **Cessation of director's powers**
   On the appointment of a liquidator, all the powers of the directors shall cease except so far as the company in a general meeting or the liquidator sanctions their continuance.

3. **The powers of a liquidator to accept shares**
   Where a company is proposed to be wound up, or is in the process of being wound up and the whole or part of the assets of the company is proposed to be transferred to another company, the liquidator of the transferor company may with the sanction of the company's special resolution, receive in compensation shares or policies or other interests in the transferee company for distribution amongst the members of the transferee company.

4. **Duty to call creditors meeting**
   If the liquidator is at any time of the opinion that the company will not be able to pay its debts in full within the period stated in the declaration, he shall summon a meeting of the creditors and lay before it a statement of the assets and liabilities of the company.

5. **Meeting at the end of the year**
   If the liquidation goes on for more than a year, the liquidator shall call a general meeting of the company at the end of every year from the commencement of winding up.

6. **Final meeting & dissolution**
   After the affairs of the company are completely wound up, the liquidator will call the final general meeting of the company for the purpose of laying the detailed accounts of the winding up before it and giving an explanation.

ii) Creditors voluntary winding up

In voluntary winding up where a declaration of solvency is not made, the creditors take it up. Here the creditors take over the winding upprocedure in order to protect their own interest in the company. The winding up then proceeds in the following manner:

1. Meeting of creditors

A company shall call a meeting of the creditors of the company on the day or the day next following the day on which there is to be the general meeting of the company at which the resolution for winding up is to be proposed.

2. Notice of the meeting

The company shall cause notice of the meeting of creditors to be advertised in the Kenya Gazette at least once and at least once in a newspaper of wide circulation in Kenya.

3. Statement of affair to be tabled

The board of directors must lay before the meeting of the directors a full statement of the position of the company's affairs together with the list of the creditors of the company and the estimated amounts of their claims.

4. Appointment of liquidator

The creditors and members at their respective meetings may nominate a liquidator for the purpose of winding up the affairs of the company and distributing the assets of the company.

5. Appointment of committee of inspection

The creditors may at their meeting appoint a committee of inspection comprising of not more than 5 persons.

6. Fixing the liquidator's remuneration

The remuneration of the liquidator is to be fixed either by committee of inspection and if there's no such committee then by the creditors.

7. Cessation of directors' power

On the appointment of the liquidator all the powers of the board shall seize and the same shall vest in the liquidator.

8. Power to fill vacancy of liquidator

If a vacancy occurs by death or resignation of liquidator, the creditors may appoint another one to fill the vacancy.

9. Calling a meeting at the end of the year:

If the winding up proceeds for more than one year, then the liquidator must call a meeting of the creditors to review the progress of the liquidation.

10. Calling of the final meeting:

Once the affairs of the company have been wound up, the liquidator shall call the final meeting at which a resolution shall be passed that the affairs of the company be wound up and its assets distributed. The liquidator shall then notify the court of the resolution and the court shall then order for the dissolution of the company.

WINDING UP BY THE COURT (Compulsory winding up) (Sec. 219)

This type of winding up is called winding up by the court because it is the court which makes the first order that the company to be wound up and thereafter its effect passes on to the liquidator.

On what ground can a company be wound up compulsorily or by the court?

a) Passing of a special resolution

Where a company has by a special resolution resolved that it be wound up by the court, the court may order the winding up of the company.

There are various reasons which may underlie the passing of a resolution by the company. This may include

i) deteriorating financial and trading position of a company which implies future inability of the company to pay its debts or
ii) lack of working capital or
iii) changed business conditions which render the continued operation of the company difficult or
iv) where the objects for which the company was crated has been achieved or
v) due to break down in the management or
vi) general paralysis arising from labour or industrial unrest.

b) Default in holding a statutory meeting or delivering a statutory report to the registrar:

If the company has made default in delivering the statutory report or holding the statutory meeting then the court may order the winding up of the company.

A company is required under Sec.130 to hold its first general meeting after one month but before expiry of 3 months from the date on which the company was entitled to commence business.

A winding up petition on this ground can be presented either by the registrar or by a contributory on or after the expiry of 14 days after the last day on which the statutory meeting ought to have been held.

c) Failure to commence business within one year of incorporation or suspending business for a whole year

It is important that a company commences business immediately, after incorporation and upon the fulfillment of required conditions in respect of public companies. In addition, after it has commenced business it must stay operating until perhaps the day of liquidation. Therefore, failure to commence business or suspending business for a year may render the company a sham or a bubble.

d) Reduction in membership below the statutory minimum

If at any time the number of members of a company is reduced in the case of a private company, below 2 and in the case of a public company below 7, a company may be ordered to be wound up.

If the company carries on business for more than 6 months while the number is so reduced every member who knows this fact will be liable for the payment of the whole of the debts of the company contracted during that time.

e) Where the company is unable to pay its debts

This is the commonest of all grounds. A company may be wound up if it is unable to pay its debts or honour its monetary commitments.

A company is deemed to be unable to pay its debts if:

a) a creditor for the sum of Shs.1000 or more has served on the company at its registered office a demand for payment and the company has for 3 weeks thereafter neglected to pay or otherwise satisfy him; or
b) If execution or other process issued on a decree or order of any court in favour of a creditor of a company is returned unsatisfied in whole or in part; or
c) If it is proved to the satisfaction of the court that the company is unable to pay its debts and in determining whether the company is unable to pay its debts, the court shall take into account the contingent and prospective liabilities of the company.

f) Where it is just and equitable to wind up the company

A company may also be wound up if the court is of the opinion that it is just and equitable that the company should be wound up. What is just and equitable is a question of fact depending on the circumstances of each case.

The following grounds have been held to justify the winding up of a company on just and equitable ground

i) When the substratum of the company is deemed to be gone (failure of substratum)

A substratum of thecompany is deemed to be gone when the main object for which the company was formed has become impossible or impracticable.

ii) Where there is a complete deadlock in the management of the company

This is possible if it is not possible for the company to carry out its objects for which it was formed because the managers of the firm cannot agree on any matter e.g. in **Re Yenidje Tobacco Co. Ltd** case W & R were the sole shareholders and directors of the company with equal rights of management and voting power. After some time, they became bitterly hostile to each other and could not see eye to eye thereby paralysing the management of the company. All communications between them was through the secretary. The court held that the circumstances the company should be wound up on just and equitable reasons not withstanding that it was in fact making profits.

iii) Unfair prejudice
Where the affairs of the company are being conducted in a manner, which is unfair or prejudicial upon a minority of shareholders. Such member may petition for winding up under Section 211 of the Act.

iv) Where the business of the company is making a loss even though the company is not technically insolvent. However an order will only be granted on this ground where it is clear that it is impossible for the company ever to make a profit even with a change to more effective management.

v) Where the conduct of a director or shareholders of small private company is such that if the company were a partnership it would lead to the dissolution of the partnership e.g where there is a constant breach of trust.

vi) Where the purpose for which the company was formed is fraudulent or illegal or where the business of the company has subsequently become illegal.

vii) When the company is a mere bubble i.e it does not have any practical existence e.g it does not have any property or it is not carrying on any business.

viii) When the articles provided for winding up in the event which has happened. This relates to a company formed to achieve a pertain objective after which it is to be dissolved.

ix) Exclusion from management.
Where there is a management participation agreement and one group prevents the other group from management, the other may petition the winding up of the company on just and equitable ground.

- Under Sec.221 if there are any circumstances warranting the winding up revealed in the report of inspectors appointed to investigate certain affairs of the company's management, a winding up petition may be launched by the Attorney General to wind up the company in question. Matters in which the management may be investigated are varied and include mismanagement.
- Where winding up proceedings of the parent company have been commenced. In the case of a company incorporated outside Kenya and carrying on business in Kenya if winding up proceedings have been commenced in respect of it in the country or territory

of its incorporation or in any other country or territory in which it has established a place of business the same proceedings shall be instituted in Kenya.

Who may petition or compulsory winding up ?

The application for compulsory winding up may be made by any of the following persons:

1. **By the company**
   A petition to the court by the company for its winding up may be made by its directors. This is possible when it passed a special resolution to that effect or when the directors are of the opinion that the circumstances leading to the insolvent merging of the company ought to be investigated by the court.
2. **By creditors**
   Under Sec.221 of the Act, a creditor has ***locus standi*** to present a winding up petition. The Act does not define a creditor but the following persons may be considered as creditors.
   a) All persons having a pecuniary interest or claims in the company or against the company
   b) Any assignee of a debt in law or equity
   c) Secured creditor
   d) A creditor by subrogation and many others

3. **Any contributory**
   A contributory is any person liable to contribute to the assets of the company in the event of its being wound up. He cannot however petition for the winding up of the company unless
   a) the number of members is reduced below the statutory minimum.
   b) the shares concerned were (or some of them) allotted to him at least 6 months within the period of 18 months before the commencement of the winding up.

4. All or any the above persons may present a petition jointly or in combination or severally i.e. acting together.

5. **The Attorney General**

The attorney general may present a petition for the winding up of the company if on the inspectors report made in pursuance to Sec.170(2) it appears to the court that it is expedient and in the public interest that the company iswound up. The attorney general may then under Sec.221 present a petition for the winding up of the company.

6. **By the official receiver under Sec.231.**

The official receiver can present a petition for a company to be wound up by the court where a company is being wound up voluntary or subject to the supervision of the court but the court will not make a winding up order if it is not shown that the winding up cannot be continued with due regard to the interest of creditors.

WINDING UP SUBJECT TO COURT SUPERVISION

This mode of winding up is also called supervisory winding up. This type of winding up starts as a voluntary winding up but when voluntary winding up is in progress the liquidator or any creditor or any contributory may apply to the court requesting that the winding up be proceeded further under the supervision of the court.

The reason why voluntary winding up should revert to court are many and varied.
It could be because of a dispute as to how best the process should proceed. It could be that the liquidator is negligent in collecting the assets or that the liquidator is biased or that the rules relating to winding up are not being observed e.g. not giving priority in payment to preferential creditors etc. Thus Sec. 304 says that when a company has passed a resolution for voluntary winding up the court may make an order that the voluntary winding up shall continue but subject to such supervision of the court and with such liberty for creditors, contributories or others to apply to court as the court may think just and on such terms and conditions as any may be specified by the court.

Who may petition?
Under S. 303 of the Act, any creditor or contributory of a company may petition the winding up of the company subject to court's provision.

Procedure
After the winding up starts, it shall proceed as if it was compulsory winding up.
Once it has started, any disposition of the property of the company including things in action and transfer of any shares or any alteration in the status of the company shall be void.
Where the winding up is as a result of a resolution passed, the winding up of the company shall be deemed to have commenced at the time of the passing of the resolution. .
Any attachment, distress or execution put in force against the estate or effects of the company offer the commencement of the winding up shall be void.

General Provisions Relating to Winding Up
Following an order or resolution to dissolve a lot of sequences ensue.

i. Winding up commences:
   The timing of the actual winding up is important because it is from the date of the commencement of winding up that the process of liquidation is deemed to have stated.

ii. There must be notice of commencement of the liquidation e.g. where the company passes a resolution to wind up there must be a notice in the Kenya Gazette and a daily of wide circulation.
iii. Appointment of liquidators for the purpose of collecting the assets of the company and a final distribution to the creditors.
iv. Once liquidation has commenced certain activities of the company cease e.g. legal action by or against the company, disposition of the company property etc. .can only take place with the permission of the court.
v. Creditors prove their debts and thereafter the liquidator distributes the assets of the members.
vi. At the end of the liquidation process, the liquidator shall convene a final meeting and give his final report.

Thereafter he must hand over a copy of the report to the registrar so that the registrar can strike the company's name from the register.

Dissolution of the company can be challenged on appeal in the court of appeal and a company can be reinstated if its dissolution was void (Sec.270).

Consequences of Winding up Order

The following are some of the consequences of winding up a company by order:

1. The petitioner and the company are required to file with registrar of companies a certified copy of the court order within one month of the order. The registrar will then notify it in the Kenya Gazette.
2. The order for winding up shall be deemed to be notice of discharge to the officers and employees of the company except when the business of the company is continued for the purpose of beneficial realization of the assets. Therefore all employees will stand dismissed.
3. The powers of the board of directors are terminated and the same will be vested in the official liquidator.
4. The winding up order shall operate in favour of all the creditors and all the 'contributories of the company as if such an order has been made on their joint petition.
5. The official liquidator shall by virtue of his office become the liquidator of the company.
6. Any debt payable at a future date becomes immediately payable on the winding up order.
7. No suit or legal proceedings can be commenced against the company without the leave of the court. Similarly if a suit is pending against a company at the date of the winding up order it shall not be preceded except with the permission of the court.
8. The court, which is winding up the company, shall have full power to entertain or dispose of any new or pending suit or proceedings by or against the company. And any suit or

proceedings pending in any court shall be transferred to the court in which the winding up is proceeding.

9. All the assets of the company and things in action shall vest in the liquidator or interim liquidator where one has been appointed.
10. All floating charges crystallize.

APPOINTMENT OF LIQUIDATOR

There is no statutory definition of a liquidator but generally a liquidator is a person who helps the court to complete the liquidation proceedings i.e. realizing the assets of the company and distributing them amongst the creditors and contributories.

Provisional Liquidator

After receiving the winding up petition and before making the winding up order, the court may appoint a provisional liquidator for the time being who shall have the same power as the liquidator.

On voluntary winding up the members may appoint one or more liquidators and they have powers to fill vacancies.

On winding up under supervision of the court, the court may appoint an additional liquidator.

Effect of appointment of liquidator

The effects of appointment of a liquidator include:

i. Once a liquidator has been appointed, all floating charges become crystallized.
ii. After his appointment the company continues to exist but his power are kept in abeyance
iii. All the property of the company shall vest in him
iv. The employees shall stand dismissed and the power of the directors shall vest in him.

POWERS OF LIQUIDATOR

The powers of the liquidator are divided into two categories:

a) Power of the liquidator with sanction of the court

Under this category the liquidator has the following powers:

1. Bring or defend any action or other legal proceedings in the name and on behalf of the company.
2. To carry on the business of the company so far as may be necessary for beneficial winding up of the company.
3. To appoint an advocate to assist him in the performance of his duties.
4. To pay any classes of creditors in full.

5. To make any compromise or arrangement with creditors or persons claiming to be creditors or having or alleging themselves to have any claim present or future, certain or contingent ascertained or sounding only in damages against the company.
6. To compromise calls, debts, and other pecuniary liabilities with contributories or debenture holders or debtors and take any security in discharge of any such claim and give a complete discharge in respect thereof

b) The power of the liquidator without sanction

Under this category, the liquidator has the following powers:

1. To sell the moveable and immoveable property and things in action of the company by public auction or private contract with the power to transfer
2. To do all acts to execute in the name and on behalf of the company all deeds, receipts and other documents and to use the seal of the company whenever necessary
3. To draw, accept, make and endorse any negotiable instrument e.g. bills of exchange and promissory notes in the name and onbehalf of the company.
4. To raise on the security of the assets of the company any money required in the winding up.
5. To take out in his name letters of administration to any deceased contributory and to do in his official name any other act necessary for obtaining payment of any money due from a contributory or his estate, which cannot be conveniently done in the name of the company
6. To appoint an agent to do any business, which the liquidator is unable to do himself.
7. To make payments to a liquidator or provisional liquidator of a prescribed company where proceedings have been commenced in respect of a company in a prescribed territory.
8. To do all such things as may be necessary for winding up the affairs of the company and distributing its assets.

DUTIES OF LIQUIDATOR

The liquidator has the following duties:

1. To conduct the proceedings in winding up.
2. To keep books of the company. Every liquidator of a company, which is being wound up, shall keep in the manner prescribed books, minutes and proceedings at company meetings.
3. To pay the money received by him to the official receiver for the credits of the Companies Liquidation Account.
4. Not to pay any sums received by him as liquidator into his private banking account.
5. To present an account of his receipts and payments to the court.
6. To summon the meetings of creditors and contributors.

Order of Application of Asset, of Insolvent Companies (Preferential Payments)

In the winding up of an insolvent company, the same rules shall prevail and be observed with regard to the respective rights of secured and unsecured creditors. Under Sec. 302 & 311 of the Act, the following shall be paid in priority.-

1. All costs, charges and expenses properly incurred.
2. All taxes and local rates, due from the company at the relevant date.
3. All government revenue, taxes aid rates which have become due and payable within 12 months preceding the date of appointment of a provisional liquidator or otherwise the date of winding up order.
4. All wages or salaries including commission earned of any employee due for a period not exceeding 4 months within the said 12 moths and any retrenchment compensation payable to any worker.
5. Unless the company is being wound up voluntarily for reconstruction and amalgamation or where it has taken out a workman compensation insurance policy, all compensation due under the Workmen's Compensation Act.
6. All amounts due in respect of contribution payable during the said 12 months under the National Social Security Fund (NSSF)

Powers of the Court on Winding Up (After the Winding Up Order)

The court enjoys wide powers after making the winding up order under Sec. 251 to 269 of the Act. Some of the more important powers are:

1. The power to stay winding up proceedings

The court may at any time after making winding up order on the application of either the official liquidator or a creditor or a contributory make an order staying the proceedings either altogether or for a limited time on such terms and conditions as it thinks fit provided it is satisfied that the stay order will not prejudice the interest of the general public.

2. To settle a list of contributories and order for the realization of company's assets.

The court has the powers to settle the list of contributories and cause the assets of the company to be collected and applied in discharge of its liabilities.

3. To order for the delivery of the property to the liquidator

The court has the powers to require any contributory, trustee, receiver, banker, agent, officer or employee of the company to pay, deliver, surrender or transfer forthwith to the liquidator any money, property or books and papers in his custody or under his control to which the company is *prima facie* entitled.

4. Powers to make calls

If the court finds that there is a deficiency of assets to meet the company's liabilities and the expenses of winding up, it has powers to make calls and order them to pay up the unpaid share capital.

5. Power to exclude creditors not proving in time

The court may fix a time within which the creditors will have to prove their claims. The court has powers to exclude any creditor who fails to prove his claim within the fixed time.

6. Powers to summon persons suspected of having property etc. of the company

The court may summon before it any officers of the company or person known or books or papers of the company or known or suspected to be indebted to the company or any person whom the court deems capable of giving information concerning books or papers or affairs of the company.

7. Power to order public examination of promoters, directors etc.

On the report of the official liquidator that in his opinion a fraud has been committed by any person in the promotion or formation of the company or by any officer of the company in the conduct of the business of the company, the court may direct such person to appear before it on the day appointed and be publicly examined on oath.

8. The power to arrest a contributory intending to abscond

A court may on prove of probable cause for believing that a contributory is about to quit Kenya or otherwise to abscond or is about to remove or conceal any of his property for the purpose of evading payment of calls or of avoiding examination in respect of the affairs of the company cause him to be arrested and his books, papers and moveable property to be seized and kept until such a time as the court may order.

9. The power to order for the dissolution of the company

When the affairs of the company have been completely wound up and the liquidator has made an application to the court on that behalf or when the court is of the opinion that the liquidator cannot proceed with the winding up for lack of funds or for any other just and equitable reason, the court shall make an order that the company bedissolved from the date of the order. The company shall be dissolved accordingly and within 14 days the liquidator shall file a copy of the order with the registrar who shall make in his books a minute for the dissolution of the company.

10. The power to declare the dissolution of the company void.

Where a company has been dissolved the court may at any time within 2 years of the date of dissolution apply to the court of appeal requesting for an order declaring the dissolution void.
The court of appeal may if it finds that the dissolution was invalid set it aside.

RELEASE OF LIQUIDATORS (Sec. 247)

When the liquidator of a company which is being wound up by the court has realized all the property of the company, in his opinion, be realized without needlessly protracting the liquidation, and has distributed a final dividend, if any, to the creditors, and adjusted the rights of the contributories among themselves, and made a final return, if any, to the contributories, or has resigned, or has been removed from his office, the court shall, on his application, ensure a report on his accounts to be prepared. When the liquidator complies with all the requirements of the court, the court shall take into consideration the report and any objection which may be urged by anycreditor or contributory or person interested against the release of the liquidator, and shall either grant or withhold the release accordingly.

Where the release of a liquidator is withheld, the court may, on the application of any creditor or contributory or person interested, make such order as it thinks just, charging the liquidator with the consequences of any act or default which he may have done or made contrary to his duty.

An order of the court releasing the liquidator shall discharge him from all liability in respect of any act done made by him in the administration of the affairs of the company. However, any such order may be revoked on proof that it was obtained by fraud or by suppression or concealment of any material fact.

Where the liquidator has not previously resigned or been removed, his release shall operate as a removal of him from his office.

OFFENCES RELATING TO LIQUIDATION (Sec. 318)

If any person, being a past or present officer of a company which, at the time of the commission of the alleged offence, is being wound-up,-

a) does not, to the best of his knowledge and belief, fully and truly discover to the liquidator all the property, movable and immovable, of the company, and how and to whom and for what consideration and when the company disposed of any part thereof, except such part as has been disposed of in the ordinary course of the business of the company;
b) does not deliver up to the liquidator, or as he directs, all such part of the movable and immovable property of the company as is in his custody or under his control, and which he is required by law to deliver up ;
c) does not deliver up to the liquidator, or as he directs, all such books and papers of the company as are in his custody or under his control and which he is required by law to deliver up ;

d) within the twelve months next before the commencement of the winding up or at any time thereafter, conceals any part of the property of the company or conceals any debt due to or from the company ;
e) within the twelve months next before the commencement of the winding up or at any time thereafter, fraudulently removes any part of the property of the company to the value of one hundred rupees or upwards ;
f) makes any material omission in any statement relating to the affairs of the company;
g) knowing or believing that a false debt has been proved by any person under the winding up, fails for a period of one month to inform the liquidator thereof ;
h) after the commencement of the winding up, prevents the production of any book or paper affecting or relating to the property or affairs of the company ;
i) within the twelve months next before the commencement of the winding up or at any time thereafter, conceals, destroys, mutilates or falsifies, or is privy to the concealment, destruction, mutilation or falsification of, any book or paper affecting or relating to, the property or affairs of the company ;
j) within the twelve months next before the commencement of the winding up or at any time thereafter makes, or is privy to the making of, any false entry in any book or paper affecting or relating to, the property or affairs of the company ;
k) within the twelve months next before the commencement of the winding up or at any time thereafter, fraudulently parts with, alters or makes any omission in, or is privy to the fraudulent parting with altering, or making of any omission in, any book or paper affecting or relating to the property or affairs of the company ;
l) after the commencement of the winding up or at any meeting of the creditors of the company within the twelve months next before the commencement of the winding up, attempts to account for any part of the property of the company by fictitious losses or expenses ;
m) within the twelve months next before the commencement of the winding up or at any time thereafter, by any false representation or other fraud, obtains on credit, for or on behalf of the company, any property which the company does not subsequently pay for ;
n) within the twelve months next before the commencement of the winding up or at any time thereafter, under the false pretense that the company is carrying on its business, obtains on credit, for or on behalf of the company, any property which the company does not subsequently pay for ;
o) within the twelve months next before the commencement of the winding up or at any time thereafter, pawns, pledges or disposes of any property of the company which has been obtained on credit and has not been paid for, unless such pawning, pledging or disposing is in the ordinary course of the business of the company ; or
p) is guilty of any false representation or other fraud for the purpose of obtaining the consent of the creditors of the company or any of them, to an agreement with reference to the affairs of the company or to the winding up ;

he shall be punishable, in the case of any of the offences mentioned in (m), (n) and (o), with imprisonment for a term which may extend to five years, or with fine, or with both, and, in the case of any other offence, with imprisonment for a term which may extend to two years, or with fine, or with both :

Provided that it shall be a good defense

i) to a charge under (b), (c), (d), (f), (n) or (o), if the accused proves that he had no intent to defraud ; and
ii) to a charge under (a), (h), (i), or (j), if he proves that he had no intent to conceal the true state of affairs of the company or to defeat the law.

NOTE:
The term “officer "includes any person in accordance with whose directions or instructions the directors of the company have been accustomed to Companies Act.

TOPIC 14

COMPANIES INCORPORATED OUTSIDE KENYA

Introduction

The laws of Kenya allow for companies outside Kenya to be incorporated in Kenya and therefore such companies are able to conduct businesses within Kenya. Such companies are referred to as foreign companies. Companies incorporated outside Kenya are usually governed by the rules stated in Sections 366 up to 375 of the Companies Act of Kenya. A foreign company is a company incorporated outside Kenya which, after the appointed day, establishes a place of business within Kenya. It is a company which, before the appointed day, has established a place of business within Kenya and continues to have a place of business within Kenya on and after the appointed day:

These Sections (366-375) do not apply to companies registered under the Building Societies Act. Under the Companies Act in Sec. 366(2), a foreign company shall not be deemed to have a place of business in Kenya solely on account of it doing business through an agent in Kenya at the place of business of the agent.

In this chapter, we shall discuss in detail the laws governing the establishment, registration and how a foreign company operates in Kenya under the Companies Act. We shall also discuss the circumstances under which a foreign company may cease to have a place in Kenya and penalties imposed by the law for not complying with the laid down rules.

PROCESS OF REGISTERING A FOREIGN COMPANY

An overseas company wishing to conduct foreign company registration in Kenya by opening a branch office or opening a subsidiary company in Kenya should deliver the following to the Registrar of Companies:

Requirements of Registering a Foreign company in Kenya

- A certified copy of the Charter, Statutes or Memorandum and Articles of Association of the Company, or other instruments defining the constitution of the company

- A certified copy of the foreign company’s current certificate of incorporation or registration in the company’s place of origin, or a document of similar effect
- A list containing the names of the company’s directors and shareholders, and their personal details
- A memorandum executed by or on behalf of the company stating the powers of directors, if any, who reside in Kenya and are members of a local board of directors
- A statement of all existing charges entered into by the company affecting properties in Kenya
- Names and postal addresses of one or more persons resident in Kenya authorized to accept, on behalf of the company, service of notices required to be served on the company
- Full address of the registered or principal office of the company in its home country
- Full address of place of business in Kenya.
- In relation to any existing charge on property of the foreign company that would be a registrable charge if the foreign company were a company incorporated in Kenya, the documents that would be required to be lodged for registration with the Registrar of Companies
- Safeguards against the disclosure of a natural person’s residential address where this information is required to be provided by the company
- A mechanism for the appointment of a liquidator of a foreign company in respect of the foreign company’s property in Kenya
- The recognition that a foreign company may have a local board of directors with specific powers in addition to its foreign directors.

Provisions as to establishment of place of business in kenya (sec. 365**)**

Sections 366 to 375 of the Companies Act shall apply to all foreign companies. These are

i) Companies incorporated outside Kenya which, after the appointed day, establish a place of business within Kenya.

ii) Companies incorporated outside Kenya which have, before the appointed day, established a place of business within Kenya and continue to have a place of business within Kenya on and after the appointed day

Provided that such company is not which is registered, under the Building Societies Act

A foreign company shall not be deemed to have a place of business in Kenya solely on account of its doing business through an agent in Kenya at the place of business of the agent.

Name of the foreign company (sec. 371)

Every foreign company shall–

(a) in every prospectus inviting subscriptions for its shares or debentures in Kenya state the country in which the company is incorporated; and

(b) conspicuously exhibit in easily legible roman letters on every place where it carries on business in Kenya the name of the company and the country in which the company is incorporated; and

(c) cause the name of the company and of the country in which the company is incorporated to be stated in legible roman letters in all bill-heads and letter paper, and in all notices and other official publications of the company

If the liability of the members of the company is limited a notice of that fact must be stated in the English language in legible roman letters in every such prospectus as aforesaid and in all bill-heads, letter paper, notices and other official publications of the company in Kenya and to be affixed on every place where it carries on its business.

Every foreign company shall, in all trade catalogues, trade circulars, show cards and business letters on or in which the company's name appears and which are issued or sent by the company to any person in Kenya, state in legible roman letters, with respect to every director being a corporation, the corporate name, and with respect to every director, being an individual, the following particulars -

(a) his present christian name, or the initials thereof, and present surname;

(b) any former christian names and surnames;

(c) his nationality, if he is not a Kenyan citizen:

Provided that, if special circumstances exist which render it in the opinion of the registrar expedient that such an exemption should be granted, the registrar may grant, subject to such conditions as may be specified, exemption from the obligations imposed by this subsection.

Documents to be presented to the registrar (sec. 366**)**

Foreign companies which, after the appointed day, establish a place of business within Kenya shall, within thirty days of the establishment of the place of business, deliver to the registrar for registration-

(a) a certified copy of the charter, statutes or memorandum and articles of the company or other instrument constituting or defining the constitution of the company, and, if the instrument is not written in the English language, a certified translation thereof;

(b) a list of the directors and secretary of the company containing their present christian name and surname their usual postal address, their nationality and business occupation, if any. In the case of a corporation, its corporate name and registered or principal office, and its postal address required. Where all the partners in a firm are joint secretaries of the company, the name and principal office of the firm may be stated instead of the particulars mentioned in this subsection.

(c) a statement of all subsisting charges created by the company, being charges of the kinds set out in the Companies Act and not being charges comprising solely property situate outside Kenya;

(d) the names and postal addresses of some one or more persons resident in Kenya authorized to accept on behalf of the company service of process and any notices required to be served on the company; and

(e) the full address of the registered or principal office of the company.

CERTIFICATE OF REGISTRATION (Sec. 367**)**

Where a foreign company has delivered to the registrar the required documents and particulars the registrar shall certify that the company has complied with the provisions of the Companies Act. Any certificate given by the registrar of companies before the appointed day that a foreign company has delivered to him the documents and particulars shall be conclusive evidence that the company is registered as a foreign company.

POWER TO HOLD LAND(Sec 367(2))

Where a foreign company has, after the appointed day, delivered to the registrar the documents and particulars required by law, it shall have the same power to hold land in Kenya as if it were a company incorporated under Companies Act.

Where a foreign company has, before the appointed day, delivered to the registrar of companies the documents and particulars required the company shall have the same power to hold land in Kenya as if it were a company incorporated under the Companies Act.

REGISTRATION OF CHARGES CREATED (Sec. 369**)**

The provisions on registration of charges shall extend to charges on property in Kenya which are created, and to charges on property in Kenya which is acquired, after the commencement of the Companies Act and by a foreign company which has an established place of business in Kenya. Provided that in the case of a charge executed by a foreign company out of Kenya comprising property situate both within and outside Kenya–

i) it shall not be necessary to produce to the registrar the instrument creating the charge if the prescribed particulars of it and a copy of it, verified in the prescribed manner, are delivered to the registrar for registration; and
ii) the time within which such particulars and copy are to be delivered to the registrar shall be sixty days after the date of execution of the charge by the company or, in the case of a deposit of title deeds, the date of the deposit.

ACCOUNTS OF FOREIGN COMPANIES (Sec. 370**)**

Every foreign company must, in every calendar year, make out a balance sheet and profit and loss account. If the company is a holding company, group accounts, in such form, and containing such particulars and including such documents, as under the provisions of the Act (subject, however, to any prescribed exceptions) it would, have been required to make out and lay before the company in general meeting, and deliver copies of those documents to the registrar for registration:

Provided that a foreign company shall not be obliged to comply with the provisions relating to foreign companies if–

i) it was incorporated in the Commonwealth; and
ii) it would, had it been incorporated in Kenya, (having been exempted from the provisions of section 128 of Companies Act by virtue of subsection (4) of that section; and
iii) in every calendar year there is delivered to the registrar for registration a certificate signed by a director and the secretary of the company verifying the conditions requisite for such exemption.
iv) If the balance sheet or profit and loss account is not written in the English language there shall be annexed to it a certified translation thereof.

SERVICE ON FOREIGN COMPANY (Sec. 372)

Any process or notice required to be served on a foreign company shall be sufficiently served if addressed to any person whose name has been delivered to the registrar and left at or sent by registered post to the address which has been so delivered:
Provided that–

i) where any such company makes default in delivering to the registrar the name and address of a person resident in Kenya who is authorized to accept on behalf of the company service of process or notices; or
ii) if at any time all the persons whose names and addresses have been so delivered are dead or have ceased so to reside, or refuse to accept service on behalf of the company, or for any reason cannot be served,any process or notice may be served on the company

by leaving it at or sending it by registered post to any place of business established by the company in Kenya.

RETURNS (Sec. 368)

If any alteration is made in–

a) the charter, statutes or memorandum and articles of a foreign company
b) the directors or secretary of a foreign company or the particulars contained in the list of the directors and secretary; or
c) the names or postal addresses of the persons authorized to accept service on behalf of a foreign company; or
d) the address of the registered or principal office of a foreign company,
e) the company shall, within sixty days, deliver to the registrar for registration a return containing the prescribed particulars of the alteration.

Where in the case of a company applies to -

a) a winding-up order is made by; or
b) proceedings substantially similar to a voluntary winding up of the company under this Act are commenced in,a court of the country in which such company was incorporated, the company shall within thirty days of the date or the making of such order or the commencement of such proceedings, deliver to the registrar a return containing the prescribed particulars relating to the making of such order or the commencement of such proceedings and shall cause the prescribed advertisements in relation thereto to be published.

CESSATION OF BUSINESS (Sec. 373)

If any foreign company ceases to have a place of business in Kenya, it shall give notice in writing of the fact to the registrar for registration. From the date on which notice is so given, the obligation of the company to deliver any document to the registrar shall cease and the registrar shall strike the name of the company off the register.

Where the registrar has reasonable cause to believe that a foreign company has ceased to have a place of business in Kenya, he may send by registered post to the person authorized to accept service on behalf of the company, a letter inquiring whether the company is maintaining a place of business in Kenya.

If the registrar receives an answer to the effect that the company has ceased to have a place of business in Kenya or does not within three months receive any reply, he may strike the name of the company off the register.

PENALTIES (SEC. 374)

If any foreign company fails to comply with any of the rules regarding companies incorporated outside Kenya, the company and every officer or agent of the company who knowingly and willfully authorizes or permits the default shall be liable to a fine not exceeding one thousand shillings, or, in the case of a continuing offence, one hundred shillings for every day during which the default continues.

REVIEW QUESTIONS

1. Discuss the provisions required by law so that a foreign company may establish a business in Kenya.
2. What are the penalties provided by law if a foreign company fails to comply with the regarding companies incorporated outside Kenya?
3. Deliberate on the accounts maintained by foreign companies.
4. When can a foreign company have the power to hold land?
5. Discuss the documents required to be presented at the registrar so that a foreign company can establish a place in Kenya.
6. What are the provisions provided for in the Companies Act in relation to the name of a foreign company?
7. When is a certificate of registration issued to a foreign company by the registrar?
8. What does a foreign do when a foreign company ceases to have a place in Kenya?
9. What are the rules relating to registration of charges created by a foreign company?